

UNITED STATES
SECURITIES AND EXCHANGE COMMISSION
Washington, D.C. 20549
Form 10-K

(Mark One)

☒ ANNUAL REPORT PURSUANT TO SECTION 13 OR 15(d) OF THE SECURITIES EXCHANGE ACT OF 1934
For the fiscal year ended December 31, 2019

OR

☐ TRANSITION REPORT PURSUANT TO SECTION 13 OR 15(d) OF THE SECURITIES EXCHANGE ACT OF 1934
For the transition period from _____ to _____

Commission File Number 001-38735



CONTURA ENERGY, INC.

(Exact name of registrant as specified in its charter)

Delaware

(State or other jurisdiction of incorporation or organization)

81-3015061

(I.R.S. Employer Identification Number)

340 Martin Luther King Jr. Blvd.

Bristol, Tennessee 37620

(Address of principal executive offices, zip code)

(423) 573-0300

(Registrant's telephone number, including area code)

Securities registered or to be registered pursuant to Section 12(b) of the Act:

Title of each class Common Stock, par value \$0.01 per share	Name of each exchange on which registered New York Stock Exchange
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Securities registered or to be registered pursuant to Section 12(g) of the Act:

None
(Title of Class)

Indicate by check mark if the registrant is a well-known seasoned issuer, as defined in Rule 405 of the Securities Act.

☐ Yes ☒ No

Indicate by check mark if the registrant is not required to file reports pursuant to Section 13 or Section 15(d) of the Act.

☐ Yes ☒ No

Indicate by check mark whether the registrant (1) has filed all reports required to be filed by Section 13 or 15(d) of the Securities Exchange Act of 1934 during the preceding 12 months (or for such shorter period that the registrant was required to file such reports), and (2) has been subject to such filing requirements for the past 90 days. ☒ Yes ☐ No

Indicate by check mark whether the registrant has submitted electronically every Interactive Data File required to be submitted pursuant to Rule 405 of Regulation S-T (Sec.232.405 of this chapter) during the preceding 12 months (or for such shorter period that the registrant was required to submit such files). ☒ Yes ☐ No

Indicate by check mark whether the registrant is a large accelerated filer, an accelerated filer, a non-accelerated filer, a smaller reporting company or an emerging growth company. See the definitions of “large accelerated filer,” “accelerated filer,” “smaller reporting company,” and “emerging growth company” in Rule 12b-2 of the Exchange Act.

Large accelerated filer	☐	Accelerated filer	☒
	☐		
Non-accelerated filer	(Do not check if a smaller reporting company)	Smaller reporting company	☐
		Emerging growth company	☐

If an emerging growth company, indicate by check mark if the registrant has elected not to use the extended transition period for complying with any new or revised financial accounting standards provided pursuant to Section 13(a) of the Exchange Act. ☐

Indicate by check mark whether the registrant is a shell company (as defined in Rule 12b-2 of the Exchange Act) ☐ Yes ☒ No

Securities registered pursuant to Section 12(b) of the Act:

Title of each class	Trading Symbol(s)	Name of each exchange on which registered
Common Stock	CTRA	New York Stock Exchange

The aggregate market value of the Common Stock held by non-affiliates of the registrant (excluding outstanding shares beneficially owned by directors, executive officers, and other affiliates) on June 30, 2019, was approximately \$600 million based on the closing price of the Company’s common stock as reported that date on the New York Stock Exchange of \$51.90 per share. Such assumptions should not be deemed to be conclusive for any other purpose.

Number of shares of the registrant’s Common Stock, \$0.01 par value, outstanding as of February 29, 2020: 18,259,421

DOCUMENTS INCORPORATED BY REFERENCE

Part III incorporates certain information by reference from the registrant’s definitive proxy statement for the 2019 annual meeting of stockholders (the “Proxy Statement”), which will be filed no later than 120 days after the close of the registrant’s fiscal year ended December 31, 2019.

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CAUTIONARY NOTE REGARDING FORWARD-LOOKING STATEMENTS

This report includes statements of our expectations, intentions, plans and beliefs that constitute “forward-looking statements.” These statements, which involve risks and uncertainties, relate to analyses and other information that are based on forecasts of future results and estimates of amounts not yet determinable and may also relate to our future prospects, developments and business strategies. We have used the words “anticipate,” “believe,” “could,” “estimate,” “expect,” “intend,” “may,” “plan,” “predict,” “project,” “should” and similar terms and phrases, including references to assumptions, in this report to identify forward-looking statements. These forward-looking statements are made based on expectations and beliefs concerning future events affecting us and are subject to uncertainties and factors relating to our operations and business environment, all of which are difficult to predict and many of which are beyond our control, that could cause our actual results to differ materially from those matters expressed in or implied by these forward-looking statements.

The following factors are among those that may cause actual results to differ materially from our forward-looking statements:

- the financial performance of the company;
- our liquidity, results of operations and financial condition;
- our ability to generate sufficient cash or obtain financing to fund our business operations;
- depressed levels or declines in coal prices;
- worldwide market demand for coal, steel, and electricity, including demand for U.S. coal exports, and competition in coal markets;
- our ability to obtain financing and other services, and the form and degree of these services available to us, which may be significantly limited by the lending, investment and similar policies of financial institutions and insurance companies regarding carbon energy producers and the environmental impacts of coal combustion;
- our ability to meet collateral requirements;
- the imposition or continuation of barriers to trade, such as tariffs;
- utilities switching to alternative energy sources such as natural gas, renewables and coal from basins where we do not operate;
- reductions or increases in customer coal inventories and the timing of those changes;
- our production capabilities and costs;
- inherent risks of coal mining beyond our control;
- changes in, interpretations of, or implementations of domestic or international tax or other laws and regulations, including the Tax Cuts and Jobs Act and its related regulations;
- changes in domestic or international environmental laws and regulations, and court decisions, including those directly affecting our coal mining and production, and those affecting our customers’ coal usage, including potential climate change initiatives;
- our relationships with, and other conditions affecting, our customers, including the inability to collect payments from our customers if their creditworthiness declines;
- changes in, renewal or acquisition of, terms of and performance of customers under coal supply arrangements and the refusal by our customers to receive coal under agreed-upon contract terms;
- our ability to obtain, maintain or renew any necessary permits or rights, and our ability to mine properties due to defects in title on leasehold interests;
- attracting and retaining key personnel and other employee workforce factors, such as labor relations;
- funding for and changes in employee benefit obligations;
- any new or increased liabilities, including reclamation obligations, that we may incur in connection with our former mines in Wyoming;
- cybersecurity attacks or failures, threats to physical security, extreme weather conditions or other natural disasters;
- reclamation and mine closure obligations;
- our assumptions concerning economically recoverable coal reserve estimates;
- our ability to negotiate new United Mine Workers of America wage agreements on terms acceptable to us, increased unionization of our workforce in the future, and any strikes by our workforce;
- disruptions in delivery or changes in pricing from third-party vendors of key equipment and materials that are necessary for our operations, such as diesel fuel, steel products, explosives, tires and purchased coal;
- inflationary pressures on supplies and labor and significant or rapid increases in commodity prices;
- railroad, barge, truck and other transportation availability, performance and costs;
- disruption in third-party coal supplies;
- the consummation of financing or refinancing transactions, acquisitions or dispositions and the related effects on our business and financial position;
- our indebtedness and potential future indebtedness; and

- our ability to obtain or renew surety bonds on acceptable terms or maintain our current bonding status.

The factors identified above are not exhaustive. We caution readers not to place undue reliance on any forward-looking statements, which are based only on information currently available to us and speak only as of the dates on which they are made. When considering these forward-looking statements, you should keep in mind the cautionary statements in this report. We do not undertake any responsibility to release publicly any revisions to these forward-looking statements to take into account events or circumstances that occur after the date of this report. Additionally, we do not undertake any responsibility to update you on the occurrence of any unanticipated events, which may cause actual results to differ from those expressed or implied by the forward-looking statements contained in this report.

Part I

Item 1. Business

Unless otherwise indicated or the context otherwise requires, references in this “Business” section to “the combined company,” “we,” “us” and other similar terms refer to Contura Energy, Inc. and its consolidated subsidiaries after giving effect to the Merger.

Our Company

We are a large scale, diversified provider of met and thermal coal to a global customer base. We operate high-quality, cost-competitive coal mines across coal basins in Virginia, West Virginia and Pennsylvania. Our portfolio of mining operations consists of 21 underground mines, eight surface mines and 10 coal preparation plants. We own a 65.0% interest in Dominion Terminal Associates (“DTA”), a coal export terminal in eastern Virginia. DTA provides us with the ability to fulfill a broad range of customer coal quality requirements through coal blending, while also providing storage capacity and transportation flexibility.

Although we are in the process of shifting our focus toward met coal production and away from thermal coal production, we currently produce a diverse mix of coal products, which enables us to satisfy a broad range of customer needs across all our operations. In the Central Appalachia (“CAPP”) coal basin, we predominantly produce low-ash metallurgical (“met”) coal, including High-Vol. A, High-Vol. B, Mid-Vol., and Low-Vol., which is shipped to domestic and international coke and steel producers. In the CAPP coal basin, we also produce low sulfur, high British thermal unit (“BTU”) thermal coal for electricity generation, as well as specialty coal for industrial customers. In the Northern Appalachia (“NAPP”) coal basin, we produce primarily high-BTU thermal coal. This thermal coal has metallurgical properties, but it is higher in sulfur content than typical products sold in the metallurgical coal market. Limited volumes can be placed in the metallurgical coal market where customers have the flexibility to accommodate quantities of higher sulfur coal in their coking coal blends. Our thermal coal is primarily sold to the domestic power generation industry.

We have three reportable segments: CAPP - Met, CAPP - Thermal, and NAPP. Refer to Note 25 to the Consolidated financial statements for more information about our reportable segments.

We have a substantial reserve base of 861.0 million tons of proven reserves and approximately 469.9 million tons of probable reserves, which we believe could support current production levels for more than 35 years based on our 2019 production levels. Our reserve base in CAPP - Met consists of 443.1 million tons of proven and 201.6 million tons of probable reserves, of which 96% is met coal. Our reserve base in CAPP - Thermal consists of 22.0 million tons of proven and 19.8 million tons of probable reserves, of which 73% is thermal coal. Our reserve base in NAPP consists of 395.9 million tons of proven and 248.5 million tons of probable reserves, of which 93% is thermal coal.

Through our operations and reserves in two major U.S. coal producing basins, we are able to source coal from multiple mines to meet the needs of a long-standing global customer base, many of which have been served by us or our predecessors for over a decade. We are continuously evaluating opportunities to strategically cultivate current relationships to drive new business in our target growth markets that include India and Southeast Asia, among others. In addition, our experienced management team continues to analyze acquisitions, joint ventures and other opportunities that would be accretive and synergistic to our existing asset portfolio.

We have also identified the following organic met coal opportunities which are currently in development:

- Road Fork 52 in CAPP - Met, which is primarily a reserve replacement mine, but could potentially provide incremental production of Low-Vol. met coal in the near term. The mine began production in the first quarter of 2020.
- Black Eagle in CAPP - Met, which is expected to provide 0.7-0.8 million tons per year of High-Vol. A met coal; and
- Lynn Branch Project in CAPP - Met, which is primarily a reserve replacement mine, but could potentially provide incremental production of High-Vol. B+ met coal in the near term.

Production at these adjacent mines provides embedded growth potential while leveraging existing infrastructure. In addition, our operational footprint in two U.S. coal basins provides significant opportunities for potential synergies from domestic acquisitions.

Our History

We were formed to acquire and operate certain of Alpha Natural Resources, Inc.'s ("Alpha") former core coal operations, as part of the Alpha Restructuring in 2016. We entered into various settlement agreements with the Alpha Debtors, their bankruptcy successor, and third parties as part of the Alpha Debtors' bankruptcy reorganization process. We assumed acquisition-related obligations through those settlement agreements, which became effective on July 26, 2016, the effective date of the Alpha Debtors' Plan of Reorganization. Refer to Note 16 for further information on our acquisition-related obligations.

We began operations on July 26, 2016 and currently operate mines in the Northern Appalachia and Central Appalachia regions.

On December 8, 2017, we closed a transaction with Blackjewel L.L.C. ("Buyer" or "Blackjewel") to sell the Eagle Butte and Belle Ayr mines located in the Powder River Basin ("PRB"), Wyoming, along with related coal reserves, equipment, infrastructure and other real properties. The PRB results of operations and financial position are reported as discontinued operations in the Consolidated Financial Statements. The historical information in the accompanying Notes to the Consolidated Financial Statements has been restated to reflect the effects of the PRB operations being reported as discontinued operations in the Consolidated Financial Statements. Refer to Note 4 for further information on discontinued operations.

We merged with Alpha Natural Resources Holdings, Inc. and ANR, Inc. on November 9, 2018. Upon the consummation of the transactions contemplated by a definitive merger agreement (the "Merger Agreement"), our common stock began trading on the New York Stock Exchange under the ticker "CTRA." Refer to Note 3 for information on terms of the Merger Agreement. Previously, our shares traded on the OTC market under the ticker "CNTE."

Operations and Properties

The following tables present a summary of our mining operations by reportable segment:

Reportable Segment	Location	Preparation Plants / Shipping Points as of December 31, 2019	Number & Type of Mines as of December 31, 2019		
			Underground	Surface	Total
CAPP - Met	VA, WV	McClure, Toms Creek, Bandmill, Kepler, Kingston, Marfork, Power Mountain, Pax Loadout, Delbarton, Mammoth, Marmet	18	5	23
CAPP - Thermal	WV	Bandmill, Delbarton, Mammoth, Kingston, Marfork, Pax Loadout, Marmet	2	3	5
NAPP	PA	Cumberland, Labelle River & Rail Terminal	1	—	1

Reportable Segment	Coal Qualities	Transportation	2019 Production of Saleable Tons (in thousands) ⁽¹⁾
CAPP - Met	High-Vol. Met, Mid-Vol. Met, Low-Vol. Met	Truck, CSX Transportation, Norfolk Southern Railway Company, Barge	12,025
CAPP - Thermal	Thermal	Truck, CSX Transportation, Norfolk Southern Railway Company, Barge	4,647
NAPP	Thermal	Truck, CSX Transportation, Norfolk Southern Railway Company, Barge	6,596
			23,268

⁽¹⁾ Includes coal purchased from third-party producers that was processed at our preparation plants in 2019.

We consider Deep Mine 41, Road Fork 52, Black Eagle, and the Lynn Branch Project in CAPP - Met and Cumberland Mine in NAPP to be individually material mines. Road Fork 52 and the Lynn Branch are primarily reserve replacement mines, but they could provide incremental production of Low-Vol. and High-Vol. B+ met coal, respectively. The Black Eagle mine is a development project which is expected to increase production of Marfork High-Vol met coal.

CAPP - Met

Our CAPP - Met operations consist of high-quality met coal mines, including Deep Mine 41, Road Fork 52, Black Eagle, and Lynn Branch. The coal produced by CAPP - Met operations is predominantly met coal with some amounts of thermal coal being produced as a byproduct of mining. The following table provides a summary of our CAPP - Met coal qualities during the years ended December 31, 2019 and 2018:

Coal Qualities	Year Ended December 31,	
	2019	2018
High-Vol. A	40.5%	40.9%
High-Vol. B	20.8%	16.9%
High-Vol. C	2.7%	0.1%
Mid-Vol.	21.1%	39.7%
Low-Vol.	13.9%	2.4%

During the years ended December 31, 2019 and 2018, we shipped 8.4 million tons and 9.6 million tons, respectively, of our coal production from our CAPP - Met operations internationally to customers in Europe, Asia and the Americas, with the remaining met coal production sold into the domestic market. See Item 2. Properties, Costs & Calculations, for the two-year historical average sales prices.

Deep Mine 41, associated with the McClure Prep Plant, is located in Dickenson County, Virginia on property subject to a lease dated April 1, 2003. Contura can automatically extend the lease until March 31, 2063. The McClure Plant is a 1,000 ton per hour plant that is located on owned property in Dickenson County, Virginia. It was built in 1979 and upgraded in 1998.

Road Fork 52 is located in Wyoming County, West Virginia on property subject to a lease dated August 25, 1997. After expiration of the initial 10-year term, the lease automatically extended for successive five-year periods. The current five-year period expires August 24, 2022 and shall be renewed for another five-year period unless a 90-day termination notice is provided by the lessee.

Black Eagle is located in Boone and Raleigh County, West Virginia near the community of Pettus. The reserve area is composed of five individual leases signed between 1929 and 2018 with various extension terms and periods. The majority of the reserve is located on a lease dated January 1, 1956 that expires on December 31, 2024. The earliest lease expiration date without renewal rights is December 21, 2022. It is customary to enter into new leases once the final extension period has expired.

The Lynn Branch Project is located in Logan County, West Virginia near the community of Rita. The project includes the development of the Lynn Branch #1 mine in the 2 Gas seam and the Upper Chilton Mine in the Upper Chilton seam, both deep mines. There are several leases dedicated to both mines with the primary reserves for the project controlled by a lease dated January 1, 1969, which currently expires on December 31, 2026. Contura can automatically extend the lease for three successive five-year terms until December 31, 2041. All other leases are in good standing with similar lease terms.

CAPP - Thermal

Our CAPP - Thermal operations consist of surface and underground thermal coal mines. The coal produced by CAPP - Thermal operations is predominantly thermal coal with some met coal byproduct. For the years ended December 31, 2019 and 2018, our CAPP - Thermal coal quality was composed of low sulfur, high BTU coal. During the years ended December 31, 2019 and 2018, we shipped 3.5 million tons and 0.6 million tons of our thermal coal production from our CAPP - Thermal operations domestically to utility and industrial customers.

NAPP

Our NAPP operations consist of the large-scale, high-quality Cumberland mine. Cumberland is located in Greene County, Pennsylvania and operates one highly efficient longwall supported by four continuous miner sections for longwall panel development. Our NAPP operations also include the idled Emerald mine complex, which is currently being used as an underground water treatment and holding facility, allowing Cumberland to realize significant cost savings on water management expenditures. We have been able to sell part of our Cumberland coal production (0.3 million tons and 0.7 million tons for the years ended December 31, 2019 and 2018, respectively) into the met coal market, achieving higher realized pricing

than if sold as thermal coal. The coal produced by the Cumberland mine is from the Pittsburgh 8 seam, which is recognized for its high-BTU, low chlorine content and desirable ash fusion properties. This makes Cumberland coal ideal for boilers and, accordingly, most of the domestic customer base for this mine consists of base load, scrubbed coal-fired power plants. Additionally, NAPP offers transportation optionality through rail and barge through the Labelle River & Rail Terminal, allowing us to reach a broader customer base. We enter into long-term supply agreements, typically ranging from one to four years, to contract our thermal coal production in advance, thereby reducing the risks associated with our thermal coal portfolio in future years.

The Cumberland Mine is on property owned by our subsidiaries, as well as on property subject to a lease dated December 4, 1980 (the “Greene Manor Lease”). The current lease period ends on December 31, 2021, and we can extend the Greene Manor Lease for successive 10-year periods. The Cumberland Plant (associated with Cumberland Mine) is a 1,600 ton per hour plant located on owned property in Greene County, Pennsylvania. It was built in 1978 and upgraded in 1996.

The Labelle River & Rail Terminal is a multimodal materials handling facility offering river to rail shipping for the Cumberland mine with access to both CSX Transportation (“CSX”) and Norfolk Southern Railway Company (“NS”) rail carriers. The facility features 1,200 ton per hour unloading capacity, 400,000 ton stockpile capacity, and a 4,200 ton per hour batch weigh train loadout.

PRB

Our PRB operations formerly consisted of the Belle Ayr and Eagle Butte mines, located in Wyoming. On December 8, 2017, we sold these, along with related coal reserves, equipment, infrastructure and other real properties. Refer to Note 4 for further information on discontinued operations.

Financial Information About Reportable Segments and Geographic Areas

Refer to Item 7. Management’s Discussion and Analysis of Financial Condition and Results of Operations, and Notes 24 and 25 for financial information about reportable segments and geographic areas.

Mine Life

The following table provides a summary of mine life for our active mines by segment, as of December 31, 2019:

Reportable Segment	Location	Estimated Years
CAPP - Met ⁽¹⁾	Virginia, West Virginia	1 to 28
CAPP - Thermal	West Virginia	5 to 37
NAPP ⁽²⁾	Pennsylvania	17

⁽¹⁾ Includes Deep Mine 41 with an estimated mine life of 18 years and Black Eagle with an estimated mine life of 28 years.

⁽²⁾ Includes Cumberland with an estimated mine life of 17 years. Cumberland mine includes all of the Cumberland Reserve block and a portion of the Greene Manor Reserve block. The remaining portion of the Greene Manor Reserve block and the CNG and Consol Trade Area reserve blocks are located adjacent to the area included in the Cumberland mine life area.

Coal Mining Techniques

We use five different mining techniques to extract coal from the ground: longwall mining, room-and-pillar mining, truck-and-shovel mining, truck and front-end loader mining, contour mining and highwall mining. We do not use mountaintop removal mining and currently have no plans to do so in the future.

Longwall Mining

At our Cumberland mine, we utilize longwall mining techniques, which are the most productive underground mining methods used in the United States. Continuous miners are used to develop access to long rectangular blocks of coal which are then mined with longwall equipment, allowing controlled subsidence behind the advancing machinery. A hydraulic system supports the roof of the mine while a mechanical rotating drum advances through the coal. Chain conveyors then move the loosened coal to a standard underground mine conveyor system for transport to the surface. Longwall mining is highly productive and most effective for large blocks of medium to thick coal seams. High capital costs associated with longwall mining demand large, contiguous reserves. Ultimate seam recovery of in-place reserves using longwall mining is much higher

than the room-and-pillar mining underground technique. All of the coal mined at our longwall mines is processed in preparation plants to remove rock and impurities before it becomes saleable clean coal.

Room-and-Pillar Mining

Certain of our mines in CAPP use room-and-pillar mining methods. In this type of mining, main airways and transportation entries are developed and maintained while remote-controlled continuous miners extract coal from the seam, leaving pillars to support the roof. Shuttle cars or battery coal haulers are used to transport coal from the continuous miner to the conveyor belt for transport to the surface. This method is more flexible than longwall mining and often used to mine smaller coal blocks or thinner seams of coal. Ultimate seam recovery of in-place reserves is less than that achieved with longwall mining. All of this production is also processed in preparation plants to remove rock and impurities before it becomes saleable clean coal.

Truck-and-Shovel Mining and Truck and Front-End Loader Mining

We utilize truck/shovel and truck/front-end loader mining methods at some of our CAPP surface mines. These methods are similar and involve using large, electric or hydraulic-powered shovels or diesel-powered front-end loaders to remove earth and rock (overburden) covering a coal seam which is later used to refill the excavated coal pits after the coal is removed. The loading equipment places the coal into trucks for transportation to a preparation plant or loadout area. Ultimate seam recovery of in-place reserves on average exceeds 90%. Depending on geology and market destination, surface-mined coal may need to be processed in a preparation plant before sale. In the case of some metallurgical grade coals, as much as 80% of surface mined coal may need to be processed in a preparation plant to enhance the sales value of the coal. Productivity depends on overburden and coal thickness (strip ratio), equipment utilized and geologic factors.

Contour Mining

We use contour mining in our CAPP mines, which limits the overburden removal from above a coal seam or series of coal seams. In contour mining, surface mining machinery follows the contours of a coal seam or seams around a ridge, excavating the overburden and recovering the coal seam or seams as a “contour bench” around the ridge is created. This contour bench is then backfilled and graded in accordance with an approved reclamation plan. Highwall mining methods are used in connection with some Contour Mining operations. Depending on geology and market destination, coal mined by contour mining may need to be processed in preparation plants to remove rock and impurities before it becomes a saleable clean coal.

Highwall Mining

We utilize highwall mining methods at our CAPP surface mines. A highwall mining system consists of a remotely controlled continuous miner, which extracts coal and conveys it via augers or belt conveyors to the surface. The cut is typically a rectangular, horizontal opening in the highwall (the unexcavated face of exposed overburden and coal in a surface mine) 9-feet or 11-feet wide and reaching depths of up to 1,000 feet. Multiple parallel openings are driven into the highwall, separated by narrow pillars that extend the full depth of the hole. All of the coal mined at our highwall mining operations is processed in preparation plants to remove rock and impurities before it becomes saleable clean coal.

Marketing, Sales and Customer Contracts

We market coal produced at our operations and purchase and resell coal mined by others. We have coal supply commitments with a wide range of steel and coke manufacturers, electric utilities, and industrial customers. Our marketing efforts are centered on customer needs and requirements. By offering coal of various types and grades to provide specific qualities of heat content, sulfur and ash and other characteristics relevant to our customers, we are able to serve a global customer base. Through this global platform, our coals are shipped to customers on five continents. This diversity allows us to adjust to changing market conditions. Many of our larger customers are well-established steel manufacturers and public utilities.

Our coal volumes include coal produced and processed by us, our “captive coal,” as well as small volumes purchased from third-party producers to blend with our produced coal in order to meet customer specifications. These volumes are processed by us, meaning that we washed, crushed or blended the coal at one of our preparation plants or loading facilities prior to resale. Our coal volumes within our CAPP-Met operations also include met coal volumes purchased from domestic third-party producers and sold into international markets.

Our export shipments serviced customers through shipping ports in 22 and 23 countries during the years ended December 31, 2019 and 2018, respectively. Europe was our largest export market during these periods, with coal sales to

Europe accounting for approximately 36% and 40%, respectively, of export coal revenues and 20% and 33%, respectively, of coal revenues for the years ended December 31, 2019 and 2018. All of our sales are made in U.S. dollars. Refer to Note 25 for additional export coal revenue information.

Our metallurgical coal sales are typically made with customers with whom we have a long-term relationship. However, defined pricing and volume in our sales agreements tend to be short-term in nature. Domestic metallurgical customers typically enter into one-year agreements with a fixed price for the entire contract year. Any longer-term agreement would generally have a renegotiation of price every subsequent contract year. Export sales are generally made on an annual, quarterly, or spot cargo basis. Annual and quarterly agreements typically have market-indexed pricing that changes with the market monthly. Any export agreement with a term greater than one year would generally have a renegotiation of pricing terms for each subsequent contract year. Future volume for future years is generally contingent on both parties agreeing to a pricing mechanism to cover the contract year.

We enter into long-term contracts (typically ranging from one to four years) with our thermal coal customers. Terms of these agreements may address coal quality requirements, quantity parameters, flexibility and adjustment mechanisms, permitted sources of supply, treatment of environmental constraints, options to extend, force majeure, suspension, termination and assignment issues, the allocation between the parties of the cost of complying with future governmental regulations and many other matters.

Generally, our long-term thermal coal agreements contain committed volumes and fixed prices for a period or a certain number of periods pursuant to which thermal coal will be delivered under these agreements. After a fixed price period elapses, the long-term agreement may provide for a price negotiation/determination period prior to the commencement of the pending unpriced contract period. The price negotiations generally consider either then current market prices and/or relevant market indices. Provisions of this sort increase the difficulty of predicting the exact prices a coal supplier will receive for its coal during the course of the long-term agreement. During the years ended December 31, 2019 and 2018, approximately 70% and 75%, respectively, of our thermal coal sales volume were delivered pursuant to long-term contracts.

Distribution and Transportation

Coal consumed domestically is usually sold at the mine and transportation costs are normally borne by the purchaser. Export coal is usually sold at the loading port, with purchasers responsible for further transportation.

For our export sales, we negotiate transportation agreements with various providers, including railroads, trucks, barge lines, and terminal facilities to transport shipments to the relevant loading port. We coordinate with customers, mining facilities and transportation providers to establish shipping schedules that meet each customer's needs. Our captive coal is loaded from our preparation plants, loadout facilities, and in certain cases directly from our mines. The coal we purchase is loaded in some cases directly from mines and preparation plants operated by third parties or from an export terminal. Virtually all of our coal is transported from the mine to our preparation plants by truck or belt conveyor systems. It is transported from preparation plants and loading facilities to the customer by means of railroads, trucks, barge lines, and lake-going and ocean-going vessels from terminal facilities. We depend upon rail, barge, trucking and other systems to deliver coal to markets. In the years ended 2019 and 2018, our produced coal was transported from the mines and to the customer primarily by rail, with the main rail carriers being CSX Transportation and Norfolk Southern Railway Company. Rail shipments constituted approximately 59% and 55% of total shipments of coal volume from our mines during the years ended 2019 and 2018, respectively. The balance was shipped from our preparation plants, loadout facilities or mines via truck or barge. Our export sales are primarily shipped to DTA and Pier 6 (Lamberts Point) shipping ports in the Hampton Roads area of Virginia. Contura may ship limited export quantities through other US ports when warranted by logistics and economics. In March 2017, we increased our stake in the DTA coal export terminal from 40.6% to 65.0%, which provides us with 14 million tons of export capacity.

Equipment

Our equipment, including underground and surface, is of varying age and in good operational condition. It is regularly maintained and serviced by a dedicated maintenance workforce and third-party suppliers, including scheduled preventive maintenance.

Procurement

Principal goods and services used in our business include mining equipment, replacement parts and materials such as explosives, diesel fuel, tires, conveyance structure, ventilation supplies, lubricants, steel, magnetite and other raw materials, maintenance and repair services, electricity, and roof control and support items. We rely on third-party suppliers to provide mining materials and equipment. Although there continues to be consolidation, which has resulted in a limited number of

suppliers for certain types of equipment and supplies, we believe that adequate substitute suppliers are available. For further discussion of our sources and availability of materials, see Item 1A “Risk Factors—Risks Related to Our Operations—*Decreased availability or increased costs of key equipment and materials, including certain items mandated by regulations, or of coal that we purchase from third parties, could affect our cost of production and decrease our profitability.*”

We incur substantial expenses each year to procure goods and services in support of our respective business activities in addition to capital expenditures. We use suppliers for a significant portion of our equipment rebuilds and repairs, as well as construction and reclamation activities.

We have a centralized sourcing group, which sets sourcing policy and strategy focusing primarily on major supplier contract negotiation and administration, including but not limited to the purchase of major capital goods in support of the mining operations. We promote competition between suppliers and seek to develop relationships with suppliers that focus on lowering our costs while improving quality and service. We seek suppliers who identify and concentrate on implementing continuous improvement opportunities within their area of expertise.

Competition

The coal industry is highly competitive, both in the U.S. and internationally. In the metallurgical coal market, of the approximately 68 million tons produced in the U.S. in 2019, Contura sold approximately 12.9 million tons, or 19%. A significant portion of U.S. metallurgical coal production is shipped internationally, where it competes directly with international sources of production. Approximately 66% of Contura’s metallurgical coal sold was shipped internationally in 2019.

In the thermal market, of the approximately 652 million tons produced in the U.S. in 2019, Contura sold approximately 10.8 million tons, or 2%. Only a small portion of overall U.S. thermal production is shipped internationally, but there is strong competition in the domestic market. Approximately 8% of Contura’s thermal coal sold was shipped internationally in 2019. We compete for U.S. sales with numerous coal producers in the Appalachian region and the Illinois basin, and in some cases with western coal producers. The key factors of this competition are delivered coal price, coal quality and characteristics, transportation costs from the mine to the customer and the reliability of supply. Competition from coal with lower production costs shipped from other coal basins has resulted in increased competition for coal sales in the Appalachian region.

Demand for met coal and the prices that we are able to obtain for it depend to a large extent on the demand and price for steel in the U.S. and internationally. This demand is influenced by factors beyond our control, including overall economic activity and the availability and relative cost of substitute materials. In the export met coal market, we compete with producers from Australia and Canada and with other international producers on many of the same factors as in the U.S. market. Competition in the export market is also affected by fluctuations in relative foreign exchange rates and costs of inland and ocean transportation, among other factors.

Demand for thermal coal and the prices that we are able to obtain for it are closely linked to coal consumption patterns of the domestic electric generation industry. These coal consumption patterns are influenced by many factors beyond our control, including the demand for electricity, which is significantly dependent upon summer and winter temperatures, and commercial and industrial outputs in the U.S., environmental and other government regulations, technological developments and the location, availability, quality and price of competing sources of power. These competing sources include natural gas, nuclear, fuel oil and increasingly, renewable sources such as solar and wind power. Demand for thermal coal and the prices that we are able to obtain for it are affected by each of the above factors.

Employees

As of December 31, 2019, we had approximately 4,360 employees, with the United Mine Workers of America (“UMWA”) representing approximately 15% of these employees. Certain of our subsidiaries have wage agreements with the UMWA that are subject to termination by either the employer or the UMWA, without cause, on July 31, 2020. Relations with organized labor are important to our success, and we believe that we have good relations with our employees.

Legal Proceedings

We could become party to legal proceedings from time to time. These proceedings, as well as governmental examinations, could involve various business units and a variety of claims, including, but not limited to, contract disputes, personal injury claims, property damage claims (including those resulting from blasting, subsidence, trucking and flooding), environmental and safety issues, and employment matters. While some legal matters may specify the damages claimed by the plaintiffs, many seek an unquantified amount of damages. Even when the amount of damages claimed against us or our subsidiaries is stated, (i) the

claimed amount may be exaggerated or unsupported; (ii) the claim may be based on a novel legal theory or involve a large number of parties; (iii) there may be uncertainty as to the likelihood of a class being certified or the ultimate size of the class; (iv) there may be uncertainty as to the outcome of pending appeals or motions; and/or (v) there may be significant factual issues to be resolved. As a result, if such legal matters arise in the future we may be unable to estimate a range of possible loss for matters that have not yet progressed sufficiently through discovery and development of important factual information and legal issues. We record accruals based on an estimate of the ultimate outcome of these matters, but these estimates can be difficult to determine and involve significant judgment.

ENVIRONMENTAL AND OTHER REGULATORY MATTERS

Federal, state and local authorities regulate the U.S. coal mining industry and the industries it serves with respect to matters such as employee health and safety, permitting and licensing requirements, air quality standards, water quality, plant and wildlife protection, the reclamation of mining properties after mining has been completed, the discharge of materials into the environment, surface subsidence from underground mining, and the effects of mining on groundwater quality and availability. These laws and regulations, which are extensive, subject to change, and have tended to become stricter over time, have had, and will continue to have, a significant effect on our production costs and our competitive position relative to certain other sources of electricity generation. Future legislation, regulations or orders, as well as future interpretations and more rigorous enforcement of existing laws, regulations or orders, may require substantial increases in equipment and operating costs to us and delays, interruptions, or a termination of operations, the extent of which we cannot predict. We intend to continue to comply with these regulatory requirements as they evolve by timely implementing necessary modifications to facilities or operating procedures. Future legislation, regulations, orders or regional or international arrangements, agreements or treaties, as well as efforts by private organizations, including those relating to global climate change, may continue to cause coal to become more heavily regulated.

We endeavor to conduct our mining operations in compliance with all applicable federal, state, and local laws and regulations. We have certain procedures in place that are designed to enable us to comply with these laws and regulations. However, due to the complexity and interpretation of these laws and regulations, we cannot guarantee that we have been or will be at all times in complete compliance, and violations are likely to occur from time to time. None of the violations or the monetary penalties assessed upon us have been material. Future liability under or compliance with environmental and safety requirements could, however, have a material adverse effect on our operations or competitive position. Under some circumstances, substantial fines and penalties, including revocation, denial or suspension of mining permits, may be imposed under the laws described below.

Monetary sanctions, expensive compliance measures and, in severe circumstances, criminal sanctions may be imposed for failure to comply with these laws.

As of December 31, 2019, we had accrued \$224.7 million for reclamation liabilities and mine closures, including \$40.6 million of current liabilities.

Mining Permits and Approvals

Numerous governmental permits or approvals are required for mining operations pursuant to certain federal, state and local laws applicable to our operations. When we apply for these permits and approvals, we may be required to prepare and present data to federal, state or local authorities pertaining to the effect or impact that any proposed production or processing of coal may have upon the environment and measures we will take to minimize and mitigate those impacts. The requirements imposed by any of these authorities may be costly and time consuming and may delay commencement or continuation of mining operations.

In order to obtain mining permits and approvals from federal and state regulatory authorities, mine operators, including us, must submit a reclamation plan for restoring, upon the completion of mining operations, the mined property to its prior or better condition, productive use or other permitted condition. Typically, we submit the necessary permit applications several months, or even years, before we plan to begin mining a new area. Mining permits generally are approved many months or even years after a completed application is submitted. Therefore, we cannot be assured that we will obtain future mining permits in a timely manner.

Permitting requirements also require, under certain circumstances, that we obtain surface owner consent if the surface estate has been severed from the mineral estate. This requires us to negotiate with third parties for surface rights that overlay coal we control or intend to control. These negotiations can be costly and time-consuming, lasting years in some instances, which can create additional delays in the permitting process. If we cannot successfully negotiate for surface rights, we could be denied a permit to mine coal we already control.

On October 4, 2019, the Bankruptcy Court entered an order approving the sale by Blackjewel of the Belle Ayr and Eagle Butte mines located in the PRB (the “Western Assets”) to Eagle Specialty Materials (“ESM”), an affiliate of FM Coal, LLC (“FM Coal”). The closing of the ESM acquisition (the “ESM Transaction”) occurred on October 18, 2019. We were the former owner of the Western Assets, having sold them to Blackjewel in December 2017 (the “2017 Blackjewel Sale”). As the mine permit transfer process relating to our sale of the Western Assets to Blackjewel had not been completed prior to Blackjewel’s and certain of its affiliates’ filing petitions for relief under chapter 11 of title 11 of the U.S. Code (the “Bankruptcy Code”), we remained the permitholder in good standing for both mines. In connection with ESM’s acquisition of the Western Assets from

Blackjewel, on October 18, 2019, we and ESM finalized an agreement that provided, among other items, for the eventual transfer of the Western Asset permits from us to ESM and replacement by ESM of our surety bonds associated with these properties. ESM is expected to operate the mines during the permit transfer process and has agreed to use commercially reasonable efforts to cause the permits to be transferred as promptly as possible. We are closely monitoring the permit transfer process for the Western Assets.

Surface Mining Control and Reclamation Act

SMCRA, which is administered by the Office of Surface Mining Reclamation and Enforcement (“OSM”), establishes mining, environmental protection, reclamation, and closure standards for all aspects of surface mining as well as many aspects of underground mining that effect surface expressions. Mine operators must obtain SMCRA permits and permit renewals from the OSM or from the applicable state agency if the state agency has obtained primary control of administration and enforcement of the SMCRA program, or primacy. A state agency may obtain primacy if OSM concludes that the state regulatory agency’s mining regulatory program is no less stringent than the federal mining program under SMCRA. States where we have active mining operations have achieved primacy and issue permits in lieu of OSM. OSM maintains oversight of how the states administer their programs.

SMCRA permit provisions include a complex set of requirements which include: coal prospecting; mine plan development; topsoil or growth medium removal, storage and replacement; selective handling of overburden materials; mine pit backfilling and grading; protection of the hydrologic balance, including outside the permit area; subsidence control for underground mines; surface drainage control; mine drainage and mine discharge control and treatment; and re-vegetation and reclamation.

The mining permit application process is initiated by collecting baseline data to adequately characterize the pre-mine environmental condition of the permit area. This work includes, but is not limited to, surveys of cultural and historical resources, soils, vegetation, wildlife, assessment of surface and ground water hydrology, climatology, and wetlands. In conducting this work, we collect geologic data to define and model the soil and rock structures associated with the coal that we will mine. We develop mining and reclamation plans by utilizing this geologic data and incorporating elements of the environmental data. The mining and reclamation plan incorporates the provisions of SMCRA, the state programs, and the complementary environmental programs that affect coal mining. Also included in the permit application are documents defining ownership and agreements pertaining to coal, minerals, oil and gas, water rights, rights of way and surface land, and documents required of the OSM’s Applicant Violator System (“AVS”), including the mining and compliance history of officers, directors and principal owners of the entity.

Regulations under SMCRA and its state analogues provide that a mining permit or modification can, under certain circumstances, be delayed, refused or revoked if we or any entity that owns or controls us or is under common ownership or control with us have unabated permit violations or have been the subject of permit or reclamation bond revocation or suspension. These regulations define certain relationships, such as owning over 50% of stock in an entity or having the authority to determine the manner in which the entity conducts mining operations, as constituting ownership and control. Certain other relationships are presumed to constitute ownership or control, including being an officer or director of an entity or owning between 10% and 50% of the mining operator. This presumption, in some cases, can be rebutted where the person or entity can demonstrate that it in fact does not or did not have authority directly or indirectly to determine the manner in which the relevant coal mining operation is conducted. Thus, past or ongoing violations of federal and state mining laws by us or by coal mining operations owned or controlled by our significant stockholders, directors or officers or certain other third-party affiliates could provide a basis to revoke existing permits and to deny the issuance of additional permits or modifications or amendments of existing permits. This is known as being “permit-blocked.” In recent years, the permitting required for coal mining has been the subject of increasingly stringent regulatory and administrative requirements and extensive litigation by environmental groups.

Once a permit application is prepared and submitted to the regulatory agency, it goes through a completeness review and technical review. Public notice of the proposed permit is given that also provides for a comment period before a permit can be issued. Some SMCRA mine permits take over a year to prepare, depending on the size and complexity of the mine and may take many months or even years to be issued. Regulatory authorities have considerable discretion in the timing of the permit issuance and the public and other agencies have rights to comment on and otherwise engage in the permitting process, including through intervention in the courts.

The Abandoned Mine Land Fund, which is part of SMCRA, requires a fee on all coal produced. The proceeds are used to reclaim mine lands closed or abandoned prior to SMCRA’s adoption in 1977. The current fee is \$0.28 per ton on surface-mined coal and \$0.12 per ton on deep-mined coal. For the years ended December 31, 2019 and 2018, we recorded \$3.3 million and \$1.6 million, respectively, of expense related to these fees.

While SMCRA is a comprehensive statute, SMCRA does not supersede the need for compliance with other major environmental statutes, including the Endangered Species Act; Clean Air Act; Clean Water Act; Resource Conservation and Recovery Act (“RCRA”) and Comprehensive Environmental Response, Compensation and Liability Act (“CERCLA” or “Superfund”).

Surety Bonds

Federal and state laws require us to obtain surety bonds or other approved forms of security to cover the costs of certain long-term obligations, including mine closure or reclamation costs under SMCRA, federal and state workers’ compensation costs, coal leases and other miscellaneous obligations. As of December 31, 2019 and 2018, our posted third-party surety bond amount in all states where we operate was approximately \$343.5 million and \$344.1 million, excluding portions attributable to discontinued operations, respectively, which was used to primarily secure the performance of our reclamation and lease obligations.

Posting of a bond or other security with respect to the performance of reclamation obligations is a condition to the issuance of a permit under SMCRA. Under the terms of agreements we and Alpha entered into in connection with the Alpha Restructuring, we and Alpha were required to replace Alpha’s self-bonds with surety bonds, collateralized bonds, or other financial assurance mechanisms, over time and under applicable regulations. Self-bonding may not be available to us as a means to comply with our reclamation bonding obligations for the foreseeable future. In August 2016, OSM announced its decision to pursue a rulemaking to evaluate self-bonding for coal mines, including eligibility standards. OSM has not yet issued a proposed rule to address this issue.

Clean Air Act

The Clean Air Act and comparable state laws that regulate air emissions affect coal mining operations both directly and indirectly. Direct impacts on coal mining and processing operations include Clean Air Act permitting requirements and emission control requirements relating to particulate matter, which may include controlling fugitive dust. The Clean Air Act indirectly affects coal mining operations by extensively regulating air emissions of particulate matter, sulfur dioxide, nitrogen oxides, mercury and other compounds emitted by coal-fired electricity generating plants or the use of met coal in connection with steelmaking operations. In recent years, Congress has considered legislation that would require increased reductions in emissions of sulfur dioxide, nitrogen oxide, and mercury. The general effect of emission regulations on coal-fired power plants could be to reduce demand for coal.

In addition to the greenhouse gas (“GHG”) issues discussed below, the air emissions programs that may materially and adversely affect our operations, financial results, liquidity, and demand for coal, directly or indirectly, include, but are not limited to, the following:

- *Acid Rain.* Title IV of the Clean Air Act requires reductions of sulfur dioxide emissions by electric utilities. Affected electricity generators have sought to meet these requirements by, among other compliance methods, switching to lower sulfur fuels, installing pollution control devices, reducing electricity generating levels or purchasing or trading sulfur dioxide emission allowances. We cannot accurately predict the effect of these provisions of the Clean Air Act on us in future years.
- *NAAQS for Criteria Pollutants.* The Clean Air Act requires the EPA to set standards, referred to as National Ambient Air Quality Standards (“NAAQS”), for six common air pollutants, including nitrogen oxide, sulfur dioxide, particulate matter, and ozone. Areas that are not in compliance (referred to as “non-attainment areas”) with these standards must take steps to reduce emissions levels. Over the past several years, the EPA has revised its NAAQS for nitrogen oxide, sulfur dioxide, particulate matter and ozone, in each case making the standards more stringent. As a result, some states will be required to amend their existing individual state implementation plans (“SIPs”) to achieve compliance with the new air quality standards. Other states will be required to develop new plans for areas that were previously in “attainment,” but do not meet the revised standards.

For example, in October 2015, the EPA finalized the NAAQS for ozone pollution and reduced the limit to 70 parts per billion (ppb) from the previous 75 ppb standard. The EPA made the majority of area designations related to this rule on November 16, 2017 and June 4, 2018 and finalized designations for the remaining regions of the country on July 25, 2018. Under the revised NAAQS for ozone in particular, significant additional emissions control expenditures may be required at coal-fired power plants. The final rules and new standards may impose additional emissions control requirements on our customers in the electric generation, steelmaking, and coke industries. Although coal mining and processing operations may emit certain criteria pollutants, we operate in material compliance with our permits.

However, our operations could be affected if the attainment status of the areas in which we operate changes in the future.

A suit by industry challenging the EPA's 2015 Ozone NAAQS (*Murray Energy Corp. v. EPA*) is currently pending in the D.C. Circuit. In April 2017, the D.C. Circuit Court granted EPA's motion to indefinitely delay any decision on the challenges pending the EPA's possible reconsideration of the rule. In July 2018, the D.C. Circuit Court returned the matter to its active docket and in August 2018, the EPA indicated to the court that it would not be revising the 2015 standards at this time. In August 2019, the D.C. Circuit upheld the rule with the exception of the secondary NAAQS standards addressing protection of animals, crops and vegetation, which were sent back to the EPA for further consideration. The EPA indicated that it would decide by December 2020 whether to maintain the 2015 ozone limits or to tighten them.

- *NOx SIP Call*. The NOx SIP Call program was established by the EPA in October of 1998 to reduce the transport of nitrogen oxide and ozone on prevailing winds from the Midwest and South to states in the Northeast, which said they could not meet federal air quality standards because of migrating pollution. The program is designed to reduce nitrogen oxide emissions by one million tons per year in 22 eastern states and the District of Columbia. As a result of the program, many power plants have been or will be required to install additional emission control measures, such as selective catalytic reduction devices. Installation of additional emission control measures will make it more costly to operate coal-fired power plants, potentially making coal a less attractive fuel. On February 26, 2019, EPA published a final rule amending the NOx SIP Call regulations to allow states to establish alternative monitoring and reporting requirements for certain sources.
- *Cross-State Air Pollution Rule*. In June 2011, the EPA finalized the CSAPR, which required 28 states in the Midwest and eastern seaboard of the U.S. to reduce power plant emissions that cross state lines and contribute to ozone and/or fine particle pollution in other states. Nitrogen oxide and sulfur dioxide emission reductions were scheduled to commence in 2012, with further reductions effective in 2014. However, implementation of CSAPR's requirements were delayed due to litigation. In October 2014, the EPA issued an interim final rule reconciling the CSAPR rule with the Court's order, which called for Phase 1 implementation in 2015 and Phase 2 implementation in 2017.

In September 2016, the EPA finalized an update to the CSAPR ozone season program by issuing the Final CSAPR Update. The Final CSAPR Update rule is the subject of a pending legal challenge in the D.C. Circuit by five states. In September 2019, the D.C. Circuit concluded that the rule was valid in certain respects but that it failed to ensure that pollution from upwind states would not prevent downwind states from meeting air quality standards in a timely manner. The court directed the EPA to revise the rule to address this failure. For states to meet their requirements under CSAPR, a number of coal-fired electric generating units will likely need to be retired, rather than retrofitted with the necessary emission control technologies, reducing demand for thermal coal.

- *Mercury and Hazardous Air Pollutants*. In February 2012, the EPA formally adopted a rule to regulate emissions of mercury and other metals, fine particulates, and acid gases such as hydrogen chloride from coal- and oil-fired power plants, referred to as "MATS." In March 2013, the EPA finalized reconsideration of the MATS rule as it pertains to new power plants, principally adjusting emissions limits for new coal-fired units to levels considered attainable by existing control technologies. In subsequent litigation, the U.S. Supreme Court struck down the MATS rule based on the EPA's failure to take costs into consideration. The D.C. Circuit allowed the current rule to stay in place until the EPA issued a new finding. In April 2016, the EPA issued a final finding that it is appropriate and necessary to set standards for emissions of air toxics from coal- and oil-fired power plants. However, in April 2017, the EPA indicated in a court filing that it may reconsider this finding, and on April 27, 2017, the D.C. Circuit stayed the litigation. In August 2018, the EPA stated that it plans on sending a draft proposal to the White House questioning the EPA's earlier finding and intends to reevaluate the MATS rule itself.

On December 27, 2018, EPA issued a proposed revised Supplemental Cost Finding for MATS, as well as the Clean Air Act required "risk and technology review." After taking account of both the cost to coal- and oil-fired power plants of complying with the MATS rule and the benefits attributable to regulating hazardous air pollutant (HAP) emissions from these power plants, EPA proposed to determine that it is not "appropriate and necessary" to regulate HAP emissions from power plants under Section 112 of the Clean Air Act. The emission standards and other requirements of the MATS rule, first promulgated in 2012, would remain in place, however, since EPA did not propose to remove coal- and oil-fired power plants from the list of sources that are regulated under Section 112 of the Act.

Apart from MATS, several states have enacted or proposed regulations requiring reductions in mercury emissions from coal-fired power plants, and federal legislation to reduce mercury emissions from power plants has been proposed. Regulation of mercury emissions by the EPA, states, Congress, or pursuant to an international treaty may

further decrease the demand for coal. Like CSAPR, MATS and other similar future regulations could accelerate the retirement of a significant number of coal-fired power plants, in addition to the significant number of plants and units that have already been retired as a result of environmental and regulatory requirements and uncertainties adversely impacting coal-fired generation. Such retirements would likely adversely impact our business.

- *Regional Haze, New Source Review and Methane.* The EPA's regional haze program is intended to protect and improve visibility at and around national parks, national wilderness areas and international parks. In December 2011, the EPA issued a final rule under which the emission caps imposed under CSAPR for a given state would supplant the obligations of that state with regard to visibility protection. In May 2012, the EPA finalized a rule that allows the trading programs in CSAPR to serve as an alternative to determining source-by-source Best Available Retrofit Technology ("BART"). This rule provides that states in the CSAPR region can substitute participation in CSAPR for source-specific BART for sulfur dioxide and/or nitrogen oxides emissions from power plants. This program may result in additional emissions restrictions from new coal-fueled power plants whose operations may impair visibility at and around federally protected areas. This program may also require certain existing coal-fueled power plants to install additional control measures designed to limit haze causing emissions, such as sulfur dioxide, nitrogen oxides, volatile organic chemicals and particulate matter. These limitations could result in additional coal plant closures and affect the future market for coal. A final Regional Haze rule was published on January 10, 2017 and is currently being reevaluated by the EPA.

In addition, the EPA's new source review program under certain circumstances requires existing coal-fired power plants, when modifications to those plants significantly change emissions, to install the more stringent air emissions control equipment required of new plants. Federal legislation to reform new source review has been reintroduced and regulatory reform is being considered by the EPA.

Litigation seeking to force the EPA to list coal mines as a category of air pollution sources that endanger public health or welfare under Section 111 of the CAA and establish standards to reduce emissions from sources of methane and other emissions related to coal mines was dismissed by the D.C. Circuit in May 2014. In that case, the Court denied a rulemaking petition citing agency discretion and budgetary restrictions, and ruled that the EPA has reasonable discretion to carry out its delegated responsibilities, which include determining the timing and relative priority of its regulatory agenda. In July 2014, the D.C. Circuit denied a petition seeking a rehearing of the case en banc. Litigation regarding these issues may continue and could result in the need for additional air pollution controls for coal-fired units and our operations.

Global Climate Change

Global climate change initiatives and public perceptions have resulted, and are expected to continue to result, in decreased coal-fired power plant capacity and utilization, phasing out and closing many existing coal-fired power plants, reducing or eliminating construction of new coal-fired power plants in the United States and certain other countries, increased costs to mine coal and decreased demand and prices for thermal coal.

There are three important sources of GHGs associated with the coal industry: first, the end use of our coal by our customers in electricity generation, coke plants, and steelmaking is a source of GHGs; second, combustion of fuel for mining equipment used in coal production; and third, coal mining can release methane, a GHG, directly into the atmosphere. GHG emissions from coal consumption and production are subject to pending and proposed regulation as part of initiatives to address global climate change.

The Kyoto Protocol to the 1992 United Nations Framework Convention on Climate Change (the "Kyoto Protocol") became effective in 2005 and bound those developed countries that ratified it (which the U.S. did not do) to reduce their global GHG emissions. In December 2015, the United States and almost 200 nations agreed to the Paris Agreement, which entered into force on November 4, 2016 and has the long-term goal to limit global warming to below two degrees Celsius by 2100 from temperatures in the pre-industrial era. Although this agreement does not create any binding obligations for nations to limit their GHG emissions, it does include pledges to voluntarily limit or reduce future emissions. On June 1, 2017, the Trump administration announced that the U.S. will withdraw from the Paris Agreement. Nevertheless, numerous U.S. governors, mayors and businesses have pledged their commitments to the goals of the Paris Agreement. These commitments could further reduce demand and prices for our coal.

In 2009, the EPA issued a finding that emissions of carbon dioxide, methane and other GHGs present an endangerment to public health and the environment. The EPA has since adopted regulations under existing provisions of the CAA pursuant to this finding. For example, the EPA has adopted rules requiring the monitoring and reporting of GHG emissions from specified large GHG emission sources in the U.S., including coal-fired electric power plants and steel-making operations. The EPA has also promulgated the Tailoring Rule, which requires that all new or modified stationary sources of GHGs that will emit more

than 75,000 tons of carbon dioxide per year and are otherwise subject to CAA regulation, and any other facilities that will emit more than 100,000 tons of carbon dioxide per year, to undergo prevention of significant deterioration (“PSD”) permitting, which requires that the permitted entity adopt the best available control technology.

In June 2014, the U.S. Supreme Court addressed whether the EPA’s regulation of GHG emissions from new motor vehicles properly triggered GHG permitting requirements for stationary sources under the CAA as well as the validity of the Tailoring Rule under the CAA. The decision reversed, in part, and affirmed, in part, a 2012 D.C. Circuit decision that upheld the Tailoring Rule. Specifically, the Court held that the EPA exceeded its statutory authority when it interpreted the CAA to require PSD and Title V permitting for stationary sources based on their potential GHG emissions. However, the Court also held that the EPA’s determination that a source already subject to the PSD program due to its emission of conventional pollutants may be required to limit its GHG emissions by employing the “best available control technology” was permissible. As a result, the EPA is now requiring new sources already subject to the PSD program, including coal-fired power plants, to undergo control technology reviews for GHGs (predominately carbon dioxide) as a condition of permit issuance. These reviews may impose limits on GHG emissions, or otherwise be used to compel consideration of alternative fuels and generation systems, as well as increase litigation risk for—and so discourage development of—coal-fired power plants.

On August 3, 2015, the EPA released a final rule establishing New Source Performance Standards (“NSPS”) for emissions of carbon dioxide for new, modified and reconstructed fossil fuel-fired electric generating units (“Power Plant NSPS”). The final rule requires that newly constructed fossil fuel-fired steam generating units achieve an emission standard for carbon dioxide of 1,400 lb CO₂/MWh-gross. The standard is based on the performance of a supercritical pulverized coal boiler implementing partial carbon capture and storage (“CCS”). Modified and reconstructed fossil fuel fired steam generating units must implement the most efficient generation achievable through a combination of best operating practices and equipment upgrades, to meet an emission standard consistent with best historical performance.

Reconstructed units must implement the most efficient generating technology based on the size of the unit (supercritical steam conditions for larger units, to meet a standard of 1,800 lb CO₂/MWh-gross, and subcritical conditions for smaller units to meet a standard of 2,000 lb CO₂/MWh-gross). Numerous legal challenges to the final rule are currently pending. There is a risk that CCS technology may not be commercially practical in limiting emissions as otherwise required by the rule or similar rules that may be proposed in the future. If such legislative or regulatory programs are adopted or maintained, and economic, commercially available carbon capture technology for power plants is not developed or adopted in a timely manner, it would negatively affect our customers and would further reduce the demand for coal as a fuel source, causing coal prices and sales of our coal to decline, perhaps materially.

On March 28, 2017, President Trump signed the March 2017 Executive Order, which directed the EPA to review and, if appropriate, suspend, revise or rescind, (among other things) the Power Plant NSPS as necessary to ensure consistency with the goals of energy independence, economic growth and cost-effective environmental regulation. In response to the March 2017 Executive Order, in December 2018, EPA proposed to revise the Power Plant NSPS. Among other things, the EPA proposed an emission standard for newly constructed coal-fired units that would require the most efficient demonstrated steam cycle (i.e., supercritical steam conditions for large EGUs and best available subcritical steam conditions for small EGUs) in combination with the best operating practices, instead of CCS. The outcome of this rulemaking is uncertain and likely to be subject to extensive notice and comment and litigation.

In August 2015, the EPA issued the Clean Power Plan (“CPP”), a final rule that establishes carbon pollution standards for existing power plants, called CO₂ emission performance rates. The EPA expected each state to develop implementation plans for power plants in its state to meet the individual state targets established in the CPP. The CPP was immediately subject to legal challenges and was stayed before it was implemented. In addition, in response to the March 2017 Executive Order, which also directed EPA review the CPP for possible repeal and replacement, on July 8, 2019, the EPA, published the ACE Rule, a replacement of the CPP. In contrast to the CPP, which called for the shifting of electricity generation away from coal-fired sources toward natural gas and renewables, the ACE Rule focuses on reducing GHG emissions from existing coal-fired plants by requiring states to mandate the implementation of a range of technologies at power plants designed to improve their heat rate (i.e., decrease the amount of fuel necessary to generate the same amount of electricity). The ACE Rule is the subject of legal challenges, the outcome of which is uncertain. More stringent standards for carbon dioxide emissions as a result of these rulemakings could further reduce demand for coal, and our business would be adversely impacted.

The United States Congress has, from time to time, considered legislation to reduce GHG emissions, such as a resolution referred to as the Green New Deal, which was introduced in the U.S. House of Representatives in February 2019. To date, Congress has not passed a bill specifically addressing GHG regulation. In addition, various states and regions have adopted initiatives to reduce, and in some cases phase out, GHG emissions and certain governmental bodies, including the states of Virginia and California, have considered or are considering the imposition of fees or taxes based on the emission of GHGs by

certain facilities. A number of states have enacted legislative mandates requiring electricity suppliers to use renewable energy sources to generate a certain percentage of power. For example, on September 10, 2018, California adopted a law that requires all electricity consumed by the state to be generated from renewable sources such as solar, wind and hydropower by 2045.

In addition, certain banks and other financing sources have taken actions to limit available financing for the development of new coal-fueled power plants, which also may adversely affect the future global demand for coal. Further, there have been recent efforts by members of the general financial and investment communities, such as investment advisors, sovereign wealth funds, public pension funds, universities and other groups, to divest themselves and to promote the divestment of securities issued by companies involved in the fossil fuel extraction market, such as coal producers. Those entities also have been pressuring lenders to limit financing available to such companies. These efforts may adversely affect the market for our securities and our ability to access capital and financial markets in the future.

Furthermore, several well-funded non-governmental organizations have explicitly undertaken campaigns to minimize or eliminate the use of coal as a source of electricity generation. These efforts, as well as concerted conservation and efficiency efforts that result in reduced electricity consumption, could cause coal prices and sales of our coal to materially decline and possibly increase our operating costs.

These and other current or future global climate change laws, regulations, court orders or other legally enforceable mechanisms, or related public perceptions regarding climate change, are expected to require additional controls on coal-fired power plants and industrial boilers and may cause some users of coal to further switch from coal to alternative sources of fuel, thereby depressing demand and pricing for coal.

Clean Water Act

The CWA and corresponding state and local laws and regulations affect coal mining operations by restricting the discharge of pollutants, including dredged or fill materials, into waters of the United States. The CWA provisions and associated state and federal regulations are complex and subject to amendments, legal challenges and changes in implementation. Legislation that seeks to clarify the scope of CWA jurisdiction has also been considered by Congress. Recent court decisions, regulatory actions and proposed legislation have created uncertainty over CWA jurisdiction and permitting requirements.

CWA requirements that may directly or indirectly affect our operations include the following:

Wastewater Discharge

Prior to discharging any pollutants into waters of the United States, coal mining companies must obtain a National Pollutant Discharge Elimination System (“NPDES”) permit from the appropriate state or federal permitting authority. Section 402 of the CWA creates a process for establishing effluent limitations for discharges to streams that are protective of water quality standards through the NPDES program, and corresponding programs implemented by state regulatory agencies. Regular monitoring, reporting and compliance with performance standards are preconditions for the issuance and renewal of NPDES permits that govern discharges into waters of the United States. Failure to comply with the CWA or NPDES permits can lead to the imposition of significant penalties, litigation, compliance costs and delays in coal production. Furthermore, the imposition of future restrictions on the discharge of certain pollutants into waters of the United States could increase the difficulty of obtaining and complying with NPDES permits, which could impose additional time and cost burdens on our operations. For instance, waters that states have designated as impaired (i.e., as not meeting present water quality standards) are subject to Total Maximum Daily Load regulations, which may lead to the adoption of more stringent discharge standards for our coal mines and could require more costly treatment.

In addition, when water quality in a receiving stream is of high quality, states are required to conduct an anti-degradation review before approving discharge permits. Anti-degradation policies may increase the cost, time and difficulty associated with obtaining and complying with NPDES permits and may also require more costly treatment.

On March 5, 2014, the EPA, the U.S. Department of Justice (“DOJ”), West Virginia Department of Environmental Protection, the Pennsylvania Department of Environmental Protection and the Kentucky Energy and Environment Cabinet filed a Complaint against Alpha and its permit holding subsidiaries in Kentucky, Pennsylvania, Tennessee, Virginia and West Virginia alleging that Alpha’s mining affiliates in those states and in Tennessee and Virginia exceeded certain water discharge permit limits during the period of 2006 to 2013 and simultaneously entered into a Consent Decree with Alpha resolving their claims. The Consent Decree was entered by the Southern District of West Virginia on November 26, 2014 and amended on June 12, 2016 and again on February 28, 2018 (the “Alpha Consent Decree”). As part of the Alpha Consent Decree, Alpha agreed to implement an integrated environmental management system and an expanded auditing/reporting protocol, install

selenium and osmotic pressure treatment facilities at specific locations, and certain other measures. The Alpha Consent Decree required Alpha to pay \$27.5 million in civil penalties, to be divided among the federal government and state agencies. All required water treatment systems have been constructed, the environmental management system has been implemented, and the other terms and conditions of the Alpha Consent Decree have been substantially satisfied. We remain subject to the Alpha Consent Decree and pay stipulated penalties to the U.S. government and the state of West Virginia when water discharge permit limitations are exceeded. We have been and are currently in material compliance with our obligations under the Alpha Consent Decree. Discussions continue with the EPA and DOJ to terminate the Alpha Consent Decree based upon satisfactory compliance, with partial termination having been granted by EPA on February 25, 2020.

Dredge and Fill Permits

Many mining activities, including the development of settling ponds and the construction of certain sediment control structures, valley fills and surface impoundments, require permits from the U.S. Army Corps of Engineers (“COE”) under Section 404 of the CWA. Generally speaking, these Section 404 permits allow the placement of dredge and fill materials into navigable waters of the United States, including wetlands, streams, and other regulated areas. The COE has issued general “nationwide” permits for specific categories of activities that are similar in nature and that are determined to have minimal adverse effects on the environment. Permits issued pursuant to Nationwide Permits 5, 21, 49 and 50 generally authorize the disposal of dredged or fill material from surface coal mining activities into waters of the United States, subject to certain restrictions. Nationwide Permits are typically reissued for a five-year period and require appropriate mitigation, and permit holders must receive explicit authorization from the COE before proceeding with proposed mining activities. The COE reauthorized use of nationwide permits for surface and underground coal mines in January 2017. Expansion of our mining operations into new areas may trigger the need for individual COE approvals, which could be more costly and take more time to obtain.

In January 2020, the EPA and the U.S. Army Corps of Engineers (the “USACE”) issued a final rule that attempts to clarify the Clean Water Act’s (“CWA”) jurisdictional reach over waters of the United States, referred to as the Navigable Waters Protection Rule. The rule replaces a rule issued in June 2015 by the previous presidential administration, the Clean Water Rule. The Clean Water Rule was the subject of extensive legal challenges, injunctions and administrative action, and was formally repealed in December 2019. The Navigable Waters Protection Rule is designed to fulfill a February 2017 executive order calling on the EPA and the USACE to develop a rule consistent with Justice Antonin Scalia’s plurality opinion in the 2006 Supreme Court decision, *Rapanos v. United States*, that CWA jurisdiction attaches only to “navigable waters” and other waters with a relatively permanent flow, such as rivers or lakes. The Navigable Waters Protection Rule narrows the jurisdiction of the CWA relative to Clean Water Rule by, among other things, excluding from the scope of the definition of “waters of the United States” certain ephemeral streams and wetlands not adjacent to jurisdictional water bodies. The Navigable Water Protection Rule is likely to be the subject of legal challenges and its ultimate impact on our operations is uncertain.

Cooling Water Intake

In May 2014, the EPA issued a new final rule pursuant to Section 316(b) of the CWA that affects the cooling water intake structures at power plants in order to reduce fish impingement and entrainment. The rule is expected to affect over 500 power plants. These requirements could increase our customers’ costs and may adversely affect the demand for coal, which may materially impact our results or operations.

Effluent Guidelines

On November 3, 2015, the EPA published the final rule for Effluent Limitations Guidelines and Standards (“ELGS”), revising the regulations for the Steam Electric Power Generating category, which became effective on January 4, 2016. It establishes the first federal limits on the levels of arsenic, mercury, selenium and nitrate-nitrites in flue gas desulfurization that can be discharged as wastewater from power plants, based on technology improvements over the last three decades. On April 25, 2017, the EPA stayed the implementation of the rule indefinitely to allow for reconsideration. This stay is the subject of legal challenges. On November 22, 2019, the EPA published a proposed rule to modify the ELGS. The comment period ended on January 21, 2020.

Endangered Species Act

The ESA and counterpart state legislation protect species threatened with possible extinction. Protection of threatened and endangered species may have the effect of prohibiting or delaying us from obtaining mining permits and mine plan modifications and approvals, and may include restrictions on timber harvesting, road building and other mining activities in areas containing the affected species or their habitats. We may also need to obtain additional permits or approvals if the

incidental take of these species in the course of otherwise lawful activity may occur, which could take more time, be more costly and have adverse effects on operations. A number of species indigenous to properties we control or surrounding areas are protected under the ESA including the Guyandotte River Crayfish and the Big Sandy River Crayfish. On January 28, 2020 the U.S. Fish & Wildlife Service officially published the draft critical habitat designation for the Guyandotte River Crayfish and the Big Sandy River Crayfish in the Federal Register, starting the public comment period on the draft designations. Certain other sensitive species that are not currently protected by the ESA may also require protection and mitigation efforts consistent with federal and state requirements. ESA regulatory review is currently underway at the U.S. Fish and Wildlife Agency (“FWS”) and on July 25, 2018 the FWS issued proposed regulatory amendments that are considered to be favorable to our industry.

After the Stream Protection Rule and the accompanying 2016 Biological Opinion were repealed in February 2017, OSM issued a Section 7(d) determination that reinitiated consultation with the FWS to develop a new Biological Opinion. A new Biological Opinion could make compliance with the ESA more difficult and expensive.

Resource Conservation and Recovery Act

RCRA affects coal mining operations by establishing requirements for the treatment, storage, and disposal of hazardous wastes. The EPA determined that coal combustion residuals (“CCR”) do not warrant regulation as hazardous wastes under RCRA in May 2000. Most state hazardous waste laws do not regulate CCR as hazardous wastes. The EPA also concluded that beneficial uses of CCR, other than for mine filling, pose no significant risk and no additional national regulations of such beneficial uses are needed. However, the EPA determined that national non-hazardous waste regulations under RCRA are warranted for certain wastes generated from coal combustion, such as coal ash, when the wastes are disposed of in surface impoundments or landfills or used as minefill. In December 2014, the EPA finalized regulations that address the management of coal ash as a non-hazardous solid waste under Subtitle D. The rules impose engineering, structural and siting standards on surface impoundments and landfills that hold coal combustion wastes and mandate regular inspections. The rules also require fugitive dust controls and impose various monitoring, cleanup, and closure requirements. In July 2018, the EPA published a final rule extending certain deadlines under the original rules, granting certain authority to states with authorized CCR programs and establishing groundwater protection standards for certain constituents. EPA and OSM plan additional rulemaking relating to CCR.

There have also been several legislative proposals that would require the EPA to further regulate the storage of CCR. For example, in December 2016, Congress passed the Water Infrastructure Improvements for the Nation Act, which allows states to establish permit programs to regulate the disposal of CCR units in lieu of the EPA’s CCR regulations. These requirements, as well as any future changes in the management of CCR, could increase our customers’ operating costs and potentially reduce their ability or need to purchase coal. In addition, contamination caused by the past disposal of CCR, including coal ash, can lead to material liability for our customers under RCRA or other federal or state laws and potentially further reduce the demand for coal.

Comprehensive Environmental Response, Compensation and Liability Act

CERCLA and similar state laws affect coal mining operations by, among other things, imposing cleanup requirements for threatened or actual releases of hazardous substances into the environment. Under CERCLA and similar state laws, joint and several liability may be imposed on hazardous substance generators, site owners, transporters, lessees and others regardless of fault or the legality of the original disposal activity. Although the EPA currently excludes most wastes generated by coal mining and processing operations from the primary hazardous waste laws. The disposal, release or spillage of some products used by coal companies in operations, such as chemicals, could trigger the liability provisions of CERCLA or similar state laws. Thus, we may be subject to liability under CERCLA and similar state laws for our current or former owned, leased or operated coal mines and property or those of our predecessors. We may be liable under CERCLA or similar state laws for the cleanup of hazardous substance contamination and natural resource damages at sites where we control surface rights. These liabilities could be significant and materially and adversely affect our financial results and liquidity.

Use of Explosives. Our surface mining operations are subject to numerous regulations relating to blasting activities. Pursuant to these regulations, we incur costs to design and implement blast schedules and to conduct pre-blast surveys and blast monitoring. In addition, the storage of explosives is subject to regulatory requirements. For example, pursuant to a rule issued by the U.S. Department of Homeland Security (“DHS”) in 2007, facilities in possession of chemicals of interest (including ammonium nitrate at certain threshold levels) are required to complete a screening review. In 2011, the DHS published proposed regulations of ammonium nitrate under the Ammonium Nitrate Security Rule. Many of the requirements of the proposed regulations would be duplicative of those in place under the Bureau of Alcohol, Tobacco, Firearms and Explosives, including registration and background checks, and DHS has moved its 2011 rulemaking to a non-active status because the approach proposed was unlikely to deliver appreciable security benefits. Additional requirements may include tracking and

verifications for each transaction related to ammonium nitrate. The outcome of these rulemakings could materially adversely affect our cost or ability to conduct our mining operations.

Other Environmental Laws

We are required to comply with numerous other federal, state and local environmental laws and regulations in addition to those previously discussed. These additional laws include, for example, the Safe Drinking Water Act, the Toxic Substances Control Act and transportation laws adopted to ensure the appropriate transportation of our coal both nationally and internationally. Laws, regulations, and treaties of other countries may also adversely impact our export sales by reducing demand for our coal as a source of power generation in those countries.

Federal and State Nuclear Material Regulations

Many of our operations use equipment with radioactive sources primarily for coal density measurement. Use of this equipment must be approved by the U. S. Nuclear Regulatory Authority or the state agency that has been delegated this authority.

Mine Safety and Health

Stringent health and safety standards have been in effect since Congress enacted the Coal Mine Health and Safety Act of 1969. The Federal Mine Safety and Health Act of 1977 (“Mine Act”) significantly expanded the enforcement of safety and health standards and imposed safety and health standards on all aspects of mining operations. All of the states in which we operate also have state programs for mine safety and health regulation and enforcement. Collectively, federal and state safety and health regulation in the coal mining industry is among the most comprehensive and pervasive systems for protection of employee health and safety affecting any segment of U.S. industry. The Mine Act is a strict liability statute that requires mandatory inspections of surface and underground coal mines and preparation plants and requires the issuance of enforcement action when it is believed that a standard has been violated. While this regulation has a significant effect on our operating costs, our U.S. competitors are subject to the same degree of regulation.

In 2006, in response to underground mine accidents, Congress enacted the Mine Improvement and New Emergency Response Act (the “MINER Act”). The MINER Act significantly amended the Mine Act, requiring, among other items, improvements in mine safety practices, increasing criminal penalties and establishing a maximum civil penalty for non-compliance, and expanding the scope of federal oversight, inspection and enforcement activities. Since passage of the MINER Act enforcement scrutiny has increased, including more inspection hours at mine sites, increased numbers of inspections and increased issuance of the number and severity of enforcement actions and related penalties. Various states also have enacted their own new laws and regulations addressing many of these same subjects. The U.S. Mine Safety and Health Administration (“MSHA”) continues to interpret and implement various provisions of the MINER Act, along with introducing new proposed regulations and standards. For example, the second phase of MSHA’s respirable coal mine dust rule went into effect in February 2016 and requires increased sampling frequency and the use of continuous personal dust monitors. In August 2016, the third and final phase of the rule became effective, reducing the overall respirable dust standard in coal mines from 2.0 to 1.5 milligrams per cubic meter of air. Our compliance with these or any other new mine health and safety regulations could increase our mining costs. If we were found to be in violation of these regulations we could face penalties or restrictions that may materially and adversely affect our operations, financial results and liquidity. Under the Black Lung Benefits Revenue Act of 1977 and the Black Lung Benefits Reform Act of 1977, as amended in 1981, each coal mine operator must secure payment of federal black lung benefits to claimants who are current and former employees and to a trust fund for the payment of benefits and medical expenses to claimants who last worked in the coal industry prior to July 1, 1973. Effective January 1, 2019, the trust fund was funded by an excise tax on production of up to \$0.50 per ton for deep-mined coal and up to \$0.25 per ton for surface-mined coal, neither amount to exceed 2% of the gross sales price. Effective January 1, 2020, the trust fund is funded by an excise tax on coal sold of up to \$1.10 per ton for deep-mined coal and up to \$0.55 per ton for surface-mined coal, neither amount to exceed 4.4% of the gross sales price. Absent further legislation, beginning in 2021, the trust fund will be funded by an excise tax on coal sold of up to \$0.50 per ton for deep-mined coal and up to \$0.25 per ton for surface-mined coal, neither amount to exceed 2% of the gross sales price. The excise tax does not apply to coal shipped outside the United States. For the years ended December 31, 2019 and 2018, we recorded \$5.8 million and \$6.4 million, respectively, of expense related to this excise tax.

The Patient Protection and Affordable Care Act (“PPACA”) introduced significant changes to the federal black lung program, including an automatic survivor benefit paid upon the death of a miner with an awarded black lung claim, and established a rebuttable presumption with regard to pneumoconiosis among miners with 15 or more years of coal mine employment that are totally disabled by a respiratory condition. These changes could have a material impact on our costs

expended in association with the federal black lung program. For former mining employees meeting statutory eligibility standards for federal black lung benefits, we maintain a trust fund and insurance coverage to cover the cost of present and future claims. We may also be liable under state laws for black lung claims that are covered through the trust and insurance policies. The liability associated with present and future claims for black lung benefits is difficult to estimate, and the trust and insurance policies may be insufficient to cover all such liability.

Coal Industry Retiree Health Benefit Act of 1992

Unlike many companies in the coal business, we do not have any liability under the Coal Industry Retiree Health Benefit Act of 1992 (the “Coal Act”), which requires the payment of substantial sums to provide lifetime health benefits to union-represented miners (and their dependents) who retired before 1992, because liabilities under the Coal Act that had been imposed on Alpha were settled in the bankruptcy process.

GLOSSARY

Acquisition. Refers to the transaction by which Contura acquired certain of Alpha's core coal operations as part of the Alpha Restructuring.

Alpha. Alpha Natural Resources, Inc.

Alpha's Plan of Reorganization. Alpha's plan of reorganization approved on July 7, 2016 and effective as of July 26, 2016.

Alpha Restructuring. On August 3, 2015, Alpha Natural Resources, Inc. ("Predecessor Alpha") and each of its wholly owned domestic subsidiaries other than ANR Second Receivables Funding LLC (collectively, the "Alpha Debtors") filed voluntary petitions for relief under Chapter 11 of the U.S. Bankruptcy Code in the United States Bankruptcy Court for the Eastern District of Virginia (the "Bankruptcy Court"). The Bankruptcy Court approved the Alpha Debtors' Plan of Reorganization on July 7, 2016. On July 26, 2016, a consortium of former creditors of the Alpha Debtors acquired Contura common stock in exchange for a partial release of their creditor claims pursuant to the Alpha Debtors' bankruptcy settlement. The Alpha Debtors, collectively, were a coal producer with operations in Central Appalachia, Northern Appalachia, and the PRB.

Ash. Impurities consisting of iron, alumina and other incombustible matter that are contained in coal. Since ash increases the weight of coal, it adds to the cost of handling and can affect the burning characteristics of coal.

Assigned reserves. Coal that is planned to be mined at an operation that is currently operating, currently idled, or for which permits have been submitted and plans are eventually to develop the operation.

Back-to-Back Coal Supply Agreements. In connection with the 2017 Blackjewel Sale, Blackjewel and the Company entered into agreements (the "Original Back-to-Back Coal Supply Agreements") under which Blackjewel agreed to supply, deliver and sell to us, and we agreed to accept, purchase and pay for, all coal that we are obligated to supply, deliver and sell under the Company's PRB coal supply agreements existing as of the 2017 Blackjewel Sale closing date that did not transfer to Blackjewel on that date. The Original Back-to-Back Coal Supply Agreements were not assumed in connection with the ESM Transaction (refer to Note 4). Instead, the Company entered into new back-to-back coal supply agreements with Bluegrass Commodities LP, the sales and marketing agent for ESM, whereby the Company agreed to purchase and pay for, all coal that the Company is obligated to supply, deliver and sell under the Company's PRB coal supply agreements that were still in effect as of the closing date of the ESM Transaction.

British Thermal Unit or BTU. A measure of the thermal energy required to raise the temperature of one pound of pure liquid water one degree Fahrenheit at the temperature at which water has its greatest density (39 degrees Fahrenheit).

Central Appalachia or CAPP. Coal producing area in eastern Kentucky, Virginia, southern West Virginia and a portion of eastern Tennessee.

Coal seam. Coal deposits occur in layers. Each layer is called a "seam."

Coke. A hard, dry carbon substance produced by heating coal to a very high temperature in the absence of air. Coke is used in the manufacture of iron and steel. Its production results in a number of useful byproducts.

Contura or Company. Contura Energy, Inc.

ESG. Environmental, social and governance sustainability criteria.

Longwall mining. The most productive underground mining method in the United States. A rotating drum is advanced mechanically across the face of coal, and a hydraulic system supports the roof of the mine while the drum advances through the coal. Chain conveyors then move the loosened coal to a standard underground mine conveyor system for delivery to the surface.

Metallurgical coal. The various grades of coal suitable for carbonization to make coke for steel manufacture. Also known as "met" coal, its quality depends on four important criteria: volatility, which affects coke yield; the level of impurities, including sulfur and ash, which affect coke quality; composition, which affects coke strength; and basic characteristics, which affect coke oven safety. Met coal typically has a particularly high BTU but low ash and sulfur content.

Northern Appalachia or NAPP. Coal producing area in Maryland, Ohio, Pennsylvania and northern West Virginia.

Operating Margin. Coal revenues less cost of coal sales.

Powder River Basin or PRB. Coal producing area in northeastern Wyoming and southeastern Montana.

Preparation plant. A preparation plant is a facility for crushing, sizing and washing coal to remove impurities and prepare it for use by a particular customer. The washing process has the added benefit of removing some of the coal's sulfur content. A preparation plant is usually located on a mine site, although one plant may serve several mines.

Probable reserves. Reserves for which quantity and grade and/or quality are computed from information similar to that used for proven reserves, but the sites for inspection, sampling and measurement are farther apart or are otherwise less adequately spaced. The degree of assurance, although lower than that for proven reserves, is high enough to assume continuity between points of observation.

Productivity. As used in this report, refers to clean metric tons of coal produced per underground man hour worked, as published by the MSHA.

Proven reserves. Reserves for which quantity is computed from dimensions revealed in outcrops, trenches, workings or drill holes; grade and/or quality are computed from the results of detailed sampling; and the sites for inspection, sampling and measurement are spaced so closely and the geologic character is so well defined that size, shape, depth and mineral content of reserves are well-established.

Reclamation. The process of restoring land and the environment to their original state following mining activities. The process commonly includes "recontouring" or reshaping the land to its approximate original appearance, restoring topsoil and planting native grass and ground covers. Reclamation operations are usually under way before the mining of a particular site is completed. Reclamation is closely regulated by both state and federal law.

Recoverable reserves. Metric tons of mineable coal that can be extracted and marketed after deduction for coal to be left behind within the seam (i.e., pillars left to hold up the ceiling, coal not economical to recover within the mine) and adjusted for reasonable preparation and handling losses.

Reserve. That part of a mineral deposit that could be economically and legally extracted or produced at the time of the reserve determination.

Roof. The stratum of rock or other mineral above a coal seam; the overhead surface of a coal working place.

Sulfur. One of the elements present in varying quantities in coal that contributes to environmental degradation when coal is burned. Sulfur dioxide is produced as a gaseous by-product of coal combustion.

Surface mine. A mine in which the coal lies near the surface and can be extracted by removing the covering layer of soil.

Thermal coal. Coal used by power plants and industrial steam boilers to produce electricity, steam or both. It generally is lower in BTU heat content and higher in volatile matter than metallurgical coal.

Tons. A "short" or net ton is equal to 2,000 pounds. A "long" or British ton is equal to 2,240 pounds; a "metric" ton (or "*tonne*") is approximately 2,205 pounds. Tonnage amounts in this prospectus are stated in short tons, unless otherwise indicated.

Unassigned reserves. Coal that is likely to be mined in the future, but which is not considered assigned reserves.

Underground mine. Also known as a "deep" mine. Usually located several hundred feet below the earth's surface, an underground mine's coal is removed mechanically and transferred by shuttle car and conveyor to the surface.

Item 1A. Risk Factors

Investment in our common stock is subject to various risks, including risks and uncertainties inherent in our business. The following sets forth factors related to our business, operations, financial position, or future financial performance or cash flows, which could cause an investment in our securities to decline and result in a loss. Additional risks and uncertainties not currently known to us or that we currently deem to be immaterial also may materially adversely affect our business, financial condition and/or operating results.

Risks Relating to Our Industry and the Global Economy

Sustained low coal prices, or further declines in coal prices, would adversely affect revenues, operating results, cash flows, financial condition, stock price and the value of our coal reserves.

Our results of operations are substantially dependent upon the prices we receive for our coal. Those prices depend upon factors beyond our control (some of which are described in more detail in other risk factors below), including:

- the demand for domestic and foreign coal and coke, which depends significantly on the demand for electricity and steel;
- the price and availability of natural gas, other alternative fuels and alternative steel production technologies;
- domestic and foreign economic conditions, including economic downturns and the strength of the global and U.S. economies;
- the consumption pattern of industrial customers, electricity generators and residential users;
- the legal, regulatory and tax environment for our industry and those of our customers;
- adverse weather, climactic or other natural conditions, natural disasters and pandemics (such as the COVID-19 virus);
- the quantity, quality and pricing of coal available in the resale market;
- the effects of worldwide energy conservation or emissions measures;
- competition from other suppliers of coal and other energy sources; and
- the proximity to and availability, reliability and cost of transportation and port facilities.

Continued low coal prices, or further declines in coal prices, in the U.S. and other countries may materially adversely affect our operating results and cash flows, as well as the value of our coal reserves and may cause the number of risks that we face to increase in likelihood, magnitude and duration.

Sustained low demand for metallurgical coal (or “met coal”), or further declines in demand, by U.S. and foreign steel producers, including negative effects resulting from the imposition of tariffs, could reduce the price of our met coal, which would reduce our revenues.

Contura produces met coal that is sold directly to both U.S. and foreign steel industry customers and indirectly to foreign steel industry customers through U.S.-based companies. Met coal accounted for approximately 76.6% of our coal revenues for the year ended December 31, 2019. Any deterioration in conditions in the U.S. or foreign steel industries, including the demand for steel and the continued financial viability of the industry, could reduce the demand for our met coal and could impact the collectability of our accounts receivable from U.S. or foreign steel industry customers.

The demand for foreign-produced steel both in foreign markets and in the U.S. market also depends on factors such as tariff rates on steel. On March 8, 2018, President Trump signed proclamations imposing a 25% tariff on imports of steel mill products and a 10% tariff on imports of wrought and unwrought aluminum. Contura’s export customers include foreign steel producers who may be affected by the tariffs to the extent their production is imported into the U.S. Conversely, demand for met coal from our domestic customers may increase. Retaliatory tariffs by foreign nations have already limited international trade and may adversely impact global economic conditions.

In addition, the steel industry’s demand for met coal is affected by a number of factors, including the variable nature of that industry’s business, technological developments in the steel-making process and the availability of substitutes for steel, such as aluminum, composites and plastics. The U.S. steel industry increasingly relies on processes to make steel that do not use coke, such as electric arc furnaces or pulverized coal processes. If this trend continues, the amount of met coal that we sell and the prices that we receive for it could decrease, thereby reducing our revenues and adversely impacting our earnings and the value of our coal reserves. Lower demand for met coal in international markets could reduce the amount of met coal that we sell and the prices that we receive for it, thereby reducing our revenues and adversely impacting our earnings and the value of our coal reserves. Foreign government policies related to coal production and consumption could negatively impact pricing and demand for our products.

Continuing low demand for thermal coal, or further declines in demand, by North American electric power generators could reduce the price of our thermal coal, which would reduce our revenues.

Thermal coal accounted for approximately 23.4% of our coal revenues for the year ended December 31, 2019. The majority of our sales of thermal coal were to U.S. electric power generators. The North American demand for thermal coal is affected primarily by:

- the overall demand for electricity, which is in turn influenced by the global economy and the weather, among other factors (for example, mild North American winters typically result in lower demand);
- the availability, quality and price of competing fuels, such as natural gas, nuclear fuel, oil and alternative energy sources such as wind, solar, and hydroelectric power, which may change over time as a result of, among other things, technological developments and state or federal regulatory or statutory fuel subsidies or energy use mandates;
- increasingly stringent environmental and other governmental regulations, including air emission standards for coal-fired power plants; and
- the coal inventories of utilities.

Many North American electric power generators have shifted from coal to natural gas-fired power plants. Despite ongoing advancements in the availability and deployment of advanced coal and emissions reduction technologies, we expect that new power plants in the near-term will be fired by natural gas because natural gas-fired plants are less expensive to construct than coal-fired plants and natural gas is a cleaner-burning fuel, with plentiful supplies and low cost at the current time. Increasingly stringent regulations have also reduced the number of new power plants being built, particularly coal-fired power plants. A reduction in the amount of coal consumed by North American electric power generators would reduce the amount of thermal coal that we sell and the price that we receive for it, thereby reducing our revenues and adversely impacting our earnings and the value of our coal reserves. In addition, uncertainty caused by federal and state regulations could cause thermal coal customers to be uncertain of their coal requirements in future years, which could adversely affect our ability to sell coal to such customers under multi-year sales contracts.

Our ability to obtain financing and other services, and the form and degree of these services available to us, may be significantly limited by the lending, investment and similar policies of financial institutions and insurance companies regarding carbon energy producers and the environmental impacts of coal combustion.

Certain financial institutions, including banks and insurance companies, have adopted policies that prevent or limit these institutions from providing financing, insurance and other services to entities that produce, generate power from or use fossil fuels. These policies, and others that may be adopted in the future, may limit our ability to obtain financing, insurance and other services and may have similar effects upon our customers, which may in turn reduce future global demand for coal. Further, some investors and investment advisors support divestiture of securities issued by companies, such as us, involved in the fossil fuel extraction market. These developments may negatively affect the market for our securities, our access to capital and financial markets and our ability to obtain insurance in the future, which may in turn have significant negative effects upon our business, financial condition and results of operations.

Competition within the coal industry may adversely affect our ability to sell coal, and excess production capacity in the industry could put downward pressure on coal prices.

We compete with numerous other coal producers in various regions of the U.S. for domestic and international sales. We also compete in international markets against coal producers in other countries. International demand for U.S. coal exports also affects coal demand in the U.S. This competition affects domestic and foreign coal prices and our ability to retain or attract coal customers. Increased competition from the Illinois basin, the threat of increased production from competing mines, and natural gas price declines with large basis differentials have all historically contributed to soft market conditions.

In the past, high demand for coal and attractive pricing brought new investors to the coal industry, leading to the development of new mines and added production capacity. Subsequent overcapacity in the industry contributed, and may in the future contribute, to lower coal prices.

Potential changes to international trade agreements, trade concessions, foreign currency fluctuations or other political and economic arrangements may benefit coal producers operating in countries other than the United States. Additionally, North American steel producers face competition from foreign steel producers, which could adversely impact the financial condition and business of our customers. We cannot provide assurance that we will be able to compete on the basis of price or other factors with companies that in the future may benefit from favorable foreign trade policies or other arrangements. Coal is sold

internationally in U.S. dollars and, as a result, general economic conditions in foreign markets and changes in foreign currency exchange rates may provide our foreign competitors with a competitive advantage. If our competitors' currencies decline against the U.S. dollar or against our foreign customers' local currencies, those competitors may be able to offer lower prices for coal to customers. Furthermore, if the currencies of our overseas customers were to significantly decline in value in comparison to the U.S. dollar, those customers may seek decreased prices for the coal we sell to them. Consequently, currency fluctuations could adversely affect the competitiveness of our coal in international markets, which could have a material adverse effect on our business, financial condition, results of operations and cash flows. See "Business-Competition." Similarly, currency fluctuations could adversely affect demand for U.S. steel.

Lower demand for U.S. coal exports would reduce our foreign sales, could negatively impact our revenues and could result in downward pressure on domestic coal prices.

Coal export revenues accounted for approximately 54.7% of our coal revenues for the year ended December 31, 2019. In addition to the factors described above, demand for and viability of U.S. coal exports is dependent upon a number of factors outside of our control, including ocean freight rates and port and shipping capacity.

In addition, trade conflicts between the United States and other nations that result in the imposition of barriers to trade, such as import tariffs, could materially and adversely affect the international demand and pricing for our coal. The current presidential administration has taken actions, including imposing tariffs on certain goods imported into the U.S., that have resulted in other nations adopting retaliatory measures such as the imposition of tariffs upon goods imported from the U.S. into those nations. China and Turkey, for example, have imposed tariffs upon the importing of coal from the U.S. The imposition of these trade barriers by other nations has already resulted in adverse effects upon our international sales of coal, including reduced demand and prices. If these barriers endure, or are enhanced, our coal exports may further decline, and increased domestic supply could cause competition among coal producers in the U.S. to intensify, potentially resulting in additional downward pressure on domestic coal prices and our business, financial condition or results of operations.

Competition with natural gas and renewable energy sources, and factors affecting these industries could have an adverse impact on coal demand.

Our coal competes with natural gas and renewable energy sources, and the price of these sources can therefore affect coal sales. The natural gas market has been volatile historically and prices in this market are subject to wide fluctuations in response to relatively minor changes in supply and demand. Changes in supply and demand could be prompted by any number of factors, such as worldwide and regional economic and political conditions; the level of global exploration, production and inventories; natural gas prices; and transportation availability. If natural gas prices decline significantly, it could lead to reduced coal sales and have a material adverse effect on our financial condition, results of operations and cash flows.

In addition, state and federal mandates for increased use of electricity from renewable energy sources also have an impact on the market for our coal. Several states have enacted legislative mandates requiring electricity suppliers to use renewable energy sources to generate a certain percentage of power. There have been numerous proposals to establish a similar uniform, national standard although none of these proposals have been enacted to date. Possible advances in technologies and incentives, such as tax credits, to enhance the economics of renewable energy sources could make these sources more competitive with coal. Any reduction in the amount of coal consumed by electric power generators could reduce the price of coal that we mine and sell, thereby reducing our revenues and materially and adversely affecting our business and results of operations.

Future Chinese governmental policies may continue to be detrimental to the global coal market and negatively affect our business, financial condition or results of operations.

The Chinese government has from time to time implemented regulations and promulgated new laws or restrictions on its domestic coal industry, sometimes with little advance notice, which may impact worldwide coal demand, supply and prices. During the past several years, the Chinese government has initiated a number of anti-smog measures aimed at reducing hazardous air emissions through temporary production capacity restrictions within the steel, coal and coal-fired power sectors. It is possible that policy changes by the Chinese government may be detrimental to the global coal market and, thus, negatively affect our business, financial condition or results of operations.

In addition, similar actions by government entities in countries that produce and/or consume large quantities of coal and other energy related commodities, such as India, may have a material impact on the prices at which we sell our product.

The concurrent loss of, or significant reduction in, purchases by several of our largest customers could materially and adversely affect our revenues and profitability.

Our largest customer during the year ended December 31, 2019 accounted for approximately 11.6% of our coal revenues, and coal sales to our 10 largest customers accounted for approximately 55.7% of our coal revenues. These customers could decide to discontinue purchasing coal from us in the volumes that they have previously purchased or decide to not purchase at all. If several of these customers were concurrently to reduce their purchases of coal significantly, or if we were unable to sell coal to them on terms as favorable to us as previous sales, we could face a significant reduction in sales while we attempt to sell the coal to other customers in the global marketplace. If this concurrent loss or significant reduction were to happen, our revenues and profitability could be materially and adversely affected.

We may not be able to extend our existing long-term supply contracts or enter into new ones, and our existing supply contracts may contain certain provisions that may reduce protection from short-term coal price volatility, which could adversely affect the profitability of our operations.

A substantial portion of our thermal coal is sold under long-term contracts. When our current contracts with customers expire or are otherwise renegotiated, our customers may decide to purchase fewer tons of coal than in the past or on terms, including pricing terms, that are not as favorable to us as the terms under our current agreements.

Further, in large part as a result of increasing and frequently changing regulation, and natural gas pricing, electric power generators are increasingly less willing to enter into long-term coal supply contracts, instead purchasing higher percentages of coal under short-term supply contracts. This industry shift away from long-term supply contracts could adversely affect us and the level of our revenues. For example, our having fewer customers with a contractual obligation to purchase coal from us increases the risk that we will not have a consistent market for our production and may require us to sell more coal in the spot market, where prices may be lower than we would expect a customer to pay for a contractually committed supply. Spot market prices also tend to be more volatile than contractual prices, which could result in decreased revenues. Our met coal supply contracts are typically priced on an annual, quarterly or spot basis, and therefore our met coal sales are particularly sensitive to repricing risk.

Generally, our long-term thermal coal agreements contain committed volumes and fixed prices for a certain number of periods during which thermal coal will be delivered. However, some of our long-term thermal coal agreements do not provide for a fixed price through the life of the agreement. Those agreements contain price negotiation and similar provisions for upcoming unpriced contract periods, with negotiations generally considering either then current market prices and/or relevant market indices. Failure of the parties to agree on a price can lead to termination of the contract or litigation, the outcome of which would be uncertain. Further, during periods of economic weakness, some of our customers experience lower demand for their products and services and may be unwilling to take all of their contracted tonnage or may request a lower price. Customers may make similar requests when market prices drop significantly. Any adjustment or negotiation leading to a significantly lower contract price could result in decreased revenues. Accordingly, supply contracts with terms of one year or more may provide only limited protection during adverse or volatile market conditions.

Our ability to collect payments from our customers could be impaired if their creditworthiness and financial health deteriorate.

Our ability to receive payment for coal sold and delivered depends on the continued creditworthiness and financial health of our customers. Competition with other coal suppliers could force us to extend credit to customers and on terms that could increase the risk we bear on payment default. In recent years, downturns in the economy and disruptions in the global financial markets have, from time to time, affected the creditworthiness of our customers and limited their liquidity and credit availability. In addition, our customer base may change with deregulation as utilities sell or transfer their power plants to their non-regulated affiliates or third parties that may be less creditworthy, thereby increasing the risk we bear for customer payment default. These new power plant owners or operators may have credit ratings that are below investment grade or may become below investment grade after we enter into contracts with them.

Customers in other countries may be subject to other pressures and uncertainties that may affect their ability to pay, including trade barriers, exchange controls and local economic and political conditions. For the year ended December 31, 2019 we derived 54.7% of our coal revenues from coal sales made to customers outside the U.S.

Downturns and disruptions in the global economy and financial markets have had, and could in the future have, a material adverse effect on the demand for and price of coal, which could have a material negative effect on our sales, costs, margins and profitability and ability to obtain financing.

Downturns and disruptions in the global economy and financial markets have from time to time resulted in, among other things, extreme volatility in securities prices, severely diminished liquidity and credit availability, rating downgrades of certain investments and declining valuations of others, including real estate. Significant economic disruptions can result from numerous unpredictable factors, including but not limited to market forces, natural disasters, pandemics (such as the COVID-19 virus), trade disputes and armed conflicts. Future disruptions of this sort, and in particular the tightening of credit in financial markets or any other disruption that negatively affects global economic growth, could adversely affect our customers' ability to obtain financing for operations and result in a decrease in demand, lower coal prices, the cancellation of some orders for our coal and the restructuring of agreements with some of our customers. Changes in the value of the U.S. dollar relative to other currencies, particularly where imported products are required for the mining process, could result in materially increased operating expenses. Any prolonged global, national or regional economic recession or other similar events could have a material adverse effect on the demand for and price of coal, on our sales, margins and profitability, and on our own ability to obtain financing. We are unable to predict the timing, duration and severity of any potential future disruptions in financial markets and potential future adverse economic conditions in the U.S. and other countries and the impact these events may have on our operations and the industry in general.

Risks Relating to Regulatory and Legal Developments

The extensive regulation of the mining industry imposes significant costs on us, and future regulations or violations could increase those costs or limit our ability to produce coal.

Our operations are subject to a wide variety of federal, state and local environmental, health and safety, transportation, labor and other laws and regulations relating to matters such as:

- blasting;
- controls on emissions and discharges;
- the effects of operations on surface water and groundwater quality and availability;
- the storage, treatment and disposal of wastes;
- the remediation of contaminated soil, surface water and groundwater;
- surface subsidence from underground mining;
- the classification of plant and animal species near our mines as endangered or threatened species;
- the reclamation of mined sites; and
- employee health and safety, and benefits for current and former employees (described in more detail below).

These laws and regulations are becoming increasingly stringent. For example:

- federal and state agencies and citizen groups have increasingly focused on the amount of selenium and other constituents in mine-related water discharges;
- MSHA and the states of Pennsylvania, Virginia and West Virginia have implemented and proposed changes to mine safety and health requirements to impose more stringent health and safety controls, enhance mine inspection and enforcement practices, increase sanctions, and expand monitoring and reporting; and
- GHG emissions reductions are being considered that could increase our costs, require additional controls, or compel us to limit our current operations.

In addition, these laws and regulations require us to obtain numerous governmental permits and comply with the requirements of those permits (described in more detail below).

We incur substantial costs to comply with the laws, regulations and permits that apply to our mining and other operations, and to address the outcome of inspections. The required compliance and actions to address inspection outcomes are often time-consuming and may delay commencement or continuation of exploration or production. In addition, due in part to the extensive and comprehensive regulatory requirements, violations of laws, regulations and permits occur at our operations from time to time and may result in significant costs to us to correct the violations, as well as substantial civil or criminal penalties and limitations or shutdowns of our operations. We are also required to comply with the November 2014 Consent Decree with EPA and several government agencies. See "Environmental and Other Regulatory Matters—Clean Water Act—Wastewater Discharge."

MSHA and state regulators may also order the temporary or permanent closing of a mine in the event of certain violations of safety rules, accidents or imminent dangers. In addition, regulators may order changes to mine plans or operations due to their interpretation or application of existing or new laws or regulations. Any required changes to mine plans or operations may result in temporary idling of production or addition of costs.

These factors have had and will continue to have a significant effect on our costs of production and competitive position, and as a result on our results of operations, cash flows and financial condition. New laws and regulations, as well as future interpretations or different enforcement of existing laws and regulations, may have a similar or more significant impact on us, including delays, interruptions or a termination of operations.

Climate change or carbon dioxide emissions reduction initiatives could significantly reduce the demand for coal and reduce the value of our coal assets.

Global climate issues continue to attract considerable public and scientific attention. Numerous reports, such as the Fourth and Fifth Assessment Report of the Intergovernmental Panel on Climate Change, have also engendered concern about the impacts of human activity, and in particular the emissions of GHG, such as carbon dioxide and methane, on global climate issues. Combustion of fossil fuels like coal results in the creation of carbon dioxide, which is emitted into the atmosphere by coal end users such as coal-fired electric power generators, coke plants and steelmaking plants, and, to a lesser extent, by the combustion of fossil fuels by the mining equipment we use. In addition, coal mining can release methane from the mine, directly into the atmosphere. Concerns associated with global climate change, and GHG emissions reduction initiatives designed to address them, have resulted, and are expected to continue to result, in decreased coal-fired power plant capacity and utilization, phasing out and closing many existing coal-fired power plants, reducing or eliminating construction of new coal-fired power plants in the United States and certain other countries, increased costs to mine coal, and decreased demand and prices for coal.

Emissions from coal consumption and production are subject to pending and proposed regulations as part of regulatory initiatives to address global climate change and global warming. Various international, federal, regional, foreign and state proposals are currently in place or being considered to limit emissions of GHGs, including possible future U.S. treaty commitments, new federal or state legislation, and regulation under existing environmental laws by the EPA and other regulatory agencies and litigation by private parties. These include:

- the 2015 Paris climate summit agreement, which resulted in voluntary commitments by 197 countries (although on June 1, 2017, the Trump administration announced that the U.S. will withdraw from the agreement) to reduce their GHG emissions and could result in additional firm commitments by various nations and states with respect to future GHG emissions;
- the ACE Rule, which requires reductions in GHG emissions from existing fossil fuel-fired power plants, and new source performance standards for GHG emissions for new, modified or reconstructed fossil fuel-fired power plants, or any regulation that replaces them;
- state and regional climate change initiatives implementing renewable portfolio standards or cap-and-trade schemes;
- challenges to or denials of permits for new coal-fired power plants or retrofits to existing plants by state regulators and environmental organizations due to concerns related to GHG emissions from the new or existing plants; and
- private litigation against coal companies or power plant operators based on GHG-related concerns.

On March 28, 2017, President Trump signed the Executive Order for Promoting Energy Independence and Economic Growth (“March 2017 Executive Order”), which directed the EPA to review and, if appropriate, suspend, revise or rescind, both the CPP and the Power Plant NSPS as necessary to ensure consistency with the goals of energy independence, economic growth and cost-effective environmental regulation. In response to the March 2017 Executive Order, in December 2018, EPA proposed to revise the Power Plant NSPS. Among other things, the EPA proposed an emission standard for newly constructed coal-fired units that would require the most efficient demonstrated steam cycle (i.e., supercritical steam conditions for large EGUs and best available subcritical steam conditions for small EGUs) in combination with the best operating practices, instead of CCS. The outcome of these rulemakings is uncertain and likely to be subject to extensive notice and comment and litigation.

In addition, on July 8, 2019, the EPA published the ACE Rule, a replacement of the CPP. In contrast to the CPP, which called for the shifting of electricity generation away from coal-fired sources towards natural gas and renewables, the ACE Rule focuses on reducing GHG emissions from existing coal-fired plants by requiring states to mandate the implementation of a range of technologies at power plants designed to improve their heat rate (i.e., decrease the amount of fuel necessary to generate the same amount of electricity). The ACE Rule is the subject of legal challenges, the outcome of which is uncertain. More stringent standards for carbon dioxide pollution as a result of these rulemakings could further reduce demand for coal,

and our business would be adversely impacted. In addition, certain banks and other financing sources have taken actions to limit available financing for the development of new coal-fueled power plants, which also may adversely impact the future global demand for coal.

Furthermore, several well-funded non-governmental organizations have explicitly undertaken campaigns to minimize or eliminate the use of coal as a source of electricity generation. These efforts, as well as concerted conservation and efficiency efforts that result in reduced electricity consumption, and consumer and corporate preferences for non-coal fuel sources, could cause coal prices and sales of our coal to materially decline and could cause our costs to increase.

Any future laws, regulations or other policies or initiatives of the nature described above may adversely impact our business in material ways. The degree to which any particular law, regulation or policy impacts us will depend on several factors, including the substantive terms involved, the relevant time periods for enactment and any related transition periods. Considerable uncertainty is associated with these regulatory initiatives and legal developments, as the content of proposed legislation and regulation is not yet fully determined, many of the new regulatory initiatives remain subject to governmental and judicial review, and, with respect to federal initiatives, the current U.S. presidential administration and/or Congress (including congressional proposals such as the Green New Deal) may further impact their development. We routinely attempt to evaluate the potential impact on us of any proposed laws, regulations or policies, which requires that we make several material assumptions. From time to time, we determine that the impact of one or more such laws, regulations or policies, if adopted and ultimately implemented as proposed, may result in materially adverse impacts on our operations, financial condition or cash flow; however, we often are not able to reasonably quantify such impacts.

In general, any laws, regulations or other policies aimed at reducing GHG emissions have imposed and are likely to continue to impose significant costs on many coal-fired power plants, steel-making plants and industrial boilers, which may make them unprofitable. Accordingly, some existing power generators have switched to other fuels that generate fewer emissions and others are likely to switch, some power plants have closed and others are likely to close, and fewer new coal-fired plants are being constructed, all of which reduce demand for coal and the amount of coal that we sell and the prices that we receive for it, thereby reducing our revenues and adversely impacting our earnings and the value of our coal reserves.

Other extensive environmental laws, including existing and potential future legislation, treaties and regulatory requirements relating to air emissions, waste management and water discharges, affect our customers and could further reduce the demand for coal as a fuel source and cause prices and sales of our coal to materially decline.

Our customers' operations are subject to extensive laws and regulations relating to environmental matters, including air emissions, wastewater discharges and the storage, treatment and disposal of wastes and operational permits. In particular, the Clean Air Act and similar state and local laws extensively regulate the amount of sulfur dioxide, particulate matter, nitrogen oxides, mercury and other compounds emitted into the air from fossil-fuel fired power plants, which are the largest end-users of our thermal coal. A series of more stringent requirements will or may become effective in coming years, including:

- implementation of the current and more stringent proposed ambient air quality standards for sulfur dioxide, nitrogen oxides, particulate matter and ozone, including the EPA's issuance of NAAQS in October 2015 of a more stringent ambient air quality standard for ozone and the EPA's determinations of attainment designations with respect to these rules;
- implementation of the EPA's CSAPR to significantly reduce nitrogen oxide and sulfur dioxide emissions from power plants in 28 states, and the CSAPR Update Rule, issued in September 2016, requiring further reductions in nitrogen oxides in 2017 in 22 states subject to CSAPR during the summertime ozone season;
- continued implementation of the EPA's MATS, which impose stringent limits on emissions of mercury and other toxic air pollutants from electric power generators, issued in December 2011 and in effect pending completion of judicial review proceedings and subject to a new draft rule proposed in December 2018 that reverses certain findings that served as the basis for MATS;
- implementation of the EPA's August 2014 final rule on cooling water intake structures for power plants;
- more stringent EPA requirements governing management and disposal of coal ash pursuant to a rule finalized in December 2014 and new amendments effective as of August 2018; and
- implementation of the EPA's November 2015 final rule setting effluent discharge limits on the levels of metals that can be discharged from power plants.

These environmental laws and regulations impose significant costs on our customers, which are increasing as these requirements become more stringent. These costs make coal more expensive to use and make it a less attractive fuel source of energy for our customers. Accordingly, some existing power generators have switched to other fuels that generate fewer emissions and others are likely to switch, some power plants have closed and others are likely to close, and no coal-fired plants

are currently being constructed, all of which reduce demand for coal, the amount of coal that we sell and the prices that we receive for it, thereby reducing our revenues and adversely impacting our earnings and the value of our coal reserves.

In addition, regulations regarding sulfur dioxide emissions under the Clean Air Act, including caps on emissions and the price of emissions allowances, have a potentially significant impact on the demand for our coal based on its sulfur content. We sell both higher sulfur and low sulfur coal. More widespread installation by power generators of technology that reduces sulfur emissions may make high sulfur coal more competitive with our low sulfur coal. Decreases in the price of emissions allowances could have a similar effect. Significant increases in the price of emissions allowances could reduce the competitiveness of higher sulfur coal compared to low sulfur coal and possibly natural gas at power plants not equipped to reduce sulfur dioxide emissions. Any of these consequences could result in a decrease in revenues from some of our operations, which could adversely affect our business and results of operations.

The U.S. Internal Revenue Service could withhold tax refunds and refundable credits and assert a right to setoff against pre-petition claims of the U.S. government during the Alpha Bankruptcy, which could have a material adverse effect upon the Company's assets.

As of December 31, 2019, the Company has recorded approximately \$33.1 million of federal income tax receivable and approximately \$33.1 million of federal deferred tax asset related to refundable Alternative Minimum Tax (AMT) credits. In addition, the Company has recorded a non-current federal income tax receivable of approximately \$64.2 million related to a net operating loss (NOL) carryback claim. Because the U.S. government was a creditor in the Predecessor Alpha bankruptcy proceedings, it is possible that the U.S. Internal Revenue Service (IRS) could withhold some or all of the tax refund attributable to the NOL carryback claim and the AMT refundable credits and assert a right to set off the tax refund and refundable credits against the U.S. government's pre-petition bankruptcy claims. If the IRS were to take such actions, the Company would vigorously defend its position. However, if the Company were unsuccessful, there could be a material, adverse effect upon the Company's assets.

Decreases in consumer demand for electricity and changes in general energy consumption patterns attributable to energy conservation trends could adversely affect our business, financial condition and results of operations.

Due to efforts to promote energy conservation in recent years, there is a risk that both the demand for electricity and the general energy consumption patterns of consumers worldwide will decrease. The ability of energy conservation technologies, public initiatives and government incentives to reduce electricity consumption or to support other forms of renewable energy could also lead to a reduction in the price of coal. If prices for coal are not competitive, our business, financial condition and results of operations may be materially harmed.

Our operations may impact the environment or cause exposure to hazardous substances, and our properties may have environmental contamination, which could result in material liabilities to us.

Our operations use certain hazardous materials, and from time to time we generate limited quantities of hazardous wastes. We may be subject to claims under federal or state law for toxic torts, natural resource damages and other damages as well as for the investigation and clean-up of soil, surface water, sediments, groundwater and other natural resources. Such claims may arise out of current or former conditions at sites that we own or operate, or formerly owned or operated, and at contaminated sites owned or operated by third parties to which we sent wastes for treatment, storage or disposal. Our liability for such claims may be joint and several, so that we may be held responsible for more than our share of the contamination or other damages, or even for the entire share.

We operate and maintain a number of coal slurry impoundments. These impoundments are subject to extensive regulation. Some slurry impoundments maintained by other coal mining operations have failed, causing extensive damage to the environment and natural resources, as well as liability for related personal injuries and property damages. Some of our impoundments overlie mined out areas, which can pose a heightened risk of failure and of resulting damages. If one of our impoundments were to fail, we could be subject to substantial claims for the resulting environmental contamination and associated liability, as well as for fines and penalties, and potential third-party claims for personal injury, property damage or other losses. In addition, we may become subject to such claims related to surface expressions of methane gas, which can result from underground coal mining activities.

These and other environmental impacts that our operations may have, as well as exposures to hazardous substances or wastes associated with our operations, could result in costs and liabilities that could render continued operations at certain mines economically unfeasible or impractical or otherwise materially and adversely affect our financial condition and results of operations.

We may be unable to obtain and renew permits, mine plan modifications and approvals, leases or other rights necessary for our operations, which would reduce our production, cash flows and profitability.

Mining companies must obtain numerous regulatory permits that impose strict conditions on various environmental and safety matters in connection with coal mining. The permitting rules are complex and change over time, potentially in ways that may make our ability to comply with the applicable requirements more difficult or impractical or even preclude the continuation of ongoing operations or the development of future mining operations. The public, including special interest groups and individuals, have certain rights under various statutes to comment upon, submit objections to and otherwise engage in the permitting process, including bringing citizens' lawsuits or administrative actions to challenge permits or mining activities. In states where we operate, applicable laws and regulations also provide that a mining permit or modification can, under certain circumstances, be delayed, refused or revoked if we or any entity that owns or controls or is under common ownership or control with us or is determined to be linked to us under OSM's AVS, have unabated permit violations or have been the subject of permit or reclamation bond revocation or suspension. These regulations define certain relationships, such as owning over 50% of stock in an entity or having the authority to determine the manner in which the entity conducts mining operations, as constituting ownership and control. Certain other relationships are presumed to constitute ownership or control, including being an officer or director of an entity or owning between 10% and 50% of the mining operator. This presumption, in some cases, can be rebutted where the person or entity can demonstrate that it in fact does not or did not have authority directly or indirectly to determine the manner in which the relevant coal mining operation is conducted. Thus, past or ongoing violations of federal and state mining laws by us or by coal mining operations owned or controlled by our significant stockholders, directors or officers or by entities linked to us through OSM's AVS could provide a basis to revoke existing permits and to deny the issuance of additional permits or modification or amendment of existing permits. This is known as being "permit-blocked." In recent years, the permitting required for coal mining has been the subject of increasingly stringent regulatory and administrative requirements and extensive litigation by environmental groups.

As a result, the permitting process is costly and time-consuming, required permits may not be issued or renewed in a timely fashion (or at all), and permits that are issued may be conditioned in a manner that may restrict our ability to conduct our mining activities efficiently. In some circumstances, regulators could seek to revoke permits previously issued. We are required under certain permits to provide data on the impact on the environment of proposed exploration for or production of coal to governmental authorities.

In particular, certain of our activities require a dredge and fill permit from the COE under Section 404 of the CWA. In recent years, the Section 404 permitting process has been subject to increasingly stringent regulatory and administrative requirements and a series of court challenges, which have resulted in increased costs and delays in the permitting process.

In January 2020, the EPA and the U.S. Army Corps of Engineers (the "USACE") issued a final rule that attempts to clarify the Clean Water Act's ("CWA") jurisdictional reach over waters of the United States, referred to as the Navigable Waters Protection Rule. The rule replaces a rule issued in June 2015 by the previous presidential administration, the Clean Water Rule. The Clean Water Rule was the subject of extensive legal challenges, injunctions and administrative action, and was formally repealed in December 2019. The Navigable Waters Protection Rule is designed to fulfill a February 2017 executive order calling on the EPA and the USACE to develop a rule consistent with Justice Antonin Scalia's plurality opinion in the 2006 Supreme Court decision, *Rapanos v. United States*, that CWA jurisdiction attaches only to "navigable waters" and other waters with a relatively permanent flow, such as rivers or lakes. The Navigable Waters Protection Rule narrows the jurisdiction of the CWA relative to Clean Water Rule by, among other things, excluding from the scope of the definition of "waters of the United States" certain ephemeral streams and wetlands not adjacent to jurisdictional water bodies. The Navigable Water Protection Rule is likely to be the subject of legal challenges and its ultimate impact on our operations is uncertain.

Additionally, we may rely on nationwide permits under the CWA Section 404 program for some of our operations. These nationwide permits are issued every five years, and the 2017 nationwide permit program was recently reissued in January 2017. If we are unable to use the nationwide permits and require an individual permit for certain work, that could delay operations.

Many of our permits are subject to renewal from time to time, and renewed permits may contain more restrictive conditions than our existing permits. For example, many of our permits governing surface stream and groundwater discharges and impacts will be subject to new and more stringent conditions to address various new water quality requirements upon renewal over the next several years. Although we have no estimates at this time, our costs to satisfy these conditions could be substantial.

Future changes or challenges to the permitting and mine plan modification and approval process could cause additional increases in the costs, time, and difficulty associated with obtaining and complying with the permits and could delay or prevent

commencing or continuing exploration or production operations, and as a result, adversely affect our coal production, cash flows and profitability.

Federal and state regulatory agencies have the authority to order any of our facilities to be temporarily or permanently closed under certain circumstances, which could materially adversely affect our ability to meet our customers' demands.

Federal and state regulatory agencies have the authority following significant health and safety incidents, such as fatalities, to order a facility to be temporarily or permanently closed. If this were to occur, we may be required to incur capital expenditures to re-open the facility. In the event that these agencies order the closing of our facilities, our coal sales agreements and our take-or-pay contracts related to our export terminals may permit us to issue force majeure notices, which suspend our obligations to deliver coal under these contracts. However, our customers may challenge our issuances of force majeure notices. If these challenges are successful, we may have to purchase coal from third-party sources, if it is available, to fulfill these obligations, incur capital expenditures to re-open the facilities and/or negotiate settlements with the customers, which may include price reductions, the reduction of commitments or the extension of time for delivery or terminate customers' contracts. Any of these actions could have a material adverse effect on our business and results of operations.

We have obligations under various settlement agreements with state and federal agencies in relation to the Alpha Restructuring settlement and the failure to meet these obligations could result in the termination of such settlement agreements, the revocation of permits and regulatory or enforcement actions, among other things.

In connection with the Alpha Restructuring settlement, Alpha and Contura entered into a number of agreements with state and federal agencies regarding the funding, performance and bonding of reclamation and other environmental restoration obligations with respect to mine properties retained by Alpha under the Alpha Restructuring. These agreements have been amended from time to time in connection with sales by Alpha of certain of these properties. These agreements require Contura to make periodic payments to certain accounts designated to fund reclamation and other activities at various facilities and also impose bonding, reporting and other obligations. A failure by Contura to fulfill our obligations under these agreements could be considered an event of default which could result in, among other things, the cancellation of certain permits, a termination of the agreement, termination of the right to use the funds in the Restricted Cash Reclamation Account, the Water Treatment Restricted Cash Account or the Mitigation Account and the taking of any regulatory or enforcement action that an agency enforcing such default is permitted to take.

Our systems and procedures for internal control over financial reporting or the disclosure controls related to them have, and may have in the future, material weaknesses, which may adversely affect the value of our common stock.

We are responsible for maintaining systems and documentation necessary to evaluate the effectiveness of our internal control over financial reporting. These activities may divert management's attention from other business concerns. Further, we have determined that certain of our internal controls over financial reporting have deficiencies, significant deficiencies and material weaknesses. If we are unable to correct these issues in a timely fashion, or if other internal controls issues arise, there could be a material adverse effect on our business, financial condition, results of operations and cash flows, and investors could lose confidence in our reported results, thus affecting our ability to finance our business. To maintain and improve our controls and procedures, we must commit significant resources, may be required to hire additional staff and need to continue to provide effective management oversight, which could have a material adverse effect on our business, financial condition, results of operations and cash flows.

Certain U.S. federal income tax provisions currently available with respect to coal percentage depletion and exploration and development may be eliminated by future legislation.

From time to time, legislation is proposed that could result in the reduction or elimination of certain U.S. federal income tax provisions currently available to companies engaged in the exploration, development, and production of coal reserves. These proposals have included, but are not limited to: (1) the elimination of current deductions, the 60-month amortization period and the 10-year amortization period for exploration and development costs relating to coal and other hard mineral fossil fuels, (2) the repeal of the percentage depletion allowance with respect to coal properties and (3) the repeal of capital gains treatment of coal and lignite royalties. The passage of these or other similar proposals could increase our taxable income and negatively impact our cash flows and the value of an investment in our common stock.

Changes in tax laws, particularly in the areas of non-income taxes, or obligations arising from audits of royalties previously paid to government entities, could cause our financial position and profitability to deteriorate.

We pay non-income taxes on the coal we produce. A substantial portion of our non-income taxes are levied as a percentage of gross revenues, while others are levied on a per ton basis. Further, liabilities could arise in connection with audits of royalties previously paid to government entities in connection with our former PRB operations. If such liabilities were to arise, or if non-income tax rates were to increase significantly, our results of operations could be materially and adversely affected.

Federal healthcare legislation could adversely affect our financial condition and results of operations.

In March 2010, the Patient Protection and Affordable Care Act (“PPACA”) was enacted, potentially impacting our cost of providing healthcare benefits to our employees and workers’ compensation benefits related to occupational disease resulting from coal workers’ pneumoconiosis (black lung disease). The PPACA has both short-term and long-term implications on benefit plan standards. Implementation of this legislation is expected to extend through 2020. In the short term, our healthcare costs could increase due to, among other things, an increase in the maximum age for covered dependents to receive benefits, changes to benefits for occupational disease related illnesses, the elimination of lifetime dollar limits per covered individual and restrictions on annual dollar limits per covered individual. In the long term, our healthcare costs could increase due to, among other things, an excise tax on “high cost” plans and the elimination of annual dollar limits per covered individual.

The PPACA planned to impose a 40% excise tax on employers beginning in 2022 to the extent that the value of their healthcare plan coverage exceeds certain dollar thresholds. In December 2019, the excise tax was repealed before it could take effect, effective for taxable years beginning after December 31, 2019.

Risks Relating to Our Operations

Our coal mining production and delivery is subject to conditions and events beyond our control that could result in higher operating expenses and decreased production and sales. The occurrence of a significant accident or other event that is not fully insured could adversely affect our business and operating results and could result in impairments to our assets.

Our coal production at our mines is subject to operating conditions and events beyond our control that could disrupt operations, affect production and the cost of mining for varying lengths of time and have a significant impact on our operating results. Adverse operating conditions and events that we have experienced in the past and/or may experience in the future include:

- changes or variations in geologic, hydrologic or other conditions, such as the thickness of the coal deposits and the amount of rock, clay or other non-coal material embedded in or overlying the coal deposit;
- mining, processing and loading equipment failures and unexpected maintenance problems;
- limited availability or increased costs of mining, processing and loading equipment and parts and other materials from suppliers;
- difficulties associated with mining under or around surface obstacles;
- unfavorable conditions with respect to proximity to and availability, reliability and cost of transportation facilities;
- adverse weather and natural disasters, such as heavy snows, heavy rains and flooding, lightning strikes, hurricanes or earthquakes;
- accidental mine water discharges, coal slurry releases and failures of an impoundment or refuse area;
- mine safety accidents, including fires and explosions from methane and other sources;
- hazards or occurrences that could result in personal injury and loss of life;
- a shortage of skilled and unskilled labor;
- security breaches or terroristic acts;
- strikes and other labor-related interruptions;
- delays or difficulties in, the unavailability of, or unexpected increases in the cost of acquiring, developing or permitting new acquisitions from the federal government and other new mining reserves and surface rights;
- competition and/or conflicts with other natural resource extraction activities and production within our operating areas;
- the termination of material contracts by state or other governmental authorities; and
- fatalities, personal injuries or property damage arising from train derailments, mined material or overburden leaving permit boundaries, underground mine blowouts, impoundment failures, subsidence or other unexpected incidents.

If any of these or other conditions or events occur in the future at any of our mines or affect deliveries of our coal to customers, they may increase our cost of mining, delay or halt production or sales to our customers, result in regulatory action or lead to customers initiating claims against us. Any of these consequences could adversely affect our operating results or result in impairments to our assets.

In addition, our mining operations are concentrated in a small number of material mines. As a result, the effects of any of these conditions or events may be exacerbated and may have a disproportionate impact on our results of operations and assets.

We maintain insurance policies that provide limited coverage for some, but not all, of these risks. Even where covered by insurance, these risks may not be fully covered and insurers may contest their obligations to make payments. Failures by insurers to make payments could have a material adverse effect on our cash flows, results of operations or financial condition.

A decline in demand for met coal would limit our ability to sell our high quality thermal coal as higher priced met coal, which would reduce our revenues and profitability, and could affect the economic viability of some of our mines with higher operating costs.

We are able to mine, process and market some of our coal reserves as either met coal or high-quality thermal coal. In deciding our approach to these reserves, we assess the conditions in the met and thermal coal markets, including factors such as the current and anticipated future market prices of met coal and thermal coal, the generally higher price of met coal as compared to thermal coal, the lower volume of saleable tons that results when producing coal for sale in the met market rather than the thermal market, the increased costs of producing met coal, the likelihood of being able to secure a longer term sales commitment for thermal coal and our contractual commitments to deliver different types of coal to our customers. A decline in demand for met coal relative to thermal coal could cause us to shift coal from the met market to the thermal market, thereby reducing our revenues and profitability.

Mining in Central and Northern Appalachia is more complex and involves more regulatory constraints than mining in other areas of the U.S., which could affect our mining operations and cost structures in these areas.

The geological characteristics of Northern and Central Appalachian coal reserves, such as depth of overburden and coal seam thickness, make them complex and costly to mine. As mines become depleted, replacement reserves may not be available or, if available, may not be able to be mined at costs comparable to those of the depleting mines. In addition, compared to mines in other areas of the country, permitting, licensing and other environmental and regulatory requirements are more costly and time consuming to satisfy. These factors could materially adversely affect the mining operations and cost structures of, and our customers' ability to use coal produced by, our mines in Northern and Central Appalachia.

Disruptions in transportation services and increased transportation costs could impair our ability to supply coal to our customers, reduce demand and adversely affect our business.

For the year ended December 31, 2019, 58.5% of our coal volume was transported from our shipping points to a vessel loading point or customer location by rail. Deterioration in the reliability of the service provided by rail carriers would result in increased internal coal handling costs and decreased shipping volumes, and if we are unable to find alternatives, our business could be adversely affected. Some of our operations are serviced by a single rail carrier. Due to the difficulty in arranging alternative transportation, these operations are particularly at risk to disruptions, capacity issues or other difficulties with that carrier's transportation services, which could adversely impact our revenues and results of operations.

We also depend upon trucks, beltlines, ocean vessels and barges to deliver coal to our customers. In addition, much of our eastern coal is transported from our mines to our loading facilities by trucks owned and operated by third parties. Disruption of any of these transportation services due to weather-related problems, mechanical difficulties, fuel and supply costs, strikes, lockouts, bottlenecks, terrorist attacks and other events could impair our ability to supply coal to our customers, resulting in decreased shipments and revenue. Disruption in shipment levels over longer periods of time could cause our customers to look to other sources for their coal needs, negatively affecting our revenues and results of operations.

An increase in transportation costs could have an adverse effect on our ability to increase or to maintain production on a profit-making basis and could therefore adversely affect our revenues and earnings. Because transportation costs represent a significant portion of the total cost of coal for our customers, increases in transportation costs could also reduce overall demand for coal or make our coal production less competitive than coal produced from other sources or other regions.

We require a skilled workforce to run our business. If we cannot hire and retain qualified persons to meet replacement or expansion needs, we may not be able to achieve planned results.

Efficient coal mining using modern techniques and equipment requires skilled laborers with mining experience and proficiency as well as qualified managers and supervisors. The demand for skilled employees sometimes causes a significant constriction of the labor supply resulting in higher labor costs. We, along with the mining industry generally, are currently facing a shortage of experienced mechanics and certified electricians. When coal producers compete for skilled miners,

recruiting challenges can occur and employee turnover rates can increase, which negatively affect operating efficiency and costs. If a shortage of skilled workers exists and we are unable to train or retain the necessary number of miners, it could adversely affect our productivity, costs and ability to expand production.

In addition, we depend on the experience and industry knowledge of our officers and other key employees to design and execute our business plans. If we experience a substantial turnover in our leadership and other key employees, and these persons are not replaced by individuals with comparable skills, our performance could be materially adversely impacted. Furthermore, we may be unable to attract and retain additional qualified executives as needed in the future.

Certain provisions in our coal supply agreements may result in economic penalties upon our failure to meet specifications.

Most of our coal supply agreements contain provisions requiring us to deliver coal meeting quality thresholds for certain characteristics such as BTU, sulfur content, ash content, grindability, moisture and ash fusion temperature. Failure to meet these specifications could result in economic penalties, including price adjustments, the rejection of deliveries or termination of the contracts. Further, some of our coal supply agreements allow our customers to terminate the contract in the event of regulatory changes that restrict the type of coal the customer may use at its facilities or the use of that coal or increase the price of coal or the cost of using coal beyond specified limits. In addition, our coal supply agreements typically contain force majeure provisions allowing temporary suspension of performance by us or the customer during specified events beyond the control of the affected party. As a result of these issues, we may not achieve the revenue or profit we expect to achieve from our coal supply agreements.

Expenditures for certain employee benefits could be materially higher than we have anticipated, which could increase our costs and adversely affect our financial results.

We are responsible for certain liabilities under a variety of benefit plans and other arrangements with employees. The unfunded status of these obligations as of December 31, 2019 included \$102.9 million of workers' compensation obligations, net of related prepaid and receivable amounts, \$204.1 million of pension obligations, and \$120.1 million of black lung obligations. These obligations have been estimated based on assumptions including actuarial estimates, discount rates, and changes in health care costs. We could be required to expend greater amounts than anticipated. In addition, future regulatory and accounting changes relating to these benefits could result in increased obligations or additional costs, which could also have a material adverse effect on our financial results. Several states in which we operate consider changes in workers' compensation laws from time to time, which, if enacted, could adversely affect us.

If the assumptions underlying our accruals for reclamation and mine closure obligations prove to be inaccurate, we could be required to expend greater amounts than anticipated.

SMCRA establishes operational, reclamation and closure standards for all aspects of surface mining as well as deep mining. We accrue for the costs of current mine disturbance and final mine closure, including the cost of treating mine water discharge where necessary. Our estimated total reclamation and mine-closing liabilities were \$224.7 million as of December 31, 2019, based upon permit requirements and the historical experience at our operations, and depend on a number of variables involving assumptions and estimation and therefore may be subject to change, including the estimated future asset retirement costs and the timing of such costs, estimated proven reserves, assumptions involving profit margins of third-party contractors, inflation rates and discount rates. Furthermore, these obligations are primarily unfunded. If these accruals are insufficient or our liability in a particular year is greater than currently anticipated, our future operating results and financial position could be adversely affected. In addition, significant changes from period to period could result in significant variability in our operating results, which could reduce comparability between periods and impact our liquidity. See "Management's Discussion and Analysis of Financial Condition and Results of Operations—Critical Accounting Policies and Estimates" for a description of our estimated costs of these liabilities.

Estimates of our economically recoverable coal reserves involve uncertainties, and inaccuracies in our estimates could result in lower than expected revenues, higher than expected costs, decreased profitability and asset impairments.

We base our estimates of our economically recoverable coal reserves on engineering, economic and geological data assembled and analyzed by our staff, including various engineers and geologists, and periodically reviewed by outside firms. Our estimates as to the quantity and quality of the coal in our reserves are updated annually to reflect production of coal from the reserves and new drilling, engineering or other data. These estimates depend upon a variety of factors and assumptions, many of which involve uncertainties and factors beyond our control and may vary considerably from actual results, such as:

- geological and mining conditions that may not be fully identified by available exploration data or that may differ from experience in current operations;
- historical production from the area compared with production from other similar producing areas;
- the assumed effects of regulation and taxes by governmental agencies; and
- assumptions about coal prices, operating costs, mining technology improvements, development costs and reclamation costs.

For these reasons, estimates of the economically recoverable quantities and qualities attributable to any particular group of properties, classifications of reserves based on risk of recovery and estimates of net cash flows expected from particular reserves prepared by different engineers or by the same engineers at different times may vary substantially. In addition, actual coal tonnage recovered from identified reserve areas or properties and revenues and expenditures with respect to our reserves may vary materially from estimates. Accordingly, our estimates may not accurately reflect our actual reserves. Any inaccuracy in our reserve estimates could result in lower than expected revenues, higher than expected costs, decreased profitability and asset impairments.

Our business will be adversely affected if we are unable to timely develop or acquire additional coal reserves that are economically recoverable.

Our profitability depends substantially on our ability to mine in a cost-effective manner coal reserves of the quality our customers need. Although we have coal reserves that we believe could support current production levels for more than 35 years, we have not yet developed the mines for all our reserves. We may not be able to mine all of our reserves as profitably as we do at our current operations. Under adverse market conditions, some reserves could not be mined profitably at all. In addition, in order to develop our reserves, we must receive various governmental permits. As discussed above, some of these permits are becoming increasingly more difficult and expensive to obtain and the review process continues to lengthen. We may be unable to obtain the necessary permits on terms that would allow us to operate profitably or at all.

Because our reserves are depleted as we mine our coal, our future success and growth depend in part on our ability to timely acquire additional coal reserves that are economically recoverable. Our planned development projects and acquisition activities may not result in significant additional reserves, and we may not succeed in developing new mines or expanding existing mines beyond our existing reserves. Replacement reserves may not be available when required or, if available, may not be able to be mined at costs comparable to those of the depleting mines. We may not be able to accurately assess the geological characteristics of any reserves that we now own or subsequently acquire, which may adversely affect our profitability and financial condition. Exhaustion of reserves at particular mines also may have an adverse effect on our operating results due to lost production capacity from diminished or discontinued operations at those mines, as well as lay-offs, write-off charges and other costs, potentially causing an adverse effect that is disproportionate to the percentage of overall production represented by those mines. Our ability to acquire other reserves in the future could be limited by restrictions under our existing or future debt agreements, competition from other coal companies for attractive properties or the lack of suitable acquisition candidates available on commercially reasonable terms, among other factors. If we are unable to replace or increase our coal reserves on acceptable terms, our production and revenues will decline as our reserves are depleted.

If we are unable to acquire surface rights to access our coal reserves, we may be unable to obtain a permit to mine coal we own and may be required to employ expensive techniques to mine around those sections of land we cannot access in order to access other sections of coal reserves, which could materially and adversely affect our business and our results of operations.

After we acquire coal reserves, we are required to obtain a permit to mine the reserves through the applicable state agencies prior to mining the acquired coal. In part, permitting requirements provide that, under certain circumstances, we must obtain surface owner consent if the surface estate has been severed from the mineral estate, which is commonly known as a “severed estate.” At certain of our mines where we have obtained the underlying coal and the surface is held by one or more

owners, we are engaged in negotiations for surface rights with multiple parties. If we are unable to successfully negotiate surface rights with any or all of these surface owners, or to do so on commercially reasonable terms, we may be denied a permit to mine some or all of our coal or may find that we cannot mine the coal at a profit. If we are denied a permit, this would create significant delays in our mining operations and materially and adversely impact our business and results of operations. Furthermore, if we decide to alter our plans to mine around the affected areas, we could incur significant additional costs to do so, which could increase our operating expenses considerably and could materially and adversely affect our results of operations.

If we are unable to complete permit transfers as expected or if there are complications in connection with the permit transfer process, it could materially and adversely affect our business and results of operations.

As previously disclosed, on December 8, 2017, Contura closed a transaction (“PRB Transaction”) with Blackjewel, LLC (“Blackjewel”) to sell the Eagle Butte and Belle Ayr mines located in the PRB (the “Western Mines” or “Western Assets”), and transfer the applicable permits. Blackjewel and certain of its affiliates filed petitions for relief under Chapter 11 of the Bankruptcy Code after the transfer of the Western Mines from the Company to Blackjewel but prior to the transfer from the Company to Blackjewel of the permits associated with the Western Mines.

Also, as previously disclosed, Eagle Specialty Materials, LLC (“ESM”), an affiliate of FM Coal, LLC, subsequently agreed to acquire the Western Mines from Blackjewel and certain of its affiliates. In connection with the closing of this transaction on October 18, 2019, we entered into an amended and restated binding term sheet with ESM and certain ESM-related parties (the “Term Sheet”). Pursuant to the Term Sheet, we and certain of our affiliated companies agreed to, among other things, make certain cash payments to ESM and to an escrow account, to convey to ESM our interests in two ranches upon the release of such ranches as collateral by the Wyoming Department of Environmental Quality (“DEQ”) and to transfer to ESM the Company’s permits related to the Western Mines (the “Contura Permits”) once all applicable approvals for their transfer have been obtained.

Following the closing and until the earlier of the date of the permit transfers and August 30, 2020 (as may be extended by mutual agreement of the parties, with Contura not to unreasonably withhold its approval), we have consented to ESM’s operation of the Western Mines under our permits, subject to ESM’s compliance with a permit operating agreement. In connection with the closing, ESM posted with the DEQ substitute bonds in the amount of approximately \$238 million and DEQ released the bonds we had previously posted with DEQ to secure our obligations under the Contura Permits. In connection with this transaction, we also entered into agreements with various governmental and private parties that release us and our affiliates from certain claims and liabilities.

Prior to the transfer of the Contura Permits to ESM, however, we will continue to have potential liability related to the Contura Permits, including in respect of reclamation obligations. Further, if the permit transfer process is not completed as expected, or if there are complications in connection with the process, there could be material and adverse effects on our business and our results of operations.

Our workforce could become increasingly unionized in the future and our unionized or union-free workforce could strike, which could adversely affect the stability of our production and reduce our profitability.

Approximately 85% of our total workforce and approximately 78% of our hourly workforce was union-free as of December 31, 2019. However, under the National Labor Relations Act, employees have the right at any time to form or affiliate with a union. Any further unionization of our employees or the employees of third-party contractors who mine coal for us could adversely affect the stability of our production and reduce our profitability.

Certain of Contura’s subsidiaries have wage agreements with the UMWA that are subject to termination by either the employer or the UMWA, without cause, on July 31, 2020.

As is the case with our union-free operations, the union-represented employees could strike, which would disrupt our production, increase our costs and disrupt shipments of coal to our customers, and could result in the closure of affected mines, all of which could reduce our profitability.

Conflicts with competing holders of mineral rights and rights to use adjacent, overlying or underlying lands could materially and adversely affect our ability to mine coal or do so on a cost-effective basis.

Our operations at times face potential conflicts with holders of other mineral interests such as coalbed methane, natural gas and oil reserves. Some of these minerals are located on, or are adjacent to, some of our coal reserves and active operations,

potentially creating conflicting interests between us and the holders of those interests. From time to time we acquire these minerals ourselves to prevent conflicting interests from arising. If, however, conflicting interests arise and we do not acquire the competing mineral rights, we may be required to negotiate our ability to mine with the holder of the competing mineral rights. Furthermore, the rights of third parties for competing uses of adjacent, overlying or underlying lands, such as oil and gas activity, coalbed methane, pipelines, roads, easements and public facilities, may affect our ability to operate as planned if our title is not superior or arrangements cannot be negotiated. If we are unable to reach an agreement with these holders of such rights, or to do so on a cost-effective basis, we may incur increased costs and our ability to mine could be impaired, which could materially and adversely affect our business and results of operations.

Cybersecurity attacks, natural disasters, terrorist attacks and other similar crises or disruptions may negatively affect our business, financial condition and results of operations, or those of our customers and suppliers.

Our business, or the businesses of our customers and suppliers, may be impacted by disruptions such as cybersecurity attacks or failures, threats to physical security, and extreme weather conditions or other natural disasters. Strategic targets, such as energy-related assets, may be at greater risk of future terrorist or cybersecurity attacks than other targets in the U.S. These disruptions or any significant increases in energy prices that follow could result in government-imposed price controls. Our insurance may not protect us against such occurrences. It is possible that any of these occurrences, or a combination of them, could have a material adverse effect on our business, financial condition and results of operations. Further, as cybersecurity attacks continue to evolve, we may be required to expend additional resources to continue to modify or enhance our protective measures or to investigate and remediate any vulnerability to cybersecurity attacks.

Provisions in our lease agreements, defects in title in our mine properties or loss of leasehold rights could limit our ability to recover coal from our properties or result in significant unanticipated costs.

We conduct a significant part of our mining operations on properties that we lease. Title to most of our leased properties and mineral rights is not thoroughly verified until a permit to mine the property is obtained, and in some cases, title is not verified at all. Accordingly, actual or alleged defects in title or boundaries may exist, which may result in the loss of our right to mine on the property or in unanticipated costs to obtain leases or mining contracts to allow us to conduct our mining operations on the property, which could adversely affect our business and profitability. Furthermore, some leases require us to produce a minimum quantity of coal and/or pay minimum production royalties. If those requirements are not met, the leasehold interest may terminate.

Decreased availability or increased costs of key equipment and materials, including certain items mandated by regulations, or of coal that we purchase from third parties, could impact our cost of production and decrease our profitability.

We depend on reliable supplies of mining equipment, replacement parts and materials such as explosives, diesel fuel, tires, steel, magnetite and other raw materials and consumables which, in some cases, do not have ready substitutes. Some equipment and materials are needed to comply with regulations, such as proximity detection devices on continuous mining machines. The supplier base providing mining materials and equipment has been relatively consistent in recent years, although there continues to be consolidation, which has resulted in a limited number of suppliers for certain types of equipment and supplies. Any significant reduction in availability or increase in cost of any mining equipment or key supplies could adversely affect our operations and increase our costs, which could adversely affect our operating results and cash flows.

In addition, the prices we pay for these materials are strongly influenced by the global commodities markets. Coal mines consume large quantities of commodities such as steel, copper, rubber products, explosives and diesel and other liquid fuels. If the value of the U.S. dollar declines relative to foreign currencies with respect to certain imported supplies or other products, our operating expenses will increase, which could materially adversely impact our profitability. Some materials, such as steel, are needed to comply with regulatory requirements. Furthermore, operating expenses at our mining locations are sensitive to changes in certain variable costs, including diesel fuel prices, which is one of our largest variable costs. Our results depend on our ability to adequately control our costs. Any increase in the price we pay for diesel fuel will have a negative impact on our results of operations. A rapid or significant increase in the cost of these commodities could increase our mining costs because we have limited ability to negotiate lower prices.

We purchase coal from third parties, for use in coal blending and for other purposes, for which ready substitutes may not be immediately available. A significant reduction in availability or increase in cost of these supplies, or the failure of third party coal producers to provide them in a timely fashion, could adversely affect our operations and increase our costs, which could adversely affect our operating results and cash flows.

We have previously and may in the future contract with third-parties to operate certain of our mines, and our results of operations could be adversely affected if these operators fail to operate the mines effectively.

We have previously and may in the future contract with third parties to operate certain of our mines. Under these arrangements we retain certain contractual rights of oversight over these mines, which are operated under our permits, but we do not control, and our employees do not participate in, the day-to-day operations of these mines. Operational difficulties at these mines, increased competition for contract miners from other coal producers and other factors beyond our control could affect the availability, cost and quality of coal produced for us by contractors. Disruption in our supply of contractor-produced coal could impair our ability to fill our customers' orders or require us to pay higher prices to obtain the required coal from other sources. Any increase in the per-ton compensation for services we pay for the production of contractor-produced coal could increase our costs and therefore lower our earnings and adversely affect our results of operations.

Strategic transactions, including acquisitions, involve a number of risks, any of which could result in a material adverse effect on our business, financial condition or results of operations.

In the future, we may undertake strategic transactions such as the acquisition or disposition of coal mining and related infrastructure assets, interests in coal mining companies, joint ventures or other strategic transactions involving companies with coal mining or other energy assets. Our ability to complete these transactions is subject to the availability of attractive opportunities, including potential acquisition targets that can be successfully integrated into our existing business and provide us with complementary capabilities, products or services on terms acceptable to us, as well as general market conditions, among other things.

Risks inherent in these strategic transactions include:

- uncertainties in assessing the value, strengths, and potential profitability, and identifying the extent of all weaknesses, risks, contingent liabilities and other liabilities of acquisition candidates and strategic partners;
- the potential loss of key customers, management and employees of an acquired business;
- the ability to achieve identified operating and financial synergies from an acquisition or other strategic transactions in the amounts and on the time frame due to inaccurate assumptions underlying estimates of expected cost savings, the deterioration of general industry and business conditions, unanticipated legal, insurance and financial compliance costs, or other factors;
- the ability of management to manage successfully our exposure to pending and potential litigation and regulatory obligations;
- unanticipated increases in competition that limit our ability to expand our business or capitalize on expected business opportunities, including retaining current customers; and
- unanticipated changes in business, industry, market, or general economic conditions that differ from the assumptions underlying our rationale for pursuing the acquisition or other strategic transactions.

The ultimate success of any strategic transaction we may undertake will depend in part on our ability to continue to realize the anticipated synergies, business opportunities and growth prospects from those transactions. We may not be able to successfully integrate the companies, businesses or properties that we acquire, invest in or partner with. Problems that could arise from the integration of an acquired business may involve:

- coordinating management and personnel and managing different corporate cultures;
- applying our safety and environmental programs at acquired mines and facilities;
- establishing, testing and maintaining effective internal control processes and systems of financial reporting for the acquired business;
- the diversion of our management's and our finance and accounting staff's resources and time commitments, and the disruption of either our or the acquired company's ongoing businesses;
- tax costs or inefficiencies; and
- inconsistencies in standards, information technology systems, procedures or policies.

Any one or more of these factors could cause us not to realize the benefits anticipated from a strategic transaction, adversely affect our ability to maintain relationships with clients, employees or other third parties or reduce our earnings.

Moreover, any strategic transaction we pursue could materially affect our liquidity and capital resources and may require us to incur indebtedness, seek equity capital or do both. Future transactions could also result in our assuming more long-term liabilities relative to the value of the acquired assets. Further, acquisition accounting rules require changes in certain

assumptions made subsequent to the measurement period, as defined in current accounting standards, to be recorded in current period earnings, which could affect our results of operations.

We may be unable to generate sufficient taxable income from future operations, or other circumstances could arise, which may limit our ability to utilize our tax net operating loss carryforwards or maintain our deferred tax assets.

We acquired the core coal assets of Predecessor Alpha as part of Predecessor Alpha's bankruptcy restructuring in transactions intended to be treated as a tax-free reorganization for U.S. federal income tax purposes. As a result of these transactions, we inherited the tax basis of the core assets and the net operating loss and other carryforwards of Predecessor Alpha. These carryforwards and tax basis were subject to reduction on December 31, 2016 due to the cancellation of indebtedness resulting from Predecessor Alpha's bankruptcy restructuring. Due to the change in ownership, the net operating loss and other carryforwards will be subjected to limitations on their use in future years. In addition, we do not have a long history of operating results, and if we are unable to generate profits in the future, we may be unable to utilize these carryforwards. As of December 31, 2019, a valuation allowance of \$133.0 million has been provided on federal and state net operating loss carryforwards and gross deferred tax assets not expected to provide future tax benefits.

Negative or unexpected consequences of the Tax Cuts and Jobs Act could affect our business.

On December 22, 2017, legislation commonly referred to as the Tax Cuts and Jobs Act (the "TCJA") significantly revised U.S. federal corporate tax law by, among other things, reducing the U.S. federal corporate income tax rate to 21%, eliminating the corporate alternative minimum tax, providing a mechanism for corporations to monetize alternative minimum tax credits ("AMT Credits") during the 2018 to 2021 tax years, limiting the tax deduction for interest expense to 30% of adjusted earnings, allowing immediate expensing for certain new investments, and, effective for net operating losses arising in taxable years beginning after December 31, 2017, eliminating net operating loss carrybacks, permitting indefinite net operating loss carryforwards, and limiting the use of net operating loss carryforwards to 80% of current year taxable income.

There are a number of uncertainties and ambiguities as to the interpretation and application of many of the provisions in the TCJA. In the absence of guidance of these issues, we will use what we believe are reasonable interpretations and assumptions in interpreting and applying the TCJA for purposes of determining our cash tax liabilities and results of operations, which may change as we receive additional clarification and implementation guidance and as the interpretation of the TCJA evolves over time. It is possible that the IRS could issue subsequent guidance or take positions on audit that differ from the interpretations and assumptions that we previously made, which could have a material adverse effect on our cash tax liabilities, results of operations and financial condition.

Our business requires substantial capital investment and maintenance expenditures, which we may be unable to provide.

Our business plan and strategy require substantial capital expenditures. We require capital for, among other purposes, acquisition of surface rights, equipment and the development of our mining operations, capital renovations, maintenance and expansions of plants and equipment and compliance with safety, health and environmental laws and regulations. Future debt or equity financing may not be available or, if available, may result in dilution or not be available on satisfactory terms. If we are unable to obtain additional capital, we may not be able to maintain or increase our existing production rates and we could be forced to reduce or delay capital expenditures or change our business strategy, sell assets or restructure or refinance our indebtedness, all of which could have a material adverse effect on our business or financial condition.

Changes in the fair value of liabilities that are marked to market could cause volatility in our earnings.

Pursuant to the Second Amended Joint Plan of Reorganization of Debtors and Debtors in Possession, dated May 27, 2016, as modified and confirmed by the Order Confirming Second Amended Joint Plan of Reorganization of Debtors and Debtors in Possession, as Modified (Docket No. 3038), entered by the Bankruptcy Court on July 12, 2016, we have contingent revenue payment obligations to certain of Alpha's creditors, which are recorded at fair market value and marked to market in each reporting period, with changes in value reflected in earnings. Any change in fair value can have a significant impact on our earnings from period to period, including in the future.

Risks Relating to Our Liquidity

Our indebtedness exposes us to various risks.

At December 31, 2019, we had \$622.7 million of indebtedness outstanding before discounts and issuance costs applied for financial reporting, of which \$77.8 million will mature in the next three years.

Our indebtedness could have important consequences to our business. For example, it could:

- make it more difficult for us to pay or refinance our debts as they become due during adverse economic and industry conditions because any related decrease in revenues could cause us to not have sufficient cash flows from operations to make our scheduled debt payments;
- force us to seek additional capital, restructure or refinance our debts, or sell assets;
- cause us to be less able to take advantage of significant business opportunities such as acquisition opportunities and to react to changes in market or industry conditions;
- cause us to use a portion of our cash flow from operations for debt service, reducing the availability of working capital and delaying or preventing investments, capital expenditures, research and development and other business activities;
- cause us to be more vulnerable to general adverse economic and industry conditions;
- expose us to the risk of increased interest rates because certain of our borrowings are at variable rates of interest;
- expose us to the risk of foreclosure on substantially all of our assets and those of most of our subsidiaries, which secure certain of our indebtedness if we default on payment or are unable to comply with covenants or restrictions in any of the agreements;
- limit our ability to borrow additional monies in the future to fund working capital, capital expenditures and other general corporate purposes; and
- result in a downgrade in the credit ratings of our indebtedness, which could harm our ability to incur additional indebtedness and result in more restrictive borrowing terms, including increased borrowing costs and more restrictive covenants, all of which could affect our internal cost of capital estimates and therefore impact operational and investment decisions.

Our ability to meet our debt service obligations will depend on our future cash flow from operations and our ability to restructure or refinance our debt, which will depend on the condition of the capital markets and our financial condition at that time. We may incur additional secured or unsecured indebtedness in the future, subject to compliance with covenants in our existing debt agreements. Any refinancing of our debt could be at higher interest rates and may require us to comply with more onerous covenants, which could further restrict our business operations. These alternative measures may not be successful and may not permit us to meet our scheduled debt service obligations, and the terms of existing or future debt instruments may restrict us from adopting some of these alternatives.

Failure to obtain or renew surety bonds on acceptable terms could affect our ability to secure reclamation and coal lease obligations, which could adversely affect our ability to mine or lease coal.

Federal and state laws require us to obtain surety bonds to secure payment of certain long-term obligations such as mine closure or reclamation costs, federal and state workers' compensation costs (including related to black lung), coal leases and other obligations. These bonds are typically renewable annually. Under applicable regulations, self-bonding may not be available to us as a means to comply with our reclamation bonding obligations for the foreseeable future. Surety bond issuers and holders may not continue to renew the bonds, may demand less favorable terms upon renewal or may impose new or increased collateral requirements. As of December 31, 2019, we had outstanding surety bonds with third parties of approximately \$343.7 million. Surety bond issuers and holders may demand additional collateral, unfavorable terms or higher fees. Our failure to retain, or inability to acquire, surety bonds or to provide a suitable alternative could adversely affect our ability to mine or lease coal, which would materially adversely affect our business and results of operations. That failure could result from a variety of factors, including lack of availability, higher expense or unfavorable market terms, the exercise by third-party surety bond issuers of their right to refuse to renew the surety bonds, restrictions on availability of collateral for current and future third-party surety bond issuers under the terms of any credit arrangements then in place, or our inability to comply with our reclamation bonding obligations through self-bonding. In addition, as a result of increasing credit pressures on the coal industry, it is possible that surety bond providers could demand cash collateral as a condition to providing or maintaining surety bonds. Any such demands, depending on the amount of any cash collateral required, could have a material adverse impact on our liquidity and financial position. If we are unable to meet cash collateral requirements and cannot otherwise obtain or retain required surety bonds, we may be unable to satisfy legal requirements necessary to conduct our mining operations.

Difficulty in acquiring surety bonds, or additional collateral requirements, would increase our costs and likely require greater use of alternative sources of funding for this purpose, which would reduce our liquidity. If we are unable to provide the financial assurance that is required by state and federal law to secure our reclamation and coal lease obligations, our ability to mine or lease coal and, as a result, our results of operations could be materially and adversely affected.

The terms of our credit facility impose operating and financial restrictions on us, which may limit our ability to respond to changing business and economic conditions.

In connection with the Credit Agreement entered into on June 14, 2019, we incurred indebtedness of approximately \$562 million under a term loan credit facility to refinance existing indebtedness and to pay related fees and expenses. The term loan credit facility matures on June 14, 2024. The term loan credit facility permits us, subject to approval of the administrative agent and the lenders providing the financing, to request incremental term loans up to an aggregate amount of \$50 million subject to certain conditions in the Credit Agreement, in increments not less than \$25 million or the remaining availability.

In connection with the consummation of the Alpha Merger, we entered into the Amended and Restated Asset-Based Revolving Credit Agreement with a borrowing capacity of \$225 million under a revolving credit facility. The revolving credit facility matures on April 3, 2022. Additionally, as a result of the Alpha Merger, we assumed a letter of credit agreement and a credit and security agreement which, among other things, include letter of credit facilities that provide for the issuance of letters of credit. The terms of our credit facilities impose operating and financial restrictions on us, which may limit our ability to respond to changing business and economic conditions. The revolving loan facility permits us, subject to approval of the administrative agent and the lenders providing the financing, to request incremental revolving commitment increases up to an aggregate amount of \$50 million, in increments not less than \$10 million or the remaining availability and subject to specified conditions.

We are subject to various operating and financial covenants under the term loan and revolving credit facilities which restrict our ability to, among other things, incur additional indebtedness, make particular types of investments, incur certain types of liens, engage in fundamental corporate changes, enter into transactions with affiliates, make substantial asset sales, make certain restricted payments, enter into amendments or waivers to certain agreements, conduct certain sale leasebacks or enter into certain burdensome agreements. Any failure to comply with these covenants may constitute a breach under the term loan and revolving credit facilities which could result in the acceleration of all or a substantial portion of any outstanding indebtedness and termination of revolving credit commitments under the term loan and revolving credit facilities. Our inability to maintain our term loan and revolving credit facilities could materially adversely affect our liquidity and our business. At December 31, 2019, we were in compliance with the operating and financial covenants under the term loan and revolving credit facilities.

Pressure on our business, cash flow and liquidity could materially and adversely affect our ability to fund our business operations or react to and withstand changing market and industry conditions. Additional sources of funds may not be available.

A significant source of liquidity is our cash balance. Access to additional funds from liquidity-generating transactions or other sources of external financing may not be available to us and, if available, would be subject to market conditions and certain limitations including our credit rating and covenant restrictions in our credit facility.

Our ability to make the required payments on our indebtedness depends on the cash flow generated by our subsidiaries, which may be constrained by legal, contractual, market or operating conditions from paying dividends to us.

We will depend to a significant extent on the generation of cash flow by our subsidiaries and their ability to make that cash available to us, by dividend, debt repayment or otherwise. These subsidiaries may not be able to, or be permitted to, make distributions to enable us to make payments in respect of our indebtedness. Each of these subsidiaries is a distinct legal entity and, under certain circumstances, legal and contractual restrictions, as well as the financial condition and operating requirements of our subsidiaries, may limit our ability to obtain cash from our subsidiaries. In the event that we do not receive distributions from our subsidiaries, we may be unable to make required payments of principal, premium, if any, and interest on our indebtedness.

The terms of our borrowing arrangements limit our and our subsidiaries' ability to take certain actions, which may limit our operating and financial flexibility and adversely affect our business.

Our borrowing arrangements contain, and any future borrowing arrangements are also likely to contain, a number of significant restrictions and covenants that limit our ability and our subsidiaries' ability to, among other things, incur additional indebtedness, enter into sale and leaseback transactions, pay dividends, make redemptions and repurchases of certain capital stock, make loans and investments, create liens, sell certain assets, engage in transactions with affiliates, and merge or consolidate with other companies or sell substantially all of our assets. These covenants could adversely affect our ability to finance our future operations or capital needs or to execute preferred business strategies. In addition, complying with these covenants may make it more difficult for us to successfully execute our business strategy and compete against companies who

are not subject to such restrictions. We regularly evaluate opportunities to enhance our capital structure and financial flexibility through a variety of methods, including repayment or repurchase of outstanding debt, amendment of our credit facility and other facilities, and other methods. As a result of any of these actions, the restrictions and covenants that apply to us may become more restrictive or otherwise change.

Operating results below current levels, or other adverse factors, including a significant increase in interest rates, could result in our being unable to comply with our covenants and payment obligations contained in our borrowing arrangements. If we violate these covenants or obligations under any of these agreements and are unable to obtain waivers from our lenders, our debt under all of these agreements would be in default and could be accelerated by our lenders. If our indebtedness is accelerated, we may not be able to repay our debt or borrow sufficient funds to refinance it. Even if we were able to obtain new financing, it may not be on commercially reasonable terms or on terms that are acceptable to us. If our debt is in default for any reason, our business, financial condition, results of operations and cash flows could be materially and adversely affected.

The need to maintain capacity for required letters of credit could limit our ability to provide financial assurance for self-insured obligations and negatively impact our ability to fund future working capital, capital expenditure or other general corporate requirements.

On November 9, 2018, we entered into the Amended and Restated Asset-Based Revolving Credit Agreement. Additionally, as a result of the Alpha Merger, we assumed an Amended and Restated Letter of Credit Agreement and a Credit and Security Agreement. Each of these agreements includes, among other things, provisions that provide for the issuance of letters of credit. Obligations secured by letters of credit may increase in the future. If we do not maintain sufficient borrowing capacity under our letter of credit facilities, we may be unable to provide financial assurance for self-insured obligations and could negatively impact our ability to fund future working capital, capital expenditure or other general corporate requirements.

Risks Relating to the Ownership of Our Common Stock

The requirements of being a public company, including compliance with the reporting requirements of the Securities Exchange Act of 1934, as amended (the “Exchange Act”), and the requirements of the Sarbanes-Oxley Act, require application of significant resources and management attention, and we may be unable to comply with these requirements in a timely or cost-effective manner.

As a public company, we must comply with laws, regulations and requirements, certain corporate governance provisions of the Sarbanes-Oxley Act of 2002, related regulations of the SEC and the requirements of the New York Stock Exchange. Complying with these statutes, regulations and requirements occupies a significant amount of time for our board of directors and management and requires us to incur significant costs. We are required to:

- maintain a comprehensive compliance function;
- comply with rules promulgated by the New York Stock Exchange;
- prepare and distribute periodic public reports in compliance with our obligations under the federal securities laws;
- maintain internal policies; and
- engage outside counsel and accountants in the above activities.

We are responsible for assessing the operating effectiveness of internal controls over financial reporting and we may conclude that our internal controls over financial reporting are ineffective. Additionally, our independent registered public accounting firm may issue an adverse report indicating that our internal controls are not effective due to deficiencies in how our controls are documented, designed, operated or reviewed. Compliance with these requirements may strain our resources and we may be unable to comply with these requirements in a timely or cost-effective manner.

An active, liquid and orderly trading market for our common stock may not be maintained, and our stock price may be volatile.

Contura’s common stock trades on the New York Stock Exchange under the ticker symbol “CTRA.” Active, liquid and orderly trading markets usually result in less price volatility and more efficiency in carrying out investors’ purchase and sale orders. An active, liquid and orderly trading market for our common stock may not be maintained, however. The market price of our common stock could vary significantly as a result of a number of factors, some of which are beyond our control. In the event of a drop in the market price of our common stock, shareholders could lose a substantial part or all of their investment in our common stock.

The following factors, among others, could affect our stock price:

- our operating and financial performance, including reserve estimates;
- an unexpected mine or environmental incident;
- quarterly variations in the rate of growth of our financial indicators, such as net income per share, net income and revenues;
- the public reaction to our press releases, our other public announcements and our filings with the SEC;
- strategic actions by our competitors;
- changes in revenue or earnings estimates, or changes in recommendations or withdrawal of research coverage, by equity research analysts;
- speculation in the press or investment community;
- research analysts' coverage of our common stock, or their failure to cover our common stock;
- sales of our common stock by us, our directors or officers or the selling stockholders or the perception that such sales may occur;
- our payment of dividends;
- changes in accounting principles, policies, guidance, interpretations or standards;
- additions or departures of key management personnel;
- actions by our stockholders;
- general market conditions, including fluctuations in commodity prices;
- public sentiment regarding climate change and fossil fuels;
- domestic and international economic, legal and regulatory factors unrelated to our performance; and
- the realization of any risks described under this "Risk Factors" section or described elsewhere in this document.

The stock markets in general have experienced extreme volatility that has often been unrelated to the operating performance of particular companies. These broad market fluctuations may adversely affect the trading price of our common stock. Securities class action litigation has often been instituted against companies following periods of volatility in the overall market and in the market price of a company's securities. Such litigation, if instituted against us, could result in very substantial costs, divert our management's attention and resources and harm our business, operating results and financial condition.

Future sales of our common stock in the public market, or the perception that such sales may occur, could reduce our stock price, and any additional capital raised by us through the sale of equity or convertible securities may dilute your ownership in us.

We may issue additional shares of common stock or convertible securities in subsequent public offerings. We cannot predict the size of future issuances of our common stock or securities convertible into common stock or the effect, if any, that future issuances and sales of shares of our common stock will have on the market price of our common stock or the dividend amount payable per share on our common stock. Sales of substantial amounts of our common stock (including shares issued in connection with an acquisition), or the perception that such sales could occur, may adversely affect prevailing market prices of our common stock or the dividend amount payable per share on our common stock. In addition, the issuance of shares of common stock upon the exercise of outstanding options and warrants will result in dilution to the interests of other stockholders.

We may issue preferred stock with terms that could adversely affect the voting power or value of our common stock.

Our amended and restated certificate of incorporation authorizes us to issue, without the approval of our stockholders, one or more classes or series of preferred stock having such designations, preferences, limitations and relative rights, including preferences over our common stock respecting dividends and distributions, as our board of directors may determine. The terms of one or more classes or series of preferred stock could adversely impact the voting power or value of our common stock. For example, we might grant holders of preferred stock the right to elect some number of our directors in all events or on the happening of specified events or the right to veto specified transactions. Similarly, the repurchase or redemption rights or liquidation preferences we might assign to holders of preferred stock could affect the residual value of the common stock.

If securities or industry analysts do not publish research or reports about our business, if they adversely change their recommendations regarding our common stock or if our operating results do not meet their expectations, our stock price could decline.

The trading market for our common stock is influenced by the research and reports that securities or industry analysts publish about us or our business. Securities and industry analysts currently publish these research reports, but there is no

guarantee they will continue to publish them in the future. If securities or industry analysts initiate coverage and one or more of these analysts cease coverage of our company or fail to publish reports on us regularly, we could lose visibility in the financial markets, which in turn could cause our stock price or trading volume to decline. Moreover, if one or more of the analysts who cover our company downgrades our common stock or if our operating results do not meet their expectations, our stock price could decline.

Provisions in our organizational documents and the instruments governing our debt may discourage a takeover attempt even if doing so might be beneficial to our stockholders.

Provisions contained in our second amended and restated certificate of incorporation (the “amended and restated certificate of incorporation”) and second amended and restated bylaws (the “amended and restated bylaws”) could impose impediments to the ability of a third-party to acquire us even if a change of control would be beneficial to our stockholders. Provisions of our amended and restated certificate of incorporation and amended and restated bylaws impose various procedural and other requirements, which could make it more difficult for stockholders to effect certain corporate actions. For example, our amended and restated certificate of incorporation authorizes our board of directors to determine the rights, preferences, privileges and restrictions of unissued series of preferred stock, without any vote or action by our stockholders. Thus, our board of directors can authorize the issuance of shares of preferred stock with voting or conversion rights that could adversely affect the voting or other rights of holders of our common stock. These provisions may have the effect of delaying or deterring a change of control of our company and could limit the price that certain investors might be willing to pay in the future for shares of our common stock.

A change of control (as defined under the instruments governing our debt) is an event of default, permitting our lenders to accelerate the maturity of certain borrowings. Further, our borrowing arrangements impose other restrictions on us, including with respect to mergers or consolidations with other companies and the sale of substantially all of our assets. These provisions could prevent or deter a third-party from acquiring us even where the acquisition could be beneficial to our stockholders.

Our second amended and restated bylaws provide, subject to certain exceptions, that the Court of Chancery of the State of Delaware is the sole and exclusive forum for certain stockholder litigation matters, which could limit our stockholders’ ability to obtain a favorable judicial forum for disputes with us or our directors, officers, employees or stockholders.

Our amended and restated bylaws provide, subject to limited exceptions, that the Court of Chancery of the State of Delaware is, to the fullest extent permitted by law, the sole and exclusive forum for (i) any derivative action or proceeding brought on our behalf; (ii) any action asserting a claim of breach of a fiduciary duty owed by any of our directors, officers or other employees to us or our stockholders; (iii) any action asserting a claim against us, any director or our officers or employees arising pursuant to any provision of the Delaware General Corporation Law, our amended and restated certificate of incorporation (including any certificate of designations relating to any class or series of preferred stock) or our amended and restated bylaws; or (iv) any action asserting a claim against us, any director or our officers or employees that is governed by the internal affairs doctrine. Any person or entity purchasing or otherwise acquiring any interest in shares of our capital stock shall be deemed to have notice of and to have consented to the provisions of our amended and restated bylaws described above. This choice of forum provision may limit a stockholder’s ability to bring a claim in a judicial forum that it finds favorable for disputes with us or any of our directors, officers, other employees or stockholders which may discourage lawsuits with respect to such claims. Alternatively, if a court were to find the choice of forum provision that is contained in our amended and restated bylaws to be inapplicable or unenforceable in an action, we may incur additional costs associated with resolving such action in other jurisdictions, which could materially adversely affect our business, financial condition and results of operations.

Item 1B. Unresolved Staff Comments

None.

Item 2. Properties

Coal Reserves

We prepared our estimates of reserves which were audited by Marshall Miller & Associates, Inc. (“MM&A”), and MM&A reviewed our methodology, assumptions and reserve factors utilized in determining these estimates. In the few instances where MM&A recommended revisions to reserve figures, MM&A worked with our team to modify reserve estimates. MM&A relied on their independent pro-forma economic analysis for ultimate reserve determination; this analysis is further discussed in the Costs & Calculations section below.

We maintain an internal staff of engineers and geoscience professionals who work closely with independent reserve engineers to ensure the integrity, accuracy and timeliness of the data used to calculate our estimated reserves. Our internal technical team members meet with independent reserve engineers periodically to discuss the assumptions and methods used in the proved reserve estimation process. We provide historical information to the independent reserve engineers for their properties, such as ownership interest, production, test data, commodity prices and operating and development costs.

These estimates are based on engineering, economic and geologic data, coal ownership information and current and proposed mine plans. Our proven and probable coal reserves are reported as “recoverable coal reserves,” which is the portion of the coal that could be economically and legally extracted or produced at the time of the reserve determination, taking into account mining recovery and preparation plant yield. These estimates are periodically updated to reflect past coal production, new drilling information and other geologic or mining data. Acquisitions or dispositions of coal properties will also change these estimates. Changes in mining methods may increase or decrease the recovery basis for a coal seam, as will changes in preparation plant processes.

“Reserves” are defined by the SEC Industry Guide 7 as that part of a mineral deposit which could be economically and legally extracted or produced at the time of the reserve determination. Industry Guide 7 divides reserves between “proven (measured) reserves” and “probable (indicated) reserves,” which are defined as follows:

- “Proven (Measured) Reserves.” Reserves for which (a) quantity is computed from dimensions revealed in outcrops, trenches, workings or drill holes; grade and/or quality are computed from the results of detailed sampling and (b) the sites for inspection, sampling and measurement are spaced so closely and the geologic character is so well defined that size, shape, depth and mineral content of reserves are well-established.
- “Probable (Indicated) Reserves.” Reserves for which quantity and grade and/or quality are computed from information similar to that used for proven (measured) reserves, but the sites for inspection, sampling and measurement are farther apart or are otherwise less adequately spaced. The degree of assurance, although lower than that for proven (measured) reserves, is high enough to assume continuity between points of observation.

On October 31, 2018, the SEC voted to adopt amendments to modernize the property disclosure requirements for mining registrants and related guidance under the Securities Act of 1933 and the Securities Exchange Act of 1934. The final rules provide a three-year transition period, thus, we will be required to begin to comply with the new rules for the fiscal year beginning on January 1, 2021 (reported in the Annual Report on Form 10-K for the year ended December 31, 2021). We are in the process of assessing the impact the new rules will have on our disclosures.

As of December 31, 2019, we had estimated reserves totaling 1,330.9 million tons, of which 539.1 million tons, or 41%, were “assigned” recoverable reserves that were either being mined, were controlled and accessible from a then active mine, or located at idled facilities where limited capital expenditures would be required to initiate operations when conditions warrant. The remaining 791.8 million tons were classified as “unassigned,” representing coal at currently non-producing locations that we anticipate mining in the future, but which would require significant additional development capital before operations could begin.

The following table provides the location and coal reserves associated with each of our reportable segments and related significant mines as of December 31, 2019:

As of December 31, 2019
(in thousands of short tons)⁽¹⁾

Reportable Segment	Location	Recoverable Reserves			Assigned ⁽²⁾	Unassigned ⁽²⁾
		Reserves	Proven	Probable		
<u>CAPP - Met</u>						
Deep Mine 41	Virginia	29,118	23,835	5,283	29,118	—
Road Fork 52	West Virginia	17,298	11,956	5,342	17,298	—
Black Eagle	West Virginia	18,818	13,557	5,261	18,818	—
Lynn Branch	West Virginia	31,417	17,751	13,666	31,417	—
CAPP - Met Other	Virginia, West Virginia	548,102	376,011	172,091	286,950	261,152
<u>CAPP - Thermal</u>	West Virginia	41,839	22,026	19,813	41,839	—
<u>NAPP</u>						
Cumberland	Pennsylvania	107,982	64,160	43,822	107,982	—
NAPP Other	Pennsylvania	536,370	331,704	204,666	5,747	530,623
		1,330,944	861,000	469,944	539,169	791,775

⁽¹⁾ 1 short ton is equivalent to 0.907185 metric tons.

⁽²⁾ “Assigned” reserves represent recoverable reserves that are either currently being mined, reserves that are controlled and accessible from a currently active mine or reserves at idled facilities where limited capital expenditures would be required to initiate operations. “Unassigned” reserves represent coal at currently non-producing locations that would require significant additional capital spending before operations begin.

The following table provides the breakdown between the quantity of reserves that is currently covered by an active mining permit or not permitted and the quantity of reserves that is met coal or thermal coal associated with each of our reportable segments and related significant mines as of December 31, 2019:

As of December 31, 2019
(in thousands of short tons)⁽¹⁾

Reportable Segment	Reserve Control		By Permit Status		By Coal Market Type ⁽²⁾	
	Owned	Leased	Permitted	Not Permitted	Met	Thermal
CAPP - Met						
Deep Mine 41	—	29,118	26,438	2,680	29,118	—
Road Fork 52	249	17,049	2,928	14,370	17,298	—
Black Eagle	—	18,818	2,913	15,905	18,818	—
Lynn Branch	1,193	30,224	—	31,417	31,417	—
CAPP - Met Other	103,111	444,991	135,590	412,512	519,889	28,213
CAPP - Thermal	—	41,839	40,723	1,116	11,162	30,677
NAPP						
Cumberland	19,072	88,910	37,623	70,359	—	107,982
NAPP Other	294,622	241,748	42,013	494,357	44,180	492,190
	<u>418,247</u>	<u>912,697</u>	<u>288,228</u>	<u>1,042,716</u>	<u>671,882</u>	<u>659,062</u>

⁽¹⁾ 1 short ton is equivalent to 0.907185 metric tons.

⁽²⁾ Classification of coal market type is based on available quality information and is subject to change with shifting market conditions and/or additional exploration.

The following table provides a summary of the quality of our reserves for each of our reportable segments and related significant mines as of December 31, 2019:

As of December 31, 2019
(in thousands of short tons)⁽¹⁾

Reportable Segment	Reserves	Primary Coal Type	Sulfur Content			Average Btu	
			<1% Sulfur	1 - 1.5% Sulfur	>1.5% Sulfur	>12,500	<12,500
<u>CAPP - Met</u>							
Deep Mine 41	29,118	MVM	29,118	—	—	29,118	—
Road Fork 52	17,298	LVM	17,298	—	—	17,298	—
Black Eagle	18,818	HVM	18,818	—	—	18,818	—
Lynn Branch	31,417	HVM	31,417	—	—	31,417	—
CAPP - Met Other	548,102	HVM	418,335	120,131	9,636	528,256	19,846
<u>CAPP - Thermal</u>	41,839	T	41,839	—	—	37,208	4,631
<u>NAPP</u>							
Cumberland	107,982	T	—	—	107,982	107,982	—
NAPP Other	536,370	T	73,633	—	462,737	473,056	63,314
	1,330,944		630,458	120,131	580,355	1,243,153	87,791

⁽¹⁾ 1 short ton is equivalent to 0.907185 metric tons.

⁽²⁾ Coal Type: T=Thermal; LVM=Low-Vol. Metallurgical Coal; MVM=Mid-Vol. Metallurgical Coal; HVM=High-Vol. Metallurgical Coal.

The following table provides a summary of information regarding our mining operations for each of our reportable segments and related significant mines as of December 31, 2019:

Reportable Segment	Reserves (thousands of short tons) ⁽¹⁾	Type ⁽²⁾	Mining Equipment ⁽³⁾	Transportation	
				Rail	Other ⁽⁴⁾
<u>CAPP - Met</u>					
Deep Mine 41	29,118	U	CM	CSX	B
Road Fork 52	17,298	U	CM	NS	B
Black Eagle	18,818	U	CM	CSX	B
Lynn Branch	31,417	U	CM	CSX	—
CAPP - Met Other	548,102	U/S	CM/S/H	NS/CSX	B
<u>CAPP - Thermal</u>	41,839	U	CM	NS/CSX	B
<u>NAPP</u>					
Cumberland	107,982	U	LW	NS/CSX	B
NAPP Other	536,370	U	CM/LW	NS/CSX	B
	1,330,944				

⁽¹⁾ 1 short ton is equivalent to 0.907185 metric tons.

⁽²⁾ Type of Mine: S = Surface; U = Underground.

⁽³⁾ Mining Equipment: S = Shovel/Excavator/Loader/Trucks; LW = Longwall; CM = Continuous Miner; H = Highwall Miner.

⁽⁴⁾ Transportation: B = Barge Loadout availability.

The following table provides a summary of information regarding our significant preparation plants as of December 31, 2019:

Reportable Segment/Preparation Plant	Preparation Plant(s)		
	Capacity (short tons per hr) ⁽¹⁾	Utilization %	Source of Power
CAPP - Met			
McClure	1,000	63%	MP2 Energy
Toms Creek	1,050	47%	Old Dominion
Bandmill	1,200	64%	AEP
Marfork	2,400	63%	AEP
NAPP			
Cumberland	1,600	73%	West Penn Power

⁽¹⁾ 1 short ton is equivalent to 0.907185 metric tons.

Information provided within the previous tables concerning our properties has been prepared in accordance with applicable U.S. federal securities laws. All mineral reserve estimates have been prepared in accordance with SEC Industry Guide 7.

The following is a summary of information regarding our significant coal terminals as of December 31, 2019:

- DTA coal export terminal in eastern Virginia. We own a 65.0% interest in DTA which provides us with the ability to fulfill a broad range of customer coal quality requirements through coal blending, while also providing storage capacity and transportation flexibility.
- Labelle River & Rail Terminal. A multimodal materials handling facility offering river to rail shipping for our Cumberland mine with access to both CSX Transportation and Norfolk Southern Railway Company rail carriers.

Costs & Calculations

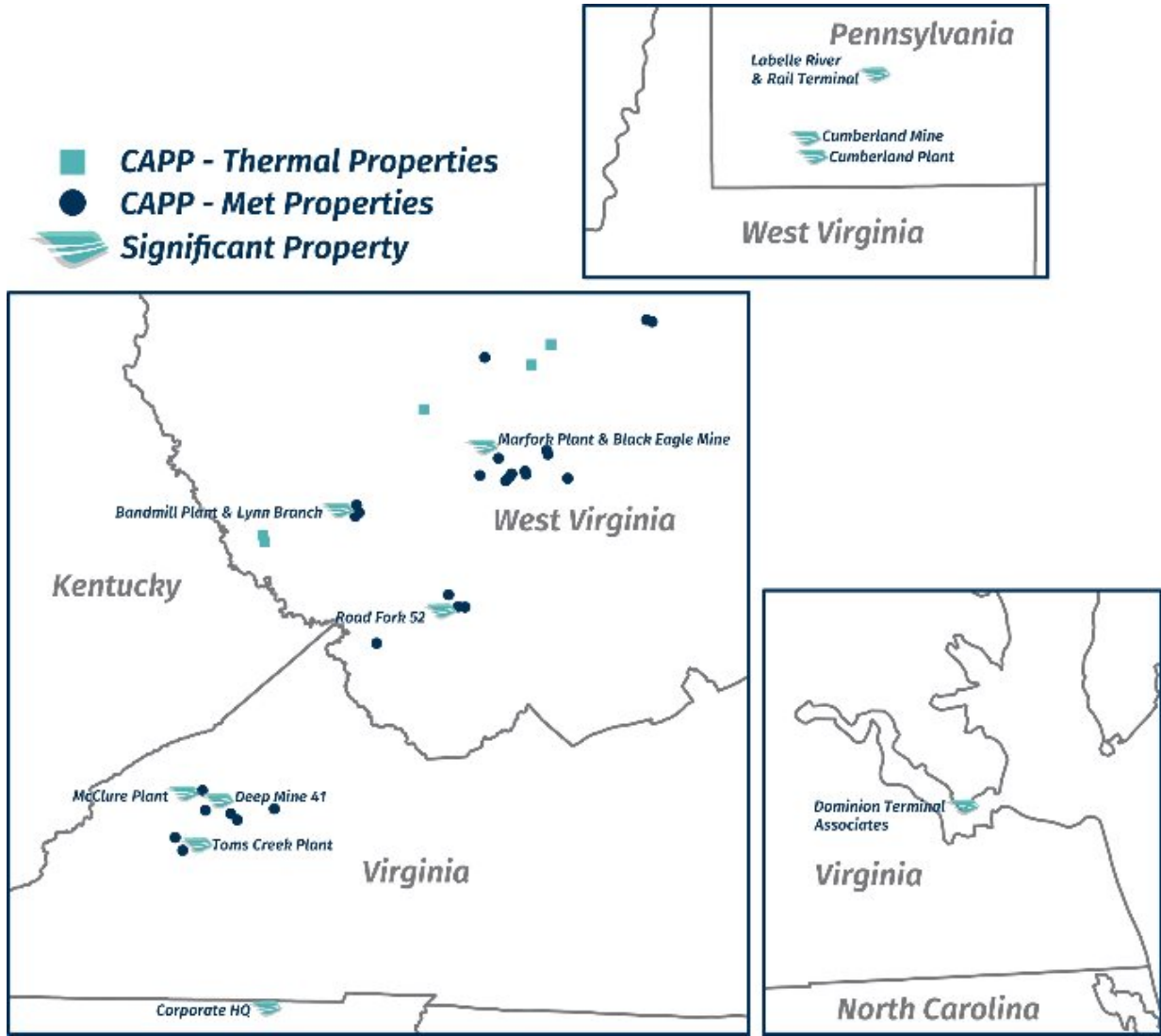
Coal tonnage is classified as reserve when demonstrating profit on a fully loaded cost basis. Pro forma testing conducted by MM&A demonstrated that our reserves are expected to generate cash and are profitable on a fully loaded cost basis. Fully loaded costs were compared to two-year historical sales realizations for all potential reserve areas. The classification of reserves is dependent upon the sum of all costs normalized to a per clean ton basis being less than the two-year historical sales price. The two-year historical sales price includes the following average prices categorized by coal qualities:

Coal Qualities	Two Year Historical Average Sales Price
Met High-Vol. A	\$119
Met High-Vol. B	\$103
Met Mid-Vol.	\$123
Met Low-Vol.	\$122
Thermal - CAPP-Thermal	\$56
Thermal - NAPP	\$44

For the surface mining reserve areas, the mining costs were estimated using the surface mining overburden ratios. Direct mining costs were estimated for labor, blasting, fuel and lubrication supplies, repairs and maintenance, operating supplies and other costs. The pro forma mining cost estimates for underground mining areas began with the computation of representative total seam thickness for each area evaluated. The clean-tons-per-foot of mining advance was calculated to support mine production and productivity calculations.

All underground and highwall miner coal reserves are expected to require washing to remove coal partings and out-of-seam contamination. Preparation plant yield was calculated by multiplying the in-seam recovery, out-of-seam contamination and plant efficiency factors. In-seam recovery factors were obtained based upon the relative percentages of coal and rock within the seam. Direct mining costs were estimated for labor, supplies, maintenance and repairs, mine power and other direct mining costs. Sales, general and administration and environmental cost allocations were based on values typically observed by MM&A. Sales variable costs for royalty payments, black lung excise tax and reclamation fees were calculated, along with cost components for other indirect mining costs.

The following map shows the locations of our significant properties, CAPP - Met properties, CAPP - Thermal properties, and corporate headquarters.



Item 3. Legal Proceedings

For a description of the Company’s legal proceedings, refer to Note 23, part (d), to the Consolidated Financial Statements, which is incorporated herein by reference.

Item 4. Mine Safety Disclosures

Information concerning mine safety violations or other regulatory matters required by Section 1503(a) of the Dodd-Frank Wall Street Reform and Consumer Protection Act and Item 104 of Regulation S-K is included in Exhibit 95 to this Annual Report on Form 10-K.

Part II

Item 5. Market for Registrant's Common Equity, Related Stockholder Matters and Issuer Purchases of Equity Securities

Price range of our common stock

Upon the consummation of the transactions contemplated by the Merger Agreement, Contura began trading on the New York Stock Exchange under the ticker "CTRA" on November 9, 2018. Previously, Contura shares traded on the OTC market under the ticker "CNTE." The following table sets forth, for the periods indicated, the high and low sales prices per share of our common stock reported in the OTC market and the New York Stock Exchange.

2019	High	Low
First Quarter	\$66.00	\$54.21
Second Quarter	\$61.87	\$49.62
Third Quarter	\$52.71	\$25.37
Fourth Quarter	\$28.12	\$5.70
2018	High	Low
First Quarter	\$69.00	\$61.00
Second Quarter	\$80.00	\$62.25
Third Quarter	\$81.00	\$66.00
Fourth Quarter	\$80.00	\$60.76

As of December 31, 2019, there were 115 registered holders of record of our common stock. The transfer agent and registrar for our common stock is Computershare Trust Company, N.A.

Dividend Policy

The payment of dividends is subject to certain limitations, as set forth in the terms of our borrowing arrangements. During the years ended 2019 and 2018, we did not pay dividends on our common stock. Refer to Note 13 for information on the dividend paid in 2017. Our Board of Directors periodically evaluates the initiation of dividends. There is no assurance as to the amount or payment of dividends in the future because they will be subject to ongoing Board of Directors review and authorization will be based on a number of factors, including terms of our borrowing arrangements, business and market conditions, our future financial performance and other capital priorities.

Repurchase of Common Stock

The following table summarizes information about shares of common stock that were repurchased during the fourth quarter of 2019.

	Total Number of Shares Purchased ⁽¹⁾	Average Price Paid per Share	Total Number of Shares Purchased as Part of Publicly Announced Share Repurchase Programs ⁽²⁾	Approximate Dollar Value of Shares that May Yet Be Purchased Under the Programs ^{(2),(3)}
October 1, 2019 through October 31, 2019	55	\$ 24.56	—	\$ 67,552
November 1, 2019 through November 30, 2019	12,689	\$ 10.08	—	\$ 67,552
December 1, 2019 through December 31, 2019	23,196	\$ 6.68	—	\$ 67,552
	<u>35,940</u>		<u>—</u>	<u>\$ 67,552</u>

⁽¹⁾ We are authorized to repurchase common shares from employees (upon the election by the employee) to satisfy the employees' statutory tax withholdings upon the vesting of stock grants. Shares that are repurchased to satisfy the employees' statutory tax withholdings are recorded in treasury stock at cost.

⁽²⁾ Refer to Note 13 for information on our capital return program. As of October 1, 2019, we suspended the Company Repurchase Plan.

⁽³⁾ We cannot estimate the number of shares that will be repurchased because decisions to purchase are subject to market and business conditions, levels of available liquidity, our cash needs, restrictions under agreements or obligations, legal or regulatory requirements or restrictions, and other relevant factors. This amount does not include \$16 thousand of stock repurchase related fees.

There were no repurchases related to warrants during the current quarter. Refer to Note 2 for information on warrants.

Item 6. Selected Financial Data

The following table presents selected financial and other data for the most recent five fiscal periods. The term “Successor” refers to Contura and its subsidiaries for periods beginning as of July 26, 2016 and thereafter. The term “Predecessor” refers to Contura on a carve-out basis using Predecessor Alpha’s historical basis and our assets, liabilities and operating results while they were under Predecessor Alpha’s ownership.

The selected historical consolidated and combined financial data for the years ended December 31, 2019, 2018, and 2017, and as of December 31, 2019 and 2018 have been derived from our audited consolidated financial statements for the year ended December 31, 2019, which are included elsewhere in this Annual Report on Form 10-K. The selected historical consolidated and combined financial data for the Successor period from July 26, 2016 to December 31, 2016 and for the Predecessor period from January 1, 2016 to July 25, 2016, and as of December 31, 2017, have been derived from our audited consolidated and Predecessor combined financial statements for the year ended December 31, 2018, which are not included this Annual Report on Form 10-K.

The selected historical combined financial data for the Predecessor year ended December 31, 2015 and as of December 31, 2016 and December 31, 2015 have been derived from the audited Predecessor financial statements that are not included in this Annual Report on Form 10-K. The selected historical combined financial data for the Predecessor year as of July 25, 2016 have been derived from Contura’s unaudited financial statements, which are not included in this Annual Report on Form 10-K.

As a result of our acquisition of certain Predecessor Alpha core coal operations in connection with Predecessor Alpha’s restructuring, the Successor consolidated financial statements on and after July 25, 2016 are not comparable with the Predecessor combined financial statements prior to that date.

Our Predecessor combined financial statements and condensed combined financial statements include allocations of expenses for certain corporate functions historically performed by Predecessor Alpha, including, but not limited to, general corporate expenses related to finance, legal, information technology, human resources, communications, employee benefits and incentives, insurance and stock-based compensation. These costs may not be representative of costs incurred by us as an independent company. Consequently, the financial information included here may not necessarily reflect our financial position, results of operations and cash flows in the future or what our financial condition, results of operations and cash flows would have been had we been an independent company during the periods presented.

The results of operations for the historical periods included in the following table are not necessarily indicative of the results to be expected for future periods. In addition, see Item 1A “Risk Factors” of this Annual Report on Form 10-K for a discussion of risk factors that could impact our future results of operations.

In addition, see Item 7 “Management’s Discussion and Analysis of Financial Condition and Results of Operations” and Item 8 “Financial Statements and Supplementary Data” for additional financial information.

SELECTED HISTORICAL CONSOLIDATED AND COMBINED FINANCIAL DATA
(Amounts in thousands, except share and per share data)

	Successor				Predecessor	
	For the Year Ended December 31, 2019	For the Year Ended December 31, 2018	For the Year Ended December 31, 2017	For the Period from July 26, 2016 to December 31, 2016	For the Period from January 1, 2016 to July 25, 2016	For the Year Ended December 31, 2015
Statements of Operations Data:						
Revenues:						
Coal revenues	\$ 2,282,007	\$ 2,020,889	\$ 1,392,481	\$ 431,692	\$ 344,692	\$ 816,010
Freight and handling revenues	—	—	247,402	70,544	52,076	97,237
Other revenues	8,253	10,316	10,086	4,060	14,343	12,774
Total revenues	2,290,260	2,031,205	1,649,969	506,296	411,111	926,021
Costs and expenses:						
Cost of coal sales (exclusive of items shown separately below)	1,924,709	1,661,118	1,327,297	390,334	357,352	801,534
Depreciation, depletion and amortization	228,792	77,549	34,910	5,973	66,076	149,197
Accretion on asset retirement obligations	27,798	9,966	9,934	4,800	5,005	5,696
Amortization of acquired intangibles, net	(88)	(5,392)	59,007	61,281	11,567	2,223
Selling, general and administrative expenses (exclusive of depreciation and amortization shown separately above)	78,953	59,271	67,459	19,135	29,568	44,158
Merger-related costs	1,090	51,800	—	—	—	—
Secondary offering costs ⁽¹⁾	—	—	4,491	—	—	—
Asset impairment and restructuring ⁽²⁾	66,324	—	—	—	3,096	297,425
Goodwill impairment ⁽³⁾	124,353	—	—	—	—	—
Total other operating (income) loss:						
Mark-to-market adjustment for acquisition-related obligations	(3,564)	24	3,221	(10,616)	—	—
Gain on settlement of acquisition-related obligations	—	(580)	(38,886)	—	—	—
Other (income) expenses	(575)	(16,311)	178	—	2,184	(99)
Total costs and expenses	2,447,792	1,837,445	1,467,611	470,907	474,848	1,300,134
(Loss) income from operations	(157,532)	193,760	182,358	35,389	(63,737)	(374,113)
Other (expense) income:						
Interest expense	(66,798)	(38,810)	(35,977)	(20,496)	(2)	(28)
Interest income	7,296	1,949	210	23	19	4
Mark-to-market adjustment for warrant derivative liability	—	—	—	(33,975)	—	—
Loss on modification and extinguishment of debt	(26,459)	(12,042)	(38,701)	—	—	—
Equity loss in affiliates	(6,874)	(6,112)	(3,339)	(2,287)	(2,735)	(7,712)
Bargain purchase gain	—	—	1,011	7,719	—	—
Miscellaneous (loss) income, net	(10,332)	(1,254)	194	(139)	(13,978)	(20,904)
Total other expense, net	(103,167)	(56,269)	(76,602)	(49,155)	(16,696)	(28,640)
(Loss) income from continuing operations before reorganization items and income taxes	(260,699)	137,491	105,756	(13,766)	(80,433)	(402,753)
Reorganization items, net	—	—	—	—	(20,989)	(10,085)
(Loss) income from continuing operations before income taxes	(260,699)	137,491	105,756	(13,766)	(101,422)	(412,838)
Income tax benefit	57,557	165,363	67,979	1,920	39,881	155,052
Net (loss) income from continuing operations	(203,142)	302,854	173,735	(11,846)	(61,541)	(257,786)
Discontinued operations:						
(Loss) income from discontinued operations before income taxes	(117,391)	(4,994)	(36,894)	1,467	(679)	(259,317)
Income tax benefit (expense) from discontinued operations	4,214	1,305	17,681	(551)	(4,992)	99,543

	Successor				Predecessor	
	For the Year Ended December 31, 2019	For the Year Ended December 31, 2018	For the Year Ended December 31, 2017	For the Period from July 26, 2016 to December 31, 2016	For the Period from January 1, 2016 to July 25, 2016	For the Year Ended December 31, 2015
Statements of Operations Data:						
(Loss) income from discontinued operations	(113,177)	(3,689)	(19,213)	916	(5,671)	(159,774)
Net (loss) income	<u>\$ (316,319)</u>	<u>\$ 299,165</u>	<u>\$ 154,522</u>	<u>\$ (10,930)</u>	<u>\$ (67,212)</u>	<u>\$ (417,560)</u>
Basic (loss) income per common share: ⁽⁴⁾						
(Loss) income from continuing operations	\$ (10.80)	\$ 27.61	\$ 17.01	\$ (1.15)		
(Loss) income from discontinued operations	(6.02)	(0.33)	(1.89)	0.09		
Net (loss) income	<u>\$ (16.82)</u>	<u>\$ 27.28</u>	<u>\$ 15.12</u>	<u>\$ (1.06)</u>		
Diluted (loss) income per common share: ⁽⁴⁾						
(Loss) income from continuing operations	\$ (10.80)	\$ 25.86	\$ 16.13	\$ (1.15)		
(Loss) income from discontinued operations	(6.02)	(0.32)	(1.78)	0.09		
Net (loss) income	<u>\$ (16.82)</u>	<u>\$ 25.54</u>	<u>\$ 14.35</u>	<u>\$ (1.06)</u>		
Weighted average shares - basic	18,808,460	10,967,014	10,216,464	10,309,310		
Weighted average shares - diluted	18,808,460	11,712,653	10,770,005	10,309,310		
Statement of Cash Flows Data: ⁽⁵⁾						
Net cash provided by (used in):						
Operating activities	<u>\$ 131,880</u>	<u>\$ 158,381</u>	<u>\$ 314,260</u>	<u>\$ 21,459</u>	<u>\$ 77,029</u>	<u>\$ 155,052</u>
Investing activities	<u>\$ (191,752)</u>	<u>\$ 102,196</u>	<u>\$ (121,307)</u>	<u>\$ 108,352</u>	<u>\$ (25,029)</u>	<u>\$ (97,034)</u>
Financing activities	<u>\$ (69,694)</u>	<u>\$ 22,709</u>	<u>\$ (170,282)</u>	<u>\$ 41,478</u>	<u>\$ (35,822)</u>	<u>\$ (53,585)</u>
	Successor				Predecessor	
	As of December 31,				As of July 25, 2016	As of December 31, 2015
	2019	2018	2017	2016		
Balance Sheet Data (at period end):						
Cash and cash equivalents	<u>\$ 212,793</u>	<u>\$ 233,599</u>	<u>\$ 141,924</u>	<u>\$ 127,948</u>	<u>\$ 100</u>	<u>\$ 227</u>
Working capital ⁽⁶⁾	<u>\$ 396,327</u>	<u>\$ 473,782</u>	<u>\$ 234,595</u>	<u>\$ 222,917</u>	<u>\$ (3,888)</u>	<u>\$ 76,711</u>
Total current and non-current assets – discontinued operations	<u>\$ —</u>	<u>\$ 22,475</u>	<u>\$ 48,130</u>	<u>\$ 190,454</u>	<u>\$ 401,543</u>	<u>\$ 404,363</u>
Total assets	<u>\$ 2,302,823</u>	<u>\$ 2,746,058</u>	<u>\$ 836,600</u>	<u>\$ 946,752</u>	<u>\$ 1,590,256</u>	<u>\$ 1,715,410</u>
Notes payable and long-term debt, including current portion, net	<u>\$ 592,966</u>	<u>\$ 588,012</u>	<u>\$ 372,703</u>	<u>\$ 346,994</u>	<u>\$ 95</u>	<u>\$ 136</u>
Total current and non-current liabilities – discontinued operations	<u>\$ —</u>	<u>\$ 21,986</u>	<u>\$ 61,876</u>	<u>\$ 164,709</u>	<u>\$ 225,964</u>	<u>\$ 197,383</u>
Total liabilities ⁽⁷⁾	<u>\$ 1,606,701</u>	<u>\$ 1,674,918</u>	<u>\$ 743,952</u>	<u>\$ 909,528</u>	<u>\$ 470,003</u>	<u>\$ 501,513</u>
Stockholders' equity/Predecessor business equity	<u>\$ 696,122</u>	<u>\$ 1,071,140</u>	<u>\$ 92,648</u>	<u>\$ 37,224</u>	<u>\$ 1,120,253</u>	<u>\$ 1,213,897</u>

(1) Secondary offering costs reflect expenses incurred in connection with the withdrawn secondary offering of our common stock.

(2) Asset impairment for the year ended December 31, 2019 includes a long-lived asset impairment of \$9,176 and \$50,993 related to asset groups within the CAPP - Met and CAPP - Thermal reporting segments, respectively, and an asset impairment of \$6,155 primarily related to the write-off of prepaid purchased coal as a result of Blackjewel's Chapter 11 bankruptcy filing on July 1, 2019. Asset impairment and restructuring expenses for the year ended December 31, 2015 include long-lived asset impairment of \$224,139 and \$72,012 related to asset groups within the NAPP and CAPP - Met reporting segments, respectively.

(3) Goodwill impairment for the year ended December 31, 2019 includes impairment charges of \$124,353 within the CAPP - Met reporting segment.

(4) Historical basic income (loss) per share is calculated based on the weighted average common shares outstanding for the year ended December 31, 2019, December 31, 2018, December 31, 2017 and for the period from July 26, 2016 to December 31, 2016. For the years ended December 31, 2018 and December 31, 2017, the dilutive effect of stock options and other stock-based instruments is considered when calculating the diluted earnings per share as the Company generated net income during these periods. There was no dilutive effect to common shares outstanding for the year ended December 31, 2019 and the period from July 26, 2016 to December 31, 2016 as in periods of net loss, the number of shares used to calculate diluted earnings per share is the same as basic earnings per share.

(5) Cash flow data includes discontinued operations.

- (6) Working capital (current assets less current liabilities) calculation includes cash and cash equivalents but excludes discontinued operations.
- (7) Total liabilities as of July 25, 2016 and December 31, 2015 include \$35,693 and \$72,242, respectively, of liabilities subject to compromise related to Alpha's bankruptcy filing.

Item 7. Management's Discussion and Analysis of Financial Condition and Results of Operations

The following discussion and analysis provides a narrative of our results of operations and financial condition for the years ended December 31, 2019 and 2018. The following discussion and analysis should be read in conjunction with our Consolidated Financial Statements and related notes and the risk factors included elsewhere in this Annual Report on Form 10-K.

Market Overview

After strong metallurgical coal prices in the first half of 2019 with Atlantic High-Vol. A prices averaging approximately \$200 per metric ton, the coal market encountered weakness beginning in July of 2019, resulting in prices averaging approximately \$50 per metric ton lower in the second half of 2019. This had a negative impact on our results during the third and fourth quarters of 2019. While the economic softness and resulting coal price weakness was felt across our international markets, the most significant steel production downturns occurred in Europe and South America. This economic softness has continued into 2020 and has been further worsened by the growing impact of the coronavirus. We view the current market softness for metallurgical coal to be driven by subdued demand. Reductions in North American production and limited capital expenditures have maintained the metallurgical coal supply, and we anticipate an improved outlook for metallurgical coal demand as the coronavirus crisis subsides, and international tariff agreements are implemented. While the thermal markets also experienced weakness, the impact on our 2019 results was more subdued due to the presence of longer-term contracts.

Business Overview

We are a large-scale provider of met and thermal coal to a global customer base, operating high-quality, cost-competitive coal mines across two major U.S. coal basins (CAPP and NAPP). As of December 31, 2019, our operations consisted of twenty-nine active mines and ten coal preparation and load-out facilities, with approximately 4,360 employees. We produce, process, and sell met coal and thermal coal from operations located in Virginia, West Virginia and Pennsylvania. We also sell coal produced by others, some of which is processed and/or blended with coal produced from our mines prior to resale, with the remainder purchased for resale. As of December 31, 2019, we had 1.3 billion tons of reserves, including 861.0 million tons of proven reserves and 469.9 million tons of probable reserves.

We began operations on July 26, 2016, with mining operations in NAPP, CAPP, and the PRB. Through the Acquisition, Contura acquired a significant reserve base. We also acquired Alpha's 40.6% interest in the DTA coal export terminal in eastern Virginia, and on March 31, 2017, we acquired a portion of another partner's ownership stake and increased our interest to 65.0%. On December 8, 2017, the Company closed a transaction to sell the Eagle Butte and Belle Ayr mines located in the PRB, Wyoming, along with related coal reserves, equipment, infrastructure and other real properties. The PRB results of operations and financial position are reported as discontinued operations in the Consolidated Financial Statements. The historical information in the accompanying Notes to the Consolidated Financial Statements has been restated to reflect the effects of the PRB operations being reported as discontinued operations in the Consolidated Financial Statements. Refer to Note 4 for further information on discontinued operations. The Merger with Alpha Natural Resources Holdings, Inc. and ANR, Inc. was completed on November 9, 2018. Refer to Note 3 for information on terms of the Merger Agreement.

For the years ended December 31, 2019 and 2018, sales of met coal were 12.9 million tons and 11.1 million tons, respectively, and accounted for approximately 54.6% and 63.2%, respectively, of our coal sales volume. Sales of thermal coal were 10.8 million tons and 6.5 million tons, respectively, and accounted for approximately 45.4% and 36.8%, respectively, of our coal sales volume.

Our sales of met coal were made primarily to steel companies in the northeastern and midwestern regions of the United States and in several countries in Europe, Asia and the Americas. Our sales of thermal coal were made primarily to large utilities and industrial customers throughout the United States. For the years ended December 31, 2019 and 2018 approximately 54.7% and 82.7%, respectively, of our coal revenues were derived from coal sales made to customers outside the United States.

In addition, we generate other revenues from equipment sales, rentals, terminal and processing fees, coal and environmental analysis fees, royalties and the sale of natural gas. We also record freight and handling fulfillment revenue within coal revenues for freight and handling services provided in delivering coal to certain customers, which are a component of the contractual selling price.

As of December 31, 2019, we have three reportable segments: CAPP - Met, CAPP - Thermal, and NAPP. To conform to the current period reportable segments presentation, the prior periods have been restated to reflect the change in reportable segments. Refer to Note 25 for additional disclosures on reportable segments including export coal revenue information.

Business Developments

Merger with Alpha Natural Resources Holdings, Inc. and ANR, Inc.

Refer to Note 3 for information on Alpha Merger and terms of the Merger Agreement.

Sale of PRB Operations

Discontinued operations consist of ongoing activity related to our former PRB operations. On December 8, 2017, we closed a transaction with Blackjewel to sell our Eagle Butte and Belle Ayr mines located in Wyoming. However, during the post-closing mine permit transfer period, we were required to maintain our existing reclamation bonds and related collateral. To facilitate permit transfer to the Buyer, during 2018, we agreed to backstop a total of \$44.8 million of Blackjewel's bonding obligations with respect to the Eagle Butte and Belle Ayr permits by entering into secondary general indemnification agreements and providing letters of credit totaling \$18.8 million to sureties as collateral for our indemnification obligations. Blackjewel agreed that, by June 30, 2019, it would enter into additional financial arrangements and cause each surety to release and return each letter of credit and cancel our general indemnification agreements. Indemnity bonds in the amount of \$26.0 million were issued by a third-party insurer in our favor to insure Blackjewel's performance obligations with respect to cancellation of the general indemnification agreements and return of the letters of credit.

On July 1, 2019, prior to the transfer of the permits, Blackjewel announced that it and certain affiliated entities had filed voluntary petitions for relief under Chapter 11 of the Bankruptcy Code in the United States Bankruptcy Court for the Southern District of West Virginia (the "Bankruptcy Court"), which cases, along with the cases filed by certain other affiliates of Blackjewel a few weeks later, are being jointly administered under the caption *In re Blackjewel, L.L.C.*, Case No. 19-30289 (Bankr. S.D. W. Va.). On July 25, 2019, we announced that we would seek to serve as the stalking horse purchaser for certain assets offered for sale through Blackjewel's bankruptcy proceedings. On August 6, 2019, the Bankruptcy Court verbally approved our purchase of the Eagle Butte and Belle Ayr mines in Wyoming and the Pax Surface Mine in West Virginia for \$33.8 million pending resolution of outstanding objections and approval of certain regulatory agencies. In connection with our agreement to serve as stalking horse purchaser, we made a purchase deposit of \$8.1 million (the "Stalking Horse Purchase Deposit"). On August 29, 2019, as a result of ongoing objections with respect to the Wyoming mines, the Bankruptcy Court entered an order approving the separate sale of the Pax Surface Mine to us for \$6.2 million (comprised, in part, of \$5.1 million credited against the Stalking Horse Deposit). On September 18, 2019, we announced that we had entered into an agreement which would allow a third party to purchase the Eagle Butte and Belle Ayr mines from Blackjewel and assume associated reclamation obligations.

On October 4, 2019, the Bankruptcy Court entered an order approving the sale by Blackjewel of the Belle Ayr and Eagle Butte mines to ESM, an affiliate of FM Coal, LLC ("FM Coal"). The closing of the ESM acquisition occurred on October 18, 2019. As discussed above, we were the former owner of the Western Assets. As the mine permit transfer process relating to our sale of the Western Assets to Blackjewel had not been completed prior to Blackjewel's filing for Chapter 11 bankruptcy protection, we remained the permitholder in good standing for both mines and maintained surety bonding to cover related reclamation and other obligations.

In connection with ESM's acquisition of the Western Assets from Blackjewel, on October 18, 2019 (the "ESM Transaction"), Contura and ESM finalized an agreement which provided, among other items, for the transfer of the Western Asset permits from Contura to ESM once certain approvals for their transfer have been obtained and for the assumption by ESM of the related reclamation obligations.

In connection with the closing of the ESM Transaction, the surety bonding previously maintained by us for the benefit of the DEQ was released and has been replaced with substitute surety bonds arranged for by ESM in the amount of approximately \$238.0 million. In accordance with separate agreements with ESM's surety providers, we have no liability with respect to the substitute surety bonds. In addition, pursuant to an agreement with ESM, FM Coal, and the United States Department of Interior's Office of Surface Mining, Reclamation and Enforcement ("OSM"), OSM has agreed that we would not be linked to any future bond forfeiture related to the Western Assets nor any Surface Mining Control and Reclamation Act of 1977 violations by ESM prior to permit transfer. ESM is operating the mines during the permit transfer process and has agreed to use commercially reasonable efforts to cause the permits to be transferred as promptly as possible. As Blackjewel's surety bonds

were also released in connection with the ESM Transaction, our \$44.8 million backstop of Blackjewel's bonding program and \$18.8 million supporting letters of credit were released.

Pursuant to the terms of the ESM Transaction, we agreed to pay ESM \$90.0 million (\$81.3 million at closing and an additional \$8.7 million into escrow pursuant to terms to be mutually agreed upon between the parties). In addition, we agreed to finalize the conveyance of certain Wyoming real property to ESM upon release of such property as collateral by the DEQ, waive its rights to the remaining \$3.1 million of the Stalking Horse Purchase Deposit provided to Blackjewel in connection with the stalking horse agreement, and pay certain Blackjewel debtor-in-possession ("DIP") lenders \$3.0 million of principal and interest pursuant to an existing agreement between us and those lenders. Refer to Note 22. ESM agreed to indemnify us and our affiliates against all reclamation liabilities related to the Western Assets and against claims by the federal government, the State of Wyoming, or Campbell County, Wyoming for royalties, ad valorem taxes, and other amounts relating to the Western Assets for the period beginning on December 8, 2017.

As of the ESM Transaction closing date, our asset retirement obligation with respect to the Western Assets totaled \$152.9 million. Prior to the transfer of the Western Asset permits to ESM, we will continue to have potential risk with respect to the related reclamation obligations. However, given (i) the release of our bonding obligations described above and the posting of substitute bonds by ESM, (ii) the agreement with ESM's surety providers that release us from liability with respect to the substitute bonds or the obligations secured thereby, (iii) the terms of the OSM agreement, (iv) the terms on which ESM is authorized to operate pursuant to the permits, and (v) the ESM indemnity with respect to the reclamation obligations, we expect the remaining risk to be low. As a result, following the closing of the ESM Transaction and payment of amounts to ESM, our remaining reclamation obligation was reduced to zero during the three months ended December 31, 2019. We will closely monitor the permit transfer process and periodically re-assess our reclamation obligations as required. We received approximately \$9.0 million of cash collateral returned related to the release of our surety bonds.

Additionally, in connection with the closing of the ESM Transaction, we paid \$13.5 million to Campbell County, Wyoming for accrued ad valorem back taxes for 2018 and were released from all claims related thereto. Pursuant to an agreement with ESM, the State of Wyoming Department of Revenue, and Blackjewel, the State of Wyoming Department of Revenue released us from any outstanding claims related to state tax obligations arising from or related to the Western Mines for any period through and including the closing date of the transaction.

In connection with the ESM Transaction, we recorded a \$59.5 million gain within the depreciation, depletion, and amortization within discontinued operations in the Consolidated Statements of Operations during the three months ended December 31, 2019 as a result of the reduction of the reclamation obligation partially offset by the consideration paid in connection with the transaction as discussed above.

Refer to Note 4 for additional disclosure information on discontinued operations.

Factors Affecting Our Results of Operations

Sales Agreements

We manage our commodity price risk for coal sales through the use of coal supply agreements. As of March 6, 2020, we expect to ship on sales commitments of approximately 6.4 million tons of NAPP coal for 2020, all of which is priced at an average realized price per ton of \$43.43, 12.3 million tons of CAPP - Met coal for 2020, 52% of which is priced at an average realized price per ton of \$97.91, and 3.0 million tons of CAPP - Thermal coal for 2020, all of which is priced at an average realized price per ton of \$55.95.

Realized Pricing. Our realized price per ton of coal is influenced by many factors that vary by region, including (i) coal quality, which includes energy (heat content), sulfur, ash, volatile matter and moisture content; (ii) differences in market conventions concerning transportation costs and volume measurement; and (iii) regional supply and demand.

- **Coal Quality.** The energy content or heat value of thermal coal is a significant factor influencing coal prices as higher energy coal is more desirable to consumers and typically commands a higher price in the market. The heat value of coal is commonly measured in British thermal units or the amount of heat needed to raise the temperature of one pound of water by one degree Fahrenheit. Coal from the eastern and midwest regions of the United States tends to have a higher heat value than coal found in the western United States. Coal volatility is a significant factor influencing met coal pricing as coal with a lower volatility has historically been more highly valued and typically commands a higher price in the market. The volatility refers to the loss in mass, less moisture, when coal is heated in the absence of

air. The volatility of met coal determines the percentage of feed coal that actually becomes coke, known as coke yield, with lower volatility producing a higher coke yield.

- **Market Conventions.** Coal sales contracts are priced according to conventions specific to the market into which such coal is to be sold. Our domestic sales contracts are typically priced free on board (“FOB”) at our mines and on a short ton basis. Our international sales contracts are typically priced FOB at the shipping port from which such coal is delivered and on a metric ton basis. Accordingly, for international sales contracts, we typically bear the cost of transportation from our mines to the applicable outbound shipping port, and our coal sales realization per ton calculation reflects the conversion of such tonnage from metric tons into short tons, as well as the elimination of the freight and handling fulfillment component of coal sales revenue. In addition, for domestic sales contracts, as customers typically bear the cost of transportation from our mines, our operations located farther away from the end user of the coal may command lower prices.
- **Regional Supply and Demand.** Our realized price per ton is influenced by market forces of the regional market into which such coal is to be sold. Market pricing may vary according to region and lead to different discounts or premiums to the most directly comparable benchmark price for such coal product.

Costs. Our results of operations are dependent upon our ability to improve productivity and control costs. Our primary expenses are for operating supply costs, repair and maintenance expenditures, cost of purchased coal, royalties, current wages and benefits, post-employment benefits, freight and handling costs, and taxes incurred in selling our coal. Principal goods and services we use in our operations include maintenance and repair parts and services, electricity, fuel, roof control and support items, explosives, tires, conveyance structure, ventilation supplies and lubricants.

Our management strives to aggressively control costs and improve operating performance to mitigate external cost pressures. We experience volatility in operating costs related to fuel, explosives, steel, tires, contract services and healthcare, among others, and take measures to mitigate the increases in these costs at all operations. We have a centralized sourcing group for major supplier contract negotiation and administration, for the negotiation and purchase of major capital goods, and to support the business units. We promote competition between suppliers and seek to develop relationships with suppliers that focus on lowering our costs. We seek suppliers who identify and concentrate on implementing continuous improvement opportunities within their area of expertise. To the extent upward pressure on costs exceeds our ability to realize sales increases, or if we experience unanticipated operating or transportation difficulties, our operating margins would be negatively impacted. We may also experience difficult geologic conditions, delays in obtaining permits, labor shortages, unforeseen equipment problems, and unexpected shortages of critical materials such as tires, fuel and explosives that may result in adverse cost increases and limit our ability to produce at forecasted levels.

Results of Operations

Our results of operations for the years ended December 31, 2019 and 2018 are discussed in these “Results of Operations” presented below.

For the discussion of our results of operations and financial condition for the year ended December 31, 2018 compared to the year ended December 31, 2017, refer to “[Part II—Item 7. Management’s Discussion and Analysis of Financial Condition and Results of Operations](#)” in our Annual Report on Form 10-K for the fiscal year ended December 31, 2018.

Year Ended December 31, 2019 Compared to the Year Ended December 31, 2018

Revenues

The following table summarizes information about our revenues during the years ended December 31, 2019 and 2018:

(In thousands)	Year Ended December 31,		Increase (Decrease)	
	2019	2018	\$ or Tons	%
Coal revenues	\$ 2,282,007	\$ 2,020,889	\$ 261,118	12.9 %
Other revenues	8,253	10,316	(2,063)	(20.0)%
Total revenues	\$ 2,290,260	\$ 2,031,205	\$ 259,055	12.8 %
Tons sold	23,706	17,587	6,119	34.8 %

Coal revenues. Coal revenues increased \$261.1 million, or 12.9%, for the year ended December 31, 2019 compared to the prior year period. The increase was primarily due to higher coal sales volume of 6.1 million tons resulting from inclusion of a full year of activity from the properties acquired in the Merger. Refer to the Coal Operations section below for further detail on coal revenues for the year ended December 31, 2019 compared to the prior year period.

Costs and Expenses

The following table summarizes information about our costs and expenses during the years ended December 31, 2019 and 2018:

(In thousands)	Year Ended December 31,		Increase (Decrease)	
	2019	2018	\$	%
Cost of coal sales (exclusive of items shown separately below)	\$ 1,924,709	\$ 1,661,118	\$ 263,591	15.9 %
Depreciation, depletion and amortization	228,792	77,549	151,243	195.0 %
Accretion on asset retirement obligations	27,798	9,966	17,832	178.9 %
Amortization of acquired intangibles, net	(88)	(5,392)	5,304	98.4 %
Selling, general and administrative expenses (exclusive of depreciation, depletion and amortization shown separately above)	78,953	59,271	19,682	33.2 %
Merger-related costs	1,090	51,800	(50,710)	(97.9)%
Asset impairment	66,324	—	66,324	100.0 %
Goodwill impairment	124,353	—	124,353	100.0 %
Total other operating (income) loss:				
Mark-to-market adjustment for acquisition-related obligations	(3,564)	24	(3,588)	NM
Gain on settlement of acquisition-related obligations	—	(580)	580	100.0 %
Other income	(575)	(16,311)	15,736	96.5 %
Total costs and expenses	\$ 2,447,792	\$ 1,837,445	\$ 610,347	33.2 %

Cost of coal sales. Cost of coal sales increased \$263.6 million, or 15.9%, for the year ended December 31, 2019 compared to the prior year period. The increase was primarily driven by an increase in tons sold from properties acquired in the Merger and the related supplies and maintenance expense, salaries and wages expense, and royalties and taxes, partially offset by a decrease in the cost of purchased coal during the current period.

Depreciation, depletion and amortization. Depreciation, depletion and amortization increased \$151.2 million, or 195.0%, for the year ended December 31, 2019 compared to the prior year period. The increase in depreciation, depletion and amortization primarily related to increased purchases of machinery and equipment, increased asset development during the current period, and additions of property, plant and equipment, and owned and leased mineral rights as a result of the Merger.

Accretion on asset retirement obligations. Accretion on asset retirement obligations increased \$17.8 million, or 178.9%, for the year ended December 31, 2019 compared to the prior year period. This increase was primarily due to an increase in our asset retirement obligations as a result of the Merger.

Amortization of acquired intangibles, net. Amortization of acquired intangibles, net, increased \$5.3 million, or 98.4%, for the year ended December 31, 2019 compared to the prior year period. The amortization is primarily related to the acquired above and below market-priced coal supply agreements and acquired mine permits as a result of the Merger. In the prior period, there was more amortization of below market-priced coal supply agreements compared to the current period.

Selling, general and administrative. Selling, general and administrative expenses increased \$19.7 million, or 33.2%, for the year ended December 31, 2019 compared to the prior year period. This increase in expense was primarily related to increases of \$7.6 million in professional fees, \$5.6 million in wages and benefits expense, and \$4.9 million in severance pay, partially offset by a decrease of \$2.7 million in stock compensation expense during the current period.

Merger-related costs. Merger-related costs decreased \$50.7 million, or 97.9%, for the year ended December 31, 2019 compared to the prior year period. The merger-related costs related primarily to professional fees, severance pay, and incentive pay incurred related to the Merger Agreement entered into with the Alpha Companies.

Asset impairment. Asset impairment for the year ended December 31, 2019 includes a long-lived asset impairment of \$60.2 million related to asset groups recorded within the CAPP - Met and CAPP - Thermal reporting segments and an asset impairment of \$6.1 million primarily related to the write-off of prepaid purchased coal as a result of Blackjewel's Chapter 11 bankruptcy filing on July 1, 2019. Refer to Note 2 and Note 4 for further information.

Goodwill impairment. We recorded a goodwill impairment of \$124.4 million during the year ended December 31, 2019. Refer to Note 2 for further information.

Mark-to-market adjustment for acquisition-related obligations. For the year ended December 31, 2019, we recorded a mark-to-market adjustment for acquisition-related obligations of (\$3.6) million related to the Contingent Revenue Obligation assumed as a result of the Merger.

Other income. Other income decreased by \$15.7 million, or 96.5%, for the year ended December 31, 2019 compared to the prior year period. The other income in the prior year period was primarily attributable to a gain on disposal of assets of \$16.4 million related to the sale of a disposal group within the Company's CAPP - Met segment.

Other Income (Expense)

The following table summarizes information about our other income (expense) during the years ended December 31, 2019 and 2018:

(In thousands)	Year Ended December 31,		Increase (Decrease)	
	2019	2018	\$	%
Other income (expense):				
Interest expense	\$ (66,798)	\$ (38,810)	\$ (27,988)	(72.1)%
Interest income	7,296	1,949	5,347	274.3 %
Loss on modification and extinguishment of debt	(26,459)	(12,042)	(14,417)	(119.7)%
Equity loss in affiliates	(6,874)	(6,112)	(762)	(12.5)%
Miscellaneous loss, net	(10,332)	(1,254)	(9,078)	(723.9)%
Total other expense, net	<u>\$ (103,167)</u>	<u>\$ (56,269)</u>	<u>\$ (46,898)</u>	<u>(83.3)%</u>

Interest expense. Interest expense increased \$28.0 million, or 72.1%, for the year ended December 31, 2019 compared to the prior year period, primarily due to an increase in debt outstanding, higher interest rates, and larger accretion of debt discounts related to the debt facilities in place during the current period. Refer to Note 15 for additional information.

Loss on modification and extinguishment of debt. During the year ended December 31, 2019, we recorded a loss on modification of debt of \$0.3 million, primarily related to modification fees paid under the refinance, and a loss on extinguishment of debt of \$26.2 million, primarily related to the write-off of outstanding debt discounts and unamortized debt issuance costs under the Amended and Restated Credit Agreement dated November 9, 2018. The loss on modification and extinguishment of debt of \$12.0 million for the year ended December 31, 2018 primarily related to the write-off of certain outstanding debt discounts, debt issuance costs, and debt fees incurred in connection with the Amended and Restated Credit Agreement entered into by the Company on November 9, 2018. Refer to Note 15 for additional information.

Income Tax Benefit

The following table summarizes information about our income tax benefit during the years ended December 31, 2019 and 2018:

(In thousands)	Year Ended December 31,		Increase (Decrease)	
	2019	2018	\$	%
Income tax benefit	\$ 57,557	\$ 165,363	\$ (107,806)	(65.2)%

Income taxes. Income tax benefit of \$57.6 million was recorded for the year ended December 31, 2019 on a loss from

continuing operations before income taxes of \$260.7 million. The effective tax rate differs from the federal statutory rate of 21% primarily due to the impact of state income taxes, net of federal impact, the net operating loss carryback benefit, and the permanent impact of the percentage depletion deduction, mostly offset by the impact of the non-deductible goodwill impairment and the increase in the valuation allowance.

Income tax benefit of \$165.4 million was recorded for the year ended December 31, 2018 on income from continuing operations before income taxes of \$137.5 million. The effective tax rate is lower than the federal statutory rate of 21% primarily due to the impact of the net operating loss carryback benefit and the reduction in the valuation allowance. Refer to Note 19 for additional information.

Coal Operations

We extract, process and market met and thermal coal from surface and deep mines for sale to steel and coke producers, industrial customers, and electric utilities. The Company conducts mining operations only in the United States with mines in Central and Northern Appalachia.

Our CAPP - Met operations consist of high-quality met coal mines, such as Deep Mine 41, which predominantly produce low-ash met coal, including High-Vol. A, High-Vol. B, Mid-Vol., and Low-Vol., which is shipped to domestic and international coke and steel producers. While the CAPP - Met operations produce predominantly met coal, they also produce some amounts of thermal coal as a byproduct of mining. CAPP - Met operations consist of seven active mines and two preparation plants in Virginia, sixteen active mines and five preparation plants in West Virginia, as well as expenses associated with certain idled/closed mines.

Our CAPP - Thermal operations consist of surface and underground thermal coal mines primarily producing low sulfur, high BTU thermal coal for electricity generation, as well as specialty coal for industrial customers, with some met coal produced as a byproduct. CAPP - Thermal consists of five active mines and two preparation plants in West Virginia, as well as expenses associated with certain idled/closed mines.

Our NAPP operations produce primarily high-BTU thermal coal. This thermal coal has metallurgical properties, but it is higher in sulfur content than typical products sold in the metallurgical coal market. Limited volumes can be placed in the metallurgical coal market where customers have the flexibility to accommodate quantities of higher sulfur coal in their coking coal blends. Our thermal coal is primarily sold to the domestic power generation industry. Our NAPP operations consist of one active mine in Pennsylvania and one preparation plant, as well as expenses associated with one closed mine.

Our All Other category is not included in all of our coal operations results of operations as it includes general corporate overhead and corporate assets and liabilities, idled and closed mine costs, and the elimination of certain intercompany activity.

Non-GAAP Financial Measures

The discussion below contains “non-GAAP financial measures.” These are financial measures which either exclude or include amounts that are not excluded or included in the most directly comparable measures calculated and presented in accordance with generally accepted accounting principles in the United States (“U.S. GAAP” or “GAAP”). Specifically, we make use of the non-GAAP financial measure “Adjusted EBITDA,” “non-GAAP coal revenues,” “non-GAAP cost of coal sales,” and “Adjusted cost of produced coal sold.” We use Adjusted EBITDA to measure the operating performance of our segments and allocate resources to the segments. Adjusted EBITDA does not purport to be an alternative to net income (loss) as a measure of operating performance. We use non-GAAP coal revenues to present coal revenues generated, excluding freight and handling fulfillment revenues. Non-GAAP coal sales realization per ton for our operations is calculated as non-GAAP coal revenues divided by tons sold. We use non-GAAP cost of coal sales to adjust cost of coal sales to remove freight and handling costs, idled and closed mine costs and coal inventory acquisition accounting impacts. Non-GAAP cost of coal sales per ton for our operations is calculated as non-GAAP cost of coal sales divided by tons sold. Non-GAAP coal margin per ton for our coal operations is calculated as non-GAAP coal sales realization per ton for our coal operations less non-GAAP cost of coal sales per ton for our coal operations. We also use Adjusted cost of produced coal sold to distinguish the cost of captive produced coal from the effects of purchased coal. The presentation of these measures should not be considered in isolation, or as a substitute for analysis of our results as reported under GAAP.

Management uses non-GAAP financial measures to supplement GAAP results to provide a more complete understanding of the factors and trends affecting the business than GAAP results alone. The definition of these non-GAAP measures may be changed periodically by management to adjust for significant items important to an understanding of operating trends and to adjust for items that may not reflect the trend of future results by excluding transactions that are not indicative of our core operating performance. Furthermore, analogous measures are used by industry analysts to evaluate the Company’s operating

performance. Because not all companies use identical calculations, the presentations of these measures may not be comparable to other similarly titled measures of other companies and can differ significantly from company to company depending on long-term strategic decisions regarding capital structure, the tax jurisdictions in which companies operate, and capital investments.

Included below are reconciliations of non-GAAP financial measures to GAAP financial measures.

The following tables summarize certain financial information relating to our coal operations for the years ended December 31, 2019 and 2018:

<i>(In thousands, except for per ton data)</i>	Year Ended December 31, 2019				
	CAPP - Met	CAPP - Thermal	NAPP	All Other ⁽³⁾	Consolidated
Coal revenues	\$ 1,709,863	\$ 285,390	\$ 286,073	\$ 681	\$ 2,282,007
Less: freight and handling fulfillment revenues	(242,049)	(34,133)	(8,827)	—	(285,009)
Non-GAAP coal revenues	\$ 1,467,814	\$ 251,257	\$ 277,246	\$ 681	\$ 1,996,998
Tons sold	12,926	4,218	6,554	8	23,706
Non-GAAP coal sales realization per ton	\$ 113.56	\$ 59.57	\$ 42.30	\$ 85.13	\$ 84.24
Cost of coal sales	\$ 1,389,293	\$ 274,320	\$ 257,267	\$ 3,829	\$ 1,924,709
Less: freight and handling costs	(242,049)	(34,133)	(8,827)	—	(285,009)
Less: idled and closed mine costs	(8,699)	(2,702)	(4,005)	(3,164)	(18,570)
Less: cost impact of coal inventory fair value adjustment ⁽¹⁾	(4,751)	(3,458)	—	—	(8,209)
Non-GAAP cost of coal sales	\$ 1,133,794	\$ 234,027	\$ 244,435	\$ 665	\$ 1,612,921
Tons sold	12,926	4,218	6,554	8	23,706
Non-GAAP cost of coal sales per ton	\$ 87.71	\$ 55.48	\$ 37.30	\$ 83.13	\$ 68.04
Coal margin per ton ⁽²⁾	\$ 24.80	\$ 2.62	\$ 4.40	\$ (393.50)	\$ 15.07
Idled and closed mine costs per ton	0.67	0.64	0.60	395.50	0.78
Cost impact of coal inventory fair value adjustment per ton	0.38	0.83	—	—	0.35
Non-GAAP coal margin per ton	\$ 25.85	\$ 4.09	\$ 5.00	\$ 2.00	\$ 16.20

⁽¹⁾ The cost impact of the coal inventory fair value adjustment as a result of the Alpha Merger was completed during the three months ended June 30, 2019.

⁽²⁾ Coal margin per ton for our coal operations is calculated as coal sales realization per ton for our coal operations less cost of coal sales per ton for our coal operations.

⁽³⁾ The fourth quarter of 2019 included coal revenues and cost of coal sales related to tons produced as a byproduct of an idle mine's reclamation.

	Year Ended December 31, 2018				
	CAPP - Met	CAPP - Thermal	NAPP	All Other	Consolidated
<i>(In thousands, except for per ton data)</i>					
Coal revenues	\$ 1,669,358	\$ 39,113	\$ 312,418	\$ —	\$ 2,020,889
Less: freight and handling fulfillment revenues	(306,662)	(3,428)	(31,243)	—	(341,333)
Non-GAAP coal revenues	\$ 1,362,696	\$ 35,685	\$ 281,175	\$ —	\$ 1,679,556
Tons sold	10,682	632	6,273	—	17,587
Non-GAAP coal sales realization per ton	\$ 127.57	\$ 56.46	\$ 44.82	\$ —	\$ 95.50
Cost of coal sales	\$ 1,341,260	\$ 46,022	\$ 272,895	\$ 941	\$ 1,661,118
Less: freight and handling costs	(306,662)	(3,428)	(31,243)	—	(341,333)
Less: idled and closed mine costs	(3,904)	(202)	(2,710)	(941)	(7,757)
Less: cost impact of coal inventory fair value adjustment ⁽¹⁾	(11,547)	(5,517)	—	—	(17,064)
Non-GAAP cost of coal sales	\$ 1,019,147	\$ 36,875	\$ 238,942	\$ —	\$ 1,294,964
Tons sold	10,682	632	6,273	—	17,587
Non-GAAP cost of coal sales per ton	\$ 95.41	\$ 58.35	\$ 38.09	\$ —	\$ 73.63
Coal margin per ton ⁽²⁾	\$ 30.72	\$ (10.93)	\$ 6.30	\$ —	\$ 20.46
Idled and closed mine costs per ton	0.36	0.32	0.43	—	0.44
Cost impact of coal inventory fair value adjustment per ton	1.08	8.72	—	—	0.97
Non-GAAP coal margin per ton	\$ 32.16	\$ (1.89)	\$ 6.73	\$ —	\$ 21.87

⁽¹⁾ The cost impact of the coal inventory fair value adjustment as a result of the Alpha Merger was completed during the three months ended June 30, 2019.

⁽²⁾ Coal margin per ton for our coal operations is calculated as coal sales realization per ton for our coal operations less cost of coal sales per ton for our coal operations.

	Year Ended December 31,		Increase (Decrease)	
	2019	2018	\$	%
<i>(In thousands, except for per ton data)</i>				
Tons sold:				
CAPP - Met operations	12,926	10,682	2,244	21.0 %
CAPP - Thermal operations	4,218	632	3,586	567.4 %
NAPP operations	6,554	6,273	281	4.5 %
Non-GAAP coal revenues:				
CAPP - Met operations	\$ 1,467,814	\$ 1,362,696	\$ 105,118	7.7 %
CAPP - Thermal operations	\$ 251,257	\$ 35,685	\$ 215,572	604.1 %
NAPP operations	\$ 277,246	\$ 281,175	\$ (3,929)	(1.4)%
Non-GAAP coal sales realization per ton:				
CAPP - Met operations	\$ 113.56	\$ 127.57	\$ (14.01)	(11.0)%
CAPP - Thermal operations	\$ 59.57	\$ 56.46	\$ 3.11	5.5 %
NAPP operations	\$ 42.30	\$ 44.82	\$ (2.52)	(5.6)%
Average	\$ 84.24	\$ 95.50	\$ (11.26)	(11.8)%

Non-GAAP segment coal revenues. CAPP - Met operations non-GAAP coal revenues increased \$105.1 million, or 7.7%, for the year ended December 31, 2019 compared to the prior year period. The increase in CAPP - Met operations non-GAAP

coal revenues was primarily due to higher coal sales volume of 2.2 million tons as a result of the Merger, partially offset by lower non-GAAP coal sales realization of \$14.01 per ton.

CAPP - Thermal operations non-GAAP coal revenues increased \$215.6 million, or 604.1%, for the year ended December 31, 2019 compared to the prior year period. The increase in CAPP - Thermal operations non-GAAP coal revenues was primarily due to higher coal sales volume of 3.6 million tons and higher non-GAAP coal sales realization of \$3.11 per ton. The CAPP - Thermal operations were acquired as part of the Alpha Merger and only the post-merger activity is reflected in the prior year results.

NAPP operations non-GAAP coal revenues decreased \$3.9 million, or 1.4%, for the year ended December 31, 2019 compared to the prior year period. The decrease in NAPP operations non-GAAP coal revenues was primarily due to lower non-GAAP coal sales realization of \$2.52 per ton, partially offset by higher coal sales volumes of 0.3 million tons.

(In thousands, except for per ton data)	Year Ended December 31,		Increase (Decrease)	
	2019	2018	\$	%
Non-GAAP cost of coal sales:				
CAPP - Met operations	\$ 1,133,794	\$ 1,019,147	\$ 114,647	11.2 %
CAPP - Thermal operations	\$ 234,027	\$ 36,875	\$ 197,152	534.6 %
NAPP operations	\$ 244,435	\$ 238,942	\$ 5,493	2.3 %
Non-GAAP cost of coal sales per ton:				
CAPP - Met operations	\$ 87.71	\$ 95.41	\$ (7.70)	(8.1)%
CAPP - Thermal operations	\$ 55.48	\$ 58.35	\$ (2.87)	(4.9)%
NAPP operations	\$ 37.30	\$ 38.09	\$ (0.79)	(2.1)%
Non-GAAP coal margin per ton:				
CAPP - Met operations	\$ 25.85	\$ 32.16	\$ (6.31)	(19.6)%
CAPP - Thermal operations	\$ 4.09	\$ (1.89)	\$ 5.98	316.4 %
NAPP operations	\$ 5.00	\$ 6.73	\$ (1.73)	(25.7)%

Non-GAAP cost of coal sales. CAPP - Met operations non-GAAP cost of coal sales increased \$114.6 million, or 11.2%, for the year ended December 31, 2019 compared to the prior year period. The increase in CAPP - Met operations non-GAAP cost of coal sales was primarily due to increases in tons sold, salaries and wages expense, supplies and maintenance expense, and royalties and taxes related to properties acquired in the Merger, partially offset by decreased costs of purchased coal during the current period. The non-GAAP costs of coal sales per ton decreased by \$7.70 primarily due to higher productivity as measured by clean tons per foot and feet per shift.

CAPP - Thermal operations non-GAAP cost of coal sales increased \$197.2 million, or 534.6%, for the year ended December 31, 2019 compared to the prior year period. For the year ended December 31, 2019, CAPP - Thermal operations non-GAAP cost of coal sales consisted of 4.2 million tons sold at a non-GAAP coal margin per ton of \$4.09. The non-GAAP coal margin per ton increased \$5.98, or 316.4%, from the prior year period primarily due to improved sales realization. The CAPP - Thermal operations were acquired as part of the Alpha Merger and only the post-merger activity is reflected in the prior year results.

NAPP operations non-GAAP cost of coal sales increased \$5.5 million, or 2.3%, for the year ended December 31, 2019 compared to the prior year period. The increase in NAPP operations non-GAAP cost of coal sales was primarily due to an increase in tons sold in the current period relative to the prior period, partially offset by a reduction in non-GAAP cost of coal sales per ton.

Our non-GAAP cost of coal sales includes purchased coal costs. In the following tables, we calculate adjusted cost of produced coal sold as non-GAAP cost of coal sales less purchased coal costs.

Year Ended December 31, 2019

<i>(In thousands, except for per ton data)</i>	CAPP - Met	CAPP - Thermal	NAPP	All Other	Consolidated
Non-GAAP cost of coal sales	\$ 1,133,794	\$ 234,027	\$ 244,435	\$ 665	\$ 1,612,921
Less: cost of purchased coal sold	(237,681)	(6,976)	—	—	(244,657)
Adjusted cost of produced coal sold	\$ 896,113	\$ 227,051	\$ 244,435	\$ 665	\$ 1,368,264
Produced tons sold	10,727	4,091	6,554	8	21,380
Adjusted cost of produced coal sold per ton ⁽¹⁾	\$ 83.54	\$ 55.50	\$ 37.30	\$ 83.13	\$ 64.00

⁽¹⁾ Cost of produced coal sold per ton for our operations is calculated as non-GAAP cost of produced coal sold divided by produced tons sold.

Year Ended December 31, 2018

<i>(In thousands, except for per ton data)</i>	CAPP - Met	CAPP - Thermal	NAPP	All Other	Consolidated
Non-GAAP cost of coal sales	\$ 1,019,147	\$ 36,875	\$ 238,942	\$ —	\$ 1,294,964
Less: cost of purchased coal sold	(663,774)	(2,185)	—	—	(665,959)
Adjusted cost of produced coal sold	\$ 355,373	\$ 34,690	\$ 238,942	\$ —	\$ 629,005
Produced tons sold	4,751	595	6,273	—	11,619
Adjusted cost of produced coal sold per ton ⁽¹⁾	\$ 74.80	\$ 58.30	\$ 38.09	\$ —	\$ 54.14

⁽¹⁾ Cost of produced coal sold per ton for our operations is calculated as non-GAAP cost of produced coal sold divided by produced tons sold.

Segment Adjusted EBITDA

Segment Adjusted EBITDA for our reportable segments is a non-GAAP financial measure presented as a supplemental measure and is not intended to replace financial performance measures determined in accordance with GAAP. Moreover, this measure is not calculated identically by all companies and therefore may not be comparable to similarly titled measures used by other companies. Segment Adjusted EBITDA is presented because management believes it is a useful indicator of the financial performance of our coal operations. The following tables present a reconciliation of net (loss) income to Adjusted EBITDA for the years ended December 31, 2019 and 2018:

	Year Ended December 31, 2019				
<i>(In thousands)</i>	CAPP - Met	CAPP - Thermal	NAPP	All Other	Consolidated
Net income (loss) from continuing operations	\$ 8,224	\$ (97,398)	\$ 11,926	\$ (125,894)	\$ (203,142)
Interest expense	(1,209)	23	(723)	68,707	66,798
Interest income	(100)	—	(49)	(7,147)	(7,296)
Income tax benefit	—	—	—	(57,557)	(57,557)
Depreciation, depletion and amortization	153,006	57,483	12,864	5,439	228,792
Merger-related costs	—	—	—	1,090	1,090
Non-cash stock compensation expense	1,494	71	—	10,783	12,348
Mark-to-market adjustment - acquisition-related obligations	—	—	—	(3,564)	(3,564)
Accretion on asset retirement obligations	9,466	10,929	4,066	3,337	27,798
Loss on modification and extinguishment of debt	—	—	—	26,459	26,459
Asset impairment ⁽¹⁾	15,034	50,993	—	297	66,324
Goodwill impairment ⁽²⁾	124,353	—	—	—	124,353
Cost impact of coal inventory fair value adjustment ⁽³⁾	4,751	3,458	—	—	8,209
Gain on assets acquired in an exchange transaction ⁽⁴⁾	(9,083)	—	—	—	(9,083)
Management restructuring costs ⁽⁵⁾	—	—	—	7,720	7,720
Loss on partial settlement of benefit obligations	(1)	—	—	6,447	6,446
Amortization of acquired intangibles, net	10,389	(13,578)	3,101	—	(88)
Adjusted EBITDA	\$ 316,324	\$ 11,981	\$ 31,185	\$ (63,883)	\$ 295,607

⁽¹⁾ Asset impairment for the year ended December 31, 2019 includes a long-lived asset impairment of \$60.2 million related to asset groups recorded within the CAPP - Met and CAPP - Thermal reporting segments and an asset impairment of \$6.1 million primarily related to the write-off of prepaid purchased coal as a result of Blackjewel's Chapter 11 bankruptcy filing on July 1, 2019. Refer to Note 2 and Note 4 for further information.

⁽²⁾ The goodwill impairment testing as of December 31, 2019 resulted in a goodwill impairment of \$124.4 million to write down the full carrying value of goodwill. Refer to Note 2 for further information.

⁽³⁾ The cost impact of the coal inventory fair value adjustment as a result of the Alpha Merger was completed during the three months ended June 30, 2019.

⁽⁴⁾ During the year ended December 31, 2019, we entered into an exchange transaction which primarily included the release of the PRB overriding royalty interest owed to us in exchange for met coal reserves which resulted in a gain of \$9.1 million.

⁽⁵⁾ Management restructuring costs are related to severance expense associated with senior management changes in the year ended December 31, 2019.

(In thousands)	Year Ended December 31, 2018				
	CAPP - Met	CAPP - Thermal	NAPP	All Other	Consolidated
Net income (loss) from continuing operations	\$ 306,898	\$ (10,796)	\$ 4,193	\$ 2,559	\$ 302,854
Interest expense	260	1	(1,286)	39,835	38,810
Interest income	(40)	—	(34)	(1,875)	(1,949)
Income tax benefit	—	—	—	(165,363)	(165,363)
Depreciation, depletion and amortization	40,330	10,596	23,273	3,350	77,549
Merger-related costs	22	1	—	51,777	51,800
Management restructuring costs ⁽¹⁾	—	—	—	2,659	2,659
Non-cash stock compensation expense	408	24	—	11,546	11,978
Mark-to-market adjustment - acquisition-related obligations	—	—	—	24	24
Gain on settlement of acquisition-related obligations	—	—	—	(580)	(580)
Gain on sale of disposal group ⁽²⁾	(16,386)	—	—	—	(16,386)
Accretion on asset retirement obligations	4,430	1,298	3,764	474	9,966
Loss on modification and extinguishment of debt	—	—	—	12,042	12,042
Cost impact of coal inventory fair value adjustment ⁽³⁾	11,547	5,517	—	—	17,064
Amortization of acquired intangibles, net	(12,334)	(7,516)	14,458	—	(5,392)
Adjusted EBITDA	\$ 335,135	\$ (875)	\$ 44,368	\$ (43,552)	\$ 335,076

⁽¹⁾ Management restructuring costs are related to severance expense associated with senior management changes in the year ended December 31, 2018.

⁽²⁾ We recorded a gain on disposal of assets of \$16.4 million within other (income) expense within the Consolidated Statements of Operations.

⁽³⁾ The cost impact of the coal inventory fair value adjustment as a result of the Alpha Merger was completed during the three months ended June 30, 2019.

The following table summarizes Adjusted EBITDA for our three reportable segments and All Other category:

(In thousands)	Year Ended December 31,		Increase (Decrease)	
	2019	2018	\$	%
Adjusted EBITDA				
CAPP - Met operations	\$ 316,324	\$ 335,135	\$ (18,811)	(5.6)%
CAPP - Thermal operations	11,981	(875)	12,856	NM
NAPP operations	31,185	44,368	(13,183)	(29.7)%
All Other	(63,883)	(43,552)	(20,331)	(46.7)%
Total	\$ 295,607	\$ 335,076	\$ (39,469)	(11.8)%

CAPP - Met operations. Adjusted EBITDA decreased \$18.8 million, or 5.6%, for the year ended December 31, 2019 compared to the prior year period. The decrease in Adjusted EBITDA was primarily driven by decreased non-GAAP coal margin per ton of \$6.31, partially offset by an increase in tons sold relative to the prior period.

CAPP - Thermal operations. Adjusted EBITDA for the CAPP - Thermal operations was \$12.0 million for the year ended December 31, 2019. The CAPP-Thermal operations were acquired as part of the Alpha Merger and only the post-merger activity was reflected in the prior period.

NAPP operations. Adjusted EBITDA decreased \$13.2 million, or 29.7%, for the year ended December 31, 2019 compared to the prior year period. The decrease in Adjusted EBITDA was primarily driven by decreased non-GAAP coal margin per ton of \$1.73.

All Other category. Adjusted EBITDA decreased \$20.3 million, or 46.7%, for the year ended December 31, 2019

compared to the prior year period. The decrease in Adjusted EBITDA was primarily driven by increases in costs associated with idled properties acquired in the Merger and increases in professional services fees, wages and benefits expenses, and severance pay.

Liquidity and Capital Resources

Our primary liquidity and capital resource requirements stem from the cost of our coal production and purchases, our capital expenditures, our debt service, our reclamation obligations, our regulatory costs and settlements, and associated costs. Our primary sources of liquidity are derived from sales of coal, our debt financing, and miscellaneous revenues.

We believe that cash on hand and cash generated from our operations will be sufficient to meet our working capital requirements, anticipated capital expenditures, debt service requirements, acquisition-related obligations, and reclamation obligations for the next 12 months. We have relied on a number of assumptions in budgeting for our future activities. These include the costs for mine development to sustain capacity of our operating mines, our cash flows from operations, effects of regulation and taxes by governmental agencies, mining technology improvements and reclamation costs. These assumptions are inherently subject to significant business, political, economic, regulatory, environmental and competitive uncertainties, contingencies and risks, all of which are difficult to predict and many of which are beyond our control. Increased scrutiny of ESG matters, specific to the coal sector, could negatively influence our ability to raise capital in the future and result in a reduced number of surety and insurance providers. We may need to raise additional funds more quickly if market conditions deteriorate, and we may not be able to do so in a timely fashion, or at all; or one or more of our assumptions prove to be incorrect or if we choose to expand our acquisition, exploration, appraisal, or development efforts or any other activity more rapidly than we presently anticipate. We may decide to raise additional funds before we need them if the conditions for raising capital are favorable. We may seek to sell equity or debt securities or obtain additional bank credit facilities. The sale of equity securities could result in dilution to our stockholders. The incurrence of additional indebtedness could result in increased fixed obligations and additional covenants that could restrict our operations.

At December 31, 2019, we had total liquidity of \$327.8 million, including cash and cash equivalents of \$212.8 million and \$115.0 million of unused commitments available under the Amended and Restated Asset-Based Revolving Credit Agreement, subject to limitations described therein. On June 14, 2019, we entered into a \$561.8 million Term Loan Credit Facility under the Credit Agreement. On November 9, 2018, we entered into a \$225.0 million asset-based revolving credit facility under the Amended and Restated Asset-Based Revolving Credit Agreement expiring on April 3, 2022. Refer to Note 15 for disclosures on long-term debt.

Weak market conditions and depressed coal prices have resulted in operating losses. If market conditions do not improve, we expect to continue to experience operating losses and cash outflows in the coming quarters, which would adversely affect our liquidity. In particular, we expect a decrease in cash and cash equivalents to the extent that capital expenditures and other cash obligations, including our debt service obligations, exceed cash generated from our operations.

We have continued to take steps to enhance our capital structure and financial flexibility and reduce cash outflows from operations in the near term, including reductions in our SG&A and overhead costs, reductions in production volumes, and the amendment of our credit facility. We expect to engage in similar efforts in the future as opportunities arise through refinancing, repayment or repurchase of outstanding debt, amendment of our credit facilities, and other methods, and may consider the sale of other assets or businesses, and such other measures as circumstances warrant. We may decide to pursue or not pursue these opportunities at any time. Access to additional funds from liquidity-generating transactions or other sources of external financing is subject to market conditions and certain limitations, including our credit rating and covenant restrictions in our credit facility and indentures.

We sponsor three qualified non-contributory pension plans (“Pension Plans”) which cover certain salaried and non-union hourly employees. Participants accrue benefits either based on certain formulas, the participant’s compensation prior to retirement or plan specified amounts for each year of service. Benefits are frozen under these Pension Plans. Annual funding contributions to the Pension Plans are made as recommended by consulting actuaries based upon the Employee Retirement Income Security Act of 1974, as amended (“ERISA”) funding standards. Funding decisions also consider certain funded status thresholds defined by the Pension Protection Act of 2006. We expect to contribute \$23.2 million to the Pension Plans in 2020. Refer to Note 20 for further disclosures related to this obligation.

To secure our obligations under certain worker’s compensation, black lung, reclamation-related obligations, general liabilities, and financial guarantees and other, we are required to provide cash collateral. At December 31, 2019, we had cash collateral in the amounts of \$122.5 million, \$8.9 million, and \$21.9 million classified as long-term restricted cash, short-term and long-term deposits, and long-term restricted investments, respectively, on our Consolidated Balance Sheets.

regulatory changes relating to these obligations could result in increased obligations, additional costs, or additional collateral requirements which could require greater use of alternative sources of funding for this purpose, which would reduce our liquidity. Refer to Note 27 for the subsequent event related to the new authorization process for self-insured coal mine operators being implemented by the U.S. Department of Labor (Division of Coal Mine Workers' Compensation). Additionally, we have \$12.4 million of short-term restricted cash held in escrow related to our contingent revenue obligation. Refer to Note 16 for further information regarding the contingent revenue obligation.

In November 2019, we announced the accelerated construction of a new impoundment at our Cumberland mine, for which we received the related permit in March 2020. This project was previously scheduled to begin in 2021. We estimate the cost of construction to be \$61 million and expect that the project will require approximately two years to complete.

With respect to global economic events, there continues to be uncertainty and weakness in the coal industry. On December 11, 2019, S&P Global Ratings downgraded their issuer credit rating on Contura from 'B' to 'B-' and their issue-level rating on our senior secured debt from 'B+' to 'B' amid weak market conditions. The rating outlook was noted as stable. On February 27, 2020, Moody's Investors Service downgraded Contura's Corporate Family Rating to B3 from B2, senior secured term loan to Caa1 from B3, and Speculative Grade Liquidity Rating to SGL-3 from SGL-2. The rating outlook is negative. These issues bring potential liquidity risks for us, including the risks of declines in our stock value, declines in our cash and cash equivalents, less availability and higher costs of additional credit, and requests for additional collateral by surety providers.

In July 2019, the U.S. Department of Labor (Division of Coal Mine Workers' Compensation or "DCMWC") began implementing a new authorization process for all self-insured coal mine operators. As requested by DCMWC, we filed in October 2019 an application and supporting documentation for reauthorization to self-insure certain of our black lung obligations. As a result of this application, the DCMWC notified us in a letter dated February 21, 2020 and received by us on February 24, 2020, that we were reauthorized to self-insure certain of our black lung obligations for a period of one-year from February 21, 2020. The DCMWC reauthorization is contingent, however, upon us providing collateral of \$65.7 million to secure certain of our black lung obligations. This collateral requirement, which the DCMWC advises represents 70% of our estimated future liability according to the DCMWC's estimation methodology, is an increase of approximately 2,400% from the approximately \$2.6 million in collateral which we (previously by Alpha prior to the Merger) have provided since 2016 to secure these self-insured black lung obligations. Future liability has not previously been estimated by the DCMWC in connection with the reauthorization process but is now being considered as part of its new collateral-setting methodology.

The reauthorization process provided us with the right to appeal the security determination in writing within 30 days of the date of the notification, which appeal period the DCMWC has agreed to extend to April 22, 2020, and we plan to exercise this right of appeal. We strongly disagree with the DCMWC's substantially higher collateral determination and the methodology through which the calculation was derived. If our appeal is unsuccessful, we may be required to provide additional letters of credit in order to receive self-insurance reauthorization from the DCMWC or insure these black lung obligations through a third party provider, which would likely also require us to provide collateral. Either of these outcomes would significantly reduce our liquidity.

Capital Return Program

Refer to Note 13 for disclosures on the capital return program and related stock repurchases during the period.

Sale of PRB Operations

Refer to Note 4 and Item 7 Business Developments for disclosure information on discontinued operations.

Cash Flows

Cash, cash equivalents, and restricted cash decreased by \$129.6 million and increased by \$283.3 million over the years ended December 31, 2019 and 2018, respectively. The net change in cash, cash equivalents, and restricted cash was attributable to the following:

	Year Ended December 31,	
	2019	2018
<i>Cash flows (in thousands):</i>		
Net cash provided by operating activities	\$ 131,880	\$ 158,381
Net cash (used in) provided by investing activities	(191,752)	102,196
Net cash (used in) provided by financing activities	(69,694)	22,709
Net (decrease) increase in cash and cash equivalents and restricted cash	\$ (129,566)	\$ 283,286

Operating Activities

Net cash flows from operating activities consist of net (loss) income adjusted for non-cash items, such as depreciation, depletion and amortization, goodwill impairment, asset impairment, accretion on asset retirement obligations, and changes in net working capital.

Net cash provided by operating activities for the year ended December 31, 2019 was \$131.9 million and was primarily attributable to net loss of \$316.3 million adjusted for depreciation, depletion and amortization of \$315.2 million, goodwill impairment of \$124.4 million, asset impairment of \$83.5 million, accretion on asset retirement obligations of \$33.8 million, loss on modification and extinguishment of debt of \$26.5 million, employee benefit plans, net, of \$20.8 million, amortization of debt issuance costs and accretion of debt discount of \$14.1 million, and stock-based compensation of \$12.4 million, partially offset by deferred income taxes of \$12.1 million, and a \$9.1 million gain on assets acquired in an exchange transaction. The change in our operating assets and liabilities of (\$172.8) million was primarily attributable to decreases in asset retirement obligations of \$111.6 million, increases in inventories, net, of \$40.7 million, decreases in other non-current liabilities of \$33.6 million, decreases trade accounts payable of \$28.1 million, decreases in acquisition-related obligations of \$28.1 million, decreases in accrued expenses and other current liabilities of \$25.5 million, and increases in other non-current assets of \$24.5 million, partially offset by decreases in prepaid expenses and other current assets of \$56.7 million, resulting primarily from income tax refunds of \$72.2 million, and decreases in trade accounts receivable, net, of \$47.4 million.

Net cash provided by operating activities for the year ended December 31, 2018 was \$158.4 million and was primarily attributable to net income of \$299.2 million adjusted for depreciation, depletion and amortization of \$77.5 million, employee benefit plans, net, of \$9.2 million, accretion on asset retirement obligations of \$10.0 million, loss on modification and extinguishment of debt of \$12.0 million and stock-based compensation of \$13.4 million, partially offset by a \$16.9 million gain on disposal of assets and changes in deferred income taxes of \$66.7 million. The change in our operating assets and liabilities of (\$191.3) million was primarily attributed to increases in trade accounts receivable of \$84.1 million, increases in prepaid expenses and other current assets of \$44.3 million, increases in other non-current assets of \$36.7 million, decreases in acquisition-related obligations of \$14.5 million, and decreases in other non-current liabilities of \$19.9 million, partially offset by decreases in inventories, net, of \$33.2 million.

Investing Activities

Net cash used in investing activities for the year ended December 31, 2019 was \$191.8 million, primarily driven by capital expenditures of \$192.4 million, purchases of investment securities of \$92.9 million, and capital contributions to equity affiliates of \$10.1 million, partially offset by maturity of investment securities of \$100.3 million.

Net cash provided by investing activities for the year ended December 31, 2018 was \$102.2 million, primarily driven by cash, cash equivalents and restricted cash acquired in acquisition, net of amounts paid of \$198.5 million, partially offset by capital expenditures of \$81.9 million, payments on disposition of assets of \$10.3 million, and capital contributions to equity affiliates of \$5.3 million.

Financing Activities

Net cash used in financing activities for the year ended December 31, 2019 was \$69.7 million, primarily attributable to principal repayments of debt of \$552.8 million, common stock repurchases and related expenses of \$37.6 million, and principal repayments of notes payable of \$14.8 million, partially offset by proceeds from borrowings on debt of \$544.9 million.

Net cash provided by financing activities for the year ended December 31, 2018 was \$22.7 million, primarily attributable to net proceeds from borrowings on debt of \$537.8 million, partially offset by principal repayments of debt of \$471.7 million, common stock repurchases and related expenses of \$20.3 million, debt issuance costs of \$14.9 million, form S-4 costs of \$3.9 million, and principal repayments of notes payable of \$3.8 million.

Long-Term Debt

Refer to Note 15 for additional disclosures on long-term debt.

Analysis of Material Debt Covenants

We were in compliance with all covenants under the Credit Agreement and the Amended and Restated Asset-Based Revolving Credit Agreement, as of December 31, 2019. A breach of the covenants in the Credit Agreement and the Amended and Restated Asset-Based Revolving Credit Agreement could result in a default under the terms of the agreement and the respective lenders could elect to declare all amounts borrowed due and payable.

Pursuant to the Amended and Restated Asset-Based Revolving Credit Agreement, during any Liquidity Period (capitalized terms as defined in the Amended and Restated Asset-Based Revolving Credit Agreement), our Fixed Charge Coverage Ratio cannot be less than 1.0 as of the last day of any Test Period, commencing with the Test Period ended immediately preceding the commencement of such Liquidity Period. The Fixed Charge Coverage Ratio is calculated as (a) Consolidated EBITDA of the Company and its Restricted Subsidiaries for such period, minus non-financed Capital Expenditures (including Capital Expenditures financed with the proceeds of any Loans) paid or payable currently in cash by the Company or any of its Subsidiaries for such period to (b) the Fixed Charges of the Company and its Restricted Subsidiaries during such period. As of December 31, 2019, we were not in a Liquidity Period.

Acquisition-Related Obligations

Refer to Note 16 for additional details and disclosures on acquisition-related obligations.

Off-Balance Sheet Arrangements

Refer to Note 23, part (c) for disclosures on off-balance sheet arrangements.

Other

As a regular part of our business, we review opportunities for, and engage in discussions and negotiations concerning, the acquisition or disposition of coal mining and related infrastructure assets and interests in coal mining companies, and acquisitions or dispositions of, or combinations or other strategic transactions involving companies with coal mining or other energy assets. When we believe that these opportunities are consistent with our strategic plans and our acquisition or disposition criteria, we will make bids or proposals and/or enter into letters of intent and other similar agreements. These bids or proposals, which may be binding or non-binding, are customarily subject to a variety of conditions and usually permit us to terminate the discussions and any related agreement if, among other things, we are not satisfied with the results of due diligence. Any acquisition opportunities we pursue could materially affect our liquidity and capital resources and may require us to incur indebtedness, seek equity capital or both. There can be no assurance that additional financing will be available on terms acceptable to us, or at all.

Contractual Obligations

The following is a summary of our significant contractual obligations as of December 31, 2019:

(in thousands)	2020	2021	2022	2023	2024	After 2024	Total
Long-term debt ⁽¹⁾	\$ 24,993	\$ 25,618	\$ 18,118	\$ 8,118	\$ 536,519	\$ —	\$ 613,366
Other debt ⁽²⁾	3,492	3,418	2,206	179	—	—	9,295
Acquisition-related obligations	20,186	7,872	4,247	—	—	—	32,305
Contingent revenue obligation ⁽³⁾	14,710	14,138	14,134	13,265	—	—	56,247
Equipment purchase commitments ⁽⁴⁾	19,283	—	279	—	—	—	19,562
Transportation commitments	6,582	—	—	—	—	—	6,582
Operating leases	2,378	1,957	1,665	1,193	1,079	5,203	13,475
Minimum royalties	14,692	13,762	11,866	10,846	8,692	34,274	94,132
Coal purchase commitments ⁽⁵⁾	47,865	—	—	—	—	—	47,865
Total	\$ 154,181	\$ 66,765	\$ 52,515	\$ 33,601	\$ 546,290	\$ 39,477	\$ 892,829

- ⁽¹⁾ Includes Term Loan Credit Facility principal amounts of \$5.6 million in 2020, \$5.6 million in 2021, \$5.6 million in 2022, \$5.6 million in 2023, and \$536.5 million in 2024. Cash interest payable on this obligation, with an interest rate of 9.00% as of December 31, 2019, would be approximately \$51.0 million in 2020, \$53.4 million in 2021, \$55.3 million in 2022, \$54.8 million in 2023, and \$24.7 million in 2024. Also includes Lexington Coal Company (“LCC”) Note Payable principal amounts of \$17.5 million in 2020, \$17.5 million in 2021, and \$10.0 million in 2022 and LCC Water Treatment Stipulation principal amounts of \$1.9 million in 2020, \$2.5 million in 2021, \$2.5 million in 2022, and \$2.5 million in 2023. Refer to Note 15 for principal payment and interest rate terms.
- ⁽²⁾ Includes financing lease obligation principal amounts of \$3.3 million in 2020, \$2.8 million in 2021, \$1.7 million in 2022, and \$0.2 million in 2023. Cash interest payable on these obligations with interest rates ranging between 2.49% and 11.32%, would be approximately \$0.3 million in 2020, \$0.2 million in 2021, \$0.1 million in 2022, and \$5 thousand in 2023. Other debt includes principal amounts of \$0.2 million in 2020, \$0.6 million in 2021, and \$0.5 million in 2022.
- ⁽³⁾ Refer to Note 16 for further disclosures related to this obligation.
- ⁽⁴⁾ Represents obligations under certain equipment purchase agreements that contain minimum quantities to be purchased in 2020 and 2022.
- ⁽⁵⁾ Includes an estimated \$3.7 million related to contractually committed variable priced tons from vendors with historical performance resulting in less than 20% of the committed tonnage being delivered.

Additionally, we have long-term liabilities relating to asset retirement obligations, pension, black lung benefits, life insurance benefits, and workers’ compensation benefits. The table below reflects the estimated undiscounted cash flows for these obligations:

(in thousands)	2020	2021	2022	2023	2024	After 2024	Total
Asset retirement obligation	\$ 41,386	\$ 36,774	\$ 28,782	\$ 34,034	\$ 41,347	\$ 575,408	\$ 757,731
Pension benefit obligation ⁽¹⁾	30,992	31,148	31,691	32,414	32,901	1,045,518	1,204,664
Black lung benefit obligation	7,472	6,457	6,751	6,894	6,981	205,520	240,075
Life insurance benefit obligation	719	667	658	650	645	16,037	19,376
Workers’ compensation benefit obligation	13,711	9,513	7,465	6,329	5,686	85,168	127,872
Total	\$ 94,280	\$ 84,559	\$ 75,347	\$ 80,321	\$ 87,560	\$ 1,927,651	\$ 2,349,718

- ⁽¹⁾ The estimated undiscounted cash flows will be paid from the defined benefit pension plan assets held within the defined benefit pension plan trust. Refer to Note 20 for further disclosures related to this obligation.

We expect to spend between \$145 million and \$165 million on capital expenditures during 2020.

Critical Accounting Policies and Estimates

The preparation of financial statements in accordance with GAAP requires management to make estimates and assumptions that affect reported amounts of assets, liabilities, revenues and expenses, and related disclosure of contingent assets and liabilities. We base our estimates on historical experience and on various other factors and assumptions, including

the current economic environment, that we believe are reasonable under the circumstances, the results of which form the basis for making judgments about the carrying values of assets and liabilities that are not readily apparent from other sources. We evaluate our estimates and assumptions on an ongoing basis and adjust such estimates and assumptions as facts and circumstances require. Foreign currency and energy markets, and fluctuations in demand for steel products have combined to increase the uncertainty inherent in such estimates and assumptions. As future events and their effects cannot be determined with precision, actual results may differ significantly from these estimates. Changes in these estimates resulting from continuing changes in the economic environment will be reflected in the financial statements in future periods.

Business Combinations. We account for our business combinations under the acquisition method of accounting. The total cost of acquisitions is allocated to the underlying identifiable net tangible and intangible assets based on their respective estimated fair values. Determining the fair value of assets acquired and liabilities assumed requires management's judgment, the utilization of independent valuation experts, and often involves the use of significant estimates and assumptions with respect to the timing and amounts of future cash inflows and outflows, discount rates, market prices and asset lives, among other items.

Reclamation. Our asset retirement obligations arise from the federal Surface Mining Control and Reclamation Act of 1977 and similar state statutes, which require that mine property be restored in accordance with specified standards and an approved reclamation plan. Significant reclamation activities include reclaiming refuse and slurry ponds, reclaiming the pit and support acreage at surface mines, sealing portals at deep mines, and the treatment of water. We determine the future cash flows necessary to satisfy our reclamation obligations on a permit-by-permit basis based upon current permit requirements and various estimates and assumptions, including estimates of disturbed acreage, cost estimates, and assumptions regarding productivity. We are also faced with increasingly stringent environmental regulation, much of which is beyond our control, which could increase our costs and materially increase our asset retirement obligations. Estimates of disturbed acreage are determined based on approved mining plans and related engineering data. Cost estimates are based upon third-party costs. Productivity assumptions are based on historical experience with the equipment that is expected to be utilized in the reclamation activities. Our asset retirement obligations are initially recorded at fair value. In order to determine fair value, we use assumptions including a discount rate and third-party margin. Each is discussed further below:

- ***Discount Rate.*** Asset retirement obligations are initially recorded at fair value. We utilize discounted cash flow techniques to estimate the fair value of our obligations. We base our discount rate on the rates of treasury bonds with maturities similar to expected mine lives and adjust for our credit standing as necessary after considering funding and assurance provisions. Changes in our credit standing could have a material impact on our asset retirement obligations.
- ***Third-Party Margin.*** The measurement of an obligation at fair value is based upon the amount a third party would demand to perform the obligation. Because we plan to perform a significant amount of the reclamation activities with internal resources, a third-party margin was added to the estimated costs of these activities. This margin was estimated based upon our historical experience with contractors performing similar types of reclamation activities. The inclusion of this margin will result in a recorded obligation that is greater than our estimates of our cost to perform the reclamation activities. If our cost estimates are accurate, the excess of the recorded obligation over the cost incurred to perform the work will be recorded within depreciation, depletion and amortization within our Consolidated Statements of Operations at the time that reclamation work is completed.

On at least an annual basis, we review our reclamation liabilities and make necessary adjustments for permit changes as granted by state authorities, additional costs resulting from accelerated mine closures, and revisions to cost estimates and productivity assumptions to reflect current experience and updated plans. At December 31, 2019, we had recorded asset retirement obligation liabilities of \$224.7 million, including amounts reported as current. While the precise amount of these future costs cannot be determined with certainty, as of December 31, 2019, we estimate that the aggregate undiscounted cost of final mine closures is approximately \$757.7 million.

Retirement Plans. We have three non-contributory defined benefit retirement plans (the "Pension Plans") covering certain of our salaried and non-union hourly employees, all of which are frozen. Benefits are based on either the employee's compensation prior to retirement or stated amounts for each year of service with us. Funding of the Pension Plans is in accordance with requirements of ERISA, and our contributions can be deducted for federal income tax purposes. We contributed \$9.3 million to our Pension Plans for the year ended December 31, 2019. For the year ended December 31, 2019, we recorded a net periodic benefit cost of \$5.5 million, which included a settlement of \$6.2 million, for our Pension Plans and have recorded net obligations of \$204.1 million.

The calculation of the net periodic benefit expense (credit) and projected benefit obligation associated with our Pension Plans requires the use of a number of assumptions, which are used by our independent actuaries to make the underlying

calculations. Changes in these assumptions can result in different net periodic benefit expense and liability amounts, and actual experience can differ from the assumptions.

- The expected long-term rate of return on plan assets is an assumption of the rate of return on plan assets reflecting the average rate of earnings expected on the funds invested or to be invested to provide for the benefits included in the projected benefit obligation. We establish the expected long-term rate of return at the beginning of each fiscal year based upon historical returns and projected returns on the underlying mix of invested assets. The Pension Plans investment targets are 40% equity securities and 60% fixed income funds. Investments are rebalanced on a periodic basis to stay within these targeted guidelines. The long-term rate of return assumption used to determine net periodic benefit expense was 5.80% for the year ended December 31, 2019. The long-term rate of return assumption to be used in 2020 is expected to be 5.90%. Any difference between the actual experience and the assumed experience is deferred as an unrecognized actuarial gain or loss and amortized into expense in future periods.
- The discount rate represents our estimate of the interest rate at which pension benefits could be effectively settled. Assumed discount rates are used in the measurement of the projected and accumulated benefit obligations and the interest cost component of the net periodic benefit expense. In estimating that rate, we use rates of return on high quality, fixed income investments. The weighted average discount rate used to determine pension expense was 4.01% for the year ended December 31, 2019. The differences resulting from actual versus assumed discount rates are amortized into pension expense (credit) over the remaining average life of the active plan participants. A one percentage-point increase in the discount rate would increase the net periodic pension cost for the year ended December 31, 2019 by approximately \$3.0 million and decrease the projected benefit obligation as of December 31, 2019 by approximately \$83.2 million. The corresponding effects of a one percentage-point decrease in discount rate would decrease the net periodic pension cost for the year ended December 31, 2019 by approximately \$4.1 million and increase the projected benefit obligation as of December 31, 2019 by approximately \$104.2 million.

Coal Workers' Pneumoconiosis. We are required by federal and state statutes to provide benefits to employees for awards related to coal workers' pneumoconiosis disease (black lung). Certain of our subsidiaries are insured for black lung obligations by a third-party insurance provider and certain subsidiaries are self-insured for state black lung obligations. Certain other subsidiaries are self-insured for federal black lung benefits and may fund benefit payments through Section 501(c)(21) tax-exempt trust fund. Provisions are made for estimated benefits based on annual evaluations prepared by independent actuaries. Charges are made to operations for self-insured black lung claims, as determined by an independent actuary at the present value of the actuarially computed liability for such benefits over the employee's applicable term of service. These actuarially determined liabilities use various actuarial assumptions, including the discount rate, future cost trends, demographic assumptions, and return on plan assets to estimate the costs and obligations for these items. The discount rate represents our estimate of the interest rate at which black lung obligations could be effectively settled. Assumed discount rates are used in the measurement of the black lung benefit obligations and the interest cost and service cost components of the net periodic benefit expense. In estimating that rate, we use rates of return on high quality, fixed income investments. Refer to Note 20 to the Consolidated Financial Statements included elsewhere in this Annual Report on Form 10-K for the weighted-average rate assumptions related to black lung obligations used to determine the benefit obligation. If our assumptions do not materialize as expected, actual cash expenditures and costs that we incur could differ materially from our current estimates. Moreover, regulatory changes could affect our obligation to satisfy these or additional obligations. As of December 31, 2019, we had estimated black lung obligations of approximately \$120.1 million, including amounts reported as current, which are net of assets of \$2.7 million that are held in a tax-exempt trust fund.

Income Taxes. We recognize deferred tax assets and liabilities using enacted tax rates for the effect of temporary differences between the book and tax bases of recorded assets and liabilities. Deferred tax assets are reduced by a valuation allowance if it is more likely than not that some portion or all of the deferred tax assets will not be realized. In evaluating our ability to recover our deferred tax assets within the jurisdiction in which they arise, we consider all available positive and negative evidence, including the expected reversals of deferred tax liabilities, projected future taxable income, taxable income available via carryback to prior years, tax planning strategies, and results of recent operations. We assess the realizability of our deferred tax assets, including scheduling the reversal of our deferred tax assets and liabilities, to determine the amount of valuation allowance needed. Scheduling the reversal of deferred tax asset and liability balances requires judgment and estimation. We believe the deferred tax liabilities relied upon as future taxable income in our assessment will reverse in the same period and jurisdiction and are of the same character as the temporary differences giving rise to the deferred tax assets that will be realized. At December 31, 2019, a valuation allowance of \$133.0 million has been provided on federal and state net operating losses and gross deferred tax assets not expected to provide future tax benefits.

Asset Impairment. U.S. GAAP requires that a long-lived asset group that is held and used should be reviewed for impairment whenever events or changes in circumstances indicate that the carrying amount of the long-lived asset group might

not be recoverable. Once indicators of potential impairment are identified, testing of a long-lived asset group for impairment is a two-step process. Step one evaluates the recoverability of an asset group by comparing its projected future net undiscounted cash flows to its carrying value. If the carrying value of an asset group exceeds its projected future net undiscounted cash flows, step two is performed whereby the fair value of the asset group is estimated and compared to its carrying amount. The amount of any potential impairment is equal to the excess of an asset group's carrying value over its estimated fair value. The amount of any potential impairment is allocated to the individual long-lived assets within the asset group on a pro-rata basis, except that the carrying value of individual long-lived assets are not reduced below their individual estimated fair values. Long-lived assets located in a close geographic area are grouped together for purposes of impairment testing when, after considering revenue and cost interdependencies, circumstances indicate the assets are used together to produce future cash flows. Our asset groups generally consist of the assets and applicable liabilities of one or more mines and preparation plants and associated coal reserves for which cash flows are largely independent of cash flows of other mines, preparation plants and associated reserves.

During the year ended December 31, 2019, we determined that indicators of impairment were present for three long-lived asset groups within each of our CAPP - Met and CAPP - Thermal reporting segments and performed impairment testing as of December 31, 2019. At December 31, 2019, we determined that the carrying amounts of the asset groups exceeded both their undiscounted cash flows and their estimated fair values. As a result, the Company recorded a long-lived asset impairment of \$60.2 million. Our estimates of undiscounted cash flows are dependent upon a number of significant management estimates about future performance including sales volumes and prices, costs to produce, income taxes, and capital spending, among others. Changes in any of these assumptions could materially impact the estimated undiscounted cash flows of our asset groups. Additionally, during the year ended December 31, 2019, the Company recorded additional asset impairments of \$6.2 million primarily related to the write-off of prepaid purchased coal as a result of Blackjewel's Chapter 11 bankruptcy filing on July 1, 2019. Refer to Note 2 and Note 4 to the Consolidated Financial Statements included elsewhere in this Annual Report on Form 10-K.

Goodwill. Goodwill represents the excess of purchase price over the fair value of the identifiable net assets of acquired companies. Goodwill is not amortized; instead, it is tested for impairment annually as of October 31 of each year, or more frequently if indicators of impairment exist.

We performed an interim goodwill impairment test as of August 31, 2019 due to a decline in the Company's market capitalization to amounts below book value combined with a decline in global metallurgical coal pricing which indicated that the fair value of the CAPP - Met segment reporting unit may have been below its carrying value. Following the quantitative testing, we concluded that the fair value of the reporting unit exceeded its carrying value and no amounts of goodwill were impaired. As of October 31, 2019, we performed our annual goodwill impairment test and concluded that more likely than not the fair value of its CAPP - Met reporting unit to which our goodwill is allocated exceeded its carrying value. As a result, no amounts of goodwill were considered impaired as a result of impairment testing at October 31, 2019.

However, due to the continued weakening in coal market pricing combined with a significant market price decline for our stock late in the fourth quarter of 2019, we performed an interim goodwill impairment test as of December 31, 2019. Following the quantitative testing, we concluded that the carrying value of the CAPP - Met reporting unit exceeded its fair value and recorded a goodwill impairment of \$124.4 million to write down the full carrying value of goodwill. Refer to Note 2 to the Consolidated Financial Statements included elsewhere in this Annual Report on Form 10-K.

Prior to performing a quantitative goodwill impairment test, the Company first has the option of performing a qualitative assessment of goodwill. If the Company determines based on its qualitative assessment that more likely than not that the fair value of a reporting unit containing goodwill exceeds its carrying amount, no further impairment testing is required. If a quantitative impairment test is required, the Company compares the fair value of a reporting unit including goodwill to its carrying value. If the fair value of the reporting unit is lower than its carrying amount, its goodwill is written down by the lesser of the amount by which the reporting units carrying amount exceeded its fair value or its carrying value of goodwill.

The valuation methodology utilized to estimate the fair value of the reporting units is based on both a market and income approach and is within the range of fair values yielded under each approach. The income approach is based on a discounted cash flow methodology in which expected future net cash flows are discounted to present value, using an appropriate after-tax weighted average cost of capital (discount rate). The market approach is based on a guideline company and similar transaction methodology. Under the guideline company approach, certain metrics from a selected group of publicly traded guideline companies that have similar operations to the Company's reporting units are used to estimate the fair value of the reporting units. Under the similar transactions approach, recent merger and acquisition transactions for companies that have similar operations to the Company's reporting units are used to estimate the fair value of the Company's reporting units.

The income approach is dependent upon a number of significant management estimates about future performance including sales volumes and prices, costs to produce, income taxes, capital spending, working capital changes and the after-tax weighted average cost of capital. Changes in any of these assumptions could materially impact the estimated fair value of our reporting units. Our forecasts of coal prices generally reflect a long-term outlook of market prices expected to be received for our coal. However, coal prices are influenced by global market conditions beyond our control. If actual coal prices are less than our expectations, it could have a material impact on the fair value of our reporting units. Our forecasts of costs to produce coal are based on our operating forecasts and an assumed inflation rate for materials and supplies such as steel, diesel fuel and explosives. However, the costs of the materials and supplies used in our production process such as steel, diesel fuel and explosives are influenced by global market conditions beyond our control. If actual costs are higher or if inflation increases above our expectations, it could have a material impact on the fair value of our reporting units. We also are faced with increasingly stringent safety standards and governmental regulation, much of which is beyond our control, which could increase our costs and materially decrease the fair value of our reporting units. For a further discussion of the factors that could result in a change in our assumptions, see “Risk Factors” in this Annual Report on Form 10-K and our other filings with the Securities and Exchange Commission.

Contingent Revenue Obligation. Our contingent revenue obligation was assumed in connection with the Merger. Determining the fair value of this obligation requires management’s judgment and the utilization of independent valuation experts, and involves the use of significant estimates and assumptions with respect to forecasts of future revenues and discount rates. The Company forecasts future revenues for the duration of the obligation for the properties subject to the obligation. Discount rates are determined based on the risk associated with the projected cash flows. If our assumptions do not materialize as expected, actual payments made under the obligation could differ materially from our current estimates. For a further discussion of the factors that could result in a change in our assumptions, see “Risk Factors” in this Annual Report on Form 10-K and our other filings with the Securities and Exchange Commission.

New Accounting Pronouncements. Refer to Note 2 for disclosures related to new accounting policies adopted.

Item 7A. Quantitative and Qualitative Disclosures about Market Risk

Commodity Price Risk

We manage our commodity price risk for coal sales through the use of coal supply agreements. As of March 6, 2020, we expect to ship on sales commitments of approximately 6.4 million tons of NAPP coal for 2020, all of which is priced, 12.3 million tons of CAPP - Met coal for 2020, 52% of which is priced, and 3.0 million tons of CAPP - Thermal coal for 2020, all of which is priced.

We have exposure to price risk for supplies that are used directly or indirectly in the normal course of production such as diesel fuel, steel and other items such as explosives. We manage our risk for these items through strategic sourcing contracts in normal quantities with our suppliers and may use derivative instruments in the future from time to time, primarily swap contracts with financial institutions, for a certain percentage of our monthly requirements. Swap agreements would essentially fix the price paid for our diesel fuel by requiring us to pay a fixed price and receive a floating price.

We expect to use approximately 22.1 million and 19.8 million gallons of diesel fuel in 2020 and 2021, respectively.

Credit Risk

Our credit risk is primarily with electric power generators and steel producers. Our policy is to independently evaluate each customer’s creditworthiness prior to entering into transactions and to monitor outstanding accounts receivable against established credit limits. When appropriate (as determined by our credit management function), we have taken steps to reduce our credit exposure to customers that do not meet our credit standards or whose credit has deteriorated. These steps include obtaining letters of credit or cash collateral, obtaining credit insurance, requiring prepayments for shipments or establishing customer trust accounts held for our benefit in the event of a failure to pay.

Interest Rate Risk

As of December 31, 2019, we had exposure to changes in interest rates through the asset-based revolving credit facility under our Amended and Restated Asset-Based Revolving Credit Agreement, which bears interest based on the character of the loan (defined as either “Base Rate Loan” or “Eurocurrency Rate Loan”) plus an applicable rate ranging from 1.00% to 1.50% for Base Rate Loans and 2.00% to 2.50% for Eurocurrency Rate Loans, depending on the amount of credit available. As of December 31, 2019, the Company had no borrowings under the Asset-Based Term Loan Credit Agreement.

As of December 31, 2019, we also had exposure to changes in interest rates through the Term Loan Credit Facility under our Credit Agreement, which bears an interest rate per annum based on the character of the loan (defined as either “Base Rate Loan” or “Eurocurrency Rate Loan”) plus an applicable rate of 6.00% to 7.00% on or prior to June 14, 2021, the second anniversary of the Closing Date, and 7.00% to 8.00% thereafter (the “Applicable Rate”). As of December 31, 2019, a 50 basis point increase or decrease in interest rates would increase or decrease our annual interest expense by approximately \$2.8 million.

Item 8. Financial Statements and Supplementary Data

Report of Independent Registered Public Accounting Firm

To the Stockholders and Board of Directors
Contura Energy, Inc.:

Opinion on the Consolidated Financial Statements

We have audited the accompanying consolidated balance sheets of Contura Energy, Inc. and subsidiaries (the Company) as of December 31, 2019 and 2018, the related consolidated statements of operations, comprehensive (loss) income, cash flows, and stockholders' equity for each of the years in the three-year period ended December 31, 2019, and the related notes (collectively, the consolidated financial statements). In our opinion, the consolidated financial statements present fairly, in all material respects, the financial position of the Company as of December 31, 2019 and 2018, and the results of its operations and its cash flows for each of the years in the three-year period ended December 31, 2019, in conformity with U.S. generally accepted accounting principles.

We also have audited, in accordance with the standards of the Public Company Accounting Oversight Board (United States) (PCAOB), the Company's internal control over financial reporting as of December 31, 2019, based on criteria established in *Internal Control - Integrated Framework (2013)* issued by the Committee of Sponsoring Organizations of the Treadway Commission, and our report dated March 18, 2020 expressed an adverse opinion on the effectiveness of the Company's internal control over financial reporting.

Change in Accounting Principle

As discussed in Note 2 to the consolidated financial statements, the Company has changed its method of accounting for revenue recognition effective January 1, 2018 due to the adoption of Accounting Standards Codification Topic 606, *Revenue from Contracts with Customers*.

Basis for Opinion

These consolidated financial statements are the responsibility of the Company's management. Our responsibility is to express an opinion on these consolidated financial statements based on our audits. We are a public accounting firm registered with the PCAOB and are required to be independent with respect to the Company in accordance with the U.S. federal securities laws and the applicable rules and regulations of the Securities and Exchange Commission and the PCAOB.

We conducted our audits in accordance with the standards of the PCAOB. Those standards require that we plan and perform the audit to obtain reasonable assurance about whether the consolidated financial statements are free of material misstatement, whether due to error or fraud. Our audits included performing procedures to assess the risks of material misstatement of the consolidated financial statements, whether due to error or fraud, and performing procedures that respond to those risks. Such procedures included examining, on a test basis, evidence regarding the amounts and disclosures in the consolidated financial statements. Our audits also included evaluating the accounting principles used and significant estimates made by management, as well as evaluating the overall presentation of the consolidated financial statements. We believe that our audits provide a reasonable basis for our opinion.

/s/ KPMG LLP

We have served as the Company's auditor since 2016.

Richmond, Virginia
March 18, 2020

CONTURA ENERGY, INC. AND SUBSIDIARIES
CONSOLIDATED STATEMENTS OF OPERATIONS
(Amounts in thousands, except share and per share data)

	Year Ended December 31,		
	2019	2018	2017
Revenues:			
Coal revenues	\$ 2,282,007	\$ 2,020,889	\$ 1,392,481
Freight and handling revenues	—	—	247,402
Other revenues	8,253	10,316	10,086
Total revenues	2,290,260	2,031,205	1,649,969
Costs and expenses:			
Cost of coal sales (exclusive of items shown separately below)	1,924,709	1,661,118	1,327,297
Depreciation, depletion and amortization	228,792	77,549	34,910
Accretion on asset retirement obligations	27,798	9,966	9,934
Amortization of acquired intangibles, net	(88)	(5,392)	59,007
Selling, general and administrative expenses (exclusive of depreciation, depletion and amortization shown separately above)	78,953	59,271	67,459
Merger-related costs	1,090	51,800	—
Secondary offering costs	—	—	4,491
Asset impairment	66,324	—	—
Goodwill impairment	124,353	—	—
Total other operating (income) loss:			
Mark-to-market adjustment for acquisition-related obligations	(3,564)	24	3,221
Gain on settlement of acquisition-related obligations	—	(580)	(38,886)
Other (income) expense	(575)	(16,311)	178
Total costs and expenses	2,447,792	1,837,445	1,467,611
(Loss) income from operations	(157,532)	193,760	182,358
Other income (expense):			
Interest expense	(66,798)	(38,810)	(35,977)
Interest income	7,296	1,949	210
Loss on modification and extinguishment of debt	(26,459)	(12,042)	(38,701)
Equity loss in affiliates	(6,874)	(6,112)	(3,339)
Bargain purchase gain	—	—	1,011
Miscellaneous (loss) income, net	(10,332)	(1,254)	194
Total other expense, net	(103,167)	(56,269)	(76,602)
(Loss) income from continuing operations before income taxes	(260,699)	137,491	105,756
Income tax benefit	57,557	165,363	67,979
Net (loss) income from continuing operations	(203,142)	302,854	173,735
Discontinued operations:			
Loss from discontinued operations before income taxes	(117,391)	(4,994)	(36,894)
Income tax benefit from discontinued operations	4,214	1,305	17,681
Loss from discontinued operations	(113,177)	(3,689)	(19,213)
Net (loss) income	\$ (316,319)	\$ 299,165	\$ 154,522
Basic (loss) income per common share:			

(Loss) income from continuing operations	\$	(10.80)	\$	27.61	\$	17.01
Loss from discontinued operations		(6.02)		(0.33)		(1.89)
Net (loss) income	\$	(16.82)	\$	27.28	\$	15.12
Diluted (loss) income per common share:						
(Loss) income from continuing operations	\$	(10.80)	\$	25.86	\$	16.13
Loss from discontinued operations		(6.02)		(0.32)		(1.78)
Net (loss) income	\$	(16.82)	\$	25.54	\$	14.35
Weighted average shares - basic		18,808,460		10,967,014		10,216,464
Weighted average shares - diluted		18,808,460		11,712,653		10,770,005

Refer to accompanying Notes to Consolidated Financial Statements.

CONTURA ENERGY, INC. AND SUBSIDIARIES
CONSOLIDATED STATEMENTS OF COMPREHENSIVE (LOSS) INCOME
(Amounts in thousands)

	Year Ended December 31,		
	2019	2018	2017
Net (loss) income	\$ (316,319)	\$ 299,165	\$ 154,522
Other comprehensive loss, net of tax:			
Employee benefit plans:			
Current period actuarial loss	\$ (42,891)	\$ (22,895)	\$ (3,832)
Income tax	—	1,572	—
	\$ (42,891)	\$ (21,323)	\$ (3,832)
Less: reclassification adjustments for amounts reclassified to earnings due to amortization of net actuarial loss (gain) and settlements	7,405	155	(203)
Income tax	—	(14)	—
	\$ 7,405	\$ 141	\$ (203)
Total other comprehensive loss, net of tax	\$ (35,486)	\$ (21,182)	\$ (4,035)
Total comprehensive (loss) income	\$ (351,805)	\$ 277,983	\$ 150,487

Refer to accompanying Notes to Consolidated Financial Statements.

CONTURA ENERGY, INC. AND SUBSIDIARIES
CONSOLIDATED BALANCE SHEETS
(Amounts in thousands, except share and per share data)

	December 31, 2019	December 31, 2018
Assets		
Current assets:		
Cash and cash equivalents	\$ 212,793	\$ 233,599
Trade accounts receivable, net of allowance for doubtful accounts of \$0 as of December 31, 2019 and 2018	244,666	292,617
Inventories, net	162,659	121,965
Prepaid expenses and other current assets	91,361	158,945
Current assets - discontinued operations	—	22,475
Total current assets	711,479	829,601
Property, plant, and equipment, net of accumulated depreciation and amortization of \$314,276 and \$106,766 as of December 31, 2019 and 2018	583,262	699,990
Owned and leased mineral rights, net of accumulated depletion and amortization of \$27,877 and \$11,390 as of December 31, 2019 and 2018	523,141	528,232
Goodwill	—	95,624
Other acquired intangibles, net of accumulated amortization of \$32,686 and \$20,267 as of December 31, 2019 and 2018	125,145	154,584
Long-term restricted cash	122,524	227,173
Deferred income taxes	33,065	27,179
Other non-current assets	204,207	183,675
Total assets	\$ 2,302,823	\$ 2,746,058
Liabilities and Stockholders' Equity		
Current liabilities:		
Current portion of long-term debt	\$ 28,485	\$ 42,743
Trade accounts payable	98,746	114,568
Acquisition-related obligations - current	33,639	27,334
Accrued expenses and other current liabilities	154,282	148,699
Current liabilities - discontinued operations	—	21,892
Total current liabilities	315,152	355,236
Long-term debt	564,481	545,269
Acquisition-related obligations - long-term	46,259	72,996
Workers' compensation and black lung obligations	260,778	249,294
Pension obligations	204,086	180,802
Asset retirement obligations	184,130	203,694
Deferred income taxes	422	15,118
Other non-current liabilities	31,393	52,415
Non-current liabilities - discontinued operations	—	94
Total liabilities	1,606,701	1,674,918
Commitments and Contingencies (Note 23)		
Stockholders' Equity		
Preferred stock - par value \$0.01, 5.0 million shares authorized at December 31, 2019 and 2018, none issued	—	—
Common stock - par value \$0.01, 50.0 million shares authorized, 20.5 million issued and 18.2 million outstanding at December 31, 2019 and 20.2 million issued and 19.1 million outstanding at December 31, 2018	205	202
Additional paid-in capital	775,707	761,301

Accumulated other comprehensive loss	(58,616)	(23,130)
Treasury stock, at cost: 2.3 million shares at December 31, 2019 and 1.1 million shares at December 31, 2018	(107,984)	(70,362)
Retained earnings	86,810	403,129
Total stockholders' equity	696,122	1,071,140
Total liabilities and stockholders' equity	<u>\$ 2,302,823</u>	<u>\$ 2,746,058</u>

Refer to accompanying Notes to Consolidated Financial Statements.

CONTURA ENERGY, INC. AND SUBSIDIARIES
CONSOLIDATED STATEMENTS OF CASH FLOWS
(Amounts in thousands)

	Year Ended December 31,		
	2019	2018	2017
Operating activities:			
Net (loss) income	\$ (316,319)	\$ 299,165	\$ 154,522
Adjustments to reconcile net (loss) income to net cash provided by operating activities:			
Depreciation, depletion and amortization	315,162	77,549	65,000
Amortization of acquired intangibles, net	(88)	(5,392)	59,007
Accretion of acquisition-related obligations discount	5,522	5,627	7,531
Amortization of debt issuance costs and accretion of debt discount	14,070	4,483	2,884
Mark-to-market adjustment for acquisition-related obligations	(3,564)	24	3,221
Gain on settlement of acquisition-related obligations	—	(580)	(38,886)
Loss (gain) on disposal of assets	8,142	(16,852)	(570)
Gain on assets acquired in an exchange transaction	(9,083)	—	—
Bargain purchase gain	—	—	(1,011)
Accretion on asset retirement obligations	33,759	9,966	21,275
Employee benefit plans, net	20,846	9,231	11,739
Deferred income taxes	(12,098)	(66,682)	(78,744)
Loss on sale of Powder River Basin	—	—	36,086
Goodwill impairment	124,353	—	—
Asset impairment	83,485	—	—
Loss on modification and extinguishment of debt	26,459	12,042	38,701
Stock-based compensation	12,397	13,354	20,372
Equity in loss of affiliates	6,874	6,112	3,325
Other, net	(5,204)	1,643	—
Changes in operating assets and liabilities			
Trade accounts receivable, net	47,424	(84,139)	34,840
Inventories, net	(40,694)	33,232	441
Prepaid expenses and other current assets	56,671	(44,266)	(40,425)
Deposits	15,170	(7,493)	38,447
Other non-current assets	(24,460)	(36,655)	24,498
Trade accounts payable	(28,148)	(7,075)	6,102
Accrued expenses and other current liabilities	(25,495)	(7,345)	(12,207)
Acquisition-related obligations	(28,128)	(14,500)	(22,800)
Asset retirement obligations	(111,616)	(3,175)	(2,567)
Other non-current liabilities	(33,557)	(19,893)	(16,521)
Net cash provided by operating activities	131,880	158,381	314,260
Investing activities:			
Capital expenditures	(192,411)	(81,881)	(83,121)
Payments on disposal of assets	—	(10,250)	—
Proceeds on disposal of assets	2,780	997	2,579
Capital contributions to equity affiliates	(10,051)	(5,253)	(5,691)
Cash, cash equivalents and restricted cash acquired in acquisition, net of amounts paid	—	198,506	—
Purchase of additional ownership interest in equity affiliate	—	—	(13,293)

Cash paid on sale of Powder River Basin	—	—	(21,375)
Purchase of investment securities	(92,855)	(3,280)	(406)
Maturity of investment securities	100,250	3,360	—
Other, net	535	(3)	—
Net cash (used in) provided by investing activities	(191,752)	102,196	(121,307)
Financing activities:			
Proceeds from borrowings on debt	544,946	537,750	396,000
Principal repayments of debt	(552,809)	(471,704)	(369,500)
Principal repayments of financing lease obligations	(3,654)	(533)	(1,009)
Form S-4 costs	—	(3,918)	—
Debt issuance costs	(6,689)	(14,931)	(14,385)
Debt extinguishment costs	—	—	(25,036)
Debt amendment costs	—	—	(4,520)
Common stock repurchases and related expenses	(37,622)	(20,270)	(49,932)
Special dividend paid	—	—	(100,735)
Principal repayments of notes payable	(14,818)	(3,844)	(1,517)
Other, net	952	159	352
Net cash (used in) provided by financing activities	(69,694)	22,709	(170,282)
Net (decrease) increase in cash and cash equivalents and restricted cash	(129,566)	283,286	22,671
Cash and cash equivalents and restricted cash at beginning of period	477,246	193,960	171,289
Cash and cash equivalents and restricted cash at end of period	<u>\$ 347,680</u>	<u>\$ 477,246</u>	<u>\$ 193,960</u>
Supplemental cash flow information:			
Cash paid for interest	<u>\$ 51,877</u>	<u>\$ 27,340</u>	<u>\$ 40,635</u>
Cash paid for income taxes	<u>\$ 3,039</u>	<u>\$ 37</u>	<u>\$ 13,328</u>
Cash received for income tax refunds	<u>\$ 72,236</u>	<u>\$ 14,157</u>	<u>\$ —</u>
Supplemental disclosure of noncash investing and financing activities:			
Financing leases and capital financing - equipment	<u>\$ 5,324</u>	<u>\$ 6,513</u>	<u>\$ 1,574</u>
Accrued capital expenditures	<u>\$ 4,110</u>	<u>\$ 6,879</u>	<u>\$ 9,408</u>
Issuance of equity in connection with acquisition	<u>\$ —</u>	<u>\$ 664,460</u>	<u>\$ —</u>
Net balance due to Alpha deemed effectively settled	<u>\$ —</u>	<u>\$ 47,048</u>	<u>\$ —</u>

The following table provides a reconciliation of cash and cash equivalents and restricted cash reported within the Consolidated Balance Sheets that sum to the total of the same such amounts shown in the Consolidated Statements of Cash Flows.

	As of December 31,		
	2019	2018	2017
Cash and cash equivalents	<u>\$ 212,793</u>	<u>\$ 233,599</u>	<u>\$ 141,924</u>
Short-term restricted cash (included in prepaid expenses and other current assets)	<u>12,363</u>	<u>16,474</u>	<u>11,615</u>
Long-term restricted cash	<u>122,524</u>	<u>227,173</u>	<u>40,421</u>
Total cash and cash equivalents and restricted cash	<u>\$ 347,680</u>	<u>\$ 477,246</u>	<u>\$ 193,960</u>

Refer to accompanying Notes to Consolidated Financial Statements.

CONTURA ENERGY, INC. AND SUBSIDIARIES
CONSOLIDATED STATEMENTS OF STOCKHOLDERS' EQUITY
(Amounts in thousands)

	Common Stock	Additional Paid- in Capital	Accumulated Other Comprehensive Income (Loss)	Treasury Stock at Cost	(Accumulated Deficit) Retained Earnings	Total Stockholders' Equity / Predecessor Business Equity
Balances, December 31, 2016	\$ 103	\$ 45,964	\$ 2,087	\$ —	\$ (10,930)	\$ 37,224
Retrospective warrants adjustment	—	1,166	—	—	33,975	35,141
Net income	—	—	—	—	154,522	154,522
Other comprehensive loss, net	—	—	(4,035)	—	—	(4,035)
Stock-based compensation and net issuance of common stock for share vesting	4	20,205	—	—	—	20,209
Special dividend	—	(27,132)	—	—	(73,603)	(100,735)
Common stock repurchase and related expenses	—	—	—	(50,040)	—	(50,040)
Warrant exercises	1	413	—	(52)	—	362
Balances, December 31, 2017	\$ 108	\$ 40,616	\$ (1,948)	\$ (50,092)	\$ 103,964	\$ 92,648
Net income	—	—	—	—	299,165	299,165
Other comprehensive loss, net	—	—	(21,182)	—	—	(21,182)
Stock-based compensation and net issuance of common stock for share vesting	—	13,031	—	—	—	13,031
Exercise of stock options	—	146	—	—	—	146
Common stock repurchases and related expenses	—	—	—	(20,266)	—	(20,266)
Warrant exercises	—	12	—	(4)	—	8
Form S-4 costs	—	(3,918)	—	—	—	(3,918)
Equity consideration for the Alpha Merger	94	664,366	—	—	—	664,460
Net balances due to Alpha deemed effectively settled	—	47,048	—	—	—	47,048
Balances, December 31, 2018	\$ 202	\$ 761,301	\$ (23,130)	\$ (70,362)	\$ 403,129	\$ 1,071,140
Net loss	—	—	—	—	(316,319)	(316,319)
Other comprehensive loss, net	—	—	(35,486)	—	—	(35,486)
Stock-based compensation and net issuance of common stock for share vesting	1	13,455	—	—	—	13,456
Exercise of stock options	2	932	—	—	—	934
Common stock repurchases and related expenses	—	—	—	(37,622)	—	(37,622)
Warrant exercises	—	19	—	—	—	19
Balances, December 31, 2019	\$ 205	\$ 775,707	\$ (58,616)	\$ (107,984)	\$ 86,810	\$ 696,122

Refer to accompanying Notes to Consolidated Financial Statements.

CONTURA ENERGY, INC. AND SUBSIDIARIES
Notes to Consolidated Financial Statements
(Amounts in thousands except share and per share data)

(1) Business and Basis of Presentation

Business

Contura Energy, Inc. (“Contura” or the “Company”) is a Tennessee-based coal supplier with affiliate mining operations across major coal basins in Pennsylvania, Virginia and West Virginia. With customers across the globe, high-quality reserves and significant port capacity, Contura reliably supplies both metallurgical coal to produce steel and thermal coal to generate power. Contura was formed to acquire and operate certain of Alpha Natural Resources, Inc.’s (“Alpha”) core coal operations, as part of the Alpha Restructuring. Contura began operations on July 26, 2016 and currently operates mines in the Northern Appalachia and Central Appalachia regions.

A Merger with ANR, Inc. (“ANR”) and Alpha Natural Resources Holdings, Inc. (“Holdings,” and together with ANR, the “Alpha Companies”) was completed on November 9, 2018 (the “Merger” or the “Alpha Merger”). Refer to Note 3 for information on terms of the definitive merger agreement (the “Merger Agreement”). Upon the consummation of the transactions contemplated by the Merger Agreement, Contura began trading on the New York Stock Exchange under the ticker “CTRA.”

Basis of Presentation

Together, the consolidated balance sheet and consolidated statements of operations, comprehensive (loss) income, cash flows and stockholders’ equity for the Company are referred to as the “Financial Statements.” The Financial Statements are also referred to as “Consolidated” and references across periods are generally labeled “Balance Sheets,” “Statements of Operations,” and “Statements of Cash Flows.”

The Consolidated Financial Statements include all wholly owned subsidiaries’ results of operations for the years ended December 31, 2019, 2018 and 2017. All significant intercompany transactions have been eliminated in consolidation.

For the year ended December 31, 2018, the Alpha Companies’ financial results are included in the Financial Statements for the period from November 9, 2018 through December 31, 2018. The Alpha Companies’ financial results are not included in the Financial Statements in periods prior to November 9, 2018. Refer to Note 3 for information on Alpha Merger.

On December 8, 2017, the Company closed a transaction with Blackjewel L.L.C. (“Buyer”) to sell the Eagle Butte and Belle Ayr mines located in the Powder River Basin (“PRB”), Wyoming, along with related coal reserves, equipment, infrastructure and other real properties. The PRB results of operations and financial position are reported as discontinued operations in the Consolidated Financial Statements. The historical information in the accompanying Notes to the Consolidated Financial Statements has been restated to reflect the effects of the PRB operations being reported as discontinued operations in the Consolidated Financial Statements. Refer to Note 4 for further information on discontinued operations.

The accompanying Consolidated Financial Statements have been prepared in accordance with accounting principles generally accepted in the United States (“U.S. GAAP”).

Liquidity Risks and Uncertainties

Weak market conditions and depressed coal prices have resulted in operating losses. If market conditions do not improve, the Company may experience continued operating losses and cash outflows in the coming quarters, which would adversely affect its liquidity. The Company may need to raise additional funds more quickly if market conditions deteriorate, and may not be able to do so in a timely fashion, or at all. The Company has cash on hand which will be sufficient to meet its working capital requirements, anticipated capital expenditures, debt service requirements, acquisition-related obligations, and reclamation obligations for the 12 months subsequent to the issuance of these financial statements. The Company relies on a number of assumptions in budgeting for future activities. These include the costs for mine development to sustain capacity of its operating mines, cash flows from operations, effects of regulation and taxes by governmental agencies, mining technology improvements and reclamation costs. These assumptions are inherently subject to significant business, political, economic, regulatory, environmental and competitive uncertainties, contingencies and risks, all of which are difficult to predict and many of which are beyond the Company’s control. Therefore, the cash on hand and from future operations will be subject to any significant changes in these assumptions.

CONTURA ENERGY, INC. AND SUBSIDIARIES
Notes to Consolidated Financial Statements
(Amounts in thousands except share and per share data)

Reclassifications

Freight and handling costs has been reclassified in the prior year periods from a separate line item into cost of coal sales in the Consolidated Statements of Operations to conform to the current year presentation.

(2) Summary of Significant Accounting Policies***Use of Estimates***

The preparation of the Company's Consolidated Financial Statements requires management to make estimates and assumptions that affect the reported amounts of assets and liabilities and disclosure of contingent assets and liabilities at the date of the Consolidated Financial Statements and the reported amounts of revenues and expenses during the reporting period. Significant items subject to such estimates and assumptions include inventories; mineral reserves; asset impairments; goodwill impairment; reclamation obligations; post-employment and other employee benefit obligations; useful lives, depletion and amortization; reserves for workers' compensation and black lung claims; deferred income taxes; income taxes refundable and receivable; reserves for contingencies and litigation; fair value of financial instruments; and fair value adjustments for acquisition accounting. Estimates are based on facts and circumstances believed to be reasonable at the time; however, actual results could differ from those estimates.

Cash and Cash Equivalents

Cash and cash equivalents consist of cash held with reputable depository institutions and highly liquid, short-term investments with original maturities of three months or less. Cash and cash equivalents are stated at cost, which approximates fair value. As of December 31, 2019 and December 31, 2018, the Company's cash equivalents of \$212,793 and \$233,599, respectively, consisted of highly-rated money market funds.

Restricted Cash

Amounts included in restricted cash represent cash deposits that are restricted as to withdrawal as required by certain agreements entered into by the Company and provide collateral in the amounts of \$38,944, \$12,706, \$67,868, and \$3,006 as of December 31, 2019 for securing the Company's obligations under certain workers' compensation, black lung, reclamation-related obligations, and financial guarantees and other, respectively, which have been written on the Company's behalf. Additionally, the Company had \$12,363 of short-term restricted cash held in escrow related to the Company's contingent revenue payment obligation as of December 31, 2019. As of December 31, 2018, collateral was provided in the amounts of \$90,759, \$29,611, \$86,217, \$27,386, and \$2,833 for securing the Company's obligations under certain workers' compensation, black lung, reclamation-related obligations, general liabilities, and financial guarantees, respectively, which have been written on the Company's behalf. Additionally, the Company had \$6,841 of short-term restricted cash held in escrow related to the Company's contingent revenue payment obligation as of December 31, 2018. Refer to Note 16 for further information regarding the contingent payment revenue obligation. The Company's restricted cash is primarily invested in interest-bearing accounts. This restricted cash is classified as both short-term and long-term on the Company's Consolidated Balance Sheets.

Restricted Investments

Amounts included in restricted investments consist of certificates of deposit, mutual funds, and U.S. treasury bills classified as either trading securities or held-to-maturity securities. The trading securities are recorded initially at cost and adjusted to fair value at each reporting period. The trading securities' unrealized gains and losses resulting from fair value adjustments are recorded in current period earnings or loss. The held-to-maturity securities are recorded at amortized cost with interest income recorded in current period earnings.

These restricted investments are restricted as to withdrawal as required by certain agreements entered into by the Company and provide collateral in the amounts of \$3,100 and \$18,786 as of December 31, 2019 for securing the Company's obligations under certain workers' compensation and reclamation-related obligations, respectively, which have been written on the Company's behalf, of which \$13,508 are classified as trading securities and \$8,378 are classified as held-to-maturity securities. As of December 31, 2018, collateral was provided in the amounts of \$1,888, \$27,049, and \$200 for securing the Company's obligations under certain workers' compensation, reclamation-related obligations, and general liabilities, respectively, which

CONTURA ENERGY, INC. AND SUBSIDIARIES
Notes to Consolidated Financial Statements
(Amounts in thousands except share and per share data)

have been written on the Company's behalf, of which all were classified as held-to-maturity securities. These restricted investments are classified as long-term on the Company's Consolidated Balance Sheets.

Deposits

Deposits represent cash deposits held at third parties as required by certain agreements entered into by the Company to provide cash collateral. The Company had cash collateral in the form of deposits in the amounts of \$8,887 and \$1,836 as of December 31, 2019 and \$24,002 and \$1,390 as of December 31, 2018 to secure the Company's obligations under reclamation-related obligations and various other operating agreements, respectively. These deposits are classified as both short-term and long-term on the Company's Consolidated Balance Sheets.

Trade Accounts Receivable and Allowance for Doubtful Accounts

Trade accounts receivable are recorded at the invoiced amount and do not bear interest. The Company records an allowance for doubtful accounts at the estimate of the amount of probable credit losses in the Company's existing accounts receivable. The Company establishes provisions for losses on accounts receivable when it is probable that all or part of the outstanding balance will not be collected. The Company regularly reviews its accounts receivable balances and establishes or adjusts the allowance as necessary primarily using the specific identification method. The allowance for doubtful accounts was \$0 at both December 31, 2019 and 2018. Account balances are written off against the allowance after all means of collection have been exhausted and the potential for recovery is considered remote.

Inventories

Coal is reported as inventory at the point in time the coal is extracted from the mine. Raw coal represents coal stockpiles that may be sold in current condition or may be further processed prior to shipment to a customer. Saleable coal represents coal stockpiles that require no further processing prior to shipment to a customer.

Coal inventories are valued at the lower of average cost or net realizable value. The cost of coal inventories is determined based on the average cost of production, which includes labor, supplies, equipment costs, operating overhead, depreciation, and other related costs. Net realizable value considers the projected future sales price of the product, less estimated preparation and selling costs.

Material and supplies inventories are valued at average cost, less an allowance for obsolete and surplus items.

Discontinued Operations

In accordance with Accounting Standards Codification ("ASC") 205-20-45, the Company treats a disposal transaction as a discontinued operation when the disposal of a component or group of components represents a strategic shift that will have a major effect on the Company's operations and financial results. In the period in which the discontinued operations criteria are met, the assets and liabilities of the discontinued operations are separately presented on the Company's Consolidated Balance Sheets and the results of operations, including any gain or loss recognized, is reclassified to discontinued operations on the Company's Consolidated Statement of Operations. Refer to Note 4 for further information on discontinued operations.

Deferred Longwall Move Expenses

The Company defers the direct costs, including labor and supplies, associated with moving longwall equipment, the related equipment refurbishment costs, costs to drill vent holes and plug existing gas wells in advance of the longwall panel. These deferred costs are amortized on a units-of-production basis into cost of coal sales over the life of the related panel of coal mined by the longwall equipment. The amount of deferred longwall move expenses was \$11,852 and \$9,822 as of December 31, 2019 and 2018, respectively, included within prepaid expenses and other current assets and other non-current assets in the Company's Consolidated Balance Sheets.

Advanced Mining Royalties

Lease rights to coal reserves are often acquired in exchange for royalty payments. Advance mining royalties are advance payments made to lessors under terms of mineral lease agreements that are recoupable against future production royalties.

CONTURA ENERGY, INC. AND SUBSIDIARIES
Notes to Consolidated Financial Statements
(Amounts in thousands except share and per share data)

These advance payments are deferred and charged to operations as the coal reserves are mined. The Company regularly reviews recoverability of advance mining royalties and establishes or adjusts the allowance for advance mining royalties as necessary using the specific identification method. Advance royalty balances are generally charged off against the allowance when they are no longer recoupable.

Property, Plant, and Equipment, Net

Costs for mine development incurred to expand capacity of operating mines or to develop new mines are capitalized and charged to operations on the units-of-production method over the estimated proven and probable reserve tons directly benefiting from the capital expenditures. Mine development costs include costs incurred for site preparation and development of the mines during the development stage less any incidental revenue generated during the development stage. Mining equipment, buildings and other fixed assets are stated at cost and depreciated on a straight-line basis over estimated useful lives ranging from one to 47 years. Leasehold improvements are amortized using the straight-line method, over the shorter of the estimated useful lives or term of the lease. Major repairs and betterments that significantly extend original useful lives or improve productivity are capitalized and depreciated over the period benefited. Maintenance and repairs are expensed as incurred. When equipment is retired or disposed, the related cost and accumulated depreciation are removed from the respective accounts and any profit or loss on disposal is recognized in other (income) expense in the Company's Consolidated Statements of Operations. Costs to obtain owned and leased mineral rights are capitalized and amortized to operations as depletion expense using the units-of-production method. Only proven and probable reserves are included in the depletion base. Refer to Note 10 for further detail on property, plant and equipment, net.

Owned and Leased Mineral Rights

Owned and leased mineral rights, net of accumulated depletion, for the years ended December 31, 2019 and 2018 were \$523,141 and \$528,232, respectively, and are reported in assets in the Company's Consolidated Balance Sheets. These amounts include \$36,772 and \$47,276 of asset retirement obligation assets, net of accumulated depletion, associated with active mining operations for the years ended December 31, 2019 and 2018, respectively. Refer to Note 3 for information on owned and leased mineral rights assumed with the Merger. During the year ended December 31, 2019, the Company recorded a long-lived asset impairment which reduced the carrying value of owned and leased mineral rights, net, by \$35,445. Refer to the asset impairment disclosure included in Note 2.

Costs to obtain owned and leased mineral rights are capitalized and amortized to operations as depletion expense using the units-of-production method. Only proven and probable reserves are included in the depletion base. Depletion expense is included in depreciation, depletion and amortization on the accompanying Consolidated Statements of Operations and was \$2,140, \$6,804, and \$2,954 for the years ended December 31, 2019, 2018, and 2017, respectively.

Depletion expense for the years ended December 31, 2019, 2018, and 2017 includes a credit of (\$19,973), an expense of \$1,907, and a credit of (\$821), respectively, related to revisions to asset retirement obligations. Refer to Note 17 for further disclosures related to asset retirement obligations.

Acquired Intangibles

The Company has recognized assets for acquired above market-priced coal supply agreements and acquired mine permits and liabilities for acquired below market-priced coal supply agreements. The coal supply agreements were valued based on the present value of the difference between the expected net contractual cash flows based on the stated contract terms, and the estimated net contractual cash flows derived from applying forward market prices at the Merger or acquisition date for new contracts of similar terms and conditions. The acquired mine permits were valued based on the replacement cost and lost profits method as of the Merger date. The balances and respective balance sheet classifications of such assets and liabilities as of December 31, 2019 and 2018, net of accumulated amortization, are set forth in the following tables:

CONTURA ENERGY, INC. AND SUBSIDIARIES
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(Amounts in thousands except share and per share data)

	December 31, 2019		
	Assets ⁽¹⁾	Liabilities ⁽²⁾	Net Total
Coal supply agreements, net	\$ 917	\$ (6,018)	\$ (5,101)
Acquired mine permits, net	124,228	—	124,228
Total	\$ 125,145	\$ (6,018)	\$ 119,127

	December 31, 2018		
	Assets ⁽¹⁾	Liabilities ⁽²⁾	Net Total
Coal supply agreements, net	\$ 4,687	\$ (33,912)	\$ (29,225)
Acquired mine permits, net	149,897	—	149,897
Total	\$ 154,584	\$ (33,912)	\$ 120,672

⁽¹⁾ Included within other acquired intangibles, net of accumulated amortization, on the Company's Consolidated Balance Sheets.

⁽²⁾ Included within other non-current liabilities on the Company's Consolidated Balance Sheets.

During the year ended December 31, 2019, the Company recorded a long-lived asset impairment which reduced the carrying value of acquired mine permits, net, by \$5,997. Refer to the asset impairment disclosure included in Note 2.

The acquired mine permits are amortized over the estimated life of the associated mine. The coal supply agreement assets and liabilities are amortized over the actual number of tons shipped over the life of each contract. Amortization of mine permits acquired as a result of the Merger was \$23,921 and \$3,409 for the years ended December 31, 2019 and 2018, respectively, which is reported within amortization of acquired intangibles, net, in the Consolidated Statements of Operations. Amortization of above-market coal supply agreements was \$3,884, \$14,506, and \$59,007, and amortization of below-market coal supply agreements was (\$27,893), (\$23,307), and \$0, resulting in a net (income) expense of (\$24,009), (\$8,801), and \$59,007 for the years ended December 31, 2019, 2018, and 2017, respectively, which is reported within amortization of acquired intangibles, net, in the Consolidated Statements of Operations.

Future net amortization expense related to acquired intangibles is expected to be as follows:

2020	\$ 15,204
2021	12,556
2022	12,584
2023	10,709
2024	8,657
Thereafter	59,417
Total net future amortization expense	\$ 119,127

Goodwill

Goodwill represents the excess of the purchase price over the fair value of the net identifiable tangible and intangible assets of acquired companies. In connection with the Merger, the Company recorded goodwill of \$124,353 and allocated it to the CAPP - Met reportable segment. Refer to Note 3 for further information. Goodwill is not amortized; instead, it is tested for impairment annually as of October 31 of each year or more frequently if indicators of impairment exist.

The Company performed an interim goodwill impairment test as of August 31, 2019 due to a decline in the Company's market capitalization to amounts below book value combined with a decline in global metallurgical coal pricing which indicated that the fair value of the CAPP - Met segment reporting unit may have been below its carrying value. Following the quantitative testing, the Company concluded that the fair value of the reporting unit exceeded its carrying value and no amounts of goodwill were impaired. As of October 31, 2019, the Company performed its annual goodwill impairment test and concluded that more likely than not the fair value of its CAPP - Met reporting unit to which the Company's goodwill is allocated exceeded its carrying value. As a result, no amounts of goodwill were considered impaired as a result of impairment testing at October 31, 2019.

CONTURA ENERGY, INC. AND SUBSIDIARIES
Notes to Consolidated Financial Statements
(Amounts in thousands except share and per share data)

However, due to the continued weakening in coal market pricing combined with a significant market price decline for the Company's stock late in the fourth quarter of 2019, the Company performed an interim goodwill impairment test as of December 31, 2019. Following the quantitative testing, the Company concluded that the carrying value of the CAPP - Met reporting unit exceeded its fair value and recorded a goodwill impairment of \$124,353 to write down the full carrying amount of goodwill.

The Company early adopted Accounting Standards Update ("ASU") 2017-04 for the period ended December 31, 2017, which eliminated Step 2 of the quantitative goodwill impairment test. The Company first assesses goodwill for impairment on a qualitative basis. If the Company determines that more likely than not the fair value of a reporting unit containing goodwill exceeds its carrying amount, no further impairment testing is required. If the qualitative assessment indicates that an impairment potentially exists, then the Company quantitatively tests goodwill for impairment by comparing the fair value of the reporting unit to its carrying amount. If the fair value of the reporting unit is lower than its carrying amount, its goodwill is written down by the lesser of the amount by which the reporting units carrying amount exceeded its fair value or its carrying amount of goodwill.

The valuation methodology utilized to estimate the fair value of the reporting units is based on both a market and income approach and is within the range of fair values yielded under each approach. The income approach is based on a discounted cash flow methodology in which expected future net cash flows are discounted to present value, using an appropriate after-tax weighted average cost of capital (discount rate). The market approach is based on a guideline company and similar transaction methodology. Under the guideline company approach, certain metrics from a selected group of publicly traded guideline companies that have similar operations to the Company's reporting units are used to estimate the fair value of the reporting units. Under the similar transactions approach, recent merger and acquisition transactions for companies that have similar operations to the Company's reporting units are used to estimate the fair value of the Company's reporting units.

Asset Impairment

Long-lived assets, such as property, plant, and equipment, and acquired intangibles subject to amortization, are reviewed for impairment whenever events or changes in circumstances indicate that the carrying amount of an asset or asset groups may not be recoverable. Recoverability of assets or asset groups to be held and used is measured by a comparison of the carrying amount of an asset or asset group to the estimated undiscounted future cash flows expected to be generated by the asset or asset group. Long-lived assets located in a close geographic area are grouped together for purposes of impairment testing when, after considering revenue and cost interdependencies, circumstances indicate the assets are used together to produce future cash flows. The Company's asset groups generally consist of the assets and applicable liabilities of one or more mines and preparation plants and associated coal reserves for which cash flows are largely independent of cash flows of other mines, preparation plants, and associated coal reserves. If the carrying amount of an asset or asset group exceeds its estimated future cash flows, the potential impairment is equal to the amount by which the carrying amount of the asset or asset group exceeds the fair value of the asset or asset group. The Company estimates the fair value of an asset group using discounted cash flow analyses utilizing marketplace participant assumptions. The amount of impairment, if any, is allocated to the long-lived assets on a pro-rata basis, except that the carrying value of the individual long-lived assets are not reduced below their estimated fair value.

During the year ended December 31, 2019, the Company determined that indicators of impairment were present for three long-lived asset groups within each of its CAPP - Met and CAPP - Thermal reporting segments and performed impairment testing as of December 31, 2019. At December 31, 2019, the Company determined that the carrying amounts of the asset groups exceeded both their undiscounted cash flows and their estimated fair values. As a result, after allocating the potential impairment to individual assets, the Company recorded a long-lived asset impairment of \$60,169, of which \$9,176 was recorded within CAPP - Met and \$50,993 was recorded within CAPP - Thermal. The long-lived asset impairment reduced the carrying values of mineral rights by \$35,445, property, plant, and equipment, net, by \$17,056, acquired mine permits, net, by \$5,997, and long-lived assets related to asset retirement obligations by \$1,671.

There were no asset impairments during the years ended December 31, 2018 and 2017.

Additionally, during the year ended December 31, 2019, the Company recorded an asset impairment of \$6,155 primarily related to the write-off of prepaid purchased coal as a result of Blackjewel's Chapter 11 bankruptcy filing on July 1, 2019. Refer to Note 4 for further information.

CONTURA ENERGY, INC. AND SUBSIDIARIES
Notes to Consolidated Financial Statements
(Amounts in thousands except share and per share data)

Asset Retirement Obligations

Minimum standards for mine reclamation have been established by various regulatory agencies and dictate the reclamation requirements at the Company's operations. The Company's asset retirement obligations consist principally of costs to reclaim acreage disturbed at surface operations and estimated costs to reclaim support acreage, treat mine water discharge, and perform other related functions at underground mines. The Company records these reclamation obligations at fair value in the period in which the legal obligation associated with the retirement of the long-lived asset is incurred. Changes to the liability at operations that are not currently being reclaimed are offset by increasing or decreasing the carrying amount of the related long-lived asset. Changes to the liability at operations that are currently being reclaimed are recorded to depreciation, depletion, and amortization. Over time, the liability is accreted and any capitalized cost is depreciated or depleted over the useful life of the related asset. To settle the liability, the obligation is paid, and to the extent there is a difference between the liability and the amount of cash paid, a gain or loss upon settlement is recorded. The Company annually reviews its estimated future cash flows for its asset retirement obligations. Refer to Note 17 for further disclosures related to asset retirement obligations.

During the year ended December 31, 2019, the Company recorded a long-lived asset impairment which reduced the carrying value of long-lived assets related to asset retirement obligations by \$1,671. Refer to the asset impairment disclosure included in Note 2.

Income Taxes

The Company recognizes deferred tax assets and liabilities using enacted tax rates for the effect of temporary differences between the book and tax basis of recorded assets and liabilities. Deferred tax assets are reduced by a valuation allowance if it is more likely than not that some portion or all of the deferred tax asset will not be realized. In evaluating its ability to recover deferred tax assets within the jurisdiction in which they arise, the Company considers all available positive and negative evidence, including the expected reversals of taxable temporary differences, projected future taxable income, taxable income available via carryback to prior years, tax planning strategies, and results of recent operations. The Company assesses the realizability of its deferred tax assets, including scheduling the reversal of its deferred tax assets and liabilities, to determine the amount of valuation allowance needed. Scheduling the reversal of deferred tax asset and liability balances requires judgment and estimation. The Company believes that the deferred tax liabilities relied upon as future taxable income in its assessment will reverse in the same period and jurisdiction and are of the same character as the temporary differences giving rise to the deferred tax assets that will be realized.

Refer to Note 19 for further disclosures related to income taxes.

Revenue Recognition

The Company adopted ASC 606 Revenue from Contracts with Customers ("ASC 606"), with a date of initial application of January 1, 2018, using the modified retrospective method. The Company applied the guidance only to contracts that were not completed as of the date of adoption, with no cumulative adjustment to retained earnings as a result of the adoption of this guidance. As a result, the Company made changes to its accounting policy for revenue recognition as outlined below.

Subsequent to the adoption of ASC 606, the Company measures revenue based on the consideration specified in a contract with a customer and recognizes revenue as a result of satisfying its promise to transfer goods or services in a contract with a customer using the following general revenue recognition five-step model: (1) identify the contract; (2) identify performance obligations; (3) determine transaction price; (4) allocate transaction price; and (5) recognize revenue. Freight and handling costs paid to third-party carriers and invoiced to coal customers are recorded as freight and handling costs and freight and handling fulfillment revenues within cost of coal sales and coal revenues, respectively.

Prior to the adoption of ASC 606, the Company earned revenues primarily through the sale of coal produced at Company operations and coal purchased from third parties. The Company recognized revenue using the following general revenue recognition criteria: (i) persuasive evidence of an arrangement exists; (ii) delivery had occurred or services have been rendered; (iii) the price to the buyer was fixed or determinable; and (iv) collectability was reasonably assured.

Delivery on the Company's coal sales was determined to be complete for revenue recognition purposes when title and risk of loss had passed to the customer in accordance with stated contractual terms and there are no other future obligations related

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to the shipment. For domestic shipments, title and risk of loss generally passed as the coal is loaded into transport carriers for delivery to the customer. For international shipments, title generally passed at the time coal is loaded onto the shipping vessel.

Freight and handling costs paid to third-party carriers and invoiced to coal customers were recorded as freight and handling costs and freight and handling revenues, respectively.

Adoption of ASC 606

Subsequent to adoption of ASC 606, freight and handling revenues are now classified within coal revenues. Under ASC 606, the Company has elected to treat all shipping and handling costs as fulfillment costs and to recognize these amounts within coal revenues upon control transfer. Prior to the adoption of ASC 606, all freight and handling activities occurring subsequent to control transfer were accounted for as deferred revenue and recognized within freight and handling revenues as the Company fulfilled the related shipping activity. Refer to Note 5 for further disclosure requirements under the new standard. The following table summarizes the impact of the adoption of ASC 606 to the Company's Consolidated Statements of Operations:

	Year Ended December 31, 2018		
	As reported	Adjustments ⁽¹⁾	Balances prior to adoption of ASC 606
Revenues:			
Coal revenues	\$ 2,020,889	\$ (363,128)	\$ 1,657,761
Freight and handling revenues	—	362,346	362,346
Other revenues	10,316	—	10,316
Total revenues	\$ 2,031,205	\$ (782)	\$ 2,030,423
Freight and handling costs	\$ 363,128	\$ (782)	\$ 362,346

⁽¹⁾ Adjustments primarily represent freight and handling revenues being treated as fulfillment costs and included within coal revenues under ASC 606. The remainder of these adjustments represent freight and handling activity occurring subsequent to control transfer also impacting freight and handling costs and prepaid expenses.

Deferred Financing Costs

The costs to obtain new debt financing or amend existing financing agreements are generally deferred and amortized to interest expense over the life of the related indebtedness or credit facility using the effective interest method. Unamortized deferred financing costs are presented in the Consolidated Balance Sheet as a direct deduction from the carrying amount of the debt liability, consistent with debt discounts or premiums. Unamortized deferred financing costs associated with undrawn credit facilities are included in the Consolidated Balance Sheets within other non-current assets.

Workers' Compensation and Pneumoconiosis (Black Lung) Benefits

Workers' Compensation

As of December 31, 2019, the Company's subsidiaries generally utilize high-deductible insurance programs for workers' compensation claims at its operations with the exception of certain subsidiaries in which the Company is a qualified self-insurer for workers' compensation related obligations. The liabilities for workers' compensation claims are estimates of the ultimate losses incurred based on the Company's experience, and include a provision for incurred but not reported losses. Adjustments to the probable ultimate liabilities are made annually based on an actuarial study and adjustments to the liability are recorded based on the results of this study. These short-term and long-term obligations are included in the Consolidated Balance Sheets within accrued expenses and other current liabilities and workers' compensation and black lung obligations, respectively, with an offsetting insurance receivable within prepaid expenses and other current assets and other non-current assets. As of December 31, 2019 and 2018, the workers' compensation liability was net of a discount of \$24,458 and \$24,655, respectively, related to fair value adjustments associated with acquisition accounting. Refer to Note 20 for further disclosures related to workers' compensation.

Black Lung Benefits

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The Company is required by federal and state statutes to provide benefits to employees for awards related to black lung. As of December 31, 2019, certain of the Company's subsidiaries are insured for black lung obligations by a third-party insurance provider and certain subsidiaries are self-insured for state black lung obligations. Certain other subsidiaries are self-insured for federal black lung benefits and may fund benefit payments through Section 501(c)(21) tax-exempt trust fund. Charges are made to operations for black lung claims, as determined by an independent actuary at the present value of the actuarially computed liability for such benefits over the employee's applicable term of service. The Company recognizes in its balance sheet the amount of the Company's unfunded Accumulated Benefit Obligation ("ABO") at the end of the year. Amounts recognized in accumulated other comprehensive income (loss) are adjusted out of accumulated other comprehensive income (loss) when they are subsequently recognized as components of net periodic benefit cost. These short-term and long-term obligations are included in the Consolidated Balance Sheets within accrued expenses and other current liabilities and workers' compensation and black lung obligations, respectively. Refer to Note 20 for further disclosures related to black lung benefits.

Pension

The Company is required to recognize the overfunded or underfunded status of a defined benefit pension plan as an asset or liability in its Consolidated Balance Sheets and to recognize changes in that funded status in the year in which the changes occur through other comprehensive (loss) income. The Company is required to measure plan assets and benefit obligations as of the date of the Company's fiscal year-end Consolidated Balance Sheet and provide the required disclosures as of the end of each fiscal year. Refer to Note 20 for further disclosures related to pension.

Life Insurance Benefits

As part of the Alpha Restructuring and the Retiree Committee Settlement Agreement, the Company assumed the liability for life insurance benefits for certain disabled and non-union retired employees. Provisions are made for estimated benefits based on annual evaluations prepared by independent actuaries. Adjustments to the probable ultimate liabilities are made annually based on an actuarial study and adjustments to the liability are recorded based on the results of this study. These obligations are included in the Consolidated Balance Sheet as accrued expenses and other current liabilities and other non-current liabilities. Refer to Note 20 for further disclosures related to life insurance benefits.

Net (Loss) Income per Share

Basic net (loss) income per share is computed by dividing net (loss) income by the weighted-average number of outstanding common shares for the period. Diluted (loss) earnings per share reflects the potential dilution that could occur if instruments that may require the issuance of common shares in the future were settled and the underlying common shares were issued. Diluted (loss) earnings per share is computed by increasing the weighted-average number of outstanding common shares computed in basic (loss) earnings per share to include the additional common shares that would be outstanding after issuance and adjusting net (loss) income for changes that would result from the issuance. Only those securities that are dilutive are included in the calculation. In periods of loss, the number of shares used to calculate diluted earnings is the same as basic earnings per share. Refer to Note 7 for further disclosures related to net (loss) income per share.

Stock-Based Compensation

The Company recognizes expense for stock-based compensation awards based on their grant-date fair value. The expense is recorded over the respective service period of the underlying award. Liability classified stock-based compensation awards are remeasured each reporting period at fair value until the award is settled. The Company recognizes forfeitures of stock-based compensation awards as they occur. Refer to Note 21 for further disclosures related to stock-based compensation arrangements.

Warrants

On July 26, 2016 (the "Initial Issue Date"), the Company issued 810,811 warrants, which are classified as equity instruments, each with an initial Exercise Price, as defined in the Series A Warrants Agreement (the "Warrants Agreement"), of \$55.93 per share of common stock and exercisable for one share of the Company's common stock, par value \$0.01 per share. Pursuant to the Warrants Agreement, the warrants are exercisable for cash or on a cashless basis at any time from the Initial Issue Date until July 26, 2023, and no fractional shares shall be issued upon warrant exercises. The exercise price and the warrant share number will be adjusted in respect of certain dilutive events with respect to the common stock (namely, dividends

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or distributions on the common stock, share splits and combinations, above-market tender offers for common stock by Contura or a subsidiary thereof, and discounted issuances of common stock or rights or options to purchase common stock or securities convertible or exchangeable into common stock). Additionally, in the case of any reorganization (i.e., a consolidation, merger, or sale of all or substantially all of the consolidated assets of Contura) pursuant to which the common stock is converted into cash, securities or other property, the warrants would become exercisable for such property.

During the year ended December 31, 2017, the Exercise Price and the Warrant Share Number, as defined in the Warrants Agreement, were adjusted as a result of the occurrence of the Special Dividend. The Warrant Share Number was adjusted from 1.00 to 1.15, and the Exercise Price was adjusted from \$55.93 per share to \$48.741 per share as of the July 5, 2017 record date.

The United States Bankruptcy Court for the Eastern District of Virginia issued an order and final decree on June 28, 2018, granting a motion to close the Chapter 11 case of Alpha Natural Resources, Inc. and its affiliates, as reorganized debtors (the “Reorganized Debtors”), and authorizing the Reorganized Debtors to make a distribution (the “Distribution”) of additional cash as defined in the Warrants Agreement. The Distribution was effected on October 26, 2018 (the “Distribution Date”) in the aggregate amount of approximately \$18,350. During the year ended December 31, 2018, the Exercise Price was adjusted as a result of the occurrence of the Distribution. The Exercise Price was adjusted from \$48.741 per share to \$46.911 per share as of the Distribution Date. The Warrant Share Number remained equal to 1.15. As of December 31, 2018, of the 810,811 warrants that were originally issued, 801,730 remained outstanding, with a total of 921,990 shares underlying the un-exercised warrants. For the year ended December 31, 2018, the Company issued 325 shares of common stock resulting from exercises of its Series A Warrants and, pursuant to the terms of the Warrants Agreement, withheld 125 of the issued shares in satisfaction of the Warrant Exercise Price, which were subsequently reclassified as treasury stock.

As of December 31, 2019, of the 810,811 warrants that were originally issued, 801,370 remained outstanding, with a total of 921,576 shares underlying the un-exercised warrants. For the year ended December 31, 2019, the Company issued 414 shares of common stock resulting from exercises of its Series A Warrants and, pursuant to the terms of the Warrants Agreement, withheld five of the issued shares in satisfaction of the Warrant Exercise Price, which were subsequently reclassified as treasury stock.

Equity Method Investments

Investments in unconsolidated affiliates that the Company has the ability to exercise significant influence over, but not control, are accounted for under the equity method of accounting. Under the equity method of accounting, the Company records its proportionate share of the entity’s net income or loss at each reporting period in the Consolidated Statements of Operations in other income (expense), with a corresponding entry to increase or decrease the carrying value of the investment. The carrying value of the Company’s equity method investments was \$18,413 and \$15,236 as of December 31, 2019 and 2018, respectively.

Recently Adopted Accounting Guidance

Leases: In February 2016, the Financial Accounting Standards Board (the “FASB”) issued an Accounting Standards Update and subsequent amendments related to ASC 842, Leases, (“ASC 842”). ASC 842 requires a lessee to recognize a right-of-use asset and a lease liability on the balance sheet. The Company adopted ASC 842 effective January 1, 2019 and elected the option not to restate comparative periods in transition and also elected the hindsight practical expedient, which allows the Company to use hindsight when considering lessee options to extend or terminate leases when determining the lease term of lease arrangements for classification purposes, and the package of practical expedients for all leases within the standard, which permits the Company not to reassess its prior conclusions about lease identification, lease classification, and initial direct costs. Additionally, the Company elected the transition practical expedient to continue to account for existing and expired land easements at transition as executory contracts. Only land easements entered into or modified after the effective date of ASC 842 are accounted for as leases by the Company.

As a result of the adoption, the Company recorded operating lease right-of-use assets and lease liabilities on our Consolidated Balance Sheet. The following table summarizes the impact of the adoption of ASC 842 to the Company’s Consolidated Balance Sheet:

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		Balance at December 31, 2018 (1)	Adjustments	Balance at January 1, 2019
Assets	Balance Sheet Classification			
Operating lease right-of-use assets	Other non-current assets	\$ —	\$ 11,845	\$ 11,845
Financing lease assets	Property, plant, and equipment, net	9,786	—	9,786
Total lease assets		<u>\$ 9,786</u>	<u>\$ 11,845</u>	<u>\$ 21,631</u>
Liabilities	Balance Sheet Classification			
Operating lease liabilities - current	Accrued expenses and other current liabilities	\$ —	\$ 3,624	\$ 3,624
Financing lease liabilities - current	Current portion of long-term debt	2,110	—	2,110
Operating lease liabilities - long-term	Other non-current liabilities	—	8,221	8,221
Financing lease liabilities - long-term	Long-term debt	4,313	—	4,313
Total lease liabilities		<u>\$ 6,423</u>	<u>\$ 11,845</u>	<u>\$ 18,268</u>

(1) Balances do not include measurement-period adjustments recorded during the period. Refer to Note 3 for further details on measurement-period adjustments recorded during the period.

The adoption of ASC 842 did not have a material impact on our Consolidated Statements of Operations, Consolidated Statements of Comprehensive (Loss) Income, or Consolidated Statements of Cash Flows. Refer to Note 12 for further disclosure requirements under the new standard.

Stock Compensation: In June 2018, the FASB issued ASU 2018-07, *Compensation - Stock Compensation (Topic 718): Improvements to Nonemployee Share-Based Payment Accounting* (“ASU 2018-07”). The amendments in this update expand the scope of Topic 718 to include share-based payment transactions for acquiring goods and services from nonemployees. The Company adopted ASU 2018-07 during the first quarter of 2019. The adoption of this ASU did not have a material impact on the Company's Consolidated Financial Statements and related disclosures.

Recent Accounting Guidance Issued Not Yet Effective

Credit Losses: In June 2016, the Financial Accounting Standards Board (the “FASB”) issued Accounting Standards Update (“ASU”) 2016-13, *Credit Losses* (“ASU 2016-13”). ASU 2016-13, along with related amendments and improvements issued in 2018 and 2019, replaces the incurred loss impairment methodology in current U.S. GAAP with a methodology that reflects expected credit losses and requires consideration of a broader range of reasonable supportable information to inform credit loss estimates. The Company will adopt ASU 2016-13 during the first quarter of 2020. The adoption of this ASU is not expected to have a material impact on the Company's Consolidated Financial Statements and related disclosures.

Fair Value Measurement: In August 2018, the FASB issued ASU 2018-13, *Fair Value Measurement (Topic 820), Disclosure Framework—Changes to the Disclosure Requirements for Fair Value Measurement* (“ASU 2018-13”). The amendments in this update modify the disclosure requirements for fair value measurements. For public business entities, the standard is effective for fiscal years, and interim periods within those fiscal years, beginning after December 15, 2019. The adoption of this ASU is not expected to have a material impact on the Company's consolidated financial statements and related disclosures.

Defined Benefit Plans: In August 2018, the FASB issued ASU 2018-14, *Compensation—Retirement Benefits—Defined Benefit Plans—General (Subtopic 715-20) Disclosure Framework—Changes to the Disclosure Requirements for Defined Benefit Plans* (“ASU 2018-14”). The amendments in this update modify the disclosure requirements for employers that sponsor defined benefit pension or other postretirement plans. For public business entities, the standard is effective for fiscal years ending after December 15, 2020. The adoption of this ASU is not expected to have a material impact on the Company's consolidated financial statements and related disclosures.

Income Taxes: In December 2019, the FASB issued ASU 2019-12, *Income Taxes (Topic 740): Simplifying the Accounting for Income Taxes* (“ASU 2019-12”). The amendments in this update simplify the accounting for income taxes by removing certain exceptions to the general principles in Topic 740. The amendments also improve consistent application of and simplify

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U.S. GAAP for other areas of Topic 740 by clarifying and amending existing guidance. For public business entities, ASU 2019-12 is effective for annual reporting periods beginning after December 15, 2020, with early adoption permitted. The Company is currently assessing the impact of this ASU on the Company's consolidated financial statements and related disclosures.

(3) Mergers and Acquisitions

On November 9, 2018, Contura, along with the Alpha Companies, completed the Merger in which the Company acquired 100% of the outstanding Class C-1 shares of ANR and the 100% of the outstanding shares of Holdings. Under the terms of the Merger Agreement, the Alpha Companies stockholders received 0.4417 Contura common shares for each ANR Class C-1 share and each share of common stock of Holdings they owned, representing approximately 48.5% ownership in the merged entity, or an aggregate 9,378,199 shares of Contura common stock. Prior to the closing of the transaction, the Alpha Companies stockholders also received a special cash dividend (the "Dividend") in an amount equal to \$2.725 for each Class C-1 share and each share of common stock of Holdings they owned. Each outstanding share of Class C-2 common stock of ANR (held exclusively by Holdings) was canceled. The fair value of the issued Contura common stock was equal to the \$75.00 closing price of Contura's common stock on the day of acquisition.

The transaction was entered into to enhance the Company's competitive position in both domestic and international coal markets. The Company possesses diverse high-quality, metallurgical and thermal coal mines, allowing for near-term organic growth opportunities. The transaction was entered into to generate costs synergies, including those resulting from coal blending and marketing optimization and purchasing, operating, and administrative efficiencies.

During 2018, the Company recorded \$3,918 as a reduction to equity for costs incurred in connection with the Merger.

Purchase Price

The following table presents the details of the finalized purchase price of \$688,534:

	Final
Fair value of common stock issued	\$ 703,365
Issued and redeemed equity awards ⁽¹⁾	32,217
Net balances due to Alpha deemed effectively settled	(47,048)
Purchase Price ⁽²⁾	<u>\$ 688,534</u>

⁽¹⁾ Amount includes \$20,681 of tax withholdings related to share settlements of option exercises, \$1,905 paid to certain former ANR employees pursuant to change in control provisions, \$6,570 of shares repurchased from certain former ANR directors pursuant to the Merger Agreement, \$3,056 of pre-Merger service period value of restricted stock unit ANR employee awards, and \$5 in cash paid in lieu of fractional shares of Contura common stock issued pursuant to the Merger Agreement. Of these amounts, \$24,074 were obligations assumed and paid by Contura.

⁽²⁾ Purchase price of \$688,534 is composed of equity consideration of \$664,460 and cash consideration of \$24,074.

Allocation of Purchase Price

The finalized purchase price of \$688,534 has been allocated to the net tangible and intangible assets of Alpha Companies as follows:

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	Provisional as of December 31, 2018	Adjustments	Final
Cash and cash equivalents	\$ 29,939	\$ —	\$ 29,939
Trade and other receivables	60,714	—	60,714
Inventories	85,635	—	85,635
Short-term restricted cash	10,592	—	10,592
Other current assets	38,495	10,087	48,582
Property, plant, and equipment	504,852	(33,930)	470,922
Owned and leased mineral rights	516,201	23,571	539,772
Other intangible assets	154,041	4,363	158,404
Long-term restricted cash	182,049	—	182,049
Long-term restricted investments	28,809	—	28,809
Other non-current assets	68,022	(3,353)	64,669
Total assets	\$ 1,679,349	\$ 738	\$ 1,680,087
Accounts payable	69,049	(2,504)	66,545
Accrued expenses and other current liabilities	76,774	2,491	79,265
Long-term debt, including current portion	144,832	3,626	148,458
Acquisition-related obligations	74,346	5,738	80,084
Pension obligations	158,005	3,596	161,601
Asset retirement obligation, including current portion	163,636	12,718	176,354
Deferred income taxes, including current portion	134,924	(8,484)	126,440
Other intangible liabilities	57,219	—	57,219
Other non-current liabilities	207,654	12,286	219,940
Total liabilities	\$ 1,086,439	\$ 29,467	\$ 1,115,906
Goodwill	\$ 95,624	\$ 28,729	\$ 124,353
Allocation of purchase price	\$ 688,534	\$ —	\$ 688,534

Prior to the finalization of the purchase price allocation, the Company recorded measurement-period adjustments to the provisional opening balance sheet as shown in the table above. Adjustments were made primarily to property, plant, and equipment, owned and leased mineral rights, asset retirement obligations, and certain actuarial liabilities. There were no material measurement-period adjustments impacting current-period earnings that would have been recorded in the previous reporting period if the adjustments to the provisional amounts had been recognized as of the acquisition date.

In connection with the Merger, the Company originally recorded provisional goodwill of \$95,624, which represented the excess of the purchase price over the estimated fair value of tangible and intangible assets acquired, net of liabilities assumed. As a result of measurement-period adjustments recorded during the period, the provisional amount of goodwill increased by \$28,729 resulting in final goodwill of \$124,353, which was allocated to the Company's CAPP-Met reportable segment. The goodwill was attributed primarily to the following factors: (i) anticipated operating and administrative synergies, and (ii) deferred income taxes arising from the differences between the preliminary purchase price allocated to the assets and liabilities acquired based on fair value and the tax basis of these assets and liabilities. The goodwill was not deductible for tax purposes. Refer to Note 2 for disclosures related to the goodwill impairment recorded during the quarter ended December 31, 2019.

The following table represents the intangible assets and the weighted-average amortization periods as of the acquisition date:

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	Final	Weighted-Average Amortization Period (In Years)
Mining permits	\$ 157,555	12.30
Above-market coal supply agreements	849	1.03
Below-market coal supply agreements	(57,219)	2.10
Total acquired intangibles:	\$ 101,185	10.16

The Consolidated Statements of Operations include acquisition related expenses (on a pre-tax basis) of \$1,090 and \$20,571 in merger-related costs for the years ended December 31, 2019 and 2018, respectively. Acquisition-related expenses include professional fees related to legal, tax, advisory integration services, and contract-related matters.

Total revenues reported in the Consolidated Statements of Operations for the year ending December 31, 2018 included revenues of \$149,161 from operations acquired from the Alpha Companies. The amount of earnings from continuing operations acquired from the Alpha Companies included in the consolidated results of operations for the year ending December 31, 2018 is not readily determinable due to various intercompany transactions and allocations that have occurred in connection with the integration of the operations of the newly combined company.

The following unaudited pro forma information has been prepared for illustrative purposes only and assumes the Merger occurred on January 1, 2017. The unaudited pro forma results have been prepared based on estimates and assumptions, which the Company believes are reasonable; however, they are not necessarily indicative of the consolidated results of operations had the Merger occurred on January 1, 2017, or of future results of operations.

	Year Ended December 31, 2018	Year Ended December 31, 2017
Total revenues		
As reported	\$ 2,031,205	\$ 1,649,969
Pro forma	\$ 2,630,824	\$ 2,309,503
Income from continuing operations		
As reported	\$ 302,854	\$ 173,735
Pro forma	\$ 314,735	\$ 231,504

These amounts have been calculated after applying the Company's accounting policies and adjusting the results of ANR to reflect the additional depreciation, amortization, depletion, and cost of coal sales that would have been charged assuming the fair value adjustments to property, plant, and equipment, as well as intangibles, asset retirement obligations, and inventory, had been applied at January 1, 2017, together with the consequential tax effects.

The pro forma results for the year ended December 31, 2018 include \$51,800 of merger-related costs, which includes \$20,571 of acquisition-related expenses and \$31,229 of expenses related primarily to severance payments and one-time bonus payments, \$17,064 of incremental cost of coal sales related to the inventory step-up included in the purchase price allocation, and a tax benefit of \$126,440 related to the reduction of the Company's deferred tax asset valuation allowance.

(4) Discontinued Operations

Discontinued operations consist of ongoing activity related to the Company's former PRB operations. On December 8, 2017, the Company closed a transaction ("PRB Transaction") with Blackjewel L.L.C. ("Blackjewel" or the "Buyer") to sell its Eagle Butte and Belle Ayr mines located in Wyoming (the "Western Mines" or "Western Assets"). The Company was in a post closing mine permit transfer period, when on July 1, 2019, prior to the transfer of the permits, Blackjewel announced that it and certain affiliated entities had filed voluntary petitions for relief under Chapter 11 of the Bankruptcy Code in the United States Bankruptcy Court for the Southern District of West Virginia (the "Bankruptcy Court"). As the mine permit transfer process relating to the Company's sale of the Western Assets to Blackjewel had not been completed prior to Blackjewel's filing for Chapter 11 bankruptcy protection, the Company remained the permit holder in good standing for both mines and maintained surety bonding to cover related reclamation and other obligations.

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On October 4, 2019, the Bankruptcy Court entered an order approving the sale by Blackjewel of the Western Assets to Eagle Specialty Materials (“ESM”), an affiliate of FM Coal, LLC (“FM Coal”). The closing of the ESM acquisition occurred on October 18, 2019 (the “ESM Transaction”). In connection with the ESM Transaction, Contura and ESM finalized an agreement which provided, among other items, for the transfer of the Western Asset permits from Contura to ESM once certain approvals for their transfer have been obtained and for the assumption by ESM of the related reclamation obligations. Additionally, the surety bonding previously maintained by the Company for the benefit of the Wyoming Department of Environmental Quality (“DEQ”) was released and replaced with substitute surety bonds arranged for by ESM. Lastly, ESM agreed to indemnify the Company and its affiliates against all reclamation liabilities related to the Western Assets and against claims by the federal government, the State of Wyoming, or Campbell County, Wyoming for royalties, ad valorem taxes, and other amounts relating to the Western Assets for the period beginning on December 8, 2017.

The following table presents the details of the ESM transaction:

	Year Ended December 31, 2019
Cash	\$ 90,000
DIP obligation ⁽¹⁾	3,008
Other	331
Total consideration	\$ 93,339
ARO liabilities transferred	(152,882)
Gain on sale ⁽²⁾	\$ (59,543)

⁽¹⁾ The Company paid certain Blackjewel debtor-in-possession lenders \$3,008 of principal and interest pursuant to an existing agreement between the Company and those lenders. Refer to Note 22.

⁽²⁾ The Company recorded a \$59,543 gain within the depreciation, depletion, and amortization within discontinued operations in the Consolidated Statements of Operations during the year ended December 31, 2019 as a result of the reduction of the reclamation obligation partially offset by the consideration paid.

Additionally, in connection with the closing of the ESM Transaction, the Company paid \$13,500 to Campbell County, Wyoming for accrued ad valorem back taxes for 2018 and was released from all claims related thereto. Pursuant to an agreement with ESM, the State of Wyoming Department of Revenue, and Blackjewel, the State of Wyoming Department of Revenue released the Company from any outstanding claims related to state tax obligations arising from or related to the Western Mines for any period through and including the closing date of the transaction.

The major components of net income (loss) from discontinued operations in the Consolidated Statements of Operations are as follows:

	Year Ended December 31,		
	2019	2018	2017
Revenues:			
Total revenues ⁽¹⁾	\$ 227	\$ 1,296	\$ 346,621
Costs and expenses:			
Cost of coal sales (exclusive of items shown separately below)	\$ —	\$ —	\$ 299,005
Depreciation, depletion and amortization ⁽²⁾	\$ 86,370	\$ —	\$ 30,090
Accretion on asset retirement obligations ⁽³⁾	\$ 5,961	\$ —	\$ 11,341
Asset impairment ⁽⁴⁾	\$ 17,161	\$ —	\$ —
Selling, general and administrative expenses ⁽⁵⁾	\$ 3,744	\$ 43	\$ 773
Other expenses	\$ 4,742	\$ 4,107	\$ —
Other non-major (income) expense items, net	\$ (360)	\$ 2,140	\$ 5,475
Loss on sale	\$ —	\$ —	\$ 36,831

⁽¹⁾ Total revenues for the years ended December 31, 2019 and 2018 consisted entirely of other revenues.

⁽²⁾ During the year ended December 31, 2019, \$145,913 of the depreciation, depletion and amortization was related to an

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increase in the Company's estimate of its asset retirement obligations which was partially offset by (\$59,543) as a result of the ESM transaction. Refer to the disclosures above for details.

⁽³⁾ The accretion on asset retirement obligations for the year ended December 31, 2019 was related to the asset retirement obligation as a result of Blackjewel's bankruptcy filing. Refer to the above disclosures for further details.

⁽⁴⁾ The asset impairment for the year ended December 31, 2019 is primarily related to the write-off of tax related indemnification receivables from Blackjewel. Refer to the disclosures below for further details.

⁽⁵⁾ Represents professional and legal fees.

Refer to Note 7 for net loss per share information related to discontinued operations.

The major components of assets and liabilities that are classified as discontinued operations in the Consolidated Balance Sheets are as follows:

	December 31,	
	2019	2018
Assets:		
Prepaid expenses and other current assets	\$ —	\$ 22,475
Liabilities:		
Trade accounts payable, accrued expenses and other current liabilities	\$ —	\$ 21,892
Other non-current liabilities	\$ —	\$ 94

As of December 31, 2018, the residual assets and liabilities related to the discontinued operations were primarily composed of taxes for which Contura was considered to be the primary obligor, but which the Buyer was contractually obligated to pay. The Company had recorded the taxes as a liability with an offsetting receivable from the Buyer.

The major components of cash flows related to discontinued operations were as follows:

	Year Ended December 31,		
	2019	2018	2017
Depreciation, depletion and amortization	\$ 86,370	\$ —	\$ 30,090
Capital expenditures	\$ —	\$ —	\$ (10,420)
Other significant operating non-cash items related to discontinued operations:			
Accretion on asset retirement obligations	\$ 5,961	\$ —	\$ 11,341
Asset impairment	\$ 17,161	\$ —	\$ —

(5) Revenue

Disaggregation of Revenue from Contracts with Customers

ASC 606 requires that entities disclose disaggregated revenue information in categories (such as type of good or service, geography, market, type of contract, etc.) that depict how the nature, amount, timing, and uncertainty of revenue and cash flow are affected by economic factors. ASC 606 explains that the extent to which an entity's revenue is disaggregated depends on the facts and circumstances that pertain to the entity's contracts with customers and that some entities may need to use more than one type of category to meet the objective for disaggregating revenue.

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The Company earns revenues primarily through the sale of coal produced at Company operations and coal purchased from third parties. The Company extracts, processes and markets met and thermal coal from surface and deep mines for sale to electric utilities, steel and coke producers, and industrial customers. The Company conducts mining operations only in the United States with mines in Northern and Central Appalachia. The Company has three reportable segments: CAPP - Met, CAPP - Thermal, and NAPP. In addition to the three reportable segments, the All Other category includes general corporate overhead and corporate assets and liabilities, the elimination of certain intercompany activity, and the Company's discontinued operations. Refer to Note 25 for further segment information.

The following tables disaggregate the Company's coal revenues by product category and by market to depict how the nature, amount, timing, and uncertainty of the Company's coal revenues and cash flows are affected by economic factors:

Year Ended December 31, 2019			
	Met	Thermal	Total
Export coal revenues	\$ 1,196,816	\$ 50,798	\$ 1,247,614
Domestic coal revenues	551,806	482,587	1,034,393
Total coal revenues	\$ 1,748,622	\$ 533,385	\$ 2,282,007

Year Ended December 31, 2018			
	Met	Thermal	Total
Export coal revenues	\$ 1,620,277	\$ 51,369	\$ 1,671,646
Domestic coal revenues	105,587	243,656	349,243
Total coal revenues	\$ 1,725,864	\$ 295,025	\$ 2,020,889

Year Ended December 31, 2017 ⁽¹⁾			
	Met	Thermal	Total
Export coal revenues	\$ 1,253,834	\$ 11,486	\$ 1,265,320
Domestic coal revenues	91,170	283,393	374,563
Total coal revenues	\$ 1,345,004	\$ 294,879	\$ 1,639,883

⁽¹⁾ Includes freight and handling revenues.

Performance Obligations

The Company considers each individual transfer of coal on a per shipment basis to the customer a performance obligation. The pricing terms of the Company's contracts with customers include fixed pricing, variable pricing, or a combination of both fixed and variable pricing. All the Company's revenue derived from contracts with customers is recognized at a point in time. The following table includes estimated revenue expected to be recognized in the future related to performance obligations that are unsatisfied as of December 31, 2019.

	2020	2021	2022	2023	2024	Total
Estimated coal revenues ⁽¹⁾	\$ 391,469	\$ 264,690	\$ 190,644	\$ 130,268	\$ 46,000	\$ 1,023,071

⁽¹⁾ Amounts only include estimated coal revenues associated with contracts with customers with fixed pricing with original expected duration of more than one year. The Company has elected not to disclose the aggregate amount of the transaction price allocated to the performance obligations that are unsatisfied (or partially unsatisfied) as of the end of the reporting period for performance obligations with either of the following conditions: 1) the remaining performance obligation is part of a contract that has an original expected duration of one year or less; or 2) the remaining performance obligation has variable consideration that is allocated entirely to a wholly unsatisfied performance obligation.

(6) Accumulated Other Comprehensive (Loss) Income

The following tables summarize the changes to accumulated other comprehensive (loss) income during the years ended December 31, 2019, 2018 and 2017:

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	Balance January 1, 2019	Other comprehensive (loss) income before reclassifications	Amounts reclassified from accumulated other comprehensive (loss) income	Balance December 31, 2019
Employee benefit costs	\$ (23,130)	\$ (42,891)	\$ 7,405	\$ (58,616)
	Balance January 1, 2018	Other comprehensive (loss) income before reclassifications	Amounts reclassified from accumulated other comprehensive (loss) income	Balance December 31, 2018
Employee benefit costs	\$ (1,948)	\$ (21,323)	\$ 141	\$ (23,130)
	Balance January 1, 2017	Other comprehensive (loss) income before reclassifications	Amounts reclassified from accumulated other comprehensive (loss) income	Balance December 31, 2017
Employee benefit costs	\$ 2,087	\$ (3,832)	\$ (203)	\$ (1,948)

The following table summarizes the amounts reclassified from accumulated other comprehensive (loss) income and the Statements of Operations line items affected by the reclassification during the years ended December 31, 2019, 2018 and 2017:

Details about accumulated other comprehensive (loss) income components	Amounts reclassified from accumulated other comprehensive (loss) income			Affected line item in the Statements of Operations
	Year Ended December 31,			
	2019	2018	2017	
Employee benefit costs:				
Amortization of actuarial (gain) loss	\$ 959	\$ 155	\$ (203)	(1) Miscellaneous (loss) income, net
Settlement	6,446	—	—	(1) Miscellaneous (loss) income, net
Total before income tax	\$ 7,405	\$ 155	\$ (203)	
Income tax expense	—	(14)	—	Income tax benefit
Total, net of income tax	\$ 7,405	\$ 141	\$ (203)	

⁽¹⁾ These accumulated other comprehensive (loss) income components are included in the computation of net periodic benefit costs for certain employee benefit plans. Refer to Note 20.

(7) Net (Loss) Income per Share

The number of shares used to calculate basic net (loss) income per common share is based on the weighted average number of the Company's outstanding common shares during the respective period. The number of shares used to calculate diluted net (loss) income per common share is based on the number of common shares used to calculate basic net (loss) income per share plus the dilutive effect of stock options and other stock-based instruments held by the Company's employees and directors during the period, and the Company's outstanding Series A warrants. The warrants become dilutive for net (loss) income per common share calculations when the market price of the Company's common stock exceeds the exercise price. For the year ended December 31, 2018, 129,520 stock options were excluded from the computation of dilutive (loss) earnings per share because they would have been anti-dilutive. For the year ended December 31, 2017, 129,520 stock options and 108,657 other stock-based instruments were excluded from the computation of dilutive earnings (loss) per share because they would have been anti-dilutive. These potential shares could dilute net (loss) income per share in the future. In periods of net loss, the number of shares used to calculate diluted earnings per share is the same as basic earnings per share.

The following table presents the net (loss) income per common share for the years ended December 31, 2019, 2018 and 2017:

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	Year Ended December 31,		
	2019	2018	2017
Net (loss) income			
(Loss) income from continuing operations	\$ (203,142)	\$ 302,854	\$ 173,735
Loss from discontinued operations	(113,177)	(3,689)	(19,213)
Net (loss) income	<u>\$ (316,319)</u>	<u>\$ 299,165</u>	<u>\$ 154,522</u>
Basic			
Weighted average common shares outstanding - basic	18,808,460	10,967,014	10,216,464
Basic (loss) income per common share:			
(Loss) income from continuing operations	\$ (10.80)	\$ 27.61	\$ 17.01
Loss from discontinued operations	(6.02)	(0.33)	(1.89)
Net (loss) income	<u>\$ (16.82)</u>	<u>\$ 27.28</u>	<u>\$ 15.12</u>
Diluted			
Weighted average common shares outstanding - basic	18,808,460	10,967,014	10,216,464
Diluted effect of warrants	—	280,969	170,178
Diluted effect of stock options	—	262,714	274,456
Diluted effect of restricted stock units and restricted stock	—	201,956	108,907
Weighted average common shares outstanding - diluted	<u>18,808,460</u>	<u>11,712,653</u>	<u>10,770,005</u>
Diluted (loss) income per common share:			
(Loss) income from continuing operations	\$ (10.80)	\$ 25.86	\$ 16.13
Loss from discontinued operations	(6.02)	(0.32)	(1.78)
Net (loss) income	<u>\$ (16.82)</u>	<u>\$ 25.54</u>	<u>\$ 14.35</u>

(8) Inventories, net

Inventories, net consisted of the following:

	December 31,	
	2019	2018
Raw coal	\$ 30,274	\$ 33,607
Saleable coal	105,092	63,767
Materials, supplies and other, net	<u>27,293</u>	<u>24,591</u>
Total inventories, net	<u>\$ 162,659</u>	<u>\$ 121,965</u>

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(9) Prepaid Expenses and Other Current Assets

Prepaid expenses and other current assets consisted of the following:

	December 31,	
	2019	2018
Prepaid freight	\$ 8,268	\$ 9,839
Deferred longwall move expenses	7,624	9,308
Notes and other receivables	8,931	16,116
Short-term restricted cash	12,363	16,474
Short-term deposits	689	16,181
Prepaid insurance	9,591	8,162
Refundable income taxes	33,915	74,536
Prepaid bond premium	5,471	2,849
Other prepaid expenses	4,509	5,480
Total prepaid expenses and other current assets	<u>\$ 91,361</u>	<u>\$ 158,945</u>

(10) Property, Plant, and Equipment, net

Property, plant, and equipment, net, consisted of the following:

	December 31,	
	2019	2018
Plant and mining equipment	\$ 740,009	\$ 695,756
Mine development	84,332	47,550
Land	39,925	38,810
Office equipment, software and other	1,582	1,169
Construction in progress	31,690	23,471
Total property, equipment and mine development costs	897,538	806,756
Less accumulated depreciation, depletion and amortization	314,276	106,766
Total property, plant, and equipment, net	<u>\$ 583,262</u>	<u>\$ 699,990</u>

Included in plant and mining equipment are assets under financing leases totaling \$14,368 and \$20,888 with accumulated depreciation of \$4,650 and \$1,162 as of December 31, 2019 and December 31, 2018, respectively.

Depreciation and amortization expense associated with property, plant, equipment, and non-mineral asset retirement obligation assets, net, was \$226,652, \$70,745, and \$31,956 for the years ended December 31, 2019, 2018, and 2017, respectively.

Depreciation expense for the years ended December 31, 2019, 2018, and 2017 includes a credit of \$(1,522), an expense of \$233 and a credit of \$(898), respectively, related to revisions to asset retirement obligations. Refer to Note 17 for further disclosures related to asset retirement obligations.

During the year ended December 31, 2019, the Company recorded a long-lived asset impairment which reduced the carrying value of property, plant, and equipment, net, by \$17,056. Refer to the asset impairment disclosure included in Note 2 for further information.

As of December 31, 2019, the Company had commitments to purchase approximately \$19,283 and \$279 of new equipment, expected to be acquired at various dates in 2020 and 2022, respectively.

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(11) Other Non-Current Assets

Other non-current assets consisted of the following:

	December 31,	
	2019	2018
Operating lease right-of-use assets	\$ 8,678	\$ —
Long-term deposits	10,034	9,211
Long-term restricted investments	21,886	29,137
Equity method investments	18,413	15,236
Federal income tax receivable	64,160	43,770
Workers' compensation receivables	58,498	67,776
Other	22,538	18,545
Total other non-current assets	<u>\$ 204,207</u>	<u>\$ 183,675</u>

(12) Leases

Subsequent to the adoption of ASC 842, the Company recognizes right of use assets and lease liabilities on the balance sheet for all leases with a term longer than 12 months. The discount rates used to determine the present value of the lease assets and liabilities are based on the Company's incremental borrowing rate at the lease commencement date and commensurate with the remaining lease term. As the rates implicit in most of the Company's leases are not readily determinable, the Company uses a collateralized incremental borrowing rate based on the information available at the lease commencement date in determining the present value of future payments. The Company uses the portfolio approach and group leases by short-term and long-term categories, applying the corresponding incremental borrowing rates to these categories of leases.

For leases with a term of 12 months or less, no right of use assets or liabilities are recognized on the balance sheet and the Company recognizes the lease expense on a straight-line basis over the lease term. Additionally, the Company recognizes variable lease payments as an expense in the period incurred.

The Company's lease population consists primarily of vehicle and heavy equipment leases and leases for office equipment. The Company's building and land leases relate to corporate office space and certain site offices. The Company determines whether a contract contains a lease based on whether the Company obtains the right to control the use of specifically identifiable property, plant, and equipment for a period of time in exchange for consideration. For the year ended December 31, 2019, the Company identified no instances requiring significant judgment in determining whether any contracts entered into during the period were or were not leases. Additionally, the Company had no material sublease agreements within the scope of ASC 842 or lease agreements for which the Company was the lessor for the year ended December 31, 2019.

Renewal options in the Company's lease population primarily relate to month-to-month extensions on vehicle leases and are immaterial both individually and in the aggregate. The Company includes renewal options that are reasonably certain to be exercised in the measurement of lease liabilities. As of December 31, 2019, the Company does not intend to exercise any termination options on existing leases.

As of December 31, 2019, the Company had the following right-of-use assets and lease liabilities within the Company's Consolidated Balance Sheets:

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		December 31, 2019
Assets	Balance Sheet Classification	
Financing lease assets	Property, plant, and equipment, net	\$ 9,718
Operating lease right-of-use assets	Other non-current assets	8,678
Total lease assets		<u>\$ 18,396</u>
Liabilities	Balance Sheet Classification	
Financing lease liabilities - current	Current portion of long-term debt	\$ 3,275
Operating lease liabilities - current	Accrued expenses and other current liabilities	1,813
Financing lease liabilities - long-term	Long-term debt	4,674
Operating lease liabilities - long-term	Other non-current liabilities	6,866
Total lease liabilities		<u>\$ 16,628</u>

Total lease costs and other lease information for the year ended December 31, 2019 included the following:

	Year Ended December 31, 2019
Lease cost ⁽¹⁾	
Financing lease cost:	
Amortization of leased assets	\$ 3,747
Interest on lease liabilities	480
Operating lease cost	2,771
Short-term lease cost	2,300
Total lease cost	<u>\$ 9,298</u>

⁽¹⁾ The Company had no variable lease costs or sublease income for the year ended December 31, 2019.

	Year Ended December 31, 2019
Other information	
Cash paid for amounts included in the measurement of lease liabilities	\$ 9,191
Operating cash flows from financing leases	466
Operating cash flows from operating leases	5,071
Financing cash flows from financing leases	3,654
Right-of-use assets obtained in exchange for new financing lease liabilities	1,459
Lease Term and Discount Rate	
Weighted-average remaining lease term in months - financing leases	33.7
Weighted-average remaining lease term in months - operating leases	96.3
Weighted-average discount rate - financing leases	5.4%
Weighted-average discount rate - operating leases	11.2%

The Company has elected to show net instead of gross amounts for right-of-use assets and liabilities within its Consolidated Statements of Cash Flows.

The following table summarizes the maturity of the Company's lease liabilities on an undiscounted cash flow basis and a reconciliation to the lease liabilities recognized in the Company's Consolidated Balance Sheet as of December 31, 2019:

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	Financing Leases	Operating Leases
Lease cost		
2020	\$ 3,729	\$ 2,378
2021	2,985	1,957
2022	1,729	1,665
2023	184	1,193
2024	—	1,079
Thereafter	—	5,203
Total future minimum lease payments	\$ 8,627	\$ 13,475
Imputed interest	(678)	(4,796)
Present value of future minimum lease payments	\$ 7,949	\$ 8,679

As of December 31, 2019, the Company had no leases with future commencement dates that will create significant rights or obligations for the Company.

(13) Stock Repurchases and Dividend

2019 Capital Return Program

In May 2019, the Company's Board of Directors adopted a capital return program that permits the Company to return to stockholders up to an aggregate amount of \$250,000 of capital. The capital return program does not have a fixed expiration date, and returns of capital may take the form of share repurchases, dividends or a combination thereof. Any share repurchases may be made from time to time through open market transactions, block trades, privately negotiated transactions, tender offers, or otherwise. Any returns of capital under the program will be at the discretion of the Company's Board of Directors and are subject to market and business conditions, levels of available liquidity, the Company's cash needs, restrictions under agreements or obligations, legal or regulatory requirements or restrictions, and other relevant factors.

On August 29, 2019, the Company announced that its Board of Directors had approved a stock repurchase plan (the "Company Repurchase Plan") to acquire up to \$100,000 in the aggregate of the Company's common stock at prices as set forth in such plan over a specified period. Through September 30, 2019, the Company had repurchased an aggregate of 529,303 shares of common stock under the Company Repurchase Plan for an aggregate purchase price of \$15,969 (comprised of \$15,953 of share repurchases and \$16 of related fees) for an average price paid for share of \$30.17. On October 1, 2019, the Company suspended the Company Repurchase Plan.

Additionally, on September 12, 2019, the Company entered into a common stock repurchase agreement with Whitebox Multi-Strategy Partners, L.P., Whitebox Asymmetric Partners, L.P., Whitebox Credit Partners, L.P. and Whitebox Institutional Partners, L.P. ("Whitebox"). Pursuant to terms of the common stock repurchase agreement, the Company repurchased an aggregate of 500,000 shares of common stock from Whitebox at \$32.99 per share for an aggregate purchase price of \$16,495.

2018 Stock Repurchase Plan

The Company entered into the Amended and Restated Credit Agreement and the Amended and Restated Asset-Based Revolving Credit Agreement on November 9, 2018. These agreements, among other things, permitted an aggregate amount of \$15,000 of cash to be used for the repurchase of its common stock in any twelve-month period after the closing date of the agreement, subject to certain terms and conditions. On December 6, 2018, the Company announced that its Board of Directors had approved a stock repurchase plan (the "Company Repurchase Plan") to acquire up to \$15,000 in the aggregate of the company's common stock. As of December 31, 2018, the Company had repurchased an aggregate of 223,218 shares under the plan for an aggregate purchase price of approximately \$15,007 (comprised of \$15,000 of share repurchases and \$7 of related fees).

2017 Dividend and Tender Offer

The Company entered into the First Amendment to the Asset-Based Revolving Credit Agreement on June 9, 2017 and the First Amendment to the Term Loan Credit Agreement on June 13, 2017. The amendments, among other things, permitted an

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aggregate amount of \$150,000 of cash to be used for the (i) payment of a one-time cash dividend on its common stock no later than July 28, 2017, and (ii) repurchase of its common stock at any time no later than December 31, 2017, subject to certain terms and conditions.

On June 16, 2017, the Company declared a special cash distribution of approximately \$92,786 in the aggregate (the “Special Dividend”), payable to eligible holders of record of its common stock as of the close of business on July 5, 2017. In addition, pursuant to the terms of the Company’s management incentive plan, dividend equivalent payments of approximately \$7,949 in the aggregate (including the amounts payable with respect to each share underlying outstanding stock option awards and restricted stock unit awards and outstanding restricted stock awards under the Management Incentive Plan (the “MIP”)) were paid to plan participants. The dividend equivalent payments were made on July 11, 2017, and the Special Dividend was paid on July 12, 2017. Pursuant to terms of the debt amendments, the Company made an offer to all Term Loan Credit Facility lenders under the Credit Agreement dated March 17, 2017, as amended, to repay the loans at par concurrently with the payment of the Special Dividend, in an aggregate principal amount equal to \$10,000. All the Term Loan Facility lenders under the Credit Agreement dated March 17, 2017, as amended, accepted the offer, and the Company repaid \$10,000 on July 13, 2017.

On September 15, 2017, the Company repurchased 309,310 shares of its common stock issued pursuant to awards under the MIP for a total purchase amount of \$17,445, or \$56.40 per share. On September 26, 2017, the Company announced that it had commenced a modified “Dutch Auction” tender offer to repurchase up to \$31,800 of common stock. On December 21, 2017, Contura repurchased an aggregate of 530,000 shares of common stock at a purchase price of \$60.00 per share. The total repurchase price of \$32,595 (comprised of \$31,800 of share repurchases and \$795 of related fees) was recorded in the fourth quarter of 2017 as treasury stock in the Consolidated Balance Sheet. Upon completion of the tender offer, provisions within the Company’s Term Loan Credit Facility under the Credit Agreement dated March 17, 2017, as amended, and the Asset-Based Revolving Credit Agreement dated April 3, 2017, as amended, limited the ability of the Company to make future repurchases of its common stock.

(14) Accrued Expenses and Other Current Liabilities

Accrued expenses and other current liabilities consisted of the following:

	December 31,	
	2019	2018
Operating lease liabilities	\$ 1,813	\$ —
Wages and benefits	45,577	51,026
Workers’ compensation	15,695	16,676
Black lung	7,472	8,133
Taxes other than income taxes	24,946	24,140
Current portion of asset retirement obligations	40,574	24,754
Freight accrual	5,851	10,785
Other	12,354	13,185
Total accrued expenses and other current liabilities	<u>\$ 154,282</u>	<u>\$ 148,699</u>

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(15) Long-Term Debt

Long-term debt consisted of the following:

	December 31,	
	2019	2018
Term Loan Credit Facility - due November 2025	\$ —	\$ 550,000
Term Loan Credit Facility - due June 2024	558,991	—
LCC Note Payable	45,000	62,500
LCC Water Treatment Obligation	9,375	11,875
Other	9,295	8,395
Debt discount and issuance costs	(29,695)	(44,758)
Total long-term debt	592,966	588,012
Less current portion	(28,485)	(42,743)
Long-term debt, net of current portion	\$ 564,481	\$ 545,269

Term Loan Credit Facility - due June 2024

On June 14, 2019, the Company entered into a Credit Agreement with Cantor Fitzgerald Securities, as administrative agent and collateral agent, and the other lenders party thereto (as defined therein) that provides for a senior secured term loan facility in the aggregate principal amount of \$561,800 with a maturity date of June 14, 2024 (the “Term Loan Credit Facility”). Principal repayments equal to approximately \$1,405 are due each March, June, September and December (commencing with September 30, 2019) with the final principal repayment installment repaid on the maturity date and in an amount equal to the aggregate principal amount outstanding on such date. The Term Loan Credit Facility bears an interest rate per annum based on the character of the loan (defined as either “Base Rate Loan” or “Eurocurrency Rate Loan”) plus an applicable rate of 6.00% for Base Rate Loans and 7.00% for Eurocurrency Rate Loans on or prior to the second anniversary of the Closing Date and 7.00% or 8.00% thereafter (the “Applicable Rate”). Interest accrued on each Base Rate Loan is payable in arrears on the last business day of each March, June, September and December and the maturity date. Interest accrued on each Eurocurrency Rate Loan is payable in arrears on the last day of each interest period as defined therein. As of December 31, 2019, the interest rate on borrowings made under the Term Loan Credit Facility was 9.00%, calculated as the eurocurrency rate during the period plus 7.00%. As of December 31, 2019, the carrying value of the Term Loan Credit Facility was \$538,765 with \$5,618 classified as current within the Consolidated Balance Sheets.

The Term Loan Credit Facility was provided primarily by certain of the Company’s existing shareholders (related parties) as of the agreement date. As such, the Company analyzed various factors of the transaction and concluded the Term Loan Credit Facility was issued at a reasonable market rate and therefore considered to be an arm’s length transaction.

The Company used the proceeds from the Term Loan Credit Facility to repay the outstanding principal balance of \$543,125 under the Amended and Restated Credit Agreement dated November 9, 2018 and fees related to such refinancing. The Company recorded a loss on modification of debt of \$255, primarily related to modification fees paid under the refinance, and a loss on extinguishment of debt of \$26,204, primarily related to the write-off of outstanding debt discounts and unamortized debt issuance costs under the Amended and Restated Credit Agreement dated November 9, 2018, which are recorded in loss on modification and extinguishment of debt within the Consolidated Statements of Operations.

All obligations under the Term Loan Credit Facility are substantially guaranteed by the Company’s existing wholly owned domestic subsidiaries, and are required to be guaranteed by the Company’s future wholly-owned domestic subsidiaries. Certain obligations under the Term Loan Facility are secured by a senior lien, subject to certain exceptions (including the ABL Priority Collateral described below), by substantially all of the Company’s assets and the assets of the Company’s subsidiary guarantors (“Term Loan Priority Collateral”), in each case subject to exceptions. The obligations under the Term Loan Credit Facility are also secured by a junior lien, again subject to certain exceptions, against the ABL Priority Collateral. The Term Loan Facility contains negative and affirmative covenants including certain financial covenants that are more flexible than the covenants on the Amended and Restated Credit Agreement dated November 9, 2018. The Company was in compliance with all covenants under this agreement as of December 31, 2019.

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Term Loan Credit Facility - due November 2025

On November 9, 2018, the Company entered into an Amended and Restated Credit Agreement with Jefferies Finance LLC, as administrative agent and collateral agent, and the other lenders party thereto (as defined therein) (the “Amended and Restated Credit Agreement”) that provided for a senior secured term loan facility in the aggregate amount of \$550,000 with a maturity date of November 9, 2025 (the “Old Term Loan Credit Facility”). Principal repayments equal to \$6,875 were due each March, June, September and December (commencing with March 31, 2019) with the final principal repayment installment repaid on the maturity date and in any event would be in an amount equal to the aggregate principal amount outstanding as of such date. The Old Term Loan Credit Facility incurred an interest rate per annum based on the character of the loan (defined as either “Base Rate Loan” or “Eurocurrency Rate Loan”) plus an applicable rate of 4.00% to 5.00% depending on loan type (the “Applicable Rate”), payable bi-monthly in arrears. As of December 31, 2018, the Old Term Loan Credit Facility was classified as a Eurocurrency Rate Loan with an interest rate of 7.39%, calculated as the eurocurrency rate during the period plus an applicable rate of 5.00%. As of December 31, 2018, the carrying value of the Old Term Loan Credit Facility was \$521,667, with \$20,625 classified as current, within the Consolidated Balance Sheet. On June 14, 2019, the Company used the proceeds from the Term Loan Credit Facility to repay the outstanding principal of the Old Term Loan Credit Facility.

In connection with entering into the Amended and Restated Credit Agreement, the Company repaid the outstanding principal balance of \$380,667 under the credit agreement dated March 17, 2017 and the outstanding principal balance of \$82,811 under the term loan agreement dated October 23, 2017 between ANR and Cantor Fitzgerald Securities (the “Alpha Term Loan”). In connection with the Amended and Restated Credit Agreement, the Company recorded a loss on modification of debt of \$9,370, primarily related to modification fees paid under the refinance, and a loss on extinguishment of debt of \$2,591, primarily related to a prepayment premium on the Alpha Term Loan and the write-off of outstanding debt discounts under the Credit Agreement dated March 17, 2017, which are recorded in loss on modification and extinguishment of debt within the Consolidated Statements of Operations.

In connection with entering into the Credit Agreement dated March 17, 2017, the Company paid all of its \$300,000 outstanding 10.00% Senior Secured First Lien Notes due 2021, the \$42,500 outstanding Term Facility due 2020, the \$8,500 outstanding Closing Tranche Term Loan due 2018, and the \$5,500 outstanding GUC Distribution Note due 2018. For the year ended December 31, 2017, the Company recorded a loss on early extinguishment of debt of \$38,701, primarily related to a prepayment premium on the 10.00% Senior Secured First Lien Notes and the write-off of outstanding debt discounts on the 10.00% Senior Secured First Lien Notes and GUC Distribution Note.

Amended and Restated Asset-Based Revolving Credit Agreement

On November 9, 2018, the Company entered into the Amended and Restated Asset-Based Revolving Credit Agreement with Citibank N.A. as administrative agent, collateral agent, and swingline lender and the other lenders party thereto (the “Lenders”), and Citibank N.A., Barclays Bank PLC, BMO Harris Bank N.A. and Credit Suisse AG as letter of credit issuers (“LC Lenders”). The Amended and Restated Asset-Based Revolving Credit Agreement amended and restated the Asset-Based Revolving Credit Agreement dated April 3, 2017, in its entirety, and includes a senior secured asset-based revolving credit facility (the “ABL Facility”). Under the ABL Facility, the Company may borrow cash from the Lender or cause the LC Lenders to issue letters of credit, on a revolving basis, in an aggregate amount of up to \$225,000, of which no more than \$200,000 may be drawn through letters of credit. Any borrowings under the ABL Facility will have a maturity date of April 3, 2022 and will bear interest based on the character of the loan (defined as either “Base Rate Loan” or “Eurocurrency Rate Loan”) plus an applicable rate ranging from 1.00% to 1.50% for Base Rate Loans and 2.00% to 2.50% for Eurocurrency Rate Loans, depending on the amount of credit available. Any letters of credit issued under the ABL Facility will bear a commitment fee rate ranging from 0.25% to 0.375% depending on the amount of availability per terms of the agreement, and a 0.25% fronting fee payable to the ABL Facility’s administrative agent. The Amended and Restated Asset-Based Revolving Credit Agreement provides that a specified percentage of billed, unbilled and approved foreign receivables and raw and clean inventory meeting certain criteria are eligible to be counted for purposes of collateralizing the amount of financing available, subject to certain terms and conditions. The Company recorded a loss on early extinguishment of debt of \$81 related to the write-off of unamortized issuance costs on the Old ABL Facility, which is recorded in loss on modification and extinguishment of debt within the Consolidated Statements of Operations. As of December 31, 2019 and 2018, the Company had no borrowings and \$99,876 and \$28,700 letters of credit outstanding under the ABL Facility, respectively.

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The Amended and Restated Asset-Based Revolving Credit Agreement, as amended, and related documents contain negative and affirmative covenants including certain financial covenants. The Company was in compliance with all covenants under these agreements as of December 31, 2019.

The ABL Credit Facility is guaranteed by substantially all of Contura's direct and indirect subsidiaries (together with Contura, the "Loan Parties") and secured by all or substantially all assets of the Loan Parties, including equity in its direct domestic subsidiaries and first-tier foreign subsidiaries, as collateral for the obligations under the New ABL Credit Facility. The New ABL Credit Facility has a first lien on ABL priority collateral and a second lien on term loan priority collateral.

The Company entered into the First Amendment to the Asset-Based Revolving Credit Agreement on June 9, 2017. The amendment, among other things, permitted an aggregate amount of \$150,000 of cash to be used for the (i) payment of a one-time cash dividend on its common stock no later than July 28, 2017, and (ii) repurchase of its common stock at any time no later than December 31, 2017, subject to certain terms and conditions.

On April 3, 2017, the Company entered into an Asset-Based Revolving Credit Agreement with Citibank N.A. as administrative agent, collateral agent, and swingline lender and the other lenders party thereto (the "Old Lenders"), and Citibank N.A., BMO Harris Bank N.A. and Credit Suisse AG as letter of credit issuers ("Old LC Lenders"). The Asset-Based Revolving Credit Agreement included a senior secured asset-based revolving credit facility (the "Old ABL Facility"). Under the Old ABL Facility, the Company could borrow cash from the Old Lender or cause the Old LC Lenders to issue letters of credit, on a revolving basis, in an aggregate amount of up to \$125,000, of which no more than \$80,000 could be drawn through letters of credit. Any borrowings under the Old ABL Facility had a maturity date of April 4, 2022 and incurred interest based on the character of the loan (defined as either "Base Rate Loan" or "Eurocurrency Rate Loan") plus an applicable rate ranging from 1.00% to 1.50% for Base Rate Loans and 2.00% to 2.50% for Eurocurrency Rate Loans, depending on the amount of credit that was available. Any letters of credit issued under the Old ABL Facility incurred a commitment fee rate ranging from 0.25% to 0.375% depending on the amount of availability per terms of the agreement, and a 0.25% fronting fee that was payable to the Old ABL Facility's administrative agent. The Asset-Based Revolving Credit Agreement provided that a specified percentage of billed, unbilled and approved foreign receivables and raw and clean inventory meeting certain criteria were eligible to be counted for purposes of collateralizing the amount of financing available, subject to certain terms and conditions. As of December 31, 2017, the Company had no borrowings and \$11,300 in letters of credit outstanding under the Old ABL Facility.

LCC Note Payable

As a result of the Merger, the Company assumed a note payable to Lexington Coal Company ("LCC") in the aggregate amount of \$62,500 (the "LCC Note Payable") and with a maturity date of July 26, 2022. The LCC Note Payable has no stated interest rate and an imputed interest rate of 12.45%. Principal repayments equal to \$17,500 are due each July during 2019, 2020 and 2021, with the final principal payment of \$10,000 due on the maturity date. The carrying value of the LCC Note Payable was \$37,695 and \$49,361, with \$17,500 and \$17,500 reported within the current portion of long-term debt as of December 31, 2019 and 2018, respectively.

LCC Water Treatment Stipulation

As a result of the Merger, the Company assumed an obligation to contribute \$12,500 into Lexington Coal Company's water treatment restricted cash accounts (the "LCC Water Treatment Stipulation"). Contributions equal to \$625 are due each January, April, July and October from 2019 through 2023. The LCC Water Treatment Stipulation has no stated interest rate and an imputed interest rate of 13.12%. The carrying value of the LCC Water Treatment Stipulation was \$7,211 and \$8,589, with \$1,875 and \$1,875 reported within the current portion of long-term debt as of December 31, 2019 and 2018, respectively.

Financing Leases

The Company entered into financing leases for certain property and other equipment during 2019 and 2018. The Company's liability for financing leases was \$7,949 and \$6,423, with \$3,275 and \$2,110 reported within the current portion of long-term debt as of December 31, 2019 and 2018, respectively. Financing leases are included in the other line item in the table above. Refer to Note 12 for additional information on leases.

Future Maturities

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Future maturities of long-term debt as of December 31, 2019 are as follows:

2020	\$ 28,485
2021	29,036
2022	20,324
2023	8,297
2024	536,519
Total long-term debt	<u>\$ 622,661</u>

(16) Acquisition-Related Obligations

Acquisition-related obligations consisted of the following:

	December 31,	
	2019	2018
Contingent Revenue Obligation	\$ 52,427	\$ 59,880
Environmental Settlement Obligations	16,305	19,306
Reclamation Funding Liability	12,000	22,000
Retiree Committee VEBA Funding Settlement Liability	—	3,500
UMWA Funds Settlement Liability	4,000	6,000
Discount	(4,834)	(10,356)
Total acquisition-related obligations	79,898	100,330
Less current portion	(33,639)	(27,334)
Acquisition-related obligations, net of current portion	<u>\$ 46,259</u>	<u>\$ 72,996</u>

The Company entered into various settlement agreements with Alpha and/or the Alpha bankruptcy successor ANR and third parties as part of the Alpha bankruptcy reorganization process. The Company assumed acquisition-related obligations through those settlement agreements which became effective on July 26, 2016, the effective date of Alpha's plan of reorganization. Additionally, as a result of the Merger, the Company assumed certain acquisition-related obligations pursuant to the terms stipulated within the bankruptcy settlement previously entered into by the Alpha Companies.

Contingent Revenue Obligation

As a result of the Merger, the Company assumed a contingent revenue payment obligation (the "Contingent Revenue Obligation") to certain of the Alpha Companies' creditors pursuant to the terms stipulated within the bankruptcy settlement previously entered into by the Alpha Companies. Pursuant to terms of the obligation, the annual obligation will be limited to revenues derived from legacy operations for the Alpha Companies and will not include revenues related to legacy Contura operations. The Contingent Revenue Obligation consists of a contingent revenue payment of 1.5% of annual gross revenues of the legacy operations for the Alpha Companies up to \$500,000 and 1.0% of annual gross revenue of the legacy operations for the Alpha Companies in excess of \$500,000 through the period ended December 31, 2022. As of December 31, 2019 and 2018, the carrying value of the Contingent Revenue Obligation was \$52,427 and \$59,880, with \$14,646 and \$9,459 classified as current, respectively, and classified as an acquisition-related obligation in the Consolidated Balance Sheets. Refer to Note 18 for further disclosures related to the fair value assignment and methods used.

During the second quarter of 2019, the Company paid \$9,627 pursuant to terms of the Contingent Revenue Obligation.

Environmental Settlement Obligations

As a result of the Merger, the Company assumed certain environmental settlement obligations (the "Environmental Settlement Obligations") pursuant to the terms stipulated within the bankruptcy settlement previously entered into by the Alpha Companies. These obligations include payments to a third-party environmental agency and the funding of certain reclamation related projects through 2022. As of December 31, 2019 and 2018, the carrying value of the Environmental Settlement

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Obligations was \$13,594 and \$14,768, net of discounts of \$2,711 and \$4,538, with \$6,185 and \$3,375 classified as current, respectively, all of which was classified as an acquisition-related obligation in the Consolidated Balance Sheets.

Reclamation Funding Agreement

Pursuant to the Reclamation Funding Agreement dated July 12, 2016, the Company must pay the aggregate amount of \$50,000 into the various Restricted Cash Reclamation Accounts as follows: \$8,000 immediately upon the effective date of the agreement; \$10,000 on the anniversary of the effective date in each of 2017, 2018, and 2019; and \$12,000 on the anniversary of the effective date in 2020. As of December 31, 2019 and 2018, the carrying value of the Funding of Restricted Cash Reclamation liability was \$10,808 and \$18,106, net of discounts of \$1,192 and \$3,894, with \$10,808 and \$10,000 classified as current, respectively, all of which was classified as an acquisition-related obligation in the Consolidated Balance Sheets.

(17) Asset Retirement Obligations

The following table summarizes the changes in asset retirement obligations for the years ended December 31, 2019 and 2018:

Total asset retirement obligations at December 31, 2017	\$	59,205
Accretion for the period		8,961
Sites added during the period ⁽¹⁾		163,636
Revisions in estimated cash flows ⁽²⁾		1,100
Expenditures for the period		(3,175)
Reclassification to liabilities held for sale		(1,279)
Total asset retirement obligations at December 31, 2018	\$	228,448
Measurement-period adjustments ⁽³⁾		12,718
Accretion for the period ⁽⁴⁾		27,785
Sites added during the period		5,113
Revisions in estimated cash flows ⁽²⁾		(25,244)
Expenditures for the period		(24,116)
Total asset retirement obligations at December 31, 2019	\$	224,704
Less current portion		(40,574)
Long-term portion	\$	184,130

⁽¹⁾ Represents amounts assumed in connection with the Merger.

⁽²⁾ The revisions in estimated cash flows resulted primarily from discount rate adjustments and changes in mine plans.

⁽³⁾ Refer to Note 3 for additional information on the Merger and related measurement-period adjustments recorded during the year ended December 31, 2019.

⁽⁴⁾ Amount does not include the accretion related to asset retirement obligations classified as liabilities held for sale.

(18) Fair Value of Financial Instruments and Fair Value Measurements

The estimated fair values of financial instruments are determined based on relevant market information. These estimates involve uncertainty and cannot be determined with precision.

The carrying amounts for cash and cash equivalents, trade accounts receivable, net, prepaid expenses and other current assets, short-term and long-term restricted cash, short-term and long-term deposits, trade accounts payable, and accrued expenses and other current liabilities approximate fair value as of December 31, 2019 and 2018 due to the short maturity of these instruments.

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The following tables set forth by level, within the fair value hierarchy, the Company's long-term debt at fair value as of December 31, 2019 and 2018:

	December 31, 2019				
	Carrying Amount ⁽¹⁾	Total Fair Value	Quoted Prices in Active Markets (Level 1)	Significant Other Observable Inputs (Level 2)	Significant Unobservable Inputs (Level 3)
Term Loan Credit Facility - due June 2024	\$ 538,765	\$ 461,402	\$ 461,402	\$ —	\$ —
LCC Note Payable	37,695	33,884	—	—	33,884
LCC Water Treatment Obligation	7,211	6,280	—	—	6,280
Total long term debt	<u>\$ 583,671</u>	<u>\$ 501,566</u>	<u>\$ 461,402</u>	<u>\$ —</u>	<u>\$ 40,164</u>

	December 31, 2018				
	Carrying Amount ⁽¹⁾	Total Fair Value	Quoted Prices in Active Markets (Level 1)	Significant Other Observable Inputs (Level 2)	Significant Unobservable Inputs (Level 3)
Term Loan Credit Facility - due November 2025	\$ 521,667	\$ 540,375	\$ 540,375	\$ —	\$ —
LCC Note Payable	49,361	50,606	—	—	50,606
LCC Water Treatment Obligation	8,589	8,827	—	—	8,827
Total long term debt	<u>\$ 579,617</u>	<u>\$ 599,808</u>	<u>\$ 540,375</u>	<u>\$ —</u>	<u>\$ 59,433</u>

⁽¹⁾ Net of debt discounts and debt issuance costs.

The following tables set forth by level, within the fair value hierarchy, the Company's acquisition-related obligations at fair value as of December 31, 2019 and 2018:

	December 31, 2019				
	Carrying Amount ⁽¹⁾	Total Fair Value	Quoted Prices in Active Markets (Level 1)	Significant Other Observable Inputs (Level 2)	Significant Unobservable Inputs (Level 3)
UMWA Funds Settlement Liability	\$ 3,069	\$ 2,929	\$ —	\$ —	\$ 2,929
Reclamation Funding Liability	10,808	10,658	—	—	10,658
Environmental Settlement Obligations	13,594	12,197	—	—	12,197
Total acquisition-related obligations	<u>\$ 27,471</u>	<u>\$ 25,784</u>	<u>\$ —</u>	<u>\$ —</u>	<u>\$ 25,784</u>

	December 31, 2018				
	Carrying Amount ⁽¹⁾	Total Fair Value	Quoted Prices in Active Markets (Level 1)	Significant Other Observable Inputs (Level 2)	Significant Unobservable Inputs (Level 3)
Retiree Committee VEBA Funding Settlement Liability	\$ 3,337	\$ 3,391	\$ —	\$ —	\$ 3,391
UMWA Funds Settlement Liability	4,239	4,729	—	—	4,729
Reclamation Funding Liability	18,106	19,362	—	—	19,362
Environmental Settlement Obligations	14,768	14,936	—	—	14,936
Total acquisition-related obligations	<u>\$ 40,450</u>	<u>\$ 42,418</u>	<u>\$ —</u>	<u>\$ —</u>	<u>\$ 42,418</u>

⁽¹⁾ Net of discounts.

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The following table sets forth by level, within the fair value hierarchy, the Company's financial and non-financial assets and liabilities that were accounted for at fair value on a recurring basis as of December 31, 2019 and 2018. Financial and non-financial assets and liabilities are classified in their entirety based on the lowest level of input that is significant to the fair value measurement. The Company's assessment of the significance of a particular input to the fair value measurement requires judgment, and may affect the determination of fair value for assets and liabilities and their placement within the fair value hierarchy levels.

	December 31, 2019			
	Total Fair Value	Quoted Prices in Active Markets (Level 1)	Significant Other Observable Inputs (Level 2)	Significant Unobservable Inputs (Level 3)
Contingent Revenue Obligation	\$ 52,427	\$ —	\$ —	\$ 52,427
Trading securities	\$ 13,508	\$ 5,506	\$ 8,002	\$ —

	December 31, 2018			
	Total Fair Value	Quoted Prices in Active Markets (Level 1)	Significant Other Observable Inputs (Level 2)	Significant Unobservable Inputs (Level 3)
Contingent Revenue Obligation	\$ 59,880	\$ —	\$ —	\$ 59,880

The following table is a reconciliation of the financial and non-financial assets and liabilities that were accounted for at fair value on a recurring basis and that were categorized within Level 3 of the fair value hierarchy:

	December 31, 2018	Payments	Measurement Period Adjustments ⁽¹⁾	Loss Recognized in Earnings	Transfer In (Out) of Level 3 Fair Value Hierarchy	December 31, 2019
Contingent Revenue Obligation	\$ 59,880	\$ (9,627)	5,738	\$ (3,564)	\$ —	\$ 52,427

⁽¹⁾ Refer to Note 3 for additional information on the Merger and related measurement-period adjustments recorded during the year ended December 31, 2019.

	December 31, 2017	Acquisitions	Loss (Gain) Recognized in Earnings	Transfer In (Out) of Level 3 Fair Value Hierarchy	December 31, 2018
Contingent Revenue Obligation	—	59,856	24	—	59,880

The following methods and assumptions were used to estimate the fair values of the assets and liabilities in the tables above:

Level 1 Fair Value Measurements

Term Loan Credit Facility - due June 2024 and Term Loan Credit Facility - due November 2025 - The fair value is based on observable market data.

Trading Securities - Includes money market funds and other cash equivalents. The fair value is based on observable market data.

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Level 2 Fair Value Measurements

Trading Securities - Includes certificates of deposit, mutual funds, corporate debt securities and U.S. treasury and agency securities. The fair values of the Company's trading securities are obtained from a third-party pricing service provider. The fair values provided by the pricing service provider are based on observable market inputs including credit spreads and broker-dealer quotes, among other inputs. The Company classifies the prices obtained from the pricing services within Level 2 of the fair value hierarchy because the underlying inputs are directly observable from active markets. However, the pricing models used entail a certain amount of subjectivity and therefore differing judgments in how the underlying inputs are modeled could result in different estimates of fair value.

Level 3 Fair Value Measurements

LCC Note Payable, LCC Water Treatment Obligation, Retiree Committee VEBA Funding Settlement Liability, UMWA Funds Settlement Liability, Environmental Settlement Obligations and Reclamation Funding Liability - Observable transactions are not available to aid in determining the fair value of these items. Therefore, the fair value was derived by using the expected present value approach in which estimated cash flows are discounted using a risk-free interest rate adjusted for market risk.

Contingent Revenue Obligation - The fair value of the contingent revenue obligation was estimated using a Black-Scholes pricing model and is marked to market at each reporting period with changes in value reflected in earnings. The inputs included in the Black-Scholes pricing model are the Company's forecasted future revenue, the stated royalty rate, the remaining periods in the obligation; annual risk-free interest rate based on the US Constant Maturity Treasury Curve and annualized volatility. The annualized volatility was calculated by observing volatilities for comparable companies with adjustments for the Company's size and leverage.

Acquisition accounting - The Company accounts for business combinations under the acquisition method of accounting. The total cost of acquisitions is allocated to the underlying identifiable net tangible and intangible assets based on their respective estimated fair values. Determining the fair value of assets acquired and liabilities assumed requires management's judgment, the utilization of independent valuation experts and often involves the use of significant estimates and assumptions with respect to the timing and amounts of future cash inflows and outflows, discount rates, market prices and asset lives, among other items. A combination of income, market and cost approaches are used for the valuation where appropriate, depending on the assets or liabilities being valued. The valuation inputs in these models and analyses give consideration to market participant assumptions.

(19) Income Taxes

Total income tax benefit provided on income (loss) before income taxes was allocated as follows:

	Year Ended December 31,		
	2019	2018	2017
Continuing operations	\$ (57,557)	\$ (165,363)	\$ (67,979)
Discontinued operations	(4,214)	(1,305)	(17,681)
Total	<u>\$ (61,771)</u>	<u>\$ (166,668)</u>	<u>\$ (85,660)</u>

Significant components of income tax expense (benefit) from continuing operations were as follows:

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	Year Ended December 31,		
	2019	2018	2017
Current tax (benefit) expense:			
Federal	\$ (49,943)	\$ (99,965)	\$ 10,078
State	824	(21)	687
Total current	\$ (49,119)	\$ (99,986)	\$ 10,765
Deferred tax (benefit) expense:			
Federal	\$ 704	\$ (49,322)	\$ (78,744)
State	(9,142)	(16,055)	—
Total deferred	\$ (8,438)	\$ (65,377)	\$ (78,744)
Total income tax (benefit) expense:			
Federal	\$ (49,239)	\$ (149,287)	\$ (68,666)
State	(8,318)	(16,076)	687
Total	\$ (57,557)	\$ (165,363)	\$ (67,979)

A reconciliation of statutory federal income tax expense (benefit) on income from continuing operations to the actual income tax expense (benefit) is as follows:

	Year Ended December 31,		
	2019	2018	2017
Federal statutory income tax expense (benefit)	\$ (54,747)	\$ 28,873	\$ 37,015
Increase (reductions) in taxes due to:			
Percentage depletion allowance	(6,270)	(3,770)	(5,164)
Federal tax rate change	—	—	179,825
SAB 118 finalization	—	(6,735)	—
Estimated sequestration impact	—	(7,139)	5,640
State taxes, net of federal tax impact	(10,498)	6,569	1,059
State tax rate and NOL change, net of federal tax impact	(4,172)	(4,779)	(4,705)
Change in valuation allowances	4,329	(208,474)	(280,094)
Net operating loss carryback	(14,234)	(59,404)	—
Amended return - capital loss impact	919	69,430	—
Non-taxable bargain purchase gain	—	—	(354)
Non-deductible goodwill impairment	26,114	—	—
Non-deductible transaction costs	—	1,706	—
Stock-based compensation	(1,085)	(687)	(1,144)
Charitable contribution carryforward expiration	486	9,634	—
Provision to return adjustment	(869)	5,022	—
Other, net	2,470	4,391	(57)
Income tax benefit	\$ (57,557)	\$ (165,363)	\$ (67,979)

Deferred income taxes result from temporary differences between the reporting of amounts for financial statement purposes and income tax purposes. The net deferred tax assets and liabilities included in the Consolidated Balance Sheets include the following amounts:

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	Year Ended December 31,	
	2019	2018
Deferred tax assets:		
Asset retirement obligations	\$ 51,114	\$ 59,973
Reserves and accruals not currently deductible	8,265	9,163
Workers' compensation benefit obligations	54,128	56,859
Pension obligations	44,413	47,256
Equity method investments	2,509	3,506
Charitable contribution carryforwards	306	724
Alternative minimum tax credit carryforwards	33,065	68,774
Loss carryforwards, net of Section 382 limitation	142,510	109,850
Acquisition-related obligations	17,902	25,590
Other	11,993	11,909
Gross deferred tax assets	366,205	393,604
Less valuation allowance	(133,020)	(94,802)
Deferred tax assets	\$ 233,185	\$ 298,802
Deferred tax liabilities:		
Property, plant and mineral reserves	\$ (145,487)	\$ (189,232)
Acquired intangibles, net	(27,140)	(31,540)
Prepaid expenses	(6,780)	(6,882)
Restricted cash	(20,313)	(55,112)
Other	(822)	(3,975)
Total deferred tax liabilities	(200,542)	(286,741)
Net deferred tax assets	\$ 32,643	\$ 12,061

Changes in the valuation allowance were as follows:

	Year Ended December 31,		
	2019	2018	2017
Valuation allowance beginning of period	\$ 94,802	\$ 298,892	\$ 531,054
Increase (decrease) in valuation allowance recorded to income tax expense (benefit)	29,950	(208,474)	(288,177)
Increase in valuation allowance not affecting income tax expense	8,268	4,384	56,015
Valuation allowance end of period	\$ 133,020	\$ 94,802	\$ 298,892

On December 22, 2017, President Trump signed into law legislation commonly referred to as the "Tax Cuts and Jobs Act" ("TCJA"). Effective for tax years beginning after December 31, 2017, the TCJA reduced the corporate income tax rate from 35% to 21%. As a result of the reduction in the corporate income tax rate, the Company recorded a reduction to the value of its net deferred tax assets before the valuation allowance of \$179,825, resulting in an offsetting release in the valuation allowance of \$179,825, during the year ended December 31, 2017. The TCJA also repealed the corporate alternative minimum tax ("AMT"), provided a mechanism for corporations to monetize alternative minimum tax credits ("AMT Credits") during the 2018 to 2021 tax years, limited the tax deduction for interest expense to 30% of adjusted earnings, and made changes to net operating loss provisions ("NOL") to repeal NOL carrybacks, allow NOLs to be carried forward indefinitely, and limit the utilization of an NOL carryforward to 80% of taxable income generated. The changes to the NOL provisions apply to NOLs generated in 2018 and future tax years.

During the one-year measurement period ended December 22, 2018, the Company finalized its accounting for the AMT Credits under SAB 118, resulting in the recording of an income tax benefit of \$6,735 during the year ended December 31, 2018.

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Based on the accounting policy election made, the Company classifies the AMT Credits as a deferred tax asset until the taxable year in which the credit can be claimed on the tax return. In that year, the Company reclassifies the amount from a deferred tax asset to an income tax receivable. As of December 31, 2019, the Company recorded a current income tax receivable of \$33,065 for AMT Credits expected to be refunded on the 2019 tax return. The remaining \$33,065 of AMT Credits, the balance of which are expected to be refunded on the 2020 and 2021 tax returns, are recorded as a deferred tax asset. The Internal Revenue Service (“IRS”) may issue additional guidance in the form of regulations or notices regarding certain technical issues related to the monetization of the AMT Credits.

The Company acquired the core assets of Alpha as part of the Alpha Restructuring in transactions intended to be treated as a tax-free reorganization for U.S. federal income tax purposes. As a result of these transactions, the Company inherited the tax basis of the core assets and the net operating loss and other carryforwards of Alpha. On December 31, 2016, the net operating loss carryforwards and other carryforwards were reduced under Internal Revenue Code Section 108 due to the cancellation of indebtedness resulting from the Alpha Restructuring. Due to the change in ownership, the net operating loss and other carryforwards inherited in the Alpha Restructuring are subjected to significant limitations on their use in future years.

Due to the Company’s formation through acquisition of certain core coal assets as part of the Alpha Restructuring, the Company does not have a long history of operating results. Additionally, significant ownership change limitations limit the ability of the Company to utilize its net operating loss and other carryforwards in future years. The Company currently is relying primarily on the reversal of taxable temporary differences, along with consideration of taxable income via carryback to prior years and tax planning strategies, to support the realization of deferred tax assets. The Company assesses the realizability of its deferred tax assets, including scheduling the reversal of its deferred tax liabilities, to determine the amount of valuation allowance needed. Scheduling the reversal of deferred tax asset and liability balances requires judgment and estimation. The Company believes the deferred tax liabilities relied upon as future taxable income in its assessment will reverse in the same period and jurisdiction and are of the same character as temporary differences giving rise to the deferred tax assets that will be realized. The valuation allowance recorded represents the portion of deferred tax assets for which the Company is unable to support realization through the methods described above. The Company has concluded that it is more likely than not that the remaining deferred tax assets, net of valuation allowances, are realizable.

At December 31, 2019, the Company has regular tax net operating loss carryforwards for federal income tax purposes of approximately \$1,427,000. This includes \$1,011,000 that are available to offset regular federal taxable income subject to an annual Internal Revenue Code Section 382 limitation of approximately \$1,000, \$56,000 that are subject to an annual Section 382 limitation of approximately \$18,300, and \$299,000 that are subject to an annual Section 382 limitation of approximately \$17,500. These federal net operating loss carryforwards were generated before 2018 and will expire between years 2030 and 2037. The Company also has \$61,000 of federal net operating loss carryforwards with an indefinite carryforward period that can be used to offset up to 80% of taxable income. The Company has capital loss carryforwards of approximately \$117,000, of which \$66,000 are subject to an annual Section 382 limitation of approximately \$1,000 and \$51,000 are subject to an annual Section 382 limitation of approximately \$17,500. The capital loss carryforwards will expire between years 2021 and 2024. A full valuation allowance is recorded against the capital loss carryforwards. The Company also has disallowed interest deduction carryforwards of \$102,394, which can be carried forward indefinitely and used to reduce taxable income subject to a 30% of adjusted earnings limitation.

No amount of unrecognized tax benefits would affect the Company’s effective tax rate if recognized as of December 31, 2019. The Company believes that it is reasonably possible that a decrease in unrecognized tax benefits of \$20,788 may be necessary during the next twelve months, as a result of the issuance of final regulatory guidance from the IRS.

The Company’s policy is to classify interest and penalties related to uncertain tax positions as part of income tax expense. As of December 31, 2019 and 2018, the Company had no accrued interest and penalties.

The following reconciliation illustrates the Company’s liability for uncertain tax positions:

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	Year Ended December 31,		
	2019	2018	2017
Unrecognized tax benefits - beginning of period	\$ —	\$ —	\$ —
Additions for tax positions of prior years	5,740	—	—
Additions for tax positions of current year	15,048	—	—
Unrecognized tax benefits - end of period	\$ 20,788	\$ —	\$ —

As of December 31, 2019, tax years 2016 - 2019, which include the impact of net operating loss and other carryforwards and tax basis acquired from Alpha, remain open to federal and state examination.

(20) Employee Benefit Plans

The Company provides several types of benefits for its employees, including defined benefit and defined contribution pension plans, workers' compensation and black lung benefits, and postemployment life insurance. The Company does not participate in any multi-employer plans.

Company Administered Defined Benefit Pension Plans

In connection with the Merger, the Company assumed three qualified non-contributory defined benefit pension plans, which cover certain salaried and non-union hourly employees. Participants accrued benefits either based on certain formulas, the participant's compensation prior to retirement or plan specified amounts for each year of service with the Company. Benefits are frozen under these plans. The qualified non-contributory defined benefit pension plans are collectively referred to as the "Pension Plans."

Effective October 1, 2019, two of the qualified non-contributory defined benefit pension plans were amended to offer certain eligible participants the option to elect to receive lump sum benefits as of December 1, 2019, which resulted in a partial plan settlement and the accelerated recognition of a portion of the accumulated other comprehensive loss during the three months ended December 31, 2019. Refer to the disclosures below for further information on the partial plan settlement.

Annual funding contributions to the Pension Plans are made as recommended by consulting actuaries based upon the ERISA funding standards. Plan assets consist of equity and fixed income funds, private equity funds and a guaranteed insurance contract.

The following tables set forth the plans' accumulated benefit obligations, fair value of plan assets and funded status for the years ended December 31, 2019 and 2018. For the year ended December 31, 2018, the change in benefit obligations and change in fair value of plan assets only represents activity related to the post-Merger period.

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	Year Ended December 31,	
	2019	2018
Change in benefit obligations:		
Accumulated benefit obligation at beginning of period:	\$ 675,482	\$ —
Interest cost ⁽¹⁾	26,564	4,500
Actuarial loss	91,287	22,410
Benefits paid	(31,371)	(5,295)
Acquisition ⁽¹⁾	1,910	653,867
Settlement	(89,433)	—
Accumulated benefit obligation at end of period	\$ 674,439	\$ 675,482
Change in fair value of plan assets:		
Fair value of plan assets at beginning of period	\$ 494,680	\$ —
Actual return on plan assets	87,129	4,112
Employer contributions	9,348	—
Benefits paid	(31,371)	(5,295)
Acquisition	—	495,863
Settlement	(89,433)	—
Fair value of plan assets at end of period	\$ 470,353	\$ 494,680
Funded status	\$ (204,086)	\$ (180,802)
Accrued benefit cost at end of period ⁽²⁾	\$ (204,086)	\$ (180,802)

⁽¹⁾ For the year ended December 31, 2019, interest cost includes \$22 of measurement-period adjustments recorded during the period. Refer to Note 3 for further details on measurement-period adjustments.

⁽²⁾ Amounts are classified as long-term on the Consolidated Balance Sheets as there are sufficient plan assets to make expected benefit payments to plan participants in the succeeding twelve months.

Gross amounts related to pension obligations recognized in accumulated other comprehensive loss consisted of the following as of December 31, 2019 and 2018:

	December 31,	
	2019	2018
Net actuarial loss	\$ 46,568	\$ 23,075

The following table details the components of net periodic benefit cost (credit):

	Year Ended December 31,	
	2019	2018
Interest cost ⁽¹⁾	\$ 26,564	\$ 4,500
Expected return on plan assets	(28,042)	(4,777)
Amortization of net losses	797	—
Settlement ⁽²⁾	6,224	—
Net periodic benefit cost (credit)	\$ 5,543	\$ (277)

⁽¹⁾ For the year ended December 31, 2019, interest cost includes \$22 of measurement-period adjustments recorded during the period. Refer to Note 3 for further details on measurement-period adjustments.

⁽²⁾ For the year ended December 31, 2019, the settlement is recorded within miscellaneous (loss) income, net, within the Consolidated Statements of Operations.

Other changes in plan assets and benefit obligations recognized in other comprehensive loss are as follows:

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	Year Ended December 31,	
	2019	2018
Actuarial loss ⁽¹⁾	\$ 30,514	\$ 23,075
Amortization of net actuarial loss	(797)	—
Settlement	(6,224)	—
Total recognized in other comprehensive loss	\$ 23,493	\$ 23,075

⁽¹⁾ For the year ended December 31, 2019, the balance includes (\$1,686) of measurement-period adjustments recorded during the period. Refer to Note 3 for further details on measurement-period adjustments.

The following table presents information applicable to plans with accumulated benefit obligations in excess of plan assets:

	Year Ended December 31,	
	2019	2018
Projected benefit obligation	\$ 674,439	\$ 675,482
Accumulated benefit obligation	\$ 674,439	\$ 675,482
Fair value of plan assets	\$ 470,353	\$ 494,680

The weighted-average actuarial assumption used in determining the benefit obligations as of December 31, 2019 and 2018 was as follows:

	December 31,	
	2019	2018
Discount rate	3.36%	4.33%

The weighted-average actuarial assumptions used to determine net periodic benefit cost for the years ended December 31, 2019 and 2018 were as follows:

	Year Ended December 31,	
	2019	2018
Discount rate for benefit obligation	4.33%	4.50%
Discount rate for interest cost	4.01%	4.23%
Expected return on plan assets	5.80%	5.80%

The discount rate assumptions were determined from a high-quality corporate bond yield-curve timing of the Company's projected cash out flows.

The expected long-term return on assets of the Pension Plans is established each year by the Company's Benefits Committee in consultation with the plans' actuaries and outside investment advisors. This rate is determined by taking into consideration the Pension Plans' target asset allocation, expected long-term rates of return on each major asset class by reference to long-term historic ranges, inflation assumptions and the expected additional value from active management of the Pension Plans' assets. For the determination of net periodic benefit cost in 2020, the Company will utilize an expected long-term return on plan assets of 5.90%.

Assets of the Pension Plans are held in trusts and are invested in accordance with investment guidelines that have been established by the Company's Benefits Committee in consultation with outside investment advisors. The target allocation for 2020 and the actual asset allocation as reported at December 31, 2019 are as follows:

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	Target Allocation Percentages 2020	Percentage of Plan Assets 2019
Equity securities	40.0%	39.3%
Fixed income funds	60.0%	58.0%
Other	—%	2.7%
Total	100.0%	100.0%

The asset allocation targets have been set with the expectation that the Pension Plans' assets will fund the expected liabilities within an appropriate level of risk. In determining the appropriate target asset allocations, the Benefits Committee considers the demographics of the Pension Plans' participants, the funding status of each plan, the Company's contribution philosophy, the Company's business and financial profile, and other associated risk factors. The Pension Plans' assets are periodically rebalanced among the major asset categories to maintain the asset allocation within a specified range of the target allocation percentage.

The Company expects to contribute \$23,174 to the Pension Plans in 2020.

The following represents expected future pension benefit payments for the next ten years:

2020	\$ 30,992
2021	31,148
2022	31,691
2023	32,414
2024	32,901
2025-2029	166,350
	<u>\$ 325,496</u>

The fair values of the Company's Pension Plans' assets as of December 31, 2019, by asset category are as follows:

Asset Category	Total	Quoted Market Prices in Active Market for Identical Assets (Level 1)	Significant Observable Inputs (Level 2)	Significant Unobservable Inputs (Level 3)
Equity securities:				
Multi-asset fund ⁽¹⁾	\$ 182,782	\$ —	\$ 182,782	\$ —
Fixed income funds:				
Bond fund ⁽²⁾	272,239	—	272,239	—
Commingled short-term fund ⁽³⁾	1,572	—	1,572	—
Other types of investments:				
Guaranteed insurance contract	11,155	—	—	11,155
Total	\$ 467,748	\$ —	\$ 456,593	\$ 11,155
Receivable ⁽⁴⁾	1,061			
Total assets at fair value	468,809			
Private equity funds measured at net asset value practical expedient ⁽⁵⁾	1,544			
Total plan assets	<u>\$ 470,353</u>			

⁽¹⁾ This fund contains equities (domestic and international), real estate and bonds.

⁽²⁾ This fund contains bonds representing a diversity of sectors and maturities. This fund also includes mortgage-backed securities and U.S. Treasuries.

⁽³⁾ This fund contains cash and highly liquid short-term investments in a collective investment fund.

⁽⁴⁾ Receivable for investments sold at December 31, 2019, which approximates fair value.

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⁽⁵⁾ In accordance with Accounting Standards Update 2015-07, investments that are measured at fair value using the net asset value per share practical expedient have not been classified in the fair value hierarchy. The fair value amounts presented in this table are intended to permit reconciliation of the fair value hierarchy to the total value of assets of the plans.

Changes in Level 3 plan assets for the period ended December 31, 2019 were as follows:

	Fair Value Measurements Using Significant Unobservable Inputs (Level 3)
	Guaranteed Insurance Contract
Beginning balance, December 31, 2018	\$ 10,886
Actual return on plan assets:	
Relating to assets still held at the reporting date	644
Purchases, sales and settlements	(375)
Ending balance, December 31, 2019	\$ 11,155

The fair values of the Company's Pension Plans' assets as of December 31, 2018, by asset category are as follows:

Asset Category	Total	Quoted Market Prices in Active Market for Identical Assets (Level 1)	Significant Observable Inputs (Level 2)	Significant Unobservable Inputs (Level 3)
Equity securities:				
Multi-asset fund ⁽¹⁾	\$ 195,278	\$ —	\$ 195,278	\$ —
Fixed income funds:				
Bond fund ⁽²⁾	283,517	—	283,517	—
Commingled short-term fund ⁽³⁾	1,654	—	1,654	—
Other types of investments:				
Guaranteed insurance contract	10,886	—	—	10,886
Total	\$ 491,335	\$ —	\$ 480,449	\$ 10,886
Receivable ⁽⁴⁾	921			
Total assets at fair value	492,256			
Private equity funds measured at net asset value practical expedient ⁽⁵⁾	2,424			
Total plan assets	\$ 494,680			

⁽¹⁾ This fund contains equities (domestic and international), real estate and bonds.

⁽²⁾ This fund contains bonds representing a diversity of sectors and maturities. This fund also includes mortgage-backed securities and U.S. Treasuries.

⁽³⁾ This fund contains cash and highly liquid short-term investments in a collective investment fund.

⁽⁴⁾ Receivable for investments sold at December 31, 2018, which approximates fair value.

⁽⁵⁾ In accordance with Accounting Standards Update 2015-07, investments that are measured at fair value using the net asset value per share practical expedient have not been classified in the fair value hierarchy. The fair value amounts presented in this table are intended to permit reconciliation of the fair value hierarchy to the total value of assets of the plans.

Changes in Level 3 plan assets for the period ended December 31, 2018 were as follows:

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	Fair Value Measurements Using Significant Unobservable Inputs (Level 3)
	Guaranteed Insurance Contract
Beginning balance, December 31, 2017	\$ —
Acquisition	11,266
Actual return on plan assets:	
Relating to assets still held at the reporting date	11
Purchases, sales and settlements	(391)
Ending balance, December 31, 2018	\$ 10,886

The following is a description of the valuation methodologies used for assets measured at fair value:

Level 1 Plan Assets: Assets consist of individual security positions that are easily traded on recognized market exchanges. These securities are priced and traded daily, and therefore the fund is valued daily.

Level 2 Plan Assets: Funds consist of individual security positions that are mostly securities easily traded on recognized market exchanges. These securities are priced and traded daily, and therefore the fund is valued daily.

Level 3 Plan Assets: Assets are valued monthly or quarterly based on the Market Value provided by managers of the underlying fund investments. The Market Value provided typically reflects the fair value of each underlying fund investment, including unrealized gains and losses.

Workers' Compensation and Pneumoconiosis (Black Lung)

The Company is required by federal and state statutes to provide benefits to employees for awards related to workers' compensation and black lung.

The Company's subsidiaries utilize high-deductible third-party insurance for worker's compensation and black lung obligations with the exception of certain subsidiaries in which the Company is a qualified self-insurer for workers' compensation and/or black lung related obligations. The Company's subsidiaries that are self-insured for black lung benefits may fund benefit payments through a Section 501(c) (21) tax-exempt trust fund.

Pursuant to the Merger Agreement, the Company assumed a reinsurance contract with a third party. In 2017, the Alpha Companies made a lump sum payment in exchange for a reinsurance company's agreement to administer and pay certain future workers' compensation and state black lung obligations in the state of Kentucky. Pursuant to the Merger Agreement, the Company assumed the estimated liability for these future claims. As the liabilities are paid by the insurance company, the prepaid insurance amounts will be reduced by a corresponding amount.

The Company accrues for workers' compensation liability by recognizing costs when it is probable that a covered liability has been incurred and the cost can be reasonably estimated. The Company's estimates of these costs are adjusted based upon actuarial studies and include a provision for incurred but not reported losses. Actual losses may differ from these estimates, which could increase or decrease the Company's costs. Additionally, the liability for black lung benefits is estimated by an independent actuary by prorating the accrual of actuarially projected benefits over the employee's applicable term of service. Adjustments to the probable ultimate liability for workers' compensation and black lung are made annually based on actuarial valuations.

At December 31, 2019, the Company had \$163,818 of workers' compensation liability, including a current portion of \$15,695 recorded in accrued expenses and other current liabilities, offset by \$2,375 and \$58,498 of expected insurance receivable recorded in prepaid expenses and other current assets and other non-current assets, respectively in the Consolidated Balance Sheets. At December 31, 2018, the Company had \$181,989 of workers' compensation liability, including a current portion of \$16,676 recorded in accrued expenses and other current liabilities, offset by \$2,661 and \$67,776 of expected insurance receivable recorded in prepaid expenses and other current assets and other non-current assets, respectively, in the Consolidated Balance Sheets.

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For the Company's subsidiaries that are insured with a high-deductible insurance plan for workers' compensation and black lung claims, the insurance premium expense for the years ended December 31, 2019, 2018, and 2017 was \$13,851, \$5,868, and \$4,948, respectively.

Workers' compensation expense for high-deductible insurance plans for the years ended December 31, 2019, 2018, and 2017 was \$6,665, \$7,953, and \$9,366, respectively.

The following tables set forth the accumulated black lung benefit obligations, fair value of plan assets and funded status for the years ended December 31, 2019 and 2018:

	Year Ended December 31,	
	2019	2018
Change in benefit obligation:		
Accumulated benefit obligation at beginning of period	\$ 94,805	\$ 18,370
Service cost ⁽¹⁾	2,057	930
Interest cost ⁽¹⁾	4,474	1,185
Actuarial loss	11,166	272
Benefits paid	(6,543)	(1,462)
Acquisition ⁽¹⁾	16,829	75,510
Accumulated benefit obligation at end of period	\$ 122,788	\$ 94,805
Change in fair value of plan assets:		
Fair value of plan assets at beginning of period	\$ 2,597	\$ —
Actual return on plan assets	63	28
Benefits paid	(6,543)	(1,462)
Employer contributions	6,543	1,462
Acquisition	—	2,569
Fair value of plan assets at end of period ⁽²⁾	2,660	2,597
Funded status	\$ (120,128)	\$ (92,208)
Accrued benefit cost at end of period	\$ (120,128)	\$ (92,208)
Summary of accrued benefit cost at end of period:		
Continuing operations	(120,128)	(92,114)
Discontinued operations	—	(94)
Total accrued benefit cost at end of period	\$ (120,128)	\$ (92,208)

⁽¹⁾ For the year ended December 31, 2019, service cost and interest cost include \$61 and \$120, respectively, of measurement-period adjustments recorded during the period. Refer to Note 3 for further details on measurement-period adjustments.

⁽²⁾ Assets of the plan are held in a Section 501(c)(21) tax-exempt trust fund and consist primarily of government debt securities. All assets are classified as Level 1 and valued based on quoted market prices.

The table below presents amounts recognized in the Balance Sheets:

	December 31,	
	2019	2018
Current liabilities	\$ 7,472	\$ 8,133
Long-term liabilities	112,656	83,981
Long-term liabilities - discontinued operations	—	94
	\$ 120,128	\$ 92,208

Gross amounts related to the black lung obligations recognized in accumulated other comprehensive loss consisted of the following as of December 31, 2019 and 2018:

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	December 31,	
	2019	2018
Net actuarial loss	\$ 12,980	\$ 1,684

The following table details the components of the net periodic benefit cost for black lung obligations:

	Year Ended December 31,		
	2019	2018	2017
Service cost ⁽¹⁾	\$ 2,057	\$ 930	\$ 651
Interest cost ⁽¹⁾	4,474	1,185	633
Expected return on plan assets	(65)	(11)	—
Amortization of net actuarial loss (gain)	216	199	(149)
Net periodic benefit cost	\$ 6,682	\$ 2,303	\$ 1,135
Summary net periodic benefit cost:			
Continuing operations	\$ 6,682	\$ 2,304	\$ 1,125
Discontinued operations	—	(1)	10
Total net periodic benefit cost	\$ 6,682	\$ 2,303	\$ 1,135

⁽¹⁾ For the year ended December 31, 2019, service cost and interest cost include \$61 and \$120, respectively, of measurement-period adjustments recorded during the period. Refer to Note 3 for further details on measurement-period adjustments.

Other changes in the black lung plan assets and benefit obligations recognized in other comprehensive loss are as follows:

	Year Ended December 31,		
	2019	2018	2017
Actuarial loss ⁽¹⁾	\$ 11,512	\$ 255	\$ 3,661
Amortization of net actuarial (loss) gain	(216)	(199)	149
Total recognized in other comprehensive loss	\$ 11,296	\$ 56	\$ 3,810

⁽¹⁾ For the year ended December 31, 2019, the balance includes \$344 of measurement-period adjustments recorded during the period. Refer to Note 3 for further details on measurement-period adjustments.

The weighted-average assumptions related to black lung obligations used to determine the benefit obligation as of December 31, 2019 and 2018 were as follows:

	December 31,	
	2019	2018
Discount rate	3.47%	4.36%
Federal black lung benefit trend rate	2.00%	2.50%
Black lung medical benefit trend rate	5.00%	5.00%
Black lung benefit expense inflation rate	2.00%	2.50%

The weighted-average assumptions related to black lung obligations used to determine net periodic benefit cost were as follows:

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	Year Ended December 31,		
	2019	2018	2017
Discount rate for benefit obligation	4.36%	4.37%	4.29%
Discount rate for service cost	4.54%	3.90%	4.32%
Discount rate for interest cost	3.99%	3.83%	4.20%
Federal black lung benefit trend rate	2.50%	2.50%	2.50%
Black lung medical benefit trend rate	5.00%	5.00%	5.00%
Black lung benefit expense inflation rate	2.50%	2.50%	2.50%
Expected return on plan assets	2.50%	2.50%	N/A

Estimated future cash payments related to black lung obligations for the next 10 years ending after December 31, 2019 are as follows:

Year ending December 31:	
2020	\$ 7,472
2021	6,457
2022	6,751
2023	6,894
2024	6,981
2025-2029	19,900
	<u>\$ 54,455</u>

Life Insurance Benefits

As part of the Alpha Restructuring and the Retiree Committee Settlement Agreement, the Company assumed the liability for life insurance benefits for certain disabled and non-union retired employees. Provisions are made for estimated benefits and adjustments to the probable ultimate liabilities are made annually based on an actuarial study prepared by independent actuaries. These obligations are included in the Consolidated Balance Sheet as accrued expenses and other current liabilities and other non-current liabilities.

The following tables set forth the accumulated life insurance benefit obligations, fair value of plan assets and funded status for the years ended December 31, 2019 and 2018:

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	December 31,	
	2019	2018
Change in benefit obligation:		
Accumulated benefit obligation at beginning of period	\$ 11,368	\$ 12,640
Interest cost	426	388
Actuarial loss (gain)	1,002	(1,164)
Benefits paid	(455)	(496)
Accumulated benefit obligation at end of period	\$ 12,341	\$ 11,368
Change in fair value of plan assets:		
Benefits paid ⁽¹⁾	(455)	(496)
Employer contributions ⁽¹⁾	455	496
Fair value of plan assets at end of period	\$ —	\$ —
Funded status	(12,341)	(11,368)
Accrued benefit cost at end of year	\$ (12,341)	\$ (11,368)
Amounts recognized in the consolidated balance sheets:		
Current liabilities	\$ 719	\$ 787
Long-term liabilities	11,622	10,581
	\$ 12,341	\$ 11,368

⁽¹⁾ Amount is comprised of premium payments to commercial life insurance provider.

Gross amounts related to the life insurance benefit obligations recognized in accumulated other comprehensive income consisted of the following as of December 31, 2019 and 2018:

	December 31,	
	2019	2018
Net actuarial gain	\$ (872)	\$ (1,979)
Accumulated other comprehensive income	\$ (872)	\$ (1,979)

The following table details the components of the net periodic benefit cost for life insurance benefit obligations:

	December 31,	
	2019	2018
Interest cost	\$ 426	\$ 388
Amortization of net actuarial gain	(105)	(46)
Net periodic benefit cost	\$ 321	\$ 342

Other changes in the life insurance plan assets and benefit obligations recognized in other comprehensive income (loss) are as follows:

	December 31,	
	2019	2018
Actuarial loss (gain)	\$ 1,002	\$ (1,164)
Amortization of net actuarial gain	105	46
Total recognized in other comprehensive income (loss)	\$ 1,107	\$ (1,118)

The weighted-average assumptions related to life insurance benefit obligations used to determine the benefit obligation as of December 31, 2019 and 2018 was as follows:

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	December 31,	
	2019	2018
Discount rate	3.22%	4.21%

The weighted-average assumptions related to life insurance benefit obligations used to determine net periodic benefit cost were as follows:

	Year Ended December 31,	
	2019	2018
Discount rate for benefit obligations	4.21%	3.56%
Discount rate for interest cost	3.90%	3.18%

Estimated future cash payments related to life insurance benefit obligations for the next 10 years ending after December 31, 2019 are as follows:

Year ending December 31:	
2020	\$ 719
2021	667
2022	658
2023	650
2024	645
2025-2029	3,179
	<u>\$ 6,518</u>

Defined Contribution and Profit Sharing Plans

The Company sponsors defined contribution plans to assist its eligible employees in providing for retirement. Generally, under the terms of these plans, employees make voluntary contributions through payroll deductions and the Company makes matching and/or discretionary contributions, as defined by each plan. The Company's total contributions to these plans for the years ended December 31, 2019, 2018, and 2017 were \$27,231, \$10,242, and \$8,823, respectively.

Self-insured Medical Plan

The Company is self-insured for health benefit coverage for all of its active employees. Estimated liabilities for health and medical claims are recorded based on the Company's historical experience and include a component for incurred but not paid claims. During the years ended December 31, 2019, 2018, and 2017, the Company incurred total expenses of \$79,896, \$37,958, and \$31,318, respectively, which primarily include claims processed and an estimate for claims incurred but not paid.

(21) Stock-Based Compensation Awards

The MIP is currently authorized for the issuance of awards of up to 1,201,202 shares of common stock, and as of December 31, 2019, there were 277,266 shares of common stock available for grant under the MIP. The Long-Term Incentive Plan (the "LTIP") is currently authorized for the issuance of awards of up to 1,000,000 shares of common stock, and as of December 31, 2019, there were 756,507 shares of common stock available for grant under the LTIP. Pursuant to the Merger Agreement, the Company assumed the ANR Inc. 2017 Equity Incentive Plan (the "ANR EIP"), which had underlying ANR shares that were converted to 89,766 Contura shares. The ANR EIP is not authorized for additional issuance of awards of shares of common stock, and as of December 31, 2019, there were no shares of common stock available for grant under the ANR EIP.

As of December 31, 2019, the Company had four types of stock-based awards outstanding: time-based restricted stock, time-based restricted stock units, performance-based restricted stock units, and stock options. Stock-based compensation expense totaled \$12,397, \$13,354, and \$20,372 for the years ended December 31, 2019, 2018, and 2017, respectively. For the years ended December 31, 2019, 2018, and 2017, approximately 76%, 90%, and 94%, respectively, of stock-based compensation expense was reported as selling, general and administrative expenses, and the remainder was recorded as cost of coal sales.

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The Company is authorized to repurchase common shares from employees (upon the election by the employee) to satisfy the employees' statutory tax withholdings upon the vesting of stock grants. Shares that are repurchased to satisfy the employees' statutory tax withholdings are recorded in treasury stock at cost. During the year ended December 31, 2019, the Company repurchased 118,935 shares of its common stock issued pursuant to awards under the MIP, LTIP and ANR EIP for a total purchase amount of \$5,159, or \$43.37 average price paid per share. During the year ended December 31, 2018, the Company repurchased 76,648 shares of its common stock issued pursuant to awards under the MIP, LTIP and ANR EIP for a total purchase amount of \$5,240, or \$68.36 average price paid per share. The Company did not repurchase any common shares from employees to satisfy the employees' statutory tax withholdings upon vesting of stock grants during the year ended December 31, 2017. On September 15, 2017, the Company repurchased 309,310 shares of its common stock issued pursuant to awards under the MIP for a total purchase amount of \$17,445, or \$56.40 per share.

2019 Awards Granted

During the year ended December 31, 2019, the Company granted certain key employees and non-employee directors 79,474 time-based restricted stock units under the LTIP with a weighted average grant date fair value of \$49.47 based on the Company's closing stock price at the trading day before the date of the grant. The awards granted to key employees will either vest ratably over a three-year period or cliff vest in one year from date of grant in accordance with the vesting schedule, subject to the participant's continuous service with the Company through each applicable vesting date. The awards granted to non-employee directors will vest on the first to occur of (i) April 30, 2020, (ii) the director's separation from service due to the director's death or physical or mental incapacity to perform his or her usual duties, such condition likely to remain continuously and permanently, as determined by the Company, and (iii) a change in control. Upon vesting and settlement of time-based restricted stock units, the Company issues authorized and unissued shares of the Company's common stock to the recipient.

Additionally, during the year ended December 31, 2019, the Company granted certain key employees 81,065 relative total shareholder return performance-based restricted stock units under the LTIP that are valued relative to the median stock price performance of a comparator group and had a weighted average grant date fair value of \$65.70 based on a Monte Carlo simulation, and 27,042 absolute total shareholder return performance-based restricted stock units under the LTIP that are valued based on the Company's stock price performance with a weighted average grant date fair value of \$50.60 based on a Monte Carlo simulation. These awards cliff vest on the third anniversary of the date of the grant, subject to continued employment and the satisfaction of the performance criteria. These awards have the potential to be distributed from 0% to 400% of target for the relative total shareholder return units, and 0% to 200% of target for the absolute total shareholder return units depending on actual results versus the pre-established performance criteria over the three-year period. The Monte Carlo simulations incorporate the assumptions as presented in the following tables:

Relative performance-based restricted stock units		
Start price ⁽¹⁾	\$	66.06
Dividend adjusted stock price ⁽²⁾	\$	61.27
Expected volatility ⁽³⁾		29.98%
Risk-free interest rate ⁽⁴⁾		2.42%
Expected dividend yield ⁽⁵⁾		—%

- ⁽¹⁾ The start price for the Company represents the average closing stock price over the ten trading days ending on December 31, 2018, assuming dividends distributed during this period were reinvested in additional shares of the Company's stock on the ex-dividend date.
- ⁽²⁾ The dividend adjusted stock price represents the closing price on the grant date assuming dividends distributed during the period since December 17, 2018, were reinvested in additional shares of the Company's stock on the ex-dividend date.
- ⁽³⁾ The expected volatility assumption is based on the historical volatility of the price of the Company's stock.
- ⁽⁴⁾ The annual risk-free interest rate equals the yield on zero coupon U.S. Treasury Separate Trading of Registered Interest and Principal of Securities ("STRIPS") that have a term equal to the length of the remaining performance measurement period as of the valuation date.
- ⁽⁵⁾ The expected dividend yield represents the investments return to a share of the Company's stock that is not available to the holder of an absolute performance-based restricted stock unit.

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<i>Absolute performance-based restricted stock units</i>		
Valuation date stock price	\$	61.27
Expected volatility ⁽¹⁾		29.98%
Risk-free interest rate ⁽²⁾		2.42%
Expected dividend yield ⁽³⁾		—%

⁽¹⁾ The expected volatility assumption is based on the historical volatility of the price of the Company's stock.

⁽²⁾ The annual risk-free interest rate equals the yield on zero coupon U.S. Treasury STRIPS that have a term equal to the length of the remaining performance measurement period as of the valuation date.

⁽³⁾ The expected dividend yield represents the investments return to a share of the Company's stock that is not available to the holder of an absolute performance-based restricted stock unit.

2018 Awards Granted

During the year ended December 31, 2018, the Company granted certain key employees 18,063 time-based cash restricted stock units under the MIP with a weighted average grant date fair value of \$65.00 based on the Company's closing stock price at the date of grant. These awards vested on the first anniversary of the date of the grant. As of the grant date of the awards, the Company did not have sufficient authorized and unissued common shares to settle these awards and the awards were expected to be settled with cash, unless shares became available for issuance under the MIP on the applicable vesting date. Therefore, these awards were classified as a liability. On the applicable vesting date, shares were available for issuance and the awards vested as equity awards. The Company's liability for all outstanding liability awards totaled \$0 and \$1,058 as of December 31, 2019 and December 31, 2018, respectively.

Additionally, during the year ended December 31, 2018, the Company granted certain key employees and non-employee directors 180,156 time-based restricted stock units under the MIP and LTIP based on the Company's closing stock price at the trading day before the date of the grant for the key employee awards and the Company's closing stock price at the date of grant for the non-employee director awards. Additionally, during the year ended December 31, 2018, the Company assumed ANR EIP awards of 89,766 time-based restricted stock units granted to certain key employees based on the Company's stock price at the Merger date. These awards have a weighted average grant date fair value of \$74.73. The awards granted to key employees will vest ratably over a two-year period or a four-year period from date of grant in accordance with the vesting schedule, subject to the participant's continuous service with the Company through each applicable vesting date. The awards granted to non-employee directors will vest on the first to occur of (i) the day before the one-year anniversary of the date of grant, (ii) the director's separation from service (as defined in Section 409A) due to the directors' death or disability, (iii) a change in control, and (iv) the date immediately prior to an Initial Public Offering ("IPO"), contingent upon the consummation of the IPO, subject in each case to the director's continuous service with the Company through such date. Upon vesting and settlement of time-based restricted stock units, the Company issues authorized and unissued shares of the Company's common stock to the recipient.

2017 Awards Granted

During the year ended December 31, 2017, the Company granted 437,450 shares of restricted stock under the MIP with a weighted average grant date fair value of \$65.55 based on the Company's closing stock price at the date of grant. Additionally, during the year ended December 31, 2017, the Company granted 129,520 non-qualified stock options under the MIP to certain of its officers and key employees with a weighted average grant date fair value of \$37.44 with a 10-year expiration from the date of grant. These awards vest ratably over a three-year period or, in the event of a change in control, will fully vest, subject in each case to the recipient's continued employment through such date.

The non-qualified stock options have a grant date fair value based on a Black-Scholes pricing model. The Black-Scholes pricing model incorporates the assumptions as presented in the following table:

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Stock price	\$	65.50
Exercise price	\$	66.13
Expected term ⁽¹⁾		6.00
Annual risk-free interest rate ⁽²⁾		2.18%
Annualized volatility ⁽³⁾		60.9%

- (1) The expected term represents the period of time that awards granted are expected to be outstanding.
(2) The annual risk-free interest rate is based on the U.S. Constant Maturity Curve with a term equal to the award's expected term on date of grant.
(3) The annualized volatility is calculated by observing volatilities for comparable companies with adjustments for the Company's size and leverage.

Additionally, during the year ended December 31, 2017, the Company granted 5,504 time-based restricted stock units under the MIP to its non-employee directors with weighted average grant date fair value of \$73.37. Additionally, during the year ended December 31, 2017, the Company awarded certain of its non-employee directors 6,700 time-based cash restricted stock units under the MIP with a weighted grant date fair value of \$62.55. As of the grant date of the time-based cash restricted stock units, the Company did not have sufficient authorized and unissued common shares to settle these awards and the awards were expected to be settled with cash, unless shares became available for issuance under the MIP. Therefore, these awards were classified as a liability. On the applicable vesting date, shares were available for issuance and the awards vested as equity awards. The grant date fair value of both of these awards were based on the Company's closing stock price at the date of grant and will vest on the first to occur of (i) the stated anniversary of the date of grant, (ii) the director's separation from service (as defined in Section 409A of the Internal Revenue Code) due to the directors' death or disability, and (iii) a change in control, subject in each case to the director's continuous service with the Company through such date. Upon settlement of time-based restricted stock units, the Company issues authorized and unissued shares of the Company's common stock to the recipient.

In connection with the Company's declaration and payment of the Special Dividend and pursuant to the terms of the MIP, dividend equivalent payments of approximately \$7,949 in the aggregate (including the amounts payable with respect to each share underlying outstanding stock option awards and restricted stock unit awards and outstanding restricted stock awards under the MIP) were paid to plan participants. The dividend equivalent payments were made on July 11, 2017, which accelerated stock-based compensation expense by \$5,113 and reduced the Company's additional paid-in capital by \$7,949.

Restricted Stock

Restricted stock activity for the year ended December 31, 2019 is summarized in the following table:

	Number of Shares	Weighted-Average Grant Date Fair Value
Non-vested shares outstanding at December 31, 2018	264,799	\$ 65.55
Granted	—	\$ —
Vested	(161,468)	\$ 65.55
Forfeited or Expired	(79,733)	\$ 65.55
Non-vested shares outstanding at December 31, 2019	<u>23,598</u>	<u>\$ 65.55</u>

As of December 31, 2019, there was \$81 of unrecognized compensation cost related to non-vested time-based restricted stock units which is expected to be recognized as expense during the first quarter of 2020.

Restricted Stock Units

Time-Based Restricted Stock Units

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Time-based restricted stock unit activity for the year ended December 31, 2019 is summarized in the following table:

	Number of Shares	Weighted-Average Grant Date Fair Value
Non-vested shares outstanding at December 31, 2018	251,875	\$ 74.71
Granted	79,474	\$ 49.47
Vested ⁽¹⁾	(121,251)	\$ 72.59
Forfeited or Expired	(52,016)	\$ 71.09
Non-vested shares outstanding at December 31, 2019	<u>158,082</u>	<u>\$ 64.84</u>

⁽¹⁾ Includes 3,274 shares with deferred settlement pursuant to the award agreement.

As of December 31, 2019, there was \$3,687 of unrecognized compensation cost related to non-vested time-based restricted stock units which is expected to be recognized as expense over a weighted-average period of 1.27 years.

Time-based cash restricted stock unit activity for the year ended December 31, 2019 is summarized in the following table:

	Number of Shares	Weighted-Average Fair Value ⁽¹⁾
Non-vested shares outstanding at December 31, 2018	18,063	\$ 65.74
Granted	—	\$ —
Vested ⁽¹⁾	(18,063)	\$ 61.27
Forfeited or Expired	—	\$ —
Non-vested shares outstanding at December 31, 2019	<u>—</u>	<u>\$ —</u>

⁽¹⁾ Pursuant to the award agreement, shares were available for issuance on the applicable vesting date and these shares were ultimately settled in equity.

As of December 31, 2019, there was \$0 of unrecognized compensation cost related to non-vested time-based cash restricted stock units.

Performance-Based Restricted Stock Units

Relative performance-based restricted stock unit activity for the year ended December 31, 2019 is summarized in the following table:

	Number of Shares	Weighted-Average Fair Value
Non-vested shares outstanding at December 31, 2018	—	\$ —
Granted	81,065	\$ 65.70
Vested ⁽¹⁾	(22,322)	\$ 65.70
Forfeited or Expired	(27,144)	\$ 65.70
Non-vested shares outstanding at December 31, 2019 ⁽¹⁾	<u>31,599</u>	<u>\$ 65.70</u>

⁽¹⁾ Includes 22,322 of vested shares due to the employment criteria being satisfied during the period. Until the performance criteria is satisfied, these shares will remain unsettled.

As of December 31, 2019, there was \$1,459 of unrecognized compensation cost related to non-vested performance-based restricted stock units which is expected to be recognized as expense over a weighted-average period of 2.11 years.

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Absolute performance-based restricted stock unit activity for the year ended December 31, 2019 is summarized in the following table:

	Number of Shares	Weighted-Average Fair Value
Non-vested shares outstanding at December 31, 2018	—	\$ —
Granted	27,042	\$ 50.60
Vested ⁽¹⁾	(7,443)	\$ 50.60
Forfeited or Expired	(9,050)	\$ 50.60
Non-vested shares outstanding at December 31, 2019 ⁽¹⁾	<u>10,549</u>	<u>\$ 50.60</u>

⁽¹⁾ Includes 7,443 of vested shares due to the employment criteria being satisfied during the period. Until the performance criteria is satisfied, these shares will remain unsettled.

As of December 31, 2019, there was \$375 of unrecognized compensation cost related to non-vested performance-based restricted stock units which is expected to be recognized as expense over a weighted-average period of 2.11 years.

Stock Options

Fixed Price Stock Options

Fixed price option activity for the year ended December 31, 2019 is summarized in the following table:

	Number of Shares	Weighted-Average Exercise Price Per Share	Weighted-Average Remaining Contractual Term (Years)	Aggregate Intrinsic Value ⁽¹⁾
Outstanding at December 31, 2018	126,128	\$ 2.50	7.57	\$ 7,976
Exercisable at December 31, 2018	126,128	\$ 2.50	7.57	\$ 7,976
Granted	—	\$ —		
Exercised	(126,128)	\$ 2.50		\$ 6,879
Forfeited or Expired	—	\$ —		
Outstanding at December 31, 2019	—	\$ —	—	\$ —
Exercisable at December 31, 2019	—	\$ —	—	\$ —

⁽¹⁾ The aggregate intrinsic value of outstanding and exercisable options is calculated as the difference between the exercise price and the Company's stock price at each reporting period end. The aggregate intrinsic value of exercised options is calculated as the difference between the exercise price and the Company's stock price on the exercise date. During the year ended December 31, 2018, the aggregate intrinsic value of options exercised was \$1,214. No options were exercised during the year ended December 31, 2017.

As of December 31, 2019, there was no unrecognized compensation cost related to the fixed price stock options.

30-Day Volume-Weighted Average Price ("VWAP") Stock Options

30-day VWAP stock option activity for the year ended December 31, 2019 is summarized in the following table:

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	Number of Shares	Weighted-Average Exercise Price Per Share	Weighted-Average Remaining Contractual Term (Years)	Aggregate Intrinsic Value ⁽¹⁾
Outstanding at December 31, 2018	255,648	\$ 35.97	7.88	\$ 7,611
Exercisable at December 31, 2018	177,152	\$ 22.61	7.74	\$ 7,641
Granted	—	\$ —		
Exercised	(123,876)	\$ 5.00		\$ 6,305
Forfeited or Expired	(80,413)	\$ 66.13		
Outstanding at December 31, 2019	51,359	\$ 63.45	7.15	\$ (2,794)
Exercisable at December 31, 2019	44,356	\$ 63.03	7.15	\$ (2,394)

⁽¹⁾ The aggregate intrinsic value of outstanding and exercisable options is calculated as the difference between the exercise price and the Company's stock price at each reporting period end. The aggregate intrinsic value of exercised options is calculated as the difference between the exercise price and the Company's stock price on the exercise date. During the year ended December 31, 2018, the aggregate intrinsic value of options exercised was \$1,169. No options were exercised during the year ended December 31, 2017.

As of December 31, 2019, there was \$12 of unrecognized compensation cost related to the 30-day VWAP stock options which is expected to be recognized as expense during the first quarter of 2020.

(22) Related Party Transactions

On June 14, 2019, the Company entered into a Credit Agreement which provides for the Term Loan Credit Facility as provided by a group of existing shareholders as of the agreement date. Refer to Note 15 for additional disclosures.

On July 19, 2019, in connection with Blackjewel's bankruptcy filing, the U.S. Bankruptcy Court approved debtor-in-possession ("DIP") financing of \$2,900 with DIP lenders, Highbridge Capital Management, LLC and Whitebox Advisors LLC, which are existing shareholders of the Company. The Company entered into an arrangement on July 19, 2019 to purchase the obligations under the DIP financing at the request of the lenders thereunder pursuant to certain terms and conditions. Refer to Note 4 for further developments.

On September 12, 2019, the Company entered into a common stock repurchase agreement with Whitebox Multi-Strategy Partners, L.P., Whitebox Asymmetric Partners, L.P., Whitebox Credit Partners, L.P. and Whitebox Institutional Partners, L.P., which are existing shareholders of the Company. Refer to Note 13 for additional disclosures.

There were no other material related party transactions for the years ended December 31, 2019, 2018 or 2017.

(23) Commitments and Contingencies

(a) General

Estimated losses from loss contingencies are accrued by a charge to income when information available indicates that it is probable that an asset has been impaired or a liability has been incurred and the amount of the loss can be reasonably estimated.

If a loss contingency is not probable or reasonably estimable, disclosure of the loss contingency is made in the Consolidated Financial Statements when it is at least reasonably possible that a loss may be incurred and that the loss could be material.

(b) Commitments and Contingencies

Commitments

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The Company leases coal mining and other equipment under long-term financing and operating leases with varying terms. Refer to Note 12 for further information on leases. In addition, the Company leases mineral interests and surface rights from land-owners under various terms and royalty rates.

Coal royalty expense was \$91,994, \$34,485, and \$21,707 for the years ended December 31, 2019, 2018, and 2017, respectively.

Minimum royalty obligations under coal leases total \$14,692, \$13,762, \$11,866, \$10,846, \$8,692, and \$34,274 for 2020, 2021, 2022, 2023, 2024, and after 2024, respectively.

Other Commitments

The Company has obligations under certain coal purchase agreements that contain minimum quantities to be purchased in 2020 totaling an estimated \$47,865, which includes an estimated \$3,677 related to contractually committed variable priced tons from vendors with historical performance resulting in less than 20% of the committed tonnage being delivered. The Company has obligations under certain coal transportation agreements that contain minimum quantities to be shipped in 2020 totaling \$6,582. The Company also has obligations under certain equipment purchase agreements that contain minimum quantities to be purchased in 2020 and 2022 totaling \$19,283 and \$279, respectively.

Contingencies

Extensive regulation of the impacts of mining on the environment and of maintaining workplace safety has had and is expected to continue to have a significant effect on the Company's costs of production and results of operations. Further regulations, legislation or litigation in these areas may also cause the Company's sales or profitability to decline by increasing costs or by hindering the Company's ability to continue mining at existing operations or to permit new operations.

During the normal course of business, contract-related matters arise between the Company and its customers. When a loss related to such matters is considered probable and can reasonably be estimated, the Company records a liability.

Per terms of the Back-to-Back Coal Supply Agreements, the Company is required to purchase and sell 1,337 tons of coal in 2020 totaling \$13,878. For the year ended December 31, 2019, the Company purchased and sold 929 tons, totaling \$9,941 under the Back-to-Back Coal Supply Agreements. For the year ended December 31, 2018, the Company purchased and sold 5,719 tons, totaling \$62,093 under the Back-to-Back Coal Supply Agreements. For the year ended December 31, 2017, the Company purchased and sold 2,000 tons, totaling \$21,707 under the Back-to-Back Coal Supply Agreements.

In October 2018, the State of Wyoming Department of Revenue invoiced Blackjewel for approximately \$7,800 in severance taxes owed by Blackjewel in connection with the Wyoming properties it previously acquired from the Company. In connection with this invoice, the Department purported to assert liens over Contura Coal West, LLC, one of the Company's subsidiaries. In connection with Blackjewel's bankruptcy filing and the subsequent closing of the Eagle Specialty Materials Transaction (refer to Note 4), the State of Wyoming Department of Revenue also released the Company of any outstanding claims related to state tax obligations arising from or related to the Belle Ayr and Eagle Butte mines for any period through and including the closing date of the transaction.

Refer to Note 27 for the subsequent event related to the new authorization process for self-insured coal mine operators being implemented by the U.S. Department of Labor (Division of Coal Mine Workers' Compensation).

Future Federal Income Tax Refunds

As of December 31, 2019, the Company has recorded \$33,065 of federal income tax receivable and \$33,065 of federal deferred tax asset related to AMT Credits. In addition, the Company has recorded a non-current federal income tax receivable of \$64,160 related to an NOL carryback claim. Because the federal government was a creditor in the Alpha Natural Resources, Inc. ("Predecessor Alpha") bankruptcy proceedings, it is possible that the federal government could withhold some or all of the tax refund attributable to the NOL carryback claim and the refundable AMT Credits and assert a right to setoff the tax refund and refundable credits against its prepetition bankruptcy claims.

(c) Guarantees and Financial Instruments with Off-Balance Sheet Risk

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In the normal course of business, the Company is a party to certain guarantees and financial instruments with off-balance sheet risk, such as bank letters of credit, performance or surety bonds, and other guarantees and indemnities related to the obligations of affiliated entities which are not reflected in the Company's Consolidated Balance Sheets. However, the underlying liabilities that they secure, such as asset retirement obligations, workers' compensation liabilities, and royalty obligations, are reflected in the Company's Consolidated Balance Sheets.

The Company is required to provide financial assurance in order to perform the post-mining reclamation required by its mining permits, pay its federal production royalties, pay workers' compensation claims under workers' compensation laws in various states, pay federal black lung benefits, and perform certain other obligations. In order to provide the required financial assurance, the Company generally uses surety bonds for post-mining reclamation and workers' compensation obligations. The Company can also use bank letters of credit to collateralize certain obligations.

As of December 31, 2019, the Company had outstanding surety bonds with a total face amount of \$343,695 to secure various obligations and commitments. To secure the Company's reclamation-related obligations, the Company currently has \$95,542 of collateral supporting these obligations.

Amounts included in restricted cash represent cash deposits that are restricted as to withdrawal as required by certain agreements entered into by the Company and provide collateral in the amounts of \$38,944, \$12,706, \$67,868, and \$3,006 as of December 31, 2019 for securing the Company's obligations under certain worker's compensation, black lung, reclamation-related obligations, and financial guarantees and other, respectively, which have been written on the Company's behalf. Additionally, the Company has \$12,363 of short-term restricted cash held in escrow related to the Company's contingent revenue obligation. Refer to Note 16 for further information regarding the contingent revenue obligation. The Company's restricted cash is primarily invested in interest bearing accounts. This restricted cash is classified as both short-term and long-term on the Company's Consolidated Balance Sheets.

Amounts included in restricted investments consist of certificates of deposit, mutual funds, and U.S. treasury bills that are restricted as to withdrawal as required by certain agreements entered into by the Company and provide collateral in the amounts of \$3,100 and \$18,786 as of December 31, 2019 for securing the Company's obligations under certain worker's compensation and reclamation-related obligations, respectively, which have been written on the Company's behalf. These restricted investments are classified as long-term on the Company's Consolidated Balance Sheets.

Deposits represent cash deposits held at third parties as required by certain agreements entered into by the Company to provide cash collateral. At December 31, 2019, the Company had cash collateral in the form of deposits in the amounts of \$8,887 and \$1,836 to secure the Company's obligations under reclamation-related obligations and various other operating agreements, respectively. These deposits are classified as both short-term and long-term on the Company's Consolidated Balance Sheets.

The Company meets frequently with its surety providers and has discussions with certain providers regarding the extent of and the terms of their participation in the program. These discussions may cause the Company to shift surety bonds between providers or to alter the terms of their participation in our program. To the extent that surety bonds become unavailable or the Company's surety bond providers require additional collateral, the Company would seek to secure its obligations with letters of credit, cash deposits or other suitable forms of collateral. The Company's failure to maintain, or inability to acquire, surety bonds or to provide a suitable alternative would have a material adverse effect on its liquidity. These failures could result from a variety of factors including lack of availability, higher cost or unfavorable market terms of new surety bonds, and the exercise by third-party surety bond issuers of their right to refuse to renew the surety.

Letters of Credit

As of December 31, 2019, the Company had \$99,876 in letters of credit outstanding under the Amended and Restated Asset-Based Revolving Credit Agreement. Additionally, as of December 31, 2019, the Company had \$33,399 in letters of credit outstanding under the Amended and Restated Letter of Credit Agreement dated November 9, 2018 between ANR, Inc. and Citibank, N.A. and \$613 in letters of credit outstanding under the Credit and Security Agreement dated June 30, 2017, and related amendments, between ANR, Inc. and First Tennessee Bank National Association.

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(d) Legal Proceedings

The Company is party to legal proceedings from time to time. These proceedings, as well as governmental examinations, could involve various business units and a variety of claims including, but not limited to, contract disputes, personal injury claims, property damage claims (including those resulting from blasting, trucking and flooding), environmental and safety issues, securities-related matters and employment matters. While some legal matters may specify the damages claimed by the plaintiffs, many seek an unquantified amount of damages. Even when the amount of damages claimed against the Company or its subsidiaries is stated, (i) the claimed amount may be exaggerated or unsupported; (ii) the claim may be based on a novel legal theory or involve a large number of parties; (iii) there may be uncertainty as to the likelihood of a class being certified or the ultimate size of the class; (iv) there may be uncertainty as to the outcome of pending appeals or motions; and/or (v) there may be significant factual issues to be resolved. As a result, if such legal matters arise in the future, the Company may be unable to estimate a range of possible loss for matters that have not yet progressed sufficiently through discovery and development of important factual information and legal issues. The Company records accruals based on an estimate of the ultimate outcome of these matters, but these estimates can be difficult to determine and involve significant judgment.

(24) Concentration of Credit Risk and Major Customers

The Company markets its coal principally to electric utilities in the United States and international and domestic steel producers. Credit is extended based on an evaluation of the customer's financial condition and collateral is generally not required. Credit losses are provided for in the Financial Statements and were minimal for the years ended December 31, 2019, 2018 and 2017.

Top customers as a percentage of total revenue and met and thermal coal as % of coal sales volume were as follows:

	Year Ended December 31,		
	2019	2018	2017
Total revenue	\$ 2,290,260	\$ 2,031,205	\$ 1,649,969
Top customer as % of total revenue ⁽¹⁾	12%	17%	15%
Top 10 customers as % of total revenue ⁽²⁾	56%	60%	65%
Met coal as % of coal sales volume	55%	63%	57%
Thermal coal as % of coal sales volume	45%	37%	43%

⁽¹⁾ Revenues from the top customer are included in the CAPP - Met, CAPP - Thermal, and NAPP segments for the year ended December 31, 2019, the CAPP - Met and NAPP segments for the year ended December 31, 2018, and the CAPP - Met segment for the year ended December 31, 2017.

⁽²⁾ In addition to the top customer, the Company had another customer with total revenues of 10% of total revenues included in the CAPP - Met and CAPP - Thermal segments for the year ended December 31, 2019 and another customer with total revenues of 13% of total revenues included in the CAPP - Met and NAPP segments for the year ended December 31, 2018.

Additionally, one of the Company's customers had an outstanding balance in excess of 10% of the total accounts receivable balance as of December 31, 2019, and two of the Company's customers had outstanding balances each in excess of 10% of the total accounts receivable balance as of December 31, 2018.

The Company sold 2,327 tons of coal purchased from third parties, excluding tons sold related to the Back-to-Back Coal Supply Agreements, for the year ended December 31, 2019, representing approximately 10% of total coal sales volume during such period. The Company sold 5,968 tons of coal purchased from third parties, excluding tons sold related to the Back-to-Back Coal Supply Agreements, for the year ended December 31, 2018, representing approximately 34% of total coal sales volume during such period. The Company purchased 3,993 tons of this coal from Alpha during the year ended December 31, 2018. The Company sold 4,998 tons of coal purchased from third parties for the year ended December 31, 2017, excluding tons sold related to the Back-to-Back Coal Supply Agreements, representing approximately 32% of total coal sales volume during such period. The Company purchased 4,189 tons of this coal from Alpha during the year ended December 31, 2017.

(25) Segment Information

The Company extracts, processes and markets met and thermal coal from surface and deep mines for sale to steel and coke producers, industrial customers, and electric utilities. The Company conducts mining operations only in the United States with

CONTURA ENERGY, INC. AND SUBSIDIARIES
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mines in Central and Northern Appalachia. As of December 31, 2019, the Company has three reportable segments: CAPP - Met, CAPP - Thermal, and NAPP. CAPP - Met consists of seven active mines and two preparation plants in Virginia, sixteen active mines and five preparation plants in West Virginia, as well as expenses associated with certain idled/closed mines. CAPP - Thermal consists of five active mines and two preparation plants in West Virginia, as well as expenses associated with certain idled/closed mines. NAPP consists of one active mine in Pennsylvania and one preparation plant, as well as expenses associated with one closed mine. Prior to the third quarter of 2019, the Company had four reportable segments: CAPP - Met, CAPP - Thermal, NAPP, and Trading and Logistics. As a result of the changes in key operating personnel during the third quarter of 2019 including changes to the Company's Chief Operating Decision Maker ("CODM"), the Company was required to re-evaluate its previous conclusions with respect to its segment reporting during the period. To conform to the current period reportable segments presentation, the prior periods have been restated to reflect the change in reportable segments. Prior to the Merger, the Company had three reportable segments: CAPP, NAPP, and Trading and Logistics.

In addition to the three reportable segments, the All Other category includes general corporate overhead and corporate assets and liabilities, idled and closed mine costs, and the elimination of certain intercompany activity.

The operating results of these reportable segments are regularly reviewed by the "CODM," who is the Chief Executive Officer of the Company.

Segment operating results and capital expenditures from continuing operations for the year ended December 31, 2019 were as follows:

	Year Ended December 31, 2019				
	CAPP - Met	CAPP - Thermal	NAPP	All Other	Consolidated
Total revenues	\$ 1,711,252	\$ 286,486	\$ 288,988	\$ 3,534	\$ 2,290,260
Depreciation, depletion, and amortization	\$ 153,006	\$ 57,483	\$ 12,864	\$ 5,439	\$ 228,792
Amortization of acquired intangibles, net	\$ 10,389	\$ (13,578)	\$ 3,101	\$ —	\$ (88)
Adjusted EBITDA	\$ 316,324	\$ 11,981	\$ 31,185	\$ (63,883)	\$ 295,607
Capital expenditures	\$ 140,250	\$ 17,545	\$ 31,964	\$ 2,652	\$ 192,411

Segment operating results and capital expenditures from continuing operations for the year ended December 31, 2018 were as follows:

	Year Ended December 31, 2018				
	CAPP - Met	CAPP - Thermal	NAPP	All Other	Consolidated
Total revenues	\$ 1,671,219	\$ 39,650	\$ 317,039	\$ 3,297	\$ 2,031,205
Depreciation, depletion, and amortization	\$ 40,330	\$ 10,596	\$ 23,273	\$ 3,350	\$ 77,549
Amortization of acquired intangibles, net	\$ (12,334)	\$ (7,516)	\$ 14,458	\$ —	\$ (5,392)
Adjusted EBITDA	\$ 335,135	\$ (875)	\$ 44,368	\$ (43,552)	\$ 335,076
Capital expenditures	\$ 39,634	\$ 1,280	\$ 40,635	\$ 332	\$ 81,881

Segment operating results and capital expenditures from continuing operations for the year ended December 31, 2017 were as follows:

	Year Ended December 31, 2017				
	CAPP - Met	CAPP - Thermal	NAPP	All Other	Consolidated
Total revenues	\$ 1,329,734	\$ —	\$ 319,400	\$ 835	\$ 1,649,969
Depreciation, depletion, and amortization	\$ 18,941	\$ —	\$ 15,087	\$ 882	\$ 34,910
Amortization of acquired intangibles, net	\$ 34,737	\$ —	\$ 24,270	\$ —	\$ 59,007
Adjusted EBITDA	\$ 264,314	\$ —	\$ 54,433	\$ (40,281)	\$ 278,466
Capital expenditures	\$ 20,494	\$ —	\$ 51,007	\$ 1,200	\$ 72,701

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The following table presents a reconciliation of net income (loss) from continuing operations to Adjusted EBITDA for the year ended December 31, 2019:

	Year Ended December 31, 2019				
	CAPP - Met	CAPP - Thermal	NAPP	All Other	Consolidated
Net income (loss) from continuing operations	\$ 8,224	\$ (97,398)	\$ 11,926	\$ (125,894)	\$ (203,142)
Interest expense	(1,209)	23	(723)	68,707	66,798
Interest income	(100)	—	(49)	(7,147)	(7,296)
Income tax benefit	—	—	—	(57,557)	(57,557)
Depreciation, depletion and amortization	153,006	57,483	12,864	5,439	228,792
Merger-related costs	—	—	—	1,090	1,090
Non-cash stock compensation expense	1,494	71	—	10,783	12,348
Mark-to-market adjustment - acquisition-related obligations	—	—	—	(3,564)	(3,564)
Accretion on asset retirement obligations	9,466	10,929	4,066	3,337	27,798
Loss on modification and extinguishment of debt	—	—	—	26,459	26,459
Asset impairment ⁽¹⁾	15,034	50,993	—	297	66,324
Goodwill impairment ⁽²⁾	124,353	—	—	—	124,353
Cost impact of coal inventory fair value adjustment ⁽³⁾	4,751	3,458	—	—	8,209
Gain on assets acquired in an exchange transaction ⁽⁴⁾	(9,083)	—	—	—	(9,083)
Management restructuring costs ⁽⁵⁾	—	—	—	7,720	7,720
Loss on partial settlement of benefit obligations	(1)	—	—	6,447	6,446
Amortization of acquired intangibles, net	10,389	(13,578)	3,101	—	(88)
Adjusted EBITDA	\$ 316,324	\$ 11,981	\$ 31,185	\$ (63,883)	\$ 295,607

⁽¹⁾ Asset impairment for the year ended December 31, 2019 includes a long-lived asset impairment of \$60,169 related to asset groups recorded within the CAPP - Met and CAPP - Thermal reporting segments and an asset impairment of \$6,155 primarily related to the write-off of prepaid purchased coal as a result of Blackjewel's Chapter 11 bankruptcy filing on July 1, 2019. Refer to Note 2 and Note 4 for further information.

⁽²⁾ The goodwill impairment testing as of December 31, 2019 resulted in a goodwill impairment of \$124,353 to write down the full carrying value of goodwill. Refer to Note 2 for further information.

⁽³⁾ The cost impact of the coal inventory fair value adjustment as a result of the Alpha Merger was completed during the three months ended June 30, 2019.

⁽⁴⁾ During the year ended December 31, 2019, the Company entered into an exchange transaction which primarily included the release of the PRB overriding royalty interest owed to the Company in exchange for met coal reserves which resulted in a gain of \$9,083.

⁽⁵⁾ Management restructuring costs are related to severance expense associated with senior management changes in the year ended December 31, 2019.

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The following table presents a reconciliation of net income (loss) from continuing operations to Adjusted EBITDA for the year ended December 31, 2018:

	Year Ended December 31, 2018				
	CAPP - Met	CAPP - Thermal	NAPP	All Other	Consolidated
Net income (loss) from continuing operations	\$ 306,898	\$ (10,796)	\$ 4,193	\$ 2,559	\$ 302,854
Interest expense	260	1	(1,286)	39,835	38,810
Interest income	(40)	—	(34)	(1,875)	(1,949)
Income tax benefit	—	—	—	(165,363)	(165,363)
Depreciation, depletion and amortization	40,330	10,596	23,273	3,350	77,549
Merger-related costs	22	1	—	51,777	51,800
Management restructuring costs ⁽¹⁾	—	—	—	2,659	2,659
Non-cash stock compensation expense	408	24	—	11,546	11,978
Mark-to-market adjustment - acquisition-related obligations	—	—	—	24	24
Gain on settlement of acquisition-related obligations	—	—	—	(580)	(580)
Gain on sale of disposal group ⁽²⁾	(16,386)	—	—	—	(16,386)
Accretion on asset retirement obligations	4,430	1,298	3,764	474	9,966
Loss on modification and extinguishment of debt	—	—	—	12,042	12,042
Cost impact of coal inventory fair value adjustment ⁽³⁾	11,547	5,517	—	—	17,064
Amortization of acquired intangibles, net	(12,334)	(7,516)	14,458	—	(5,392)
Adjusted EBITDA	\$ 335,135	\$ (875)	\$ 44,368	\$ (43,552)	\$ 335,076

⁽¹⁾ Management restructuring costs are related to severance expense associated with senior management changes in the year ended December 31, 2018.

⁽²⁾ The Company recorded a gain on disposal of assets of \$16,386 within other (income) expense within the Consolidated Statements of Operations.

⁽³⁾ The cost impact of the coal inventory fair value adjustment as a result of the Alpha Merger was completed during the three months ended June 30, 2019.

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The following table presents a reconciliation of net income (loss) from continuing operations to Adjusted EBITDA for the year ended December 31, 2017:

	Year Ended December 31, 2017				
	CAPP - Met	CAPP - Thermal	NAPP	All Other	Consolidated
Net income (loss) from continuing operations	\$ 204,213	\$ —	\$ 12,334	\$ (42,812)	\$ 173,735
Interest expense	(90)	—	(1,505)	37,572	35,977
Interest income	(22)	—	(1)	(187)	(210)
Income tax benefit	—	—	—	(67,979)	(67,979)
Depreciation, depletion and amortization	18,941	—	15,087	882	34,910
Non-cash stock compensation expense	650	—	—	19,559	20,209
Mark-to-market adjustment - acquisition-related obligations	—	—	—	3,221	3,221
Gain on settlement of acquisition-related obligations	—	—	—	(38,886)	(38,886)
Secondary offering costs	—	—	—	4,491	4,491
Loss on modification and extinguishment of debt	—	—	—	38,701	38,701
Bargain purchase gain	—	—	—	(1,011)	(1,011)
Accretion on asset retirement obligations	5,770	—	4,164	—	9,934
Amortization of acquired intangibles, net	34,737	—	24,270	—	59,007
Expenses related to the dividend	115	—	84	6,168	6,367
Adjusted EBITDA	\$ 264,314	\$ —	\$ 54,433	\$ (40,281)	\$ 278,466

No asset information has been provided for these reportable segments as the CODM does not regularly review asset information by reportable segment.

The Company markets produced, processed and purchased coal to customers in the United States and in international markets, primarily India, Brazil, Turkey, the Netherlands, and France. Export coal revenues were the following:

	Year Ended December 31,		
	2019	2018	2017
Total coal revenues ⁽¹⁾	\$ 2,282,007	\$ 2,020,889	\$ 1,639,883
Export coal revenues ^{(1) (2)}	\$ 1,247,614	\$ 1,671,646	\$ 1,265,320
Export coal revenues as % of total coal revenues ⁽¹⁾	55%	83%	77%

⁽¹⁾ Amounts include freight and handling revenues.

⁽²⁾ The amounts for the year ended December 31, 2019 include \$288,344 of export coal revenues from external customers in India, recorded within the CAPP - Met, CAPP - Thermal, and NAPP segments. The amounts for the year ended December 31, 2018 include \$420,919 and \$285,120 of export coal revenues from external customers in India and Brazil, respectively, recorded within the CAPP - Met, CAPP - Thermal, and NAPP segments. The amounts for the year ended December 31, 2017 include \$356,673 of export coal revenues, including freight and handling revenues, from external customers in India, recorded within the CAPP - Met and NAPP segments. Revenue is tracked within the Company's accounting records based on the product destination.

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(26) Quarterly Financial Information (Unaudited)

	Year Ended December 31, 2019			
	First Quarter ⁽¹⁾	Second Quarter ⁽²⁾	Third Quarter ⁽²⁾	Fourth Quarter ⁽³⁾
Total revenues	\$ 609,114	\$ 656,206	\$ 525,864	\$ 499,076
Net income (loss) from continuing operations	\$ 7,990	\$ 24,300	\$ (43,561)	\$ (191,871)
Net (loss) income from discontinued operations	(1,175)	(137,961)	(24,971)	50,930
Net income (loss)	\$ 6,815	\$ (113,661)	\$ (68,532)	\$ (140,941)
Weighted average shares - basic	18,894,315	19,123,705	19,025,462	18,195,651
Weighted average shares - diluted	19,538,629	19,420,471	19,025,462	18,195,651
Basic income (loss) per share:				
Income (loss) from continuing operations	\$ 0.42	\$ 1.27	\$ (2.29)	\$ (10.54)
(Loss) income from discontinued operations	(0.06)	(7.21)	(1.31)	2.79
Net income (loss)	\$ 0.36	\$ (5.94)	\$ (3.60)	\$ (7.75)
Diluted income (loss) per share:				
Income (loss) from continuing operations	\$ 0.41	\$ 1.25	\$ (2.29)	\$ (10.54)
(Loss) income from discontinued operations	(0.06)	(7.10)	(1.31)	2.79
Net income (loss)	\$ 0.35	\$ (5.85)	\$ (3.60)	\$ (7.75)

⁽¹⁾ Net income from continuing operations in the first quarter of 2019 includes a gain on assets acquired in an exchange transaction of \$9,083 within other income within the Company's Statements of Operations. Refer to Note 25.

⁽²⁾ Net income from continuing operations in the second quarter and third quarter of 2019 include asset impairment of \$5,826 and \$32, respectively. Refer to Note 2. Net income from continuing operations in the second quarter of 2019 includes a loss on modification and extinguishment of debt of \$26,459. Refer to Note 15.

⁽³⁾ Net loss from continuing operations in the fourth quarter of 2019 includes asset impairment of \$60,466 and goodwill impairment of \$124,353. Refer to Note 2.

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	Year Ended December 31, 2018			
	First Quarter	Second Quarter ⁽²⁾	Third Quarter	Fourth Quarter ⁽³⁾
Total revenues	\$ 482,332	\$ 528,918	\$ 447,871	\$ 572,084
Net income from continuing operations ⁽¹⁾	\$ 58,300	\$ 74,642	\$ 14,011	\$ 155,901
Net (loss) income from discontinued operations	(1,359)	(854)	(2,117)	641
Net income	\$ 56,941	\$ 73,788	\$ 11,894	\$ 156,542
Weighted average shares - basic	9,548,613	9,625,874	9,633,164	15,014,994
Weighted average shares - diluted	10,292,607	10,306,043	10,384,513	15,822,037
Basic income (loss) per share:				
Income from continuing operations	\$ 6.11	\$ 7.75	\$ 1.45	\$ 10.38
(Loss) income from discontinued operations	(0.15)	(0.08)	(0.22)	0.04
Net income	\$ 5.96	\$ 7.67	\$ 1.23	\$ 10.42
Diluted (loss) income per share:				
Income from continuing operations	\$ 5.66	\$ 7.24	\$ 1.35	\$ 9.85
(Loss) income from discontinued operations	(0.13)	(0.08)	(0.20)	0.04
Net income	\$ 5.53	\$ 7.16	\$ 1.15	\$ 9.89

⁽¹⁾ Net income from continuing operations includes merger-related costs of \$460, \$3,423, \$1,181, and \$46,736 for each of the four quarters of 2018, respectively.

⁽²⁾ Net income from continuing operations in the second quarter of 2018 includes a gain on sale of a disposal group of (\$16,386) within other (income) expense within the Company's Statements of Operations. Refer to Note 2 for further information.

⁽³⁾ Net income from continuing operations in the fourth quarter of 2018 includes an income tax benefit of \$165,496. Refer to Note 19 for further information. Additionally, net income from continuing operations in the fourth quarter of 2018 included a loss on modification and extinguishment of debt of (\$12,042). Refer to Note 15 for further information.

(27) Subsequent Events

In July 2019, the U.S. Department of Labor (Division of Coal Mine Workers' Compensation or "DCMWC") began implementing a new authorization process for all self-insured coal mine operators. As requested by the DCMWC, the Company filed in October 2019 an application and supporting documentation for reauthorization to self-insure certain of its black lung obligations. As a result of this application, the DCMWC notified the Company in a letter dated February 21, 2020 and received on February 24, 2020, that the Company was reauthorized to self-insure certain of its black lung obligations for a period of one-year from February 21, 2020. The DCMWC reauthorization is contingent, however, upon the Company's providing collateral of \$65,700 to secure certain of its black lung obligations. This proposed collateral requirement is an increase from the approximate \$2,600 in collateral that the Company currently provides to secure these self-insured black lung obligations. The reauthorization process provided the Company with the right to appeal the security determination in writing within 30 days of the date of the notification, which appeal period the DCMWC has agreed to extend to April 22, 2020. The Company plans to exercise this right of appeal in connection with the substantial increase in the amount of required collateral. If the Company's appeal is unsuccessful, the Company may be required to provide additional letters of credit to receive the self-insurance reauthorization from the DCMWC or alternatively insure these black lung obligations through a third party provider that would likely also require the Company to provide collateral. Either of these outcomes could potentially reduce the Company's liquidity.

Item 9. Changes in and Disagreements with Accountants on Accounting and Financial Disclosure

None.

Item 9A. Controls and Procedures

Evaluation of Disclosure Controls and Procedures

We maintain disclosure controls and procedures as that term is defined in Rules 13a-15(e) and 15d-15(e) under the Securities Exchange Act of 1934, as amended (the “Exchange Act”) that are designed to ensure that information required to be disclosed by the Company in reports that it files or submits under the Exchange Act, is recorded, processed, summarized and reported within the time periods specified in the SEC’s rules and forms, and that such information is accumulated and communicated to our management, including our Chief Executive Officer (“CEO”) and our Chief Financial Officer (“CFO”), as appropriate, to allow timely decisions regarding required disclosures. Any controls and procedures, no matter how well designed and operated, can provide only reasonable assurance of achieving the desired control objectives. In accordance with Rule 13a-15(b) of the Exchange Act, we have evaluated, under the supervision of our CEO and our CFO, the effectiveness of disclosure controls and procedures as of December 31, 2019. Based on this evaluation, due to the material weaknesses identified below, our CEO and our CFO concluded that our disclosure controls and procedures were ineffective as of December 31, 2019.

Management’s Report on Internal Control Over Financial Reporting

Management is responsible for maintaining and establishing adequate internal control over financial reporting. An evaluation of the effectiveness of the design and operation of our internal control over financial reporting, as defined in Rules 13a-15(f) and 15d-15(f) under the Exchange Act, as of the end of the period covered by this report was performed under the supervision and with the participation of management, including our CEO and CFO under the oversight of the audit committee of the board of directors. This evaluation is performed to determine if our internal controls over financial reporting provide reasonable assurance regarding the reliability of financial reporting and the preparation of financial statements for external purposes in accordance with generally accepted accounting principles.

Because of inherent limitations, any system of internal control over financial reporting may not prevent or detect misstatements. Also, projections of any evaluation of effectiveness to future periods are subject to the risk that controls may become inadequate because of changes in conditions, or that the degree of compliance with the policies or procedures may deteriorate.

Management conducted an assessment of the effectiveness of our internal control over financial reporting using the criteria set by the Committee of Sponsoring Organizations of the Treadway Commission (COSO) in Internal Control - Integrated Framework (2013). Based on this assessment, management concluded that the Company did not maintain effective internal control over financial reporting as of December 31, 2019, due to the material weaknesses identified below.

A material weakness is a deficiency, or a combination of deficiencies, in internal control over financial reporting, such that there is a reasonable possibility that a material misstatement of our annual or interim financial statements would not be prevented or detected on a timely basis.

Based on our assessment, we determined that our risk assessment process was ineffective and we did not have a sufficient complement or sufficiently trained personnel to effectively assess and implement necessary controls. As a result, process level controls over the valuation of coal inventory and elements of the procurement process were ineffective.

These material weaknesses did not result in any material misstatements of the Company’s financial statements or disclosures for the year ended December 31, 2019.

Our Independent Registered Public Accounting Firm, KPMG LLP, which audited the 2019 consolidated financial statements included in this Annual Report on Form 10-K, has expressed an adverse opinion on the operating effectiveness of our internal control over financial reporting. KPMG LLP’s report appears beginning on page 154 of this Form 10-K.

Remediation Plans

We have commenced measures to remediate the identified material weaknesses. We will not be able to fully remediate these material weaknesses until these steps have been completed and subsequent validation and testing of these internal

controls has demonstrated their operating effectiveness over a sustained period of financial reporting cycles. The remediation plan includes the following:

- Performing the fiscal year risk assessment at a sufficiently granular level to allow management to adequately assess risks at the appropriate level of precision;
- Implementing enhancements to the operation and design of coal inventory and procurement controls;
- Perform additional training related to internal control over financial reporting for all personnel to enhance knowledge and understanding within the organization and hiring additional resources as necessary to supplement internal personnel.

Changes in Internal Control Over Financial Reporting

In addition to the material weaknesses and remediation efforts discussed above, we identified material weaknesses related to controls over projected financial information utilized in estimates. These process level material weaknesses were due to the same root causes discussed above but were remediated as of December 31, 2019. These remediated material weaknesses did not result in any material misstatements of the Company's financial statements or disclosures for the year ended December 31, 2019.

There have been no other changes in our internal control over financial reporting during the quarter ended December 31, 2019 that have materially affected or are reasonably likely to materially affect our internal control over financial reporting.

Item 9B. Other Information

None.

Report of Independent Registered Public Accounting Firm

To the Stockholders and Board of Directors
Contura Energy, Inc.:

Opinion on Internal Control Over Financial Reporting

We have audited Contura Energy, Inc. and subsidiaries' (the Company) internal control over financial reporting as of December 31, 2019, based on criteria established in *Internal Control - Integrated Framework (2013)* issued by the Committee of Sponsoring Organizations of the Treadway Commission. In our opinion, because of the effect of the material weaknesses, described below, on the achievement of the objectives of the control criteria, the Company has not maintained effective internal control over financial reporting as of December 31, 2019, based on criteria established in *Internal Control - Integrated Framework (2013)* issued by the Committee of Sponsoring Organizations of the Treadway Commission.

We also have audited, in accordance with the standards of the Public Company Accounting Oversight Board (United States) (PCAOB), the consolidated balance sheets of the Company as of December 31, 2019 and 2018, the related consolidated statements of operations, comprehensive (loss) income, cash flows, and stockholders' equity for each of the years in the three-year period ended December 31, 2019, and the related notes (collectively, the consolidated financial statements), and our report dated March 18, 2020 expressed an unqualified opinion on those consolidated financial statements.

A material weakness is a deficiency, or a combination of deficiencies, in internal control over financial reporting, such that there is a reasonable possibility that a material misstatement of the company's annual or interim financial statements will not be prevented or detected on a timely basis. The following material weaknesses were identified related to the Company's risk assessment process being ineffective and the Company not having a sufficient complement or sufficiently trained personnel to effectively assess and implement necessary controls. As a result, process level controls over the valuation of coal inventory and elements of the procurement process were ineffective. These material weaknesses have been identified and included in management's assessment. The material weaknesses were considered in determining the nature, timing, and extent of audit tests applied in our audit of the 2019 consolidated financial statements, and this report does not affect our report on those consolidated financial statements.

Basis for Opinion

The Company's management is responsible for maintaining effective internal control over financial reporting and for its assessment of the effectiveness of internal control over financial reporting, included in the accompanying *Management's Report on Internal Control Over Financial Reporting*. Our responsibility is to express an opinion on the Company's internal control over financial reporting based on our audit. We are a public accounting firm registered with the PCAOB and are required to be independent with respect to the Company in accordance with the U.S. federal securities laws and the applicable rules and regulations of the Securities and Exchange Commission and the PCAOB.

We conducted our audit in accordance with the standards of the PCAOB. Those standards require that we plan and perform the audit to obtain reasonable assurance about whether effective internal control over financial reporting was maintained in all material respects. Our audit of internal control over financial reporting included obtaining an understanding of internal control over financial reporting, assessing the risk that a material weakness exists, and testing and evaluating the design and operating effectiveness of internal control based on the assessed risk. Our audit also included performing such other procedures as we considered necessary in the circumstances. We believe that our audit provides a reasonable basis for our opinion.

Definition and Limitations of Internal Control Over Financial Reporting

A company's internal control over financial reporting is a process designed to provide reasonable assurance regarding the reliability of financial reporting and the preparation of financial statements for external purposes in accordance with generally accepted accounting principles. A company's internal control over financial reporting includes those policies and procedures that (1) pertain to the maintenance of records that, in reasonable detail, accurately and fairly reflect the transactions and dispositions of the assets of the company; (2) provide reasonable assurance that transactions are recorded as necessary to permit preparation of financial statements in accordance with generally accepted accounting principles, and that receipts and expenditures of the company are being made only in accordance with authorizations of management and directors of the company; and (3) provide reasonable assurance regarding prevention or timely detection of unauthorized acquisition, use, or disposition of the company's assets that could have a material effect on the financial statements.

Because of its inherent limitations, internal control over financial reporting may not prevent or detect misstatements. Also, projections of any evaluation of effectiveness to future periods are subject to the risk that controls may become inadequate because of changes in conditions, or that the degree of compliance with the policies or procedures may deteriorate.

/s/ KPMG LLP

Richmond, Virginia
March 18, 2020

Part III

Item 10. Directors, Executive Officers and Corporate Governance

The sections of our Proxy Statement entitled "Proposal 1 - Election of Directors," "About our Board of Directors - Board and Its Committees," "About our Board of Directors - Board Committees - Audit Committee," "About our Management Team," "Delinquent Section 16(a) Reports," "About our Board of Directors - Code of Business Ethics" and "Stockholder Proposals for the 2021 Annual Meeting" are incorporated herein by reference.

The Company has a written Code of Business Ethics that applies to the Company's Chief Executive Officer (Principal Executive Officer), Chief Financial Officer (Principal Financial and Accounting Officer) and others. The Code of Business Ethics is available on the Company's website at www.conturaenergy.com. Any amendments to, or waivers from, a provision of our Code of Business Ethics that applies to our Principal Executive Officer, Principal Financial and Accounting Officer or persons performing similar functions and that relates to any element of the code of ethics enumerated in paragraph (b) of Item 406 of Regulation S-K shall be disclosed by posting on our website. Information on or accessible through our website is not incorporated by reference into this Annual Report on Form 10-K.

Item 11. Executive Compensation

The sections of our Proxy Statement entitled “About our Board of Directors - Director Compensation - 2019 Director Compensation,” “Executive Compensation - Compensation Discussion and Analysis,” “Board Committee Reports - Compensation Committee Report,” “Executive Compensation - Compensation Discussion and Analysis - Risk Assessment of Compensation Programs,” “Executive Compensation - 2019 Summary Compensation Table,” “Executive Compensation - 2019 Grants of Plan-Based Awards,” “Executive Compensation - Outstanding Equity Awards at 2019 Fiscal Year End,” “Executive Compensation - Option Exercises and Stock Vested in 2019,” “Executive Compensation - Nonqualified Deferred Compensation,” “Executive Compensation - Potential Payments Upon Termination or Change in Control,” and “Pay Ratio” are incorporated herein by reference.

Item 12. Security Ownership of Certain Beneficial Owners and Management and Related Stockholder Matters

The sections of our Proxy Statement entitled “Security Ownership of Certain Beneficial Owners and Management” and “Equity Compensation Plan Information” are incorporated herein by reference.

Item 13. Certain Relationships and Related Transactions, and Director Independence

The sections of our Proxy Statement entitled “About our Board of Directors - Independent and Non-Management Directors” and “Other Information - Review and Approval of Transactions With Related Persons” are incorporated herein by reference.

Item 14. Principal Accounting Fees and Services

The sections of our Proxy Statement entitled “Proposal 3 - Ratification of Appointment of Independent Registered Public Accounting Firm - Independent Registered Public Accounting Firm and Fees” and “Proposal 3 - Ratification of Appointment of Independent Registered Public Accounting Firm - Policy for Approval of Audit and Permitted Non-Audit Services” are incorporated herein by reference.

Additional Information

We file annual, quarterly and current reports, proxy statements and other information with the Securities and Exchange Commission (“SEC”). You may access and read our SEC filings through our website, at www.conturaenergy.com, or the SEC’s website, at www.sec.gov. You may also request copies of our filings, at no cost, by telephone at (423) 573-0300 or by mail at: Contura Energy, Inc., P.O. Box 848, Bristol, TN 37621, attention: Investor Relations. Our Audit Committee Charter, Compensation Committee Charter, Nominating and Corporate Governance Committee Charter, Corporate Governance Practices and Policies, and Code of Business Ethics are also available on our website and available in print to any stockholder who requests them. Information on or accessible through our website is not incorporated by reference into this Annual Report on Form 10-K.

Part IV

Item 15. Exhibits, Financial Statement Schedules

Pursuant to the rules and regulations of the Securities and Exchange Commission, the Company has filed certain agreements as exhibits to this Annual Report on Form 10-K. These agreements may contain representations and warranties by the parties. These warranties have been made solely for the benefit of the other party or parties to such agreements and (i) may have been qualified by disclosure made to such other party or parties, (ii) were made only as of the date of such agreements or such other date(s) as may be specified in such agreements and are subject to more recent developments, which may not be fully reflected in such Company’s public disclosure, (iii) may reflect the allocation of risk among the parties to such agreements and (iv) may apply materiality standards different from what may be viewed as material to investors. Accordingly, these representations and warranties may not describe the Company’s actual state of affairs at the date hereof and should not be relied upon.

(a) Documents filed as part of this Annual Report on Form 10-K:

(1) *The following financial statements are filed as part of this Annual Report on Form 10-K under Item 8-Financial Statements and Supplementary Data:*

- Report of Independent Registered Public Accounting Firm
- Consolidated Statements of Operations, Years ended December 31, 2019, 2018, and 2017

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- Consolidated Statements of Comprehensive (Loss) Income, Years ended December 31, 2019, 2018, and 2017
- Consolidated Balance Sheets, December 31, 2019 and 2018
- Consolidated Statements of Cash Flows, Years ended December 31, 2019, 2018, and 2017
- Consolidated Statements of Stockholders' Equity, Years ended December 31, 2019, 2018, and 2017
- Notes to Consolidated Financial Statements

(2) *Financial Statement Schedules*. All schedules are omitted because they are not required or because the information is immaterial or provided elsewhere in the Consolidated Financial Statements and Notes thereto.

(3) *Listing of Exhibits*. See the Exhibit Index following the signature page to this Annual Report on Form 10-K.

SIGNATURES

Pursuant to the requirements of Section 13 or 15(d) of the Securities Exchange Act of 1934, the registrant has duly caused this report to be signed on its behalf by the undersigned, thereunto duly authorized.

Date: March 18, 2020

CONTURA ENERGY, INC.

By: /s/ Charles Andrew Eidson

Name: Charles Andrew Eidson

Title: Executive Vice President and Chief Financial Officer
(Principal Financial Officer and Principal Accounting Officer)

KNOW ALL PERSONS BY THESE PRESENTS, that each person whose signature appears below constitutes and appoints Charles Andrew Eidson, and each of them, his or her true and lawful attorneys-in-fact, each with full power of substitution, for him or her in any and all capacities, to sign any amendments to this Annual Report on Form 10-K and to file the same, with exhibits thereto and other documents in connection therewith, with the Securities and Exchange Commission, hereby ratifying and confirming all that each of said attorneys-in-fact or their substitute or substitutes may do or cause to be done by virtue hereof. Pursuant to the requirements of the Securities Exchange Act of 1934, this report has been signed below by the following persons on behalf of the registrant and in the capacities and on the dates indicated.

Signature	Date	Title
<u>/s/ David J. Stetson</u> David J. Stetson	March 18, 2020	Chief Executive Officer (Principal Executive Officer)
<u>/s/ Charles Andrew Eidson</u> Charles Andrew Eidson	March 18, 2020	Executive Vice President and Chief Financial Officer (Principal Financial Officer and Principal Accounting Officer)
<u>/s/ Albert E. Ferrara, Jr.</u> Albert E. Ferrara, Jr.	March 18, 2020	Director
<u>/s/ Daniel J. Geiger</u> Daniel J. Geiger	March 18, 2020	Director
<u>/s/ John E. Lushefski</u> John E. Lushefski	March 18, 2020	Director
<u>/s/ Emily S. Medine</u> Emily S. Medine	March 18, 2020	Director
<u>/s/ Scott D. Vogel</u> Scott D. Vogel	March 18, 2020	Director

Exhibit Index

Exhibit No.	Description of Exhibit
3.1*	Second Amended and Restated Certificate of Incorporation of Contura Energy, Inc. (Incorporated by reference to Exhibit 3.1 to the Registration Statement on Form S-4 of Contura Energy, Inc. (File No. 333-226953) filed on August 21, 2018)
3.2	Third Amended and Restated Bylaws of Contura Energy, Inc.
4.1*	Specimen Certificate for shares of Common Stock. (Incorporated by reference to Exhibit 4.1 to the Registration Statement on Form S-4 of Contura Energy, Inc. (File No. 333-226953) filed on August 21, 2018)
4.2	Description of Securities Registered Pursuant to Section 12 of the Securities Exchange Act of 1934
10.1*	Amended and Restated Agreement and Plan of Merger, dated as of September 26, 2018, by and among Contura Energy, Inc., Alpha Natural Resources Holdings, Inc., ANR, Inc., Prime Acquisition I, Inc. and Prime Acquisition II, Inc. (Incorporated by reference to Annex A to the proxy statement contained in the Registration Statement on Form S-4/A of Contura Energy, Inc. (File No. 333-226953) filed on October 5, 2018)
10.2*	Asset Purchase Agreement, dated as of December 7, 2017, by among Blackjewel L.L.C., as purchaser, and Contura Coal West, LLC, Contura Wyoming Land, LLC and Contura Coal Sales, LLC, as seller. (Incorporated by reference to Exhibit 2.2 to the Registration Statement on Form S-4/A of Contura Energy, Inc. (File No. 333-226953) filed on August 21, 2018)
10.3*	Form of Permit Operating Agreement, dated as of December 7, 2017, by among Contura Coal West, LLC, as Transferor and Blackjewel L.L.C., as Transferee (included as Exhibit E to the Asset Purchase Agreement) (Incorporated by reference to Exhibit 2.3 to the Registration Statement on Form S-4/A of Contura Energy, Inc. (File No. 333-226953) filed on August 21, 2018)
10.4*	Form of Royalty Agreement, dated as of December 7, 2017, by among Blackjewel L.L.C., as purchaser, and Contura Coal West, LLC and Contura Wyoming Land, LLC, as seller. (included as Exhibit G to the Asset Purchase Agreement) (Incorporated by reference to Exhibit 2.4 to the Registration Statement on Form S-4/A of Contura Energy, Inc. (File No. 333-226953) filed on August 21, 2018)
10.5*	Asset Purchase Agreement, dated July 26, 2016, among Contura Energy, Inc., Alpha Natural Resources, Inc., certain subsidiaries of Alpha Natural Resources, Inc., ANR, Inc. and Alpha Natural Resources, Inc., as sellers' representative. (Incorporated by reference to Exhibit 2.5 to the Registration Statement on Form S-4/A of Contura Energy, Inc. (File No. 333-226953) filed on August 21, 2018)
10.6*	Credit Agreement dated as of March 17, 2017 among Contura Energy, Inc. as Borrower, Jefferies Finance LLC, as Administrative Agent and Collateral Agent, and the Other Lenders Party Thereto (Jefferies Finance LLC, BMO Capital Markets Corp., Citigroup Global Markets Inc., Credit Suisse Securities (USA) LLC and UBS Securities LLC, as Joint Lead Arrangers and Joint Bookrunners). (Incorporated by reference to Exhibit 10.1 to the Registration Statement on Form S-4/A of Contura Energy, Inc. (File No. 333-226953) filed on August 21, 2018)
10.7*	First Amendment to Credit Agreement, dated as of June 13, 2017, to the Credit Agreement, dated as of March 17, 2017 among Contura Energy, Inc. as Borrower, Jefferies Finance LLC, as Administrative Agent and Collateral Agent, and the Other Lenders Party Thereto (Incorporated by reference to Exhibit 10.2 to the Registration Statement on Form S-4/A of Contura Energy, Inc. (File No. 333-226953) filed on August 21, 2018)
10.8*	Asset-Based Revolving Credit Agreement dated as of April 3, 2017 among Contura Energy, Inc., and certain of its Subsidiaries, as the Borrowers; the Guarantors Party Thereto; Citibank, N.A., as Administrative Agent; Citibank, N.A., as Swingline Lender; Citibank, N.A., BMO Harris Bank N.A. and Credit Suisse AG, Cayman Islands Branch, as L/C Issuers; the Other Lenders Party Thereto and Citigroup Global Markets Inc., BMO Capital Markets Corp. and Credit Suisse Securities (USA) LLC, as Joint Lead Arrangers and Joint Bookrunners. (Incorporated by reference to Exhibit 10.3 to the Registration Statement on Form S-4/A of Contura Energy, Inc. (File No. 333-226953) filed on August 21, 2018)
10.9*	First Amendment to Asset-Based Revolving Credit Agreement, dated as of June 9, 2017, to the Asset-Based Revolving Credit Agreement dated as of April 3, 2017 among Contura Energy, Inc., and certain of its Subsidiaries, as the Borrowers; the Guarantors Party Thereto; Citibank, N.A., as Administrative Agent; Citibank, N.A., as Swingline Lender; Citibank, N.A., BMO Harris Bank N.A. and Credit Suisse AG, Cayman Islands Branch, as L/C Issuers; the Other Lenders Party Thereto and Citigroup Global Markets Inc., BMO Capital Markets Corp. and Credit Suisse Securities (USA) LLC, as Joint Lead Arrangers and Joint Bookrunners. (Incorporated by reference to Exhibit 10.4 to the Registration Statement on Form S-4/A of Contura Energy, Inc. (File No. 333-226953) filed on August 21, 2018)
10.10*	Loan Agreement dated as of July 26, 2016 by and between ANR, Inc. as Borrower; the Guarantors Party Thereto and Contura Energy, Inc. as Lender. (Incorporated by reference to Exhibit 10.5 to the Registration Statement on Form S-4/A of Contura Energy, Inc. (File No. 333-226953) filed on August 21, 2018)
10.11*	Registration Rights Agreement, dated as of July 26, 2016, by and among Contura Energy, Inc. and the holders party thereto. (Incorporated by reference to Exhibit 10.6 to the Registration Statement on Form S-4/A of Contura Energy, Inc. (File No. 333-226953) filed on August 21, 2018)

- 10.12* [Amendment No. 1 to the Registration Rights Agreement, dated as of February 24, 2017, by and among Contura Energy, Inc. and the holders party thereto. \(Incorporated by reference to Exhibit 10.7 to the Registration Statement on Form S-4/A of Contura Energy, Inc. \(File No. 333-226953\) filed on August 21, 2018\)](#)
- 10.13* [Amendment No. 2 to the Registration Rights Agreement, dated as of October 10, 2017, by and among Contura Energy, Inc. and the holders party thereto. \(Incorporated by reference to Exhibit 10.8 to the Registration Statement on Form S-4/A of Contura Energy, Inc. \(File No. 333-226953\) filed on August 21, 2018\)](#)
- 10.14* [Amendment No. 3 to the Registration Rights Agreement, dated as of June 1, 2018, by and among Contura Energy, Inc. and the holders party thereto. \(Incorporated by reference to Exhibit 10.9 to the Registration Statement on Form S-4/A of Contura Energy, Inc. \(File No. 333-226953\) filed on August 21, 2018\)](#)
- 10.15* [Settlement Agreement, dated November 3, 2016 but effective only as of the Settlement Effective Time, by and among Contura Energy, Inc., for itself and on behalf of certain of its subsidiaries; ANR, Inc., for itself and on behalf of certain of its affiliates and Old ANR, Inc. \(f/k/a Alpha Natural Resources, Inc.\) on behalf of itself and on behalf of all of the sellers in its capacity as sellers' representative. \(Incorporated by reference to Exhibit 10.10 to the Registration Statement on Form S-4/A of Contura Energy, Inc. \(File No. 333-226953\) filed on August 21, 2018\)](#)
- 10.16* [Reclamation Funding Agreement, dated July 12, 2016, by and among Alpha Natural Resources, Inc., on behalf of itself and its debtor-affiliates; Contura Energy, Inc.; the Illinois Department of Natural Resources; the Kentucky Energy and Environment Cabinet, Department for Natural Resources; the United States Department of the Interior, Office of Surface Mining, Reclamation and Enforcement, in its capacity as the regulatory authority over surface mining operations in the State of Tennessee; the Virginia Department of Mines, Minerals and Energy and the West Virginia Department of Environmental Protection. \(Incorporated by reference to Exhibit 10.11 to the Registration Statement on Form S-4/A of Contura Energy, Inc. \(File No. 333-226953\) filed on August 21, 2018\)](#)
- 10.17* [Amended Reclamation Funding Agreement dated October 23, 2017, by and among ANR, Lexington Coal Company, LLC, Contura, the Illinois Department of Natural Resources, the Kentucky Energy and Environment Cabinet Department for Natural Resources, the United States Department of the Interior, Office of Surface Mining, Reclamation and Enforcement \(in its capacity as the regulatory authority over surface mining operations in the State of Tennessee\), the Virginia Department of Mines, Minerals and Energy and the WVDEP. \(Incorporated by reference to Exhibit 10.12 to the Registration Statement on Form S-4/A of Contura Energy, Inc. \(File No. 333-226953\) filed on August 21, 2018\)](#)
- 10.18* [Settlement Agreement, dated July 12, 2016, by and among Alpha Natural Resources, Inc., on behalf of itself and its debtor-affiliates; Contura Energy, Inc.; Citicorp North America, Inc. and the United States Department of the Interior, on behalf of the Office of Surface Mining, Reclamation and Enforcement, including in its capacity as the regulatory authority over surface mining operations in the State of Tennessee, the Office of Natural Resources Revenue and the Bureau of Land Management. \(Incorporated by reference to Exhibit 10.13 to the Registration Statement on Form S-4/A of Contura Energy, Inc. \(File No. 333-226953\) filed on August 21, 2018\)](#)
- 10.19* [Permitting and Reclamation Plan Settlement Agreement for the Commonwealth of Kentucky, dated July 12, 2016, by and among Alpha Natural Resources, Inc., on behalf of itself and its debtor-affiliates; Contura Energy, Inc. and the Kentucky Energy and Environment Cabinet, Department for Natural Resources. \(Incorporated by reference to Exhibit 10.14 to the Registration Statement on Form S-4/A of Contura Energy, Inc. \(File No. 333-226953\) filed on August 21, 2018\)](#)
- 10.20* [Termination Agreement dated October 23, 2017, by and among Alpha Natural Resources, on behalf of itself and its affiliates, Contura Energy, Inc. and the Kentucky Energy and Environmental Cabinet, Department for Natural Resources. \(Incorporated by reference to Exhibit 10.15 to the Registration Statement on Form S-4/A of Contura Energy, Inc. \(File No. 333-226953\) filed on August 21, 2018\)](#)
- 10.21* [Permitting and Reclamation Plan Settlement Agreement for the State of Illinois, dated July 12, 2016, by and among Alpha Natural Resources, Inc., on behalf of itself and its debtor-affiliates; Contura Energy, Inc. and the Illinois Department of Natural Resources. \(Incorporated by reference to Exhibit 10.16 to the Registration Statement on Form S-4/A of Contura Energy, Inc. \(File No. 333-226953\) filed on August 21, 2018\)](#)
- 10.22* [First Amendment to Permitting and Reclamation Plan Settlement Agreement for the State of Illinois by and among Alpha Natural Resources, Inc., on behalf of itself and its affiliates, Contura and Illinois Department of Natural Resources. \(Incorporated by reference to Exhibit 10.17 to the Registration Statement on Form S-4/A of Contura Energy, Inc. \(File No. 333-226953\) filed on August 21, 2018\)](#)
- 10.23* [Permitting and Reclamation Plan Settlement Agreement for the Commonwealth of Virginia, dated July 12, 2016, by and among Alpha Natural Resources, Inc., on behalf of itself and its debtor-affiliates; Contura Energy, Inc. and the Commonwealth of Virginia, Department of Mines, Minerals and Energy. \(Incorporated by reference to Exhibit 10.18 to the Registration Statement on Form S-4/A of Contura Energy, Inc. \(File No. 333-226953\) filed on August 21, 2018\)](#)
- 10.24* [First Amendment to Permitting and Reclamation Plan Settlement Agreement for the Commonwealth of Virginia dated October 23, 2017, by and among ANR, on behalf of itself and its affiliates, including Old ANR, LLC \(f/k/a Alpha Natural Resources, Inc.\), Contura and the Virginia Department of Mines, Minerals and Energy. \(Incorporated by reference to Exhibit 10.19 to the Registration Statement on Form S-4/A of Contura Energy, Inc. \(File No. 333-226953\) filed on August 21, 2018\)](#)

- 10.25* [Permitting and Reclamation Plan Settlement Agreement for the State of West Virginia, dated July 12, 2016, by and among Alpha Natural Resources, Inc., on behalf of itself and its debtor-affiliates; Contura Energy, Inc. and the West Virginia Department of Environmental Protection. \(Incorporated by reference to Exhibit 10.20 to the Registration Statement on Form S-4/A of Contura Energy, Inc. \(File No. 333-226953\) filed on August 21, 2018\)](#)
- 10.26* [First Amendment to Permitting and Reclamation Plan Settlement Agreement for the State of West Virginia, dated July 25, 2016, by and among Alpha Natural Resources, Inc., on behalf of itself and its debtor-affiliates; Contura Energy, Inc. and the West Virginia Department of Environmental Protection. \(Incorporated by reference to Exhibit 10.21 to the Registration Statement on Form S-4/A of Contura Energy, Inc. \(File No. 333-226953\) filed on August 21, 2018\)](#)
- 10.27* [Second Amendment to Permitting and Reclamation Plan Settlement Agreement for the State of West Virginia, dated October 23, 2017, by and among Alpha Natural Resources, Inc., on behalf of itself and its debtor-affiliates; Contura Energy, Inc. and the West Virginia Department of Environmental Protection. \(Incorporated by reference to Exhibit 10.22 to the Registration Statement on Form S-4/A of Contura Energy, Inc. \(File No. 333-226953\) filed on August 21, 2018\)](#)
- 10.28* [Stipulation Regarding Water Treatment Obligations, dated July 12, 2016, by and among Alpha Natural Resources, Inc., on behalf of itself and its debtor-affiliates; Contura Energy, Inc. and the United States. \(Incorporated by reference to Exhibit 10.23 to the Registration Statement on Form S-4/A of Contura Energy, Inc. \(File No. 333-226953\) filed on August 21, 2018\)](#)
- 10.29* [Amended Stipulation Regarding Water Treatment Obligations, dated October 23, 2017, by and among Alpha Natural Resources, Inc., on behalf of itself and its debtor-affiliates, Lexington Coal Company, LLC, Contura Energy, Inc. and the United States. \(Incorporated by reference to Exhibit 10.24 to the Registration Statement on Form S-4/A of Contura Energy, Inc. \(File No. 333-226953\) filed on August 21, 2018\)](#)
- 10.30* [Stipulation and Agreed Order dated July 15, 2016 among Alpha Natural Resources, Inc., et al., as Debtors; Citicorp North America, as administrative and collateral agent; Contura Energy, Inc. and the Retiree Settlement Committee. \(Incorporated by reference to Exhibit 10.25 to the Registration Statement on Form S-4/A of Contura Energy, Inc. \(File No. 333-226953\) filed on August 21, 2018\)](#)
- 10.31* [Stipulation and Agreed Order dated July 6, 2016 among Alpha Natural Resources, Inc., et al., as Debtors; Citicorp North America, as administrative and collateral agent; Contura Energy, Inc. and the UMW Funds. \(Incorporated by reference to Exhibit 10.26 to the Registration Statement on Form S-4/A of Contura Energy, Inc. \(File No. 333-226953\) filed on August 21, 2018\)](#)
- 10.32* [Agreement to Fund VEBA, dated July 5, 2016, by and among Contura Energy, Inc., on behalf of itself and as authorized agent for certain of its subsidiaries, and the United Mine Workers of America. \(Incorporated by reference to Exhibit 10.27 to the Registration Statement on Form S-4/A of Contura Energy, Inc. \(File No. 333-226953\) filed on August 21, 2018\)](#)
- 10.33* [Form of Indemnification Agreement by and between Contura Energy, Inc. and each of its current and future directors and officers. \(Incorporated by reference to Exhibit 10.28 to the Registration Statement on Form S-4/A of Contura Energy, Inc. \(File No. 333-226953\) filed on August 21, 2018\)](#)
- 10.34* [Warrant Agreement, dated July 26, 2016, between Contura Energy, Inc., Computershare, Inc. and Computershare Trust Company, N.A. \(including Form of Warrant Certificate\). \(Incorporated by reference to Exhibit 10.29 to the Registration Statement on Form S-4/A of Contura Energy, Inc. \(File No. 333-226953\) filed on August 21, 2018\)](#)
- 10.35*† [Employment Agreement, dated July 26, 2016 by and between Contura Energy, Inc. and Kevin S. Crutchfield. \(Incorporated by reference to Exhibit 10.35 to the Registration Statement on Form S-4/A of Contura Energy, Inc. \(File No. 333-226953\) filed on August 21, 2018\)](#)
- 10.36*† [Contura Energy, Inc. Management Incentive Plan, effective as of July 26, 2016. \(Incorporated by reference to Exhibit 10.36 to the Registration Statement on Form S-4/A of Contura Energy, Inc. \(File No. 333-226953\) filed on August 21, 2018\)](#)
- 10.37*† [Amendment 1 to Contura Energy, Inc. Management Incentive Plan, dated as of January 18, 2017. \(Incorporated by reference to Exhibit 10.37 to the Registration Statement on Form S-4/A of Contura Energy, Inc. \(File No. 333-226953\) filed on August 21, 2018\)](#)
- 10.38*† [Form of Contura Energy, Inc. Option Agreement. \(Incorporated by reference to Exhibit 10.38 to the Registration Statement on Form S-4/A of Contura Energy, Inc. \(File No. 333-226953\) filed on August 21, 2018\)](#)
- 10.39*† [Form of Contura Energy, Inc. Restricted Share Agreement. \(Incorporated by reference to Exhibit 10.39 to the Registration Statement on Form S-4/A of Contura Energy, Inc. \(File No. 333-226953\) filed on August 21, 2018\)](#)
- 10.40*† [Form of Contura Energy, Inc. Emergence Award Agreement. \(Incorporated by reference to Exhibit 10.40 to the Registration Statement on Form S-4/A of Contura Energy, Inc. \(File No. 333-226953\) filed on August 21, 2018\)](#)
- 10.41*† [Contura Energy, Inc. Deferred Compensation Plan. \(Incorporated by reference to Exhibit 10.41 to the Registration Statement on Form S-4/A of Contura Energy, Inc. \(File No. 333-226953\) filed on August 21, 2018\)](#)
- 10.42*† [Contura Energy, Inc. Annual Incentive Bonus Program. \(Incorporated by reference to Exhibit 10.42 to the Registration Statement on Form S-4/A of Contura Energy, Inc. \(File No. 333-226953\) filed on August 21, 2018\)](#)

10.43*†	Contura Energy, Inc. Key Employee Separation Plan, effective as of July 26, 2016. (Incorporated by reference to Exhibit 10.43 to the Registration Statement on Form S-4/A of Contura Energy, Inc. (File No. 333-226953) filed on August 21, 2018)
10.44*†	Contura Energy, Inc. Amended and Restated Non-Employee Director Compensation Policy, dated December 14, 2017. (Incorporated by reference to Exhibit 10.44 to the Registration Statement on Form S-4/A of Contura Energy, Inc. (File No. 333-226953) filed on August 21, 2018)
10.45*†	Form of 2018 Long-Term Incentive Plan. (Incorporated by reference to Exhibit 10.45 to the Registration Statement on Form S-4/A of Contura Energy, Inc. (File No. 333-226953) filed on August 21, 2018)
10.46*	Form of Voting and Support Agreement. (Incorporated by reference to Exhibit 10.46 to the Registration Statement on Form S-4/A of Contura Energy, Inc. (File No. 333-226953) filed on October 5, 2018)
10.48*	Amended and Restated Asset-Based Revolving Credit Agreement, dated as of November 9, 2018, by and among Contura Energy, Inc., as borrower, the other borrowers party thereto, the guarantors party thereto, the lenders from time to time party thereto, Citibank, N.A., as Swingline Lender, Citibank, N.A., Barclays Bank PLC, BMO Harris Bank, N.A., and Credit Suisse AG, Cayman Islands Branch, as L/C Issuers, Citigroup Global Markets Inc., Barclays Bank PLC, BMO Capital Markets Corp. and Credit Suisse Securities (USA) LLC, as Joint Lead Arrangers and Joint Bookrunners, the other lenders party thereto and Citibank, N.A., as administrative agent and collateral agent. (Incorporated by reference to Exhibit 10.1 to the Current Report on Form 8-K of Contura Energy, Inc. filed on November 13, 2018)
10.49*†	Form of Indemnification Agreement. (Incorporated by reference to Exhibit 10.2 to the Current Report on Form 8-K of Contura Energy, Inc. filed on November 13, 2018)
10.50*	Amended and Restated Credit Agreement, dated as of November 9, 2018, by and among Contura Energy, Inc., as the Initial Borrower, the lenders from time to time party thereto, Jefferies Finance LLC, as administrative agent and collateral agent, and Jefferies Finance LLC, Barclays Capital, Inc., BMO Capital Markets Corp., Citigroup Global Markets Inc., Clarkson's Platou Securities, Inc. and B. Riley FBR, Inc., as Joint Lead Arrangers and Joint Bookrunners (Incorporated by reference to Exhibit 10.3 to the Current Report on Form 8-K of Contura Energy, Inc. filed on November 13, 2018)
10.51*	Amended and Restated Pledge and Security Agreement, dated as of November 9, 2018, by and among Contura Energy, Inc. and the subsidiaries of Contura Energy, Inc. that are grantors thereunder, and Citibank, N.A., as collateral agent. (Incorporated by reference to Exhibit 10.4 to the Current Report on Form 8-K of Contura Energy, Inc. filed on November 13, 2018)
10.52*	Amended and Restated Pledge and Security Agreement, dated as of November 9, 2018, by and among Contura Energy, Inc. and the subsidiaries of Contura Energy, Inc. that are grantors thereunder, and Jefferies Finance LLC, as collateral agent. (Incorporated by reference to Exhibit 10.5 to the Current Report on Form 8-K of Contura Energy, Inc. filed on November 13, 2018)
10.53*	Amended and Restated Guaranty Agreement, dated as of November 9, 2018, by and among subsidiaries of Contura Energy, Inc. that are guarantors party thereto and Jefferies Finance LLC, as administrative agent. (Incorporated by reference to Exhibit 10.6 to the Current Report on Form 8-K of Contura Energy, Inc. filed on November 13, 2018)
10.54*	Term Sheet dated as of November 6, 2018 by and amongst ANR, Inc., Alpha Natural Resources Holdings, Inc., Contura Energy, Inc. and the West Virginia Department of Environmental Protection (Incorporated by reference to Exhibit 10.7 to the Current Report on Form 8-K of Contura Energy, Inc. filed on November 13, 2018)
10.55*†	Contura Energy, Inc. Form of Non-Employee Director Restricted Stock Unit Award Agreement (Incorporated by reference to Exhibit 10.8 to the Current Report on Form 8-K of Contura Energy, Inc. filed on November 13, 2018)
10.56*†	Contura Energy, Inc. Form of Restricted Stock Unit Award Agreement (For Employees) (Incorporated by reference to Exhibit 10.9 to the Current Report on Form 8-K of Contura Energy, Inc. filed on November 13, 2018)
10.57*	Commitment Letter, dated as of May 15, 2019, by and among Contura Energy, Inc. and certain of its existing shareholders (Incorporated by reference to Exhibit 10.1 to the Current Report on Form 8-K of Contura Energy, Inc. filed on May 21, 2019)
10.58*	Amended and Restated Commitment Letter, dated as of May 21, 2019, by and among Contura Energy, Inc. and certain of its existing shareholders (Incorporated by reference to Exhibit 10.2 to the Current Report on Form 8-K of Contura Energy, Inc. filed on May 21, 2019)
10.59*	Credit Agreement, dated as of June 14, 2019, by and among Contura Energy, Inc., as the Borrower, Cantor Fitzgerald Securities, as Administrative Agent and certain lenders party thereto (Incorporated by reference to Exhibit 10.1 to the Current Report on Form 8-K of Contura Energy, Inc. filed on June 18, 2019)
10.60*†	Employment Agreement, dated as of July 29, 2019, by and between Contura Energy, Inc. and David J. Stetson (Incorporated by reference to Exhibit 10.1 to the Current Report on Form 8-K of Contura Energy, Inc. filed on July 29, 2019)
10.61*	Amended and Restated Term Sheet, dated as of October 18, 2019, by and between Contura Energy, Inc. and Eagle Specialty Materials, LLC (Incorporated by reference to Exhibit 10.1 to the Current Report on Form 8-K of Contura Energy, Inc. filed on October 21, 2019)

10.62*	Agreement, dated as of October 18, 2019, by and among Contura Coal West, LLC, the United States Department of Interior’s Office of Surface Mining, Reclamation and Enforcement, FM Coal, LLC and Eagle Specialty Materials, LLC (Incorporated by reference to Exhibit 10.2 to the Current Report on Form 8-K of Contura Energy, Inc. filed on October 21, 2019)
10.63*	Sureties Supplemental Agreement, dated October 18, 2019, by and among Endurance Assurance Corporation, Endurance American Insurance Company, Lexon Insurance Company, Bond Safeguard Insurance Company, Indemnity National Insurance Company, Contura Energy, Inc., Contura Coal West, LLC and Eagle Specialty Materials, LLC (Incorporated by reference to Exhibit 10.3 to the Current Report on Form 8-K of Contura Energy, Inc. filed on October 21, 2019)
21.1	List of Subsidiaries of Contura Energy, Inc.
23.1	Consent of KPMG LLP
23.2	Consent of Marshall Miller & Associates, Inc. dated March 18, 2020
31	Certifications Pursuant to Rule 13a-14(a) under the Securities Exchange Act of 1934, as adopted pursuant to §302 of the Sarbanes-Oxley Act of 2002
32	Certifications Pursuant to 18 U.S.C. §1350, As Adopted Pursuant to §906 of the Sarbanes-Oxley Act of 2002
95	Mine Safety Disclosure
101.INS	XBRL instance document
101.SCH	XBRL taxonomy extension schema
101.CAL	XBRL taxonomy extension calculation linkbase
101.DEF	XBRL taxonomy extension definition linkbase
101.LAB	XBRL taxonomy extension label linkbase
101.PRE	XBRL taxonomy extension presentation linkbase

* Previously filed.

† Management contract, compensatory plan or arrangement.

THIRD AMENDED AND RESTATED BYLAWS
OF
CONTURA ENERGY, INC.

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ARTICLE 1
OFFICES

Section 1.01. *Registered Office.* The registered office of the Corporation shall be in the City of Wilmington, County of New Castle, State of Delaware.

Section 1.02. *Other Offices.* The Corporation may also have offices at such other places both within and without the State of Delaware as the Board of Directors may from time to time determine or the business of the Corporation may require.

Section 1.03. *Books.* The books of the Corporation may be kept within or without the State of Delaware as the Board of Directors may from time to time determine or the business of the Corporation may require.

ARTICLE 2
MEETINGS OF STOCKHOLDERS

Section 2.01. *Time and Place of Meetings.* All meetings of stockholders shall be held at such place, either within or without the State of Delaware, on such date and at such time as may be determined from time to time by the Board of Directors (or the Chairman in the absence of a designation by the Board of Directors).

Section 2.02. *Annual Meetings.* An annual meeting of stockholders shall be held for the election of directors and to transact such other business as may properly be brought before the meeting at such place, on such date, and at such time as the Board of Directors shall determine.

Section 2.03. *Special Meetings.* Special meetings of the stockholders may be called only by the Board of Directors acting pursuant to a resolution adopted by a majority of the Board of Directors. Notwithstanding the foregoing, whenever holders of one or more classes or series of Preferred Stock shall have the right, voting separately as a class or series, to elect directors, such holders may call, pursuant to the terms of such class or series of Preferred Stock adopted by resolution or resolutions of the Board of Directors as provided in the Amended

and Restated Certificate of Incorporation, special meetings of holders of such Preferred Stock.

Section 2.04. *Notice of Meetings and Adjourned Meetings; Waivers of Notice.* (a) Whenever stockholders are required or permitted to take any action at a meeting, a written notice of the meeting shall be given which shall state the place, if any, date and hour of the meeting, the means of remote communications, if any, by which stockholders and proxy holders may be deemed to be present in person and vote at such meeting, and, in the case of a special meeting, the purpose or purposes for which the meeting is called. Unless otherwise provided by the General Corporation Law of the State of Delaware as the same exists or may hereafter be amended (“**Delaware Law**”), such notice shall be given not less than 10 nor more than 60 days before the date of the meeting to each stockholder of record entitled to vote at such meeting. The Board of Directors or the chairman of the meeting may adjourn the meeting to another time or place (whether or not a quorum is present), and notice need not be given of the adjourned meeting if the time, place, if any, and the means of remote communications, if any, by which stockholders and proxy holders may be deemed to be present in person and vote at such meeting, are announced at the meeting at which the adjournment is taken. At the adjourned meeting, the Corporation may transact any business which might have been transacted at the original meeting. If the adjournment is for more than 30 days, or after the adjournment a new record date is fixed for the adjourned meeting, a notice of the adjourned meeting shall be given to each stockholder of record entitled to vote at the meeting.

(b) A written waiver of any such notice signed by the person entitled thereto, or a waiver by electronic transmission by the person entitled to notice, whether before or after the time stated therein, shall be deemed equivalent to notice. Attendance of a person at a meeting shall constitute a waiver of notice of such meeting, except when the person attends the meeting for the express purpose of objecting, at the beginning of the meeting, to the transaction of any business because the meeting is not lawfully called or convened. Business transacted at any special meeting of stockholders shall be limited to the purposes stated in the notice.

Section 2.05. *Quorum.* Unless otherwise provided under the Amended and Restated Certificate of Incorporation or these Second Amended and Restated Bylaws (“**Bylaws**”) and subject to Delaware Law, the presence, in person or by proxy, of the holders of a majority of the total voting power of all outstanding securities of the Corporation generally entitled to vote at a meeting of stockholders shall constitute a quorum for the transaction of business. If, however, such quorum shall not be present or represented at any meeting of the stockholders, the chairman of the meeting or a majority in voting interest of the stockholders present in person or represented by proxy may adjourn the meeting, without notice other than announcement at the meeting, until a quorum shall be

present or represented. At such adjourned meeting at which a quorum shall be present or represented any business may be transacted that might have been transacted at the meeting as originally notified.

Section 2.06. *Voting.* (a) Unless otherwise provided in the Amended and Restated Certificate of Incorporation and subject to Delaware Law, each stockholder shall be entitled to one vote for each outstanding share of capital stock of the Corporation held by such stockholder. Any share of capital stock of the Corporation held by the Corporation shall have no voting rights. Except as otherwise provided by law, the Amended and Restated Certificate of Incorporation or these Bylaws, in all matters other than the election of directors, the affirmative vote of the holders of a majority of the votes cast at the meeting on the subject matter shall be the act of the stockholders. Abstentions and broker non-votes shall not be counted as votes cast. Subject to the rights of the holders of any class or series of preferred stock to elect additional directors under specific circumstances, as may be set forth in the certificate of designations for such class or series of preferred stock, directors shall be elected by a plurality of the votes of the shares of capital stock of the Corporation present in person or represented by proxy at the meeting and entitled to vote on the election of directors.

(b) Each stockholder entitled to vote at a meeting of stockholders or to express consent or dissent to a corporate action in writing without a meeting may authorize another person or persons to act for such stockholder by proxy, appointed by an instrument in writing, subscribed by such stockholder or by his attorney thereunto authorized, or by proxy sent by cable, telegram or by any means of electronic communication permitted by law, which results in a writing from such stockholder or by his attorney, and delivered to the secretary of the meeting. No proxy shall be voted after three (3) years from its date, unless said proxy provides for a longer period.

Section 2.07. *Action by Consent.* Subject to the rights of the holders of any class or series of preferred stock then outstanding, as may be set forth in the certificate of designations for such class or series of preferred stock, any action required or permitted to be taken at any annual or special meeting of stockholders may be taken only upon the vote of stockholders at an annual or special meeting duly noticed and called in accordance with Delaware Law and may not be taken by written consent of stockholders without a meeting.

Section 2.08. *Organization.* At each meeting of stockholders, the Chairman of the Board of Directors, if one shall have been elected, or in the Chairman's absence or if one shall not have been elected, the director designated by the vote of the majority of the directors present at such meeting, shall act as chairman of the meeting. The Secretary (or in the Secretary's absence or inability to act, the person whom the chairman of the meeting shall appoint secretary of the meeting) shall act as secretary of the meeting and keep the minutes thereof.

Section 2.09. *Order of Business.* The order of business at all meetings of stockholders shall be as determined by the chairman of the meeting.

Section 2.10. *Nomination of Directors and Proposal of Other Business.*

(a) *Annual Meetings of Stockholders.* (i) Nominations of persons for election to the Board of Directors or the proposal of other business to be transacted by the stockholders at an annual meeting of stockholders may be made only (A) pursuant to the Corporation's notice of meeting (or any supplement thereto), (B) by or at the direction of the Board of Directors or any committee thereof, (C) as may be provided in the certificate of designations for any class or series of preferred stock or (D) by any stockholder of the Corporation who is a stockholder of record at the time of giving of notice provided for in paragraph (ii) of this Section 2.10(a) and at the time of the annual meeting, who shall be entitled to vote at the meeting and who complies with the procedures set forth in this Section 2.10(a), and, except as otherwise required by law, any failure to comply with these procedures shall result in the nullification of such nomination or proposal.

(ii) For nominations or other business to be properly brought before an annual meeting of stockholders by a stockholder pursuant to clause (D) of paragraph (i) of this Section 2.10(a), the stockholder must have given timely notice thereof in writing to the Secretary of the Corporation and any such proposed business (other than the nominations of persons for election to the Board of Directors) must constitute a proper matter for stockholder action. To be timely, a stockholder's notice shall be delivered to, or mailed and received by, the Secretary of the Corporation at the principal executive offices of the Corporation not less than 120 days nor more than 150 days prior to the first anniversary of the preceding year's annual meeting of stockholders; *provided, however*, that in the event that the date of the annual meeting is advanced more than 30 days prior to such anniversary date or delayed more than 70 days after such anniversary date then to be timely such notice must be received by the Corporation no earlier than 120 days prior to such annual meeting and no later than the later of 70 days prior to the date of the meeting or the 10th day following the day on which public announcement of the date of the meeting was first made by the Corporation; *provided, further*, that, solely for the purposes of the notice requirements under this Section 2.10(a), with respect to the annual meeting of stockholders of the Company for 2019, the anniversary of the preceding year's annual meeting of stockholders shall be deemed to be May 15, 2018. In no event shall the adjournment or postponement of any meeting, or any announcement thereof, commence a new time period (or extend any time period) for the giving of a stockholder's notice as described above.

(iii) A stockholder's notice to the Secretary shall set forth (A) as to each person whom the stockholder proposes to nominate for election or reelection as a director: (1) all information relating to such person that is required to be disclosed in solicitations of proxies for election of directors, or is otherwise required, in each case pursuant to Regulation 14A under the Securities Exchange Act of 1934 (as amended (together with the rules and regulations promulgated thereunder), the "**Exchange Act**") including such person's written consent to being named in the proxy statement as a nominee and to serving as a director if elected; and (2) a reasonably detailed description of any compensatory, payment or other financial agreement, arrangement or understanding that such person has with any other person or entity other than the Corporation including the amount of any payment or payments received or receivable thereunder, in each case in connection with candidacy or service as a director of the Corporation (a "**Third-Party Compensation Arrangement**"), (B) as to any other business that the stockholder proposes to bring before the meeting, a brief description of the business desired to be brought before the meeting, the text of the proposal or business (including the text of any resolutions proposed for consideration and in the event that such business includes a proposal to amend these Bylaws, the text of the proposed amendment), the reasons for conducting such business and any material interest in such business of such stockholder and the beneficial owner, if any, on whose behalf the proposal is made and (C) as to the stockholder giving the notice and the beneficial owner, if any, on whose behalf the proposal is made:

(1) the name and address of such stockholder (as they appear on the Corporation's books) and any such beneficial owner;

(2) for each class or series, the number of shares of capital stock of the Corporation that are held of record or are beneficially owned by such stockholder and by any such beneficial owner;

(3) a description of any agreement, arrangement, understanding between or among such stockholder and any such beneficial owner, any of their respective affiliates or associates, and any other person or persons (including their names) in connection with the proposal of such nomination or other business;

(4) a description of any agreement, arrangement or understanding (including, regardless of the form of settlement, any derivative, long or short positions, profit interests, forwards, futures, swaps, options, warrants, convertible securities, stock appreciation or similar rights, hedging transactions and borrowed or loaned shares) that has been entered into by or on behalf of, or

any other agreement, arrangement or understanding that has been made, the effect or intent of which is to create or mitigate loss to, manage risk or benefit of share price changes for, or increase or decrease the voting power of, such stockholder or any such beneficial owner or any such nominee with respect to the Corporation's securities;

(5) a representation that the stockholder is a holder of record of stock of the Corporation entitled to vote at such meeting and intends to appear in person or by proxy at the meeting to bring such nomination or other business before the meeting;

(6) a representation as to whether such stockholder or any such beneficial owner intends or is part of a group that intends to (i) deliver a proxy statement and/or form of proxy to holders of at least the percentage of the voting power of the Corporation's outstanding capital stock required to approve or adopt the proposal or to elect each such nominee and/or (ii) otherwise to solicit proxies from stockholders in support of such proposal or nomination;

(7) any other information relating to such stockholder, beneficial owner, if any, or director nominee or proposed business that would be required to be disclosed in a proxy statement or other filing required to be made in connection with the solicitation of proxies in support of such nominee or proposal pursuant to Section 14 of the Exchange Act; and

(8) such other information relating to any proposed item of business as the Corporation may reasonably require to determine whether such proposed item of business is a proper matter for stockholder action.

If requested by the Corporation, the information required under clauses 2.10(a)(iii)(C)(2), (3) and (4) of the preceding sentence of this Section 2.10 shall be supplemented by such stockholder and any such beneficial owner not later than 10 days after the record date for the meeting to disclose such information as of the record date.

(b) *Special Meetings of Stockholders.* If the election of directors is included as business to be brought before a special meeting in the Corporation's notice of meeting, then nominations of persons for election to the Board of Directors at a special meeting of stockholders may be made by any stockholder who is a stockholder of record at the time of giving of notice provided for in this Section 2.10(b) and at the time of the special meeting, who shall be entitled to vote at the meeting and who complies with the procedures set forth in this Section

2.10(b). For nominations to be properly brought by a stockholder before a special meeting of stockholders pursuant to this Section 2.10(b), the stockholder must have given timely notice thereof in writing to the Secretary of the Corporation. To be timely, a stockholder's notice shall be delivered to or mailed and received at the principal executive offices of the Corporation (A) not earlier than 150 days prior to the date of the special meeting nor (B) later than the later of 120 days prior to the date of the special meeting or the 10th day following the day on which public announcement of the date of the special meeting was first made. A stockholder's notice to the Secretary shall comply with the notice requirements of Section 2.10(a)(iii).

(c) *General.* (i) To be eligible to be a nominee for election as a director, the proposed nominee must provide to the Secretary of the Corporation in accordance with the applicable time periods prescribed for delivery of notice under Section 2.10(a)(ii) or Section 2.10(b): (1) a completed D&O questionnaire (in the form provided by the secretary of the Corporation at the request of the nominating stockholder) containing information regarding the nominee's background and qualifications and such other information as may reasonably be required by the Corporation to determine the eligibility of such proposed nominee to serve as a director of the Corporation or to serve as an independent director of the Corporation, (2) a written representation that, unless previously disclosed to the Corporation, the nominee is not and will not become a party to any voting agreement, arrangement or understanding with any person or entity as to how such nominee, if elected as a director, will vote on any issue or that could interfere with such person's ability to comply, if elected as a director, with his/her fiduciary duties under applicable law, (3) a written representation and agreement that the nominee is not and will not become a party to any Third-Party Compensation Arrangement pursuant to Section 2.10(a)(iii)(A)(2), unless disclosed to the Corporation prior to entering into any such Arrangement and (4) a written representation that, if elected as a director, such nominee would be in compliance and will continue to comply with the Corporation's corporate governance guidelines as disclosed on the Corporation's website, as amended from time to time. At the request of the Board of Directors, any person nominated by the Board of Directors for election as a director shall furnish to the Secretary of the Corporation the information that is required to be set forth in a stockholder's notice of nomination that pertains to the nominee.

(ii) No person shall be eligible to be nominated by a stockholder to serve as a director of the Corporation unless nominated in accordance with the procedures set forth in this Section 2.10. No business proposed by a stockholder shall be conducted at a stockholder meeting except in accordance with this Section 2.10.

(iii) The chairman of the meeting shall, if the facts warrant, determine and declare to the meeting that a nomination was not made in

accordance with the procedures prescribed by these Bylaws or that business was not properly brought before the meeting, and if he/she should so determine, he/she shall so declare to the meeting and the defective nomination shall be disregarded or such business shall not be transacted, as the case may be. Notwithstanding the foregoing provisions of this Section 2.10, unless otherwise required by law, if the stockholder (or a qualified representative of the stockholder) does not appear at the annual or special meeting of stockholders of the Corporation to present a nomination or other proposed business, such nomination shall be disregarded or such proposed business shall not be transacted, as the case may be, notwithstanding that proxies in respect of such vote may have been received by the Corporation and counted for purposes of determining a quorum. For purposes of this Section 2.10, to be considered a qualified representative of the stockholder, a person must be a duly authorized officer, manager or partner of such stockholder or must be authorized by a writing executed by such stockholder or an electronic transmission delivered by such stockholder to act for such stockholder as proxy at the meeting of stockholders and such person must produce such writing or electronic transmission, or a reliable reproduction of the writing or electronic transmission, at the meeting of stockholders.

(iv) Without limiting the foregoing provisions of this Section 2.10, a stockholder shall also comply with all applicable requirements of the Exchange Act with respect to the matters set forth in this Section 2.10; *provided, however*, that any references in these Bylaws to the Exchange Act are not intended to and shall not limit any requirements applicable to nominations or proposals as to any other business to be considered pursuant to this Section 2.10, and compliance with paragraphs (a)(i)(C) and (b) of this Section 2.10 shall be the exclusive means for a stockholder to make nominations or submit other business (other than as provided in this Section 2.10(c)(iv)).

(v) Notwithstanding anything to the contrary, the notice requirements set forth herein with respect to the proposal of any business pursuant to this Section 2.10 shall be deemed satisfied by a stockholder if such stockholder has submitted a proposal to the Corporation in compliance with Rule 14a-8 under the Exchange Act, and such stockholder's proposal has been included in a proxy statement that has been prepared by the Corporation to solicit proxies for the meeting of stockholders.

ARTICLE 3 DIRECTORS

Section 3.01. *General Powers.* Except as otherwise provided in Delaware Law or the Amended and Restated Certificate of Incorporation, the business and affairs of the Corporation shall be managed by or under the direction of the Board of Directors. No director shall be deemed an “agent” of the Corporation as that term is used in the federal Surface Mining Control and Reclamation Act or its state analogues.

Section 3.02. *Number, Election and Term Of Office.* The number of directors which shall constitute the Board of Directors shall be fixed exclusively by one or more resolutions adopted from time to time solely by the affirmative vote of a majority of the Board of Directors. Each director shall be elected annually at each annual meeting of stockholders to hold office for a term expiring at the next annual meeting of stockholders, with each director to hold office until such director’s successor shall have been duly elected and qualified or until such director’s earlier death, resignation or removal. In no event will a decrease in the number of directors shorten the term of any incumbent director. There shall be no cumulative voting in the election of directors.

Section 3.03. *Quorum and Manner of Acting.* Unless the Amended and Restated Certificate of Incorporation or these Bylaws require a greater number, a majority of the Board of Directors shall constitute a quorum for the transaction of business at any meeting of the Board of Directors and, except as otherwise expressly required by law or by the Amended and Restated Certificate of Incorporation, the act of a majority of the directors present at a meeting at which a quorum is present shall be the act of the Board of Directors. When a meeting is adjourned to another time or place (whether or not a quorum is present), notice need not be given of the adjourned meeting if the time and place thereof are announced at the meeting at which the adjournment is taken. At the adjourned meeting, the Board of Directors may transact any business which might have been transacted at the original meeting. If a quorum shall not be present at any meeting of the Board of Directors, the directors present thereat shall adjourn the meeting, from time to time, without notice other than announcement at the meeting, until a quorum shall be present.

Section 3.04. *Time and Place of Meetings.* The Board of Directors shall hold its meetings at such place, either within or without the State of Delaware, and at such time as may be determined from time to time by the Board of Directors (or the Chairman in the absence of a determination by the Board of Directors).

Section 3.05. *Annual Meeting.* The Board of Directors shall meet for the purpose of organization, the election of officers and the transaction of other business, as soon as practicable after each annual meeting of stockholders, on the

same day and at the same place where such annual meeting shall be held. Notice of such meeting need not be given. In the event such annual meeting is not so held, the annual meeting of the Board of Directors may be held at such place either within or without the State of Delaware, on such date and at such time as shall be specified in a notice thereof given as hereinafter provided in Section 3.07 herein or in a waiver of notice thereof signed by any director who chooses to waive the requirement of notice, subject to the written consent provision in Section 3.09 herein.

Section 3.06. *Regular Meetings.* After the place and time of regular meetings of the Board of Directors shall have been determined and notice thereof shall have been once given to each member of the Board of Directors, regular meetings may be held without further notice being given.

Section 3.07. *Special Meetings.* Special meetings of the Board of Directors may be called by the Chairman of the Board or the President and shall be called by the Chairman of the Board, President or Secretary on the written request of two directors. Notice of special meetings of the Board of Directors shall be given to each director at least 48 hours before the date of the meeting in such manner as is determined by the Board of Directors.

Section 3.08. *Committees.* The Board of Directors may designate one or more committees, each committee to consist of one or more of the directors of the Corporation. The Board of Directors may designate one or more directors as alternate members of any committee, who may replace any absent or disqualified member at any meeting of the committee. In the absence or disqualification of a member of a committee, the member or members present at any meeting and not disqualified from voting, whether or not such member or members constitute a quorum, may unanimously appoint another member of the Board of Directors to act at the meeting in the place of any such absent or disqualified member. Any such committee, to the extent provided in the resolution of the Board of Directors, shall have and may exercise all the powers and authority of the Board of Directors in the management of the business and affairs of the Corporation, and may authorize the seal of the Corporation to be affixed to all papers which may require it; but no such committee shall have the power or authority in reference to any of the following matters: (a) approving or adopting, or recommending to the stockholders, any action or matter expressly required by Delaware Law to be submitted to the stockholders for approval or (b) adopting, amending or repealing any bylaw of the Corporation. Each committee shall keep regular minutes of its meetings and report the same to the Board of Directors when required.

Section 3.09. *Action by Consent.* Unless otherwise restricted by the Amended and Restated Certificate of Incorporation or these Bylaws, any action required or permitted to be taken at any meeting of the Board of Directors or of any committee thereof may be taken without a meeting, if all members of the

Board of Directors or committee, as the case may be, consent thereto in writing or by electronic transmission, and the writing or writings or electronic transmission or transmissions, are filed with the minutes of proceedings of the Board of Directors or committee. Such filing shall be in paper form if the minutes are maintained in paper form and shall be in electronic form if the minutes are maintained in electronic form.

Section 3.10. *Telephonic Meetings.* Unless otherwise restricted by the Amended and Restated Certificate of Incorporation or these Bylaws, members of the Board of Directors, or any committee designated by the Board of Directors, may participate in a meeting of the Board of Directors, or such committee, as the case may be, by means of conference telephone or other communications equipment by means of which all persons participating in the meeting can hear each other, and such participation in a meeting shall constitute presence in person at the meeting.

Section 3.11. *Resignation.* Any director may resign at any time by giving notice in writing or by electronic transmission to the Board of Directors or to the Secretary of the Corporation. The resignation of any director shall take effect upon receipt of notice thereof or at such later time as shall be specified in such notice; and unless otherwise specified therein, the acceptance of such resignation shall not be necessary to make it effective.

Section 3.12. *Vacancies.* Vacancies on the Board of Directors resulting from death, resignation, removal or otherwise and newly created directorships resulting from any increase in the number of directors shall, unless the Board of Directors calls a special meeting for which the election of directors is included as business or as otherwise required by law, be filled solely by a majority of the directors then in office (although less than a quorum) or by the sole remaining director, and each director so elected shall hold office for a term ending at the next annual meeting of stockholders, and until such director's successor shall have been duly elected and qualified or until such director's earlier death, resignation or removal.

Section 3.13. *Removal.* Any director or the entire Board of Directors may be removed, with or without cause, at any time by the affirmative vote of the holders of a majority of the outstanding capital stock of the Corporation then entitled to vote at any election of directors and the vacancies thus created shall be filled in accordance with Section 3.12 herein.

Section 3.14. *Compensation.* Unless otherwise restricted by the Amended and Restated Certificate of Incorporation or these Bylaws, the Board of Directors shall have authority to fix the compensation of directors, including fees and reimbursement of expenses.

Section 3.15. *Preferred Stock Directors.* Notwithstanding anything else contained herein, whenever the holders of one or more classes or series of preferred stock shall have the right, voting separately as a class or series, to elect directors, the election, term of office, filling of vacancies, removal and other features of such directorships shall be governed by the terms of such class or series of preferred stock adopted by resolution or resolutions adopted by the Board of Directors pursuant to the Amended and Restated Certificate of Incorporation, and such directors so elected shall not be subject to the provisions of this Article 3 unless otherwise provided in such terms.

ARTICLE 4 OFFICERS

Section 4.01. *Principal Officers.* The principal officers of the Corporation shall be a Chief Executive Officer, a President, one or more Vice Presidents, a Treasurer and a Secretary who shall have the duty, among other things, to record the proceedings of the meetings of stockholders and directors in a book kept for that purpose. The Corporation may also have such other principal officers, including one or more Controllers, as the Board of Directors may in its discretion appoint. One person may hold the offices and perform the duties of any two or more of said offices, except that no one person shall hold the offices and perform the duties of President and Secretary.

Section 4.02. *Appointment, Term of Office and Remuneration.* The principal officers of the Corporation shall be appointed by the Board of Directors in the manner determined by the Board of Directors. Each such officer shall hold office until his or her successor is appointed, or until his or her earlier death, resignation or removal. The remuneration of all officers of the Corporation shall be fixed by the Board of Directors. Any vacancy in any office shall be filled in such manner as the Board of Directors shall determine.

Section 4.03. *Subordinate Officers.* In addition to the principal officers enumerated in Section 4.01 herein, the Corporation may have one or more Assistant Treasurers, Assistant Secretaries and Assistant Controllers and such other subordinate officers, agents and employees as the Board of Directors may deem necessary, each of whom shall hold office for such period as the Board of Directors may from time to time determine. The Board of Directors may delegate to any principal officer the power to appoint and to remove any such subordinate officers, agents or employees.

Section 4.04. *Removal.* Except as otherwise permitted with respect to subordinate officers, any officer may be removed, with or without cause, at any time, by resolution adopted by the Board of Directors.

Section 4.05. *Resignations.* Any officer may resign at any time by giving written notice to the Board of Directors (or to a principal officer if the Board of Directors has delegated to such principal officer the power to appoint and to remove such officer). The resignation of any officer shall take effect upon receipt of notice thereof or at such later time as shall be specified in such notice; and unless otherwise specified therein, the acceptance of such resignation shall not be necessary to make it effective.

Section 4.06. *Powers and Duties.* The officers of the Corporation shall have such powers and perform such duties incident to each of their respective offices and such other duties as may from time to time be conferred upon or assigned to them by the Board of Directors.

ARTICLE 5 CAPITAL STOCK

Section 5.01. *Certificates For Stock; Uncertificated Shares.* The shares of the Corporation shall be represented by certificates, provided that the Board of Directors may provide by resolution or resolutions that some or all of any or all classes or series of its stock shall be uncertificated shares or a combination of certificated and uncertificated shares. Any such resolution that shares of a class or series will only be uncertificated shall not apply to shares represented by a certificate until such certificate is surrendered to the Corporation. Except as otherwise required by law, the rights and obligations of the holders of uncertificated shares and the rights and obligations of the holders of shares represented by certificates of the same class and series shall be identical. Every holder of stock represented by certificates shall be entitled to have a certificate representing the number of shares registered in certificate form, signed by, or in the name of, the Corporation by the Chairman or Vice Chairman of the Board of Directors, or the Chief Executive Officer, President or Vice President, and by the Treasurer or an Assistant Treasurer, or the Secretary or an Assistant Secretary of such Corporation. Any or all of the signatures on the certificate may be a facsimile. In case any officer, transfer agent or registrar who has signed or whose facsimile signature has been placed upon a certificate shall have ceased to be such officer, transfer agent or registrar before such certificate is issued, it may be issued by the Corporation with the same effect as if such person were such officer, transfer agent or registrar at the date of issue. The Corporation shall not have power to issue a certificate in bearer form.

Section 5.02. *Transfer Of Shares.* Shares of the stock of the Corporation may be transferred on the record of stockholders of the Corporation by the holder thereof or by such holder's duly authorized attorney upon surrender of a certificate therefor properly endorsed or upon receipt of proper transfer instructions from the registered holder of uncertificated shares or by such holder's

duly authorized attorney and upon compliance with appropriate procedures for transferring shares in uncertificated form, unless waived by the Corporation.

Section 5.03. *Authority for Additional Rules Regarding Transfer.* The Board of Directors shall have the power and authority to make all such rules and regulations as they may deem expedient concerning the issue, transfer and registration of certificated or uncertificated shares of the stock of the Corporation, as well as for the issuance of new certificates in lieu of those which may be lost or destroyed, and may require of any stockholder requesting replacement of lost or destroyed certificates, a bond in such amount and in such form as they may deem expedient to indemnify the Corporation, the transfer agents and/or the registrars of the Corporation's stock against any claims arising in connection therewith.

ARTICLE 6 GENERAL PROVISIONS

Section 6.01. *Fixing the Record Date.* In order that the Corporation may determine the stockholders entitled to notice of any meeting of stockholders or any adjournment thereof, the Board of Directors may fix a record date, which record date shall not precede the date upon which the resolution fixing such record date is adopted by the Board of Directors, and which record date shall not be more than 60 nor less than 10 days before the date of such meeting. If the Board of Directors so fixes a date, such date shall also be the record date for determining the stockholders entitled to vote at such meeting unless the Board of Directors determines, at the time it fixes such record date, that a later date on or before the date of the meeting shall be the date for making such determination. If no record date is fixed by the Board of Directors, the record date for determining stockholders entitled to notice of or to vote at a meeting of stockholders shall be at the close of business on the day preceding the day on which notice is given, or, if notice is waived, at the close of business on the day preceding the day on which the meeting is held. A determination of stockholders of record entitled to notice of or to vote at a meeting of stockholders shall apply to any adjournment of the meeting; *provided* that the Board of Directors may in its discretion or as required by law fix a new record date for determination of stockholders entitled to vote at the adjourned meeting, and in such case shall fix the same date or an earlier date as the record date for stockholders entitled to notice of such adjourned meeting.

In order that the Corporation may determine the stockholders entitled to receive payment of any dividend or other distribution or allotment of any rights or the stockholders entitled to exercise any rights in respect of any change, conversion or exchange of stock, or for the purpose of any other lawful action, the Board of Directors may fix a record date, which record date shall not precede the date upon which the resolution fixing the record date is adopted, and which record date shall be not more than 60 days prior to such action. If no record date is fixed, the record date for determining stockholders for any such purpose shall be at the

close of business on the day on which the Board of Directors adopts the resolution relating thereto.

Section 6.02. *Dividends*. Subject to limitations contained in Delaware Law and the Amended and Restated Certificate of Incorporation, the Board of Directors may declare and pay dividends upon the shares of capital stock of the Corporation, which dividends may be paid either in cash, in property or in shares of the capital stock of the Corporation.

Section 6.03. *Year*. The fiscal year of the Corporation shall commence on January 1 and end on December 31 of each year.

Section 6.04. *Corporate Seal*. The corporate seal shall have inscribed thereon the name of the Corporation, the year of its organization and the words "Corporate Seal, Delaware". The seal may be used by causing it or a facsimile thereof to be impressed, affixed or otherwise reproduced.

Section 6.05. *Voting of Stock Owned by the Corporation*. The Board of Directors may authorize any person, on behalf of the Corporation, to attend, vote at and grant proxies to be used at any meeting of stockholders of any corporation (except this Corporation) in which the Corporation may hold stock.

Section 6.06. *Forum*. Unless the Corporation consents in writing to the selection of an alternative forum, to the fullest extent permitted by law, the sole and exclusive forum for (a) any derivative action or proceeding brought on behalf of the Corporation, (b) any action asserting a claim of breach of a fiduciary duty owed by any director, officer or other employee of the Corporation to the Corporation or the Corporation's stockholders, (c) any action asserting a claim arising pursuant to any provision of Delaware Law or the Amended and Restated Certificate of Incorporation (including any certificate of designations relating to any class or series of Preferred Stock) or the Bylaws (in each case, as they may be amended from time to time), or (d) any action asserting a claim governed by the internal affairs doctrine shall, in any such case, be the Court of Chancery of the State of Delaware, (or, if the Court of Chancery lacks subject matter jurisdiction, another state or federal court located within the state of Delaware, in all cases subject to the court's having personal jurisdiction over the indispensable parties named as defendants). Any person or entity purchasing or otherwise acquiring or holding any interest in shares of capital stock of the Corporation shall be deemed to have notice of and consented to the provisions of this Section 6.06.

Section 6.07. *Amendments*. These Bylaws or any of them, may be altered, amended or repealed, or new Bylaws may be made, by the stockholders entitled to vote thereon at any annual or special meeting thereof or by the Board of Directors. Unless a higher percentage is required by the Certificate of Incorporation as to any matter that is the subject of these Bylaws, all such amendments must be approved by the affirmative vote of the holders of not less

than a majority of the total voting power of all outstanding securities of the Corporation, generally entitled to vote in the election of directors, voting together as a single class, or by a majority of the Board of Directors.

Adopted by the Board of Directors on March 12, 2020

**DESCRIPTION OF SECURITIES REGISTERED
PURSUANT TO SECTION 12 OF THE
SECURITIES EXCHANGE ACT OF 1934**

The following is a summary of the material terms of our securities registered under Section 12 of the Securities Exchange Act of 1934, as amended (the “Exchange Act”), as of March 18, 2020. Our authorized capital stock under our amended and restated certificate of incorporation consists of 50,000,000 shares of common stock, par value \$0.01 per share and 5,000,000 shares of preferred stock, par value \$0.01 per share.

DESCRIPTION OF CONTURA CAPITAL STOCK

The following is a description of the material terms of our amended and restated certificate of incorporation and amended and restated bylaws, in each case as in effect and affecting the rights of our stockholders upon the completion of this offering. We refer you to our amended and restated certificate of incorporation and amended and restated bylaws, copies of which are filed as exhibits to our Annual Report on Form 10-K, of which this exhibit forms a part. We encourage you to read our amended and restated certificate of incorporation and amended and restated bylaws and the applicable provisions of the General Corporation Law of the State of Delaware (the “DGCL”) for additional information.

Common Stock

Common stock outstanding. As of February 29, 2020, there were 18,259,421 shares of common stock outstanding, which were held of record by 115 stockholders. All outstanding shares of common stock are fully paid and non-assessable.

Voting rights. The holders of common stock are entitled to one vote per share on all matters to be voted upon by the stockholders.

Dividend rights. Subject to preferences that may be applicable to any outstanding preferred stock, the holders of common stock are entitled to receive ratably such dividends, if any, as may be declared from time to time by the board of directors out of funds legally available therefor.

Rights upon liquidation. In the event of our liquidation, dissolution or winding up, the holders of common stock are entitled to share ratably in all assets remaining after payment of liabilities, subject to prior distribution rights of preferred stock, if any, then outstanding.

Other rights. The holders of common stock have no preemptive or conversion rights or other subscription rights. There are no redemption or sinking fund provisions applicable to the common stock.

Preferred Stock

As of February 29, 2020, there were no shares of preferred stock outstanding. Contura’s board of directors has the authority to issue the preferred stock in one or more series and to fix the

designations, powers, preferences and relative, participating, optional or other rights, if any, and the qualifications, limitations or restrictions thereof, if any, with respect to each such class or series of preferred stock and the number of shares constituting each such class or series, and to increase or decrease the number of shares of any such class or series to the extent permitted by Delaware law.

The issuance of preferred stock may have the effect of delaying, deferring or preventing a change in control of Contura without further action by the stockholders and may adversely affect the voting and other rights of the holders of common stock. At present, Contura has no plans to issue any of the preferred stock.

Anti-takeover Effects of Certain Provisions of Contura's Amended and Restated Certificate of Incorporation and Amended and Restated Bylaws

Removal of Directors; Vacancies

Our board of directors currently consists of six directors. The exact number of directors will be fixed from time to time by resolution of the board. Any director may be removed, with or without cause, at any time by the affirmative vote of shares representing a majority of the shares then entitled to vote at an election of directors. Any vacancy occurring on the board of directors and any newly created directorship shall, unless the board calls a special meeting for which the election of directors is included as business or as otherwise required by law, be filled solely by a majority of the remaining directors in office.

No Cumulative Voting

The DGCL provides that stockholders are not entitled to the right to cumulate votes in the election of directors unless Contura's amended and restated certificate of incorporation provides otherwise. Contura's amended and restated certificate of incorporation prohibits cumulative voting.

Calling of Special Meetings of Stockholders

Contura's amended and restated certificate of incorporation and Contura's amended and restated bylaws provide that special meetings of Contura's stockholders may be called only by Contura's board of directors, subject to the rights of the holders of any series of preferred stock.

No Stockholder Action by Written Consent

Contura's amended and restated certificate of incorporation and Contura's amended and restated bylaws provide that any action required or permitted to be taken by Contura's stockholders must be effected by a duly called annual or special meeting of stockholders and may not be effected by any consent in lieu of a meeting of such stockholders, subject to the rights of the holders of any series of preferred stock.

Advance Notice Requirements for Stockholder Proposals and Director Nominations

Contura's amended and restated bylaws provide that stockholders seeking to nominate candidates for election as directors or to bring business before an annual meeting of stockholders must provide timely notice of their proposal in writing to Contura's corporate secretary.

Generally, to be timely, a stockholder's notice must be received at Contura's principal executive offices not less than 120 days nor more than 150 days prior to the first anniversary date of the date on which the Company first mailed its proxy materials for the previous year's annual meeting. Contura's amended and restated bylaws also specify requirements as to the form and content of a stockholder's notice. These provisions may impede stockholders' ability to bring matters before an annual meeting of stockholders or make nominations for directors at an annual meeting of stockholders.

Amendments to Contura's Amended and Restated Certificate of Incorporation and Amended and Restated Bylaws

Contura's amended and restated certificate of incorporation grants Contura's board of directors the authority to adopt, amend or repeal Contura's amended and restated bylaws without a stockholder vote in any manner not inconsistent with the laws of the State of Delaware. Contura's amended and restated certificate of incorporation and amended and restated bylaws may be amended by the affirmative vote of the holders of at least two-thirds of the shares of common stock.

Limitations on Liability and Indemnification of Officers and Directors

Contura's amended and restated certificate of incorporation provides that no director will be personally liable to Contura or its stockholders for monetary damages for breach of fiduciary duty as a director, except as required by applicable law, as in effect from time to time. Currently, Delaware law requires that liability be imposed for the following:

- any breach of the director's duty of loyalty to Contura or its stockholders;
- any act or omission not in good faith or which involved intentional misconduct or a knowing violation of law;
- unlawful payments of dividends or unlawful stock repurchases or redemptions as provided in Section 174 of the Delaware General Corporation Law; and
- any transaction from which the director derived an improper personal benefit.

As a result, neither Contura nor its stockholders have the right, through stockholders' derivative suits on their behalf, to recover monetary damages against a director for breach of

fiduciary duty as a director, including breaches resulting from grossly negligent behavior, except in the situations described above.

Contura's amended and restated certificate of incorporation provides that, to the fullest extent permitted by law, Contura will indemnify any officer or director of Contura against all damages, claims and liabilities arising out of the fact that the person is or was Contura's director or officer, or served any other enterprise at Contura's request as a director, officer, employee, agent or fiduciary. Contura will reimburse the expenses, including attorneys' fees, incurred by a person indemnified by this provision when Contura receives an undertaking to repay such amounts if it is ultimately determined that the person is not entitled to be indemnified by Contura. Amending this provision will not reduce Contura's indemnification obligations relating to actions taken before an amendment.

Delaware Anti-Takeover Statute

Contura is subject to Section 203 of the DGCL. Subject to specified exceptions, Section 203 prohibits a publicly held Delaware corporation from engaging in a "business combination" with an "interested stockholder" for a period of three years after the date of the transaction in which the person became an interested stockholder. "Business combinations" include mergers, asset sales and other transactions resulting in a financial benefit to the "interested stockholder." Subject to various exceptions, an "interested stockholder" is a person who together with his or her affiliates and associates, owns, or within three years did own, 15% or more of the corporation's outstanding voting stock. These restrictions generally prohibit or delay the accomplishment of mergers or other takeover or change-in-control attempts.

Exclusive Forum Provision of Contura's Amended and Restated Bylaws

Under Contura's amended and restated bylaws, to the fullest extent permitted by law and unless Contura consents in writing to the selection of an alternative forum, the Court of Chancery of the state of Delaware will be the sole and exclusive forum for (i) any derivative action or proceeding brought on behalf of Contura, (ii) any action asserting a claim of breach of a fiduciary duty owed by any Contura director, officer or other employee to Contura or its stockholders, (iii) any action asserting a claim arising pursuant to any provision of the DGCL or the Contura charter (including any certificate of designations relating to any class or series of preferred stock) or the Contura bylaws (in each case, as they may be amended from time to time), or (iv) any action asserting a claim governed by the internal affairs doctrine.

By limiting the ability of third parties and Contura's stockholders to file such lawsuits in the forum of their choosing, this exclusive forum provision could increase the costs to a plaintiff of bringing such a lawsuit and could have the effect of deterring such lawsuits, which could include potential takeover-related lawsuits.

Authorized but Unissued Capital Stock

The DGCL does not require stockholder approval for any issuance of authorized shares. However, the listing requirements of the New York Stock Exchange, which would apply so long as Contura's common stock is listed on the New York Stock Exchange, require stockholder approval of certain issuances equal to or exceeding 20% of the then-outstanding voting power or then-outstanding number of shares of common stock. These additional shares may be used for a variety of corporate purposes, including future public offerings, to raise additional capital or to facilitate acquisitions.

One of the effects of the existence of unissued and unreserved common stock may be to enable Contura's board of directors to issue shares to persons friendly to current management, which issuance could render more difficult or discourage an attempt to obtain control of Contura by means of a merger, tender offer, proxy contest or otherwise, and thereby protect the continuity of our management and possibly deprive the stockholders of opportunities to sell their shares of common stock at prices higher than prevailing market prices.

Transfer Agent and Registrar

Computershare Trust Company, N.A. is the transfer agent and registrar for Contura's common stock.

LIST OF SUBSIDIARIES

Alex Energy, LLC
Alpha American Coal Company, LLC
Alpha American Coal Holding, LLC
Alpha Appalachia Holdings, LLC
Alpha Appalachia Services, LLC
Alpha Coal Resources Company, LLC
Alpha Coal Sales Co., LLC
Alpha Coal West, LLC
Alpha European Sales, LLC
Alpha India, LLC
Alpha Land and Reserves, LLC
Alpha Midwest Holding Company, LLC
Alpha Natural Resources Holdings, Inc.
Alpha Natural Resources International, LLC
Alpha Natural Resources Services, LLC
Alpha Natural Resources, LLC
Alpha PA Coal Terminal, LLC
Alpha Shipping and Chartering, LLC
Alpha Sub Eight, LLC
Alpha Sub Eleven, Inc.
Alpha Sub Nine, LLC
Alpha Sub One, LLC
Alpha Sub Ten, Inc.
Alpha Sub Two, LLC
Alpha Terminal Company, LLC
Alpha Wyoming Land Company, LLC
AMFIRE Holdings, LLC
AMFIRE Mining Company, LLC
AMFIRE, LLC
ANR Second Receivables Funding, LLC
ANR, Inc.
Appalachia Coal Sales Company, LLC
Appalachia Holding Company, LLC
Aracoma Coal Company, LLC
Axiom Excavating and Grading Services, LLC
Bandmill Coal LLC
Bandytown Coal Company
Barbara Holdings Inc.
Barnabus Land Company
Belfry Coal Corporation
Big Bear Mining Company, LLC
Black Castle Mining Company, LLC
Black King Mine Development Co.
Black Mountain Cumberland Resources, LLC
Boone East Development Co., LLC
Brooks Run South Mining, LLC
Buchanan Energy Company, LLC
Castle Gate Holding Company
Clear Fork Coal Company
Coal Gas Recovery II, LLC
Contura CAPP Land, LLC
Contura Coal Resources, LLC
Contura Coal Sales, LLC
Contura Coal West, LLC
Contura Energy Services, LLC
Contura Energy, Inc.
Contura Energy, LLC

Contura European Marketing, LLC
Contura Excavating & Grading, LLC
Contura Freeport, LLC
Contura Mining Holding, LLC
Contura Pennsylvania Land, LLC
Contura Pennsylvania Terminal, LLC
Contura Terminal, LLC
Contura Wyoming Land, LLC
Crystal Fuels Company
Cumberland Coal Resources, LP
Cumberland Contura, LLC
Dehue Coal Company
Delbarton Mining Company, LLC
Delta Mine Holding Company
DFDSTE, LLC
Dickenson-Russell Coal Company, LLC
Dickenson-Russell Contura, LLC
Dickenson-Russell Land and Reserves, LLC
DRIH Corporation
Duchess Coal Company
Eagle Energy, Inc.
Elk Run Coal Company, LLC
Emerald Coal Resources, LP
Emerald Contura, LLC
Enterprise Mining Company, LLC
Esperanza Coal Co., LLC
Foundation Mining, LLC
Foundation PA Coal Company, LLC
Foundation Royalty Company
Freeport Mining, LLC
Freeport Resources Company, LLC
Goals Coal Company
Green Valley Coal Company, LLC
Greyeagle Coal Company
Harlan Reclamation Services LLC
Herndon Processing Company, LLC
Highland Mining Company
Hopkins Creek Coal Company
Independence Coal Company, LLC
Jacks Branch Coal Company
Jay Creek Holding, LLC
Kanawha Energy Company, LLC
Kepler Processing Company, LLC
Kingston Mining, Inc.
Kingwood Mining Company, LLC
Knox Creek Coal Corporation
Laxare, Inc.
Litwar Processing Company, LLC
Logan County Mine Services, Inc.
Logan I, LLC
Logan III, LLC
Long Fork Coal Company, LLC
Lynn Branch Coal Company, Inc.
Maple Meadow Mining Company, LLC
Marfork Coal Company, LLC
Marshall Land LLC
Martin County Coal, LLC
Maxxim Rebuild Co., LLC
Maxxim Shared Services, LLC

Maxxum Carbon Resources, LLC
McDowell-Wyoming Coal Company, LLC
Mill Branch Coal, LLC
New Ridge Mining Company
Neweagle Industries, Inc.
Nicewonder Contracting, Inc.
Nicholas Contura, LLC
North Fork Coal Corporation
Old ANR, LLC
Omar Mining Company, LLC
Paramont Coal Company Virginia, LLC
Paramont Contura, LLC
Paynter Branch Mining, Inc.
Peerless Eagle Coal Co., LLC
Pennsylvania Land Holdings Company, LLC
Pennsylvania Land Resources Holding Company, LLC
Pennsylvania Land Resources, LLC
Pennsylvania Services, LLC
Performance Coal Company, LLC
Peter Cave Mining Company
Pigeon Creek Processing Corporation
Pilgrim Mining Company, Inc.
Pioneer Fuel Corporation
Plateau Mining, LLC
Power Mountain Coal Company, LLC
Power Mountain Contura, LLC
Premium Energy, LLC
Rawl Sales & Processing Co., LLC
Republic Energy, LLC
Resource Development LLC
Resource Land Company LLC
River Processing, LLC
Riverside Energy Company, LLC
Riverton Coal Production, LLC
Road Fork Development Company, LLC
Robinson-Phillips Coal Company
Rockspring Development, Inc.
Rostraver Energy Company
Rum Creek Coal Sales, Inc.
Russell Fork Coal Company
Shannon-Pocahontas Coal Corporation
Shannon-Pocahontas Mining Company
Sidney Coal Company, LLC
Spartan Mining Company, LLC
Stirrat Coal Company, LLC
Sycamore Fuels, Inc.
T. C. H. Coal Co.
Tennessee Consolidated Coal Company
Thunder Mining Company II, LLC
Trace Creek Coal Company
Twin Star Mining, Inc.
Wabash Mine Holding Company
Warrick Holding Company
West Kentucky Energy Company
White Buck Coal Company
Williams Mountain Coal Company
Wyomac Coal Company, Inc.

Consent of Independent Registered Public Accounting Firm

The Board of Directors
Contura Energy, Inc.:

We consent to the incorporation by reference in the registration statement (No. 333-228293) on Form S-8 of Contura Energy, Inc. of our reports dated March 18, 2020, with respect to the consolidated balance sheets of Contura Energy, Inc. as of December 31, 2019 and 2018, the related consolidated statements of operations, comprehensive (loss) income, cash flows, and stockholders' equity for each of the years in the three-year period ended December 31, 2019, and the related notes, and the effectiveness of internal control over financial reporting as of December 31, 2019, which reports appear in the December 31, 2019 annual report on Form 10-K of Contura Energy, Inc.

Our report dated March 18, 2020, on the consolidated financial statements refers to a change in the method of accounting for revenue.

Our report dated March 18, 2020, on the effectiveness of internal control over financial reporting as of December 31, 2019 expresses our opinion that Contura Energy, Inc. did not maintain effective internal control over financial reporting as of December 31, 2019 because of the effect of material weaknesses on the achievement of the objectives of the control criteria and contains an explanatory paragraph that states the Company's risk assessment process was ineffective and the Company did not have a sufficient complement or sufficiently trained personnel to effectively assess and implement necessary controls. As a result, process level control over the valuation of coal inventory and elements of the procurement process were ineffective.

/s/ KPMG LLP

Richmond, Virginia
March 18, 2020

CONSENT OF MARSHALL MILLER & ASSOCIATES, INC.

Marshall Miller & Associates, Inc. hereby consents to the use by Contura Energy, Inc. (the “Company”) of the information contained in our report dated March 10, 2020, relating to estimates of certain coal reserves belonging to affiliates of the Company, and to the reference to Marshall Miller & Associates, Inc. as the preparers of the report, in connection with the Company’s Annual Report on Form 10-K for the year ended December 31, 2019, and any amendments thereto, and to the incorporation of this information by reference into any other filing made or to be made by the Company with the United States Securities and Exchange Commission, including but not limited to any registration statement or any amendments thereto.

Marshall Miller & Associates, Inc.

By: /s/ Steven Keim
Name: Steven Keim
Title: Senior Vice President

Dated: March 18, 2020

CERTIFICATIONS

CERTIFICATION OF PRINCIPAL EXECUTIVE OFFICER AND PRINCIPAL FINANCIAL OFFICER

Each of the officers below certifies that:

1. I have reviewed this Annual Report on Form 10-K (this "Report") of Contura Energy, Inc. (the "Registrant");
2. Based on my knowledge, this Report does not contain any untrue statement of a material fact or omit to state a material fact necessary to make the statements made, in light of the circumstances under which such statements were made, not misleading with respect to the period covered by this Report;
3. Based on my knowledge, the financial statements, and other financial information included in this Report, fairly present in all material respects the financial condition, results of operations and cash flows of the Registrant as of, and for, the periods presented in this Report;
4. The registrant's other certifying officer and I are responsible for establishing and maintaining disclosure controls and procedures (as defined in Exchange Act Rules 13a-15(e) and 15d-15(e)) and internal control over financial reporting (as defined by Exchange Act Rules 13a-15(f) and 15d-15(f)) for the registrant and have:
 - a. designed such disclosure controls and procedures, or caused such disclosure controls and procedures to be designed under our supervision, to ensure that material information relating to the registrant, including its consolidated subsidiaries, is made known to us by others within those entities, particularly during the period in which this quarterly report is being prepared;
 - b. designed such internal control over financial reporting, or caused such internal control over financial reporting to be designed under our supervision, to provide reasonable assurance regarding the reliability of financial reporting and the preparation of financial statements for external purposes in accordance with generally accepted accounting principles;
 - c. evaluated the effectiveness of the registrant's disclosure controls and procedures and presented in this report our conclusions about the effectiveness of the disclosure controls and procedures, as of the end of the period covered by this report based on such evaluation; and
 - d. disclosed in this report any change in the registrant's internal control over financial reporting that occurred during the registrant's most recent fiscal quarter (the registrant's fourth fiscal quarter in the case of an annual report) that has materially affected, or is reasonably likely to materially affect, the registrant's internal control over financial reporting;
5. The Registrant's other certifying officer and I have disclosed to the Registrant's auditors and the audit committee of the Registrant's board of directors (or persons performing the equivalent functions):
 - a. All significant deficiencies and material weaknesses in the design or operation of internal control over financial reporting which are reasonably likely to adversely affect the Registrant's ability to record, process, summarize and report financial information; and
 - b. Any fraud, whether or not material, that involves management or other employees who have a significant role in the Registrant's internal control over financial reporting.

Date: March 18, 2020

By: /s/ David J. Stetson

David J. Stetson

Chief Executive Officer

(Principal Executive Officer)

Date: March 18, 2020

By: /s/ Charles Andrew Eidson

Charles Andrew Eidson

Executive Vice President and Chief Financial Officer

(Principal Financial Officer and Principal Accounting Officer)

CERTIFICATION PURSUANT TO 18 U.S.C. SECTION 1350, AS ADOPTED PURSUANT TO SECTION 906 OF THE SARBANES-OXLEY ACT OF 2002

In connection with the Annual Report on Form 10-K of Contura Energy, Inc. (the “Registrant”) for the period ended December 31, 2019, as filed with the Securities and Exchange Commission on the date hereof (the “Report”), each of the undersigned officers of the Registrant certifies, pursuant to 18 U.S.C. Section 1350, as adopted pursuant to Section 906 of the Sarbanes-Oxley Act of 2002, that to his knowledge:

- 1) The Report fully complies with the requirements of Section 13(a) or 15(d) of the Securities Exchange Act of 1934; and
- 2) The information contained in the Report fairly presents, in all material respects, the financial condition and results of operations of the Registrant.

Date: March 18, 2020

By: */s/ David J. Stetson*

David J. Stetson

Chief Executive Officer

(Principal Executive Officer)

Date: March 18, 2020

By: */s/ Charles Andrew Eidson*

Charles Andrew Eidson

Executive Vice President and Chief Financial Officer

(Principal Financial Officer and Principal Accounting Officer)

Mine Safety and Health Administration Data

Our subsidiaries' mining operations have consistently been recognized with numerous local, state and national awards over the years for outstanding safety performance.

Our behavior-based safety process involves all employees in accident prevention and continuous improvement. Safety leadership and training programs are based upon the concepts of situational awareness and observation, changing behaviors and, most importantly, employee involvement. The core elements of our safety training include identification of critical behaviors, frequency of those behaviors, employee feedback and removal of barriers for continuous improvement.

All employees are empowered to champion the safety process. Every person is challenged to identify hazards and initiate corrective actions, ensuring that hazards are addressed in a timely manner.

All levels of the organization are expected to be proactive and commit to perpetual improvement, implementing new safety processes that promote a safe and healthy work environment.

Our subsidiaries operate multiple mining complexes in three states and are regulated by both the U.S. Mine Safety and Health Administration ("MSHA") and state regulatory agencies. As described in more detail in the "Environmental and Other Regulatory Matters" section of our Annual Report on Form 10-K for the year ended December 31, 2019, the Federal Mine Safety and Health Act of 1977, as amended (the "Mine Act"), among other federal and state laws and regulations, imposes stringent safety and health standards on all aspects of mining operations. Regulatory inspections are mandated by these agencies with thousands of inspection shifts at our properties each year. Citations and compliance metrics at each of our mines and coal preparation facilities vary due to the size and type of the operation. We endeavor to conduct our mining and other operations in compliance with all applicable federal, state and local laws and regulations. However, violations occur from time to time. None of the violations identified or the monetary penalties assessed upon us set forth in the tables below has been material.

For purposes of reporting regulatory matters under Section 1503(a) of the Dodd-Frank Wall Street Reform and Consumer Protection Act (the “Dodd-Frank Act”), we include the following table that sets forth the total number of specific citations and orders and the total dollar value of the proposed civil penalty assessments that were issued by MSHA during the current reporting period for each of our subsidiaries that is a coal mine operator, by individual mine. During the current reporting period, none of the mines operated by our subsidiaries received written notice from MSHA of a pattern of violations under Section 104(e) of the Mine Act.

MSHA Mine ID	Operator	Significant and Substantial Citations Issued (Section 104 of the Mine Act) *Excludes 104(d) citations/orders	Failure to Abate Orders (Section 104(b) of the Mine Act)	Unwarrantable Failure Citations/Orders Issued (Section 104(d) of the Mine Act)	Flagrant Violations (Section 110(b)(2) of the Mine Act)	Imminent Danger Orders Issued (Section 107(a) of the Mine Act)	Dollar Value of Proposed Civil Penalty Assessments (in Thousands) (1)	Mining Related Fatalities
3605018	Cumberland Contura, LLC	41	—	4	—	—	\$133.56	—
3605466	Emerald Contura, LLC	2	—	—	—	—	\$3.79	—
4405270	Paramont Contura, LLC	2	—	—	—	—	\$1.66	—
4405311	Dickenson-Russell Contura, LLC	3	—	—	—	—	\$2.82	—
4407163	Paramont Contura, LLC	2	—	—	—	—	\$0.64	—
4407223	Paramont Contura, LLC	26	—	—	—	—	\$45.76	—
4407308	Paramont Contura, LLC	10	—	—	—	—	\$23.02	—
4407381	Paramont Contura, LLC	2	—	—	—	—	\$2.96	—
4601544	Spartan Mining Company, LLC	63	—	2	—	—	\$373.44	—
4603317	Mammoth Coal Co.	—	—	—	—	—	\$1.49	—
4604343	Kingston Mining Inc.	5	—	—	—	—	\$7.14	—
4604637	Kepler Processing Company LLC	1	—	—	—	—	\$0.41	—
4605086	Bandmill Coal, LLC	—	—	—	—	—	\$1.67	—
4605317	Goals Coal Company	—	—	—	—	—	\$0.12	—
4605649	Delbarton Mining Company, LLC	4	—	—	—	—	\$2.65	—
4605872	Litwar Processing Company, LLC	—	—	—	—	—	\$0.12	—
4605992	Black Castle Mining Company LLC	14	—	—	—	—	\$4.23	—
4606263	Brooks Run South Mining, LLC	22	—	—	—	—	\$44.61	—
4606558	Highland Mining Company	—	—	—	—	—	\$0.36	—
4607938	Black Castle Mining Company, LLC	—	—	—	—	—	\$0.24	—

4608159	Mammoth Coal Co.	2	—	—	—	—	\$4.42	—
4608315	Marfork Coal Company, LLC	6	—	—	—	—	\$80.94	—
4608374	Marfork Coal Company, LLC	3	—	—	—	—	\$4.86	—
4608625	Kingston Mining, Inc.	22	—	—	—	—	\$276.00	—
4608655	Marfork Coal Company, Inc.	—	—	—	—	—	\$0.12	—
4608787	Nicholas Contura LLC	16	—	—	—	—	\$29.22	—
4608801	Aracoma Coal Company, LLC	24	—	—	—	—	\$60.39	—
4608802	Aracoma Coal Company, LLC	12	—	—	—	—	\$39.76	—
4608808	Spartan Mining Company, LLC	17	—	—	—	—	\$65.38	—
4608837	Marfork Coal Company, LLC	3	—	—	—	—	\$5.80	—
4608932	Kingston Mining, Inc.	26	—	—	—	1	\$113.34	—
4608961	Alex Energy LLC	—	—	—	—	—	\$0.12	—
4608977	Alex Energy LLC	—	—	—	—	—	\$0.73	—
4609026	Republic Energy LLC	2	—	—	—	—	\$3.18	—
4609048	Marfork Coal Company, LLC	33	—	1	—	—	\$125.73	—
4609054	Republic Energy LLC	6	1	—	—	—	\$8.67	—
4609091	Marfork Coal Company, LLC	40	1	—	—	—	\$531.58	—
4609092	Marfork Coal Company, LLC	27	—	—	—	—	\$272.31	—
4609148	Mammoth Coal Co	3	—	—	—	—	\$8.88	—
4609176	Marfork Coal Company	—	—	—	—	—	\$0.89	—
4609204	Highland Mining Company	6	—	—	—	—	\$33.37	—
4609212	Marfork Coal Company	18	—	—	—	—	\$201.10	—
4609221	Mammoth Coal Co.	29	—	—	—	—	\$70.97	—
4609361	Aracoma Coal Company, LLC	8	—	—	—	—	\$9.71	—
4609475	Republic Energy LLC	1	—	—	—	—	\$9.70	—
4609522	Spartan Mining Company, LLC	—	—	—	—	—	\$1.45	—

4609550	Marfork Coal Company, LLC	11	—	—	—	—	\$16.63	—
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For purposes of reporting regulatory matters under Section 1503(a) of the Dodd-Frank Act, we include the following table that sets forth a list of legal actions pending before the Federal Mine Safety and Health Review Commission, including the Administrative Law Judges thereof, pursuant to the Mine Act, and other required information, for each of our subsidiaries that is a coal mine operator, by individual mine including legal actions and other required information.

Mine ID	Operator Name	MSHA Pending Legal Actions (as of last day of reporting period) (1)	New MSHA Dockets commenced during reporting period	MSHA dockets in which final orders were entered (not appealed) during reporting period	Contests of Citations/ Orders referenced in Subpart B, 29 CFR Part 2700	Contests of Proposed Penalties referenced in Subpart C, 29 CFR Part 2700	Complaints for compensation referenced in Subpart D, 29 CFR Part 2700	Complaints for discharge, discrimination, or interference referenced in Subpart E, 29 CFR Part 2700	Applications for temporary relief referenced in Subpart F 29 CFR Part 2700	Appeals of judges' decisions or orders to FMSHRC referenced in Subpart H 29 CFR Part 2700
3605018	Cumberland Contura, LLC	4	8	4	—	4	—	—	—	—
3605466	Emerald Contura, LLC	2	3	1	—	2	—	—	—	—
4405311	Dickenson-Russell Contura, LLC	—	1	1	—	—	—	—	—	—
4407233	Paramont Contura, LLC	—	—	2	—	—	—	—	—	—
4407381	Paramont Contura, LLC	—	1	1	—	—	—	—	—	—
4601544	Spartan Mining Company, LLC	3	9	12	—	3	—	—	—	—
4604343	Kingston	—	1	1	—	—	—	—	—	—
4605317	Goals Coal Company	—	—	1	—	—	—	—	—	—
4606263	Brooks Run South Mining, LLC	—	4	4	—	—	—	—	—	—
4608315	Marfork Coal Company, LLC	—	5	6	—	—	—	—	—	—
4608374	Marfork Coal Company, LLC	—	1	1	—	—	—	—	—	—
4608625	Kingston Mining, Inc.	1	13	14	—	1	—	—	—	—
4608808	Spartan Mining Company, LLC	—	—	1	—	—	—	—	—	—
4608837	Marfork Coal Company, LLC	—	1	3	—	—	—	—	—	—
4608932	Kingston Mining, Inc.	2	10	9	2	—	—	—	—	—
4609048	Marfork Coal Company, LLC	1	11	12	—	1	—	—	—	—
4609054	Republic Energy LLC	—	—	1	—	—	—	—	—	—

4609091	Marfork Coal Company, LLC	6	14	10	—	6	—	—	—	—
4609092	Marfork Coal Company, LLC	2	9	10	—	2	—	—	—	—
4609204	Highland Mining Company	—	2	3	—	—	—	—	—	—
4609212	Marfork Coal Company, LLC	1	6	6	—	1	—	—	—	—
4609026	Pioneer Fuel	—	—	1	—	—	—	—	—	—
4407308	Paramont Contura, LLC	1	1	—	—	1	—	—	—	—
4609550	Marfork Coal Company, LLC	1	1	—	—	1	—	—	—	—

⁽¹⁾ The MSHA proposed assessments issued during the current reporting period do not necessarily relate to the citations or orders issued by MSHA during the current reporting period or to the pending Legal Actions reported herein.